

p) Credit Rating

During the year, CRISIL re-affirmed Companies' long-term rating and short-term credit rating at AA+/Stable and A1+ respectively. Further, re-affirmed short term rating A1+ commercial paper programme.

India Ratings re-affirmed long term credit rating at AA+/Stable and re-affirmed short term rating A1+ commercial paper programme.

q) Suspense Escrow Demat Account ("SEDA")

Pursuant to SEBI Circular dated January 25, 2022, while processing any investor service requests viz., issue of duplicate share certificates, endorsement, transmission and transposition, the listed companies shall issue the securities in dematerialized form only.

After processing the investor service request(s), a Letter of Confirmation ("LOC") would be issued to the shareholders in lieu of a physical securities certificate. LOC shall be valid for a period of 120 days, within which the shareholder shall make a request to the Depository Participant to get credit of said securities/shares into his/her demat account. In case the shareholders fail to submit the LOC to his/her Depository Participant within 120 days, the Company shall then credit those securities to the SEDA held by the Company. The shareholders can reclaim these shares from the Company's SEDA on submission of prescribed documents by SEBI.

13. OTHER DISCLOSURES

a) Related Party Transactions

The Company has formulated Related Party Transaction Policy, which is in compliance with provisions of the Act and the Listing Regulations. The policy can be accessed on the website of the Company at the web link: https://www.torrentpower.com/pdf/investors/RPTPolicy002_20220617151631.pdf

During the year, the Company did not enter into any transaction with related parties which were material in nature as defined in the Listing Regulations. All the related party contracts / arrangements and transactions entered into by the Company were put forth for the prior approval of the Audit Committee and the Board, as applicable, in compliance with the said policy. The Company has not entered into any transactions, which requires approval of the Members.

Statement of related party transactions was presented to the Audit Committee for its review on quarterly basis,

specifying the nature, value and terms and conditions of the transactions.

The particulars of contracts / arrangements and transactions entered into by the Company with related parties are set out in the Notes to the Financial Statements forming part of this Integrated Annual Report.

b) Legal Compliances

The Company has formalised a system to track, monitor and document legal compliances applicable to the Company. The Board periodically reviews compliance reports (of all the laws applicable to the Company), prepared by the management. There were no instances of material non-compliances during the year under review. No strictures were passed or penalties imposed on the Company by SEBI, Stock Exchanges or any statutory authority on any matter related to capital markets during the last three years.

c) Vigil Mechanism / Whistle Blower Policy

The Board has adopted Vigil Mechanism/ Whistle Blower Policy for the Company, under which the Company has institutionalised a mechanism for the stakeholders to disclose their concerns and grievances on unethical behaviour and improper/ illegal practices and wrongful conduct and instances of leak or suspected leak of Unpublished Price Sensitive Information ("UPSI") taking place in the Company for appropriate action.

The policy is available on the website of the Company at <https://www.torrentpower.com/pdf/investors/WhistleBlowerPolicy.pdf>

During the year, functioning of the Vigil Mechanism was reviewed by the Audit Committee on quarterly basis. No employee intending to report under Vigil Mechanism was denied access to the Audit Committee.

d) Compliance with all the mandatory requirements of Corporate Governance

The Company has complied with all the mandatory requirements of Corporate Governance applicable to the Company.

e) Material Subsidiary Policy

The Company has formulated a Policy for determining "Material Subsidiary" and same is available on Company's website at

https://www.torrentpower.com/pdf/investors/19-01-2019_2vueh_policy_materialsubsidiaries2.pdf

Report on Corporate Governance (Contd.)

f) Details of material subsidiary

Name of Material Subsidiary	Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited (DNH-DD)
Date of Incorporation	March 08, 2022
Place of Incorporation	Dadra & Nagar Haveli
Name and date of Appointment of Statutory Auditors	Price Waterhouse Chartered Accountants LLP 1701, 17 th Floor, Shapath V, Opp. Karnavati Club, S G Highway Ahmedabad – 380051, Gujarat Date of Appointment – August 04, 2023

Pursuant to provisions of Regulations 16 and 24 SEBI Listing Regulations, Usha Sangwan, Independent Director of the Company is also appointed as an Independent Director on the Board of DNH-DD, material subsidiary of the company.

The Company is also compliant with other requirements of Regulation 24 of the SEBI Listing Regulations with regards to its subsidiary companies.

g) Utilisation of funds raised through Preferential Allotment or Qualified Institutions Placement

During the year under review, the Company did not raise any funds through preferential allotment or qualified institutions placement as specified under Regulation 32(7A) of the Listing Regulations. However, during the year under review, the Company has issued NCDs on private placement basis, listed on debt market segment of National Stock Exchange Limited. The Company affirms that there has been no deviation or variation in utilisation of proceeds of the listed NCDs of the Company.

h) Certificate of Practicing Company Secretary

The Company has obtained a certificate from M/s Rajesh Parekh & Co., Practicing Company Secretary, Ahmedabad stating that none of the Directors on the Board of the Company have been debarred / disqualified from being appointed / continuing as Directors of any company, by the SEBI and the Ministry of Corporate Affairs or any such Statutory authority.

i) Fees paid to Statutory Auditors

During the year, total fees, for all services (including out of pocket expenses and taxes), paid by the Company and its subsidiaries, on a consolidated basis, to the Statutory Auditors - Price Waterhouse Chartered Accountants LLP (012754N / N500016) and to all entities in the network of which Auditor is a part are as under:

	(₹ in Crore)
Audit Fees	2.21
Other Services certificates etc.	0.78
Reimbursement of expenses	0.18
Total	3.17

j) Protection of Women against Sexual Harassment at Workplace

Pursuant to the provisions of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 and rules made thereunder, the Company has adopted a "Policy on Protection of Women against Sexual Harassment at Workplace". Pursuant to the said Policy, the Company has formed Internal Complaints Committee with majority women members at each of the Unit/ Administrative Office. During the year, no complaints were filed with the Internal Complaints Committee.

k) Disclosure of certain type of agreements binding listed entities

Pursuant to provisions of Schedule III, Para A, Clause 5A of Listing Regulations, there are no agreement impacting management or control of the Company or imposing any restriction or create any liability upon the Company.

l) Compliance with Corporate Governance

The Company has complied with the Corporate Governance requirements specified in Regulation 17 to 27 and clauses (b) to (i) and (t) of sub-regulation (2) of Regulation 46 of the Listing Regulations.

For and on behalf of the Board

Jinal Mehta

Managing Director
DIN: 02685284

Ahmedabad
May 22, 2024

CERTIFICATE OF COMPLIANCE WITH THE CODE OF BUSINESS CONDUCT

To,
The Members,
Torrent Power Limited

Torrent Power Limited has in place a Code of Business Conduct (the “Code”) for its Board of Directors, Senior Management Personnel and other employees of the Company. I report that the Board of Directors have received affirmation on compliance with the Code from the Members of the Board and Senior Management of the Company for the year under review.

For and on behalf of the Board

Ahmedabad
May 22, 2024

Jinal Mehta
Managing Director
DIN: 02685284

Independent Auditor's Report

To the Members of Torrent Power Limited

Report on the Audit of the Standalone Financial Statements

Opinion

1. We have audited the accompanying standalone financial statements of Torrent Power Limited ("the Company"), which comprise the Balance Sheet as at March 31, 2024, and the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows for the year then ended, and notes to the standalone financial statements, including material accounting policy information and other explanatory information.
2. In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2024, and total comprehensive income (comprising of profit and other comprehensive income), changes in equity and its cash flows for the year then ended.

Basis for Opinion

3. We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in the "Auditor's Responsibilities for the Audit of the standalone Financial Statements" section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the standalone financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

4. Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the standalone financial statements of the current period. These matters were addressed in the context of our audit of the standalone financial statements as a whole and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Independent Auditor's Report (Contd.)

Sr. No.	Key audit matter	How our audit addressed the key audit matter
1	Impairment assessment for Power Plant located at Dahej (Refer to note 41(1) to the standalone financial statements):	Our procedures in relation to management's impairment assessment of DGEN included the following: - Assessed and tested the design and operating effectiveness of the Company's controls over impairment assessment. - Perused the report issued by the external valuer engaged by the management and conducted enquiries with them to understand the assumptions considered by them. - Evaluated independence, competence, capability and objectivity of the external valuer. - Evaluated the reasonableness of cash flow projections used by the Company and the key assumptions underlying the same. - With the involvement of auditor's experts, assessed the reasonableness of the assumptions considered in the discounted cash flow projections for determining value in use. - Enquired with senior management personnel, the justification for the key assumptions underlying the cashflow projections and performed sensitivity analysis on the same, within a reasonably foreseeable range. - Checked the arithmetic accuracy of the computations included in the discounted cash flow projections. - Assessed the adequacy of disclosure in the standalone financial statements. Based on the above procedures performed, we considered management's assessment of impairment of DGEN to be reasonable.
2	Assessment of recoverability of Deferred tax assets on unutilised tax credits (Refer to note 42(d)(2) to the standalone financial statements)	Our audit procedures in relation to management's assessment of recoverability of Deferred tax assets on unutilised tax credits included the following: - Assessed and tested the design and operating effectiveness of the Company's controls over recognition and assessment of recoverability of deferred tax assets on unutilised tax credits. - Assessed the Company's accounting policy in respect of recognising deferred tax assets on unutilised tax credits. - Enquired with senior management personnel, the justification for the key assumptions underlying the projections and assessed the reasonableness of the assumptions underlying profit projections made by management, by verifying the past trends, available tariff orders and relevant economic and industry indicators. Further, performed sensitivity analysis over the assumptions used in determining the projected taxable profits, within a reasonable range. - Evaluated whether the tax credit entitlements are legally available to the Company for the forecast recoupment period, considering the provisions of Income-tax Act, 1961. - Checked the arithmetic accuracy of the underlying calculations of the profit projections. - Assessed the adequacy of disclosures made in the standalone financial statements with regard to deferred taxes. Based on the above procedures performed by us, we considered the management's assessment of recoverability of deferred tax assets in respect of accumulated deferred tax assets on unutilised tax credits to be reasonable.

Independent Auditor's Report (Contd.)

Other Information

5. The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Board's Report, Management Discussion and Analysis, Business Responsibility and Sustainability Report, Report on Corporate Governance, but does not include the standalone financial statements and our auditor's report thereon.

Our opinion on the standalone financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the standalone financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the standalone financial statements

6. The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.
7. In preparing the standalone financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so. Those Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the standalone financial statements

8. Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.
9. As part of an audit in accordance with SAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:
- Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

Independent Auditor's Report (Contd.)

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to standalone financial statements in place and the operating effectiveness of such controls.
 - Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
 - Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
 - Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
10. We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
 11. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.
 12. From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the standalone financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

13. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of Section 143 of the Act, we give in the "Annexure B" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
14. As required by Section 143(3) of the Act, we report that:
 - (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books except for the matters stated in paragraph 14(h)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 (as amended).
 - (c) The Balance Sheet, the Statement of Profit and Loss (including other comprehensive income), the Statement of Changes in Equity and the Statement of Cash Flows dealt with by this Report are in agreement with the books of account.
 - (d) In our opinion, the aforesaid standalone financial statements comply with the Accounting Standards specified under Section 133 of the Act.

Independent Auditor's Report (Contd.)

- (e) On the basis of the written representations received from the directors as on March 31, 2024, taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2024, from being appointed as a director in terms of Section 164(2) of the Act.
- (f) With respect to the maintenance of accounts and other matters connected therewith, reference is made to our remarks in paragraph 14(b) above on reporting under Section 143(3)(b) and paragraph 14(h)(vi) below on reporting under Rule 11(g) of the Rules.
- (g) With respect to the adequacy of the internal financial controls with reference to standalone financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure A".
- (h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
 - i. The Company has disclosed the impact of pending litigations on its financial position in its standalone financial statements – Refer Note 44 to the standalone financial statements;
 - ii. The Company has made provision as at March 31, 2024, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts - Refer Note 33. The Company was not required to recognise a provision as at March 31, 2024 under the derivative contracts.
 - iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company during the year.
 - iv.
 - (a) The management has represented that, to the best of its knowledge and belief, other than as disclosed in Note 45(c) to the standalone financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other persons or entities, including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;
 - (b) The management has represented that, to the best of its knowledge and belief, as disclosed in the Note 45(c) to the standalone financial statements, no funds have been received by the Company from any persons or entities, including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and
 - (c) Based on such audit procedures that we considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (a) and (b) contain any material misstatement.

Independent Auditor's Report (Contd.)

- v. The dividend declared and paid during the year by the Company is in compliance with Section 123 of the Act.
 - vi. Based on our examination, which included test checks, the Company has used an accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility and that has been operating throughout the year for all relevant transactions recorded in the software at application level and has been operating from March 27, 2024 at database level, except that the audit log does not capture changes, if any, made using certain privileged access. Further, during the course of our audit except the aforesaid instances, we did not notice any instance of audit trail feature being tampered with (Refer Note 68 to the standalone financial statements).
15. The Company has paid/ provided for managerial remuneration in accordance with the requisite approvals mandated by the provisions of Section 197 read with Schedule V to the Act.

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number: 012754N / N500016

Priyanshu Gundana
Partner

Place: Ahmedabad
Date: May 22, 2024

Membership Number: 109553
UDIN: 24109553BKGQWA3668

Annexure A to Independent Auditor's Report

Referred to in paragraph 14(g) of the Independent Auditor's Report of even date to the members of Torrent Power Limited on the standalone financial statements for the year ended March 31, 2024

Report on the Internal Financial Controls with reference to Financial Statements under clause (i) of sub-section 3 of Section 143 of the Act

1. We have audited the internal financial controls with reference to financial statements of Torrent Power Limited ("the Company") as of March 31, 2024 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

2. The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting ("the Guidance Note") issued by the Institute of Chartered Accountants of India ("ICAI"). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

3. Our responsibility is to express an opinion on the Company's internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing deemed to be prescribed under Section 143(10) of the Act to the extent applicable to an audit of internal financial controls, both applicable to an audit of internal financial controls and both issued by the ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements was established and maintained and if such controls operated effectively in all material respects.
4. Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the standalone financial statements, whether due to fraud or error.
5. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system with reference to financial statements.

Meaning of Internal Financial Controls with reference to financial statements

6. A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of standalone financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of standalone financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the standalone financial statements.

Annexure A to Independent Auditor's Report (Contd.)

Referred to in paragraph 14(g) of the Independent Auditor's Report of even date to the members of Torrent Power Limited on the standalone financial statements for the year ended March 31, 2024

Inherent Limitations of Internal Financial Controls with reference to financial statements

7. Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

8. In our opinion, the Company has, in all material respects, an adequate internal financial controls system with reference to financial statements and such internal financial controls with reference to financial statements were operating effectively as at March 31, 2024, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note issued by ICAI.

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number: 012754N / N500016

Priyanshu Gundana
Partner

Membership Number: 109553
UDIN: 24109553BKGQWA3668

Place: Ahmedabad
Date: May 22, 2024

Annexure B to Independent Auditors' Report

Referred to in paragraph 13 of the Independent Auditors' Report of even date to the members of Torrent Power Limited on the standalone financial statements as of and for the year ended March 31, 2024

In terms of the information and explanations sought by us and furnished by the Company, and the books of account and records examined by us during the course of our audit, and to the best of our knowledge and belief, we report that:

- i. (a) (A) The Company is maintaining proper records showing full particulars, including quantitative details and situation, of Property, Plant and Equipment.
- (B) The Company is maintaining proper records showing full particulars of Intangible Assets.
- (b) The Property, Plant and Equipment are physically verified by the Management according to a phased programme designed to cover all the items over a period of three years which, in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. Pursuant to the programme, a portion of the Property, Plant and Equipment has been physically verified by the Management during the year and no material discrepancies have been noticed on such verification. As regards underground distribution systems, we have been informed that the same are not physically verifiable.
- (c) The title deeds of all the immovable properties (other than properties where the Company is the lessee and the lease agreements are duly executed in favour of the lessee), as disclosed in Note 4 on Property Plant and Equipment, Note 5 on Right-of-use assets, Note 6 on Capital work-in-progress and Note 7 on Investment Property to the standalone financial statements, are held in the name of the Company, except for the following:

Description of property	Gross carrying value (₹ in Crore)	Held in the name of	Whether promoter, director or their relative or employee	Period held	Reason for not being held in the name of the Company
Freehold Land	3.39	SEC Limited	No	19 years	Amalgamated due to various court orders. Appeal filed against rate valuation.
Freehold Land	2.00	AEC Limited	No	19 years	
Freehold Land	1.30	SEC Limited	No	19 years	
Freehold Land	0.06	AEC Limited	No	19 years	
Freehold Land	0.14	Torrent Power AEC Limited	No	19 years	
Freehold Land	0.03	Torrent Power SEC Limited	No	17 years	Amalgamated due to various court orders. Applications filed and under process of name change.
Leasehold Land	4.10	AEC Limited	No	19 years	
Leasehold Land	0.34	Torrent Power AEC Limited	No	19 years	
Leasehold Land	5.94	SEC Limited	No	19 years	
Leasehold Land	1.47	Torrent Power SEC Limited	No	19 years	
Leasehold Land	11.81	Dholera Industrial City Development Limited	No	5.5 years	Lease deed is pending to be executed.

- (d) The Company has chosen cost model for its Property, Plant and Equipment (including Right of Use assets) and intangible assets. Consequently, the question of our commenting on whether the revaluation is based on the valuation by a Registered Valuer, or specifying the amount of change, if the change is 10% or more in the aggregate of the net carrying value of each class of Property, Plant and Equipment (including Right-of-Use assets) or intangible assets does not arise.

Annexure B to Independent Auditors' Report (Contd.)

Referred to in paragraph 13 of the Independent Auditors' Report of even date to the members of Torrent Power Limited on the standalone financial statements as of and for the year ended March 31, 2024

- (e) Based on the information and explanations furnished to us, no proceedings have been initiated on or are pending against the Company for holding benami property under the Prohibition of Benami Property Transactions Act, 1988 (as amended in 2016) (formerly the Benami Transactions (Prohibition) Act, 1988 (45 of 1988)) and Rules made thereunder, and therefore the question of our commenting on whether the Company has appropriately disclosed the details in the standalone financial statements does not arise.
- ii. (a) The physical verification of inventory excluding stocks with third parties has been conducted at reasonable intervals by the Management during the year and, in our opinion, the coverage and procedure of such verification by Management is appropriate. In respect of inventory lying with third parties, these have substantially been confirmed by them. The discrepancies noticed on physical verification of inventory as compared to book records were not 10% or more in aggregate for each class of inventory.
- (b) During the year, the Company has been sanctioned working capital limits in excess of ₹5 Crore, in aggregate, from banks on the basis of security of current assets. The Company has filed quarterly returns or statements with such banks, which are in agreement with the unaudited books of account (Also, Refer Note 29 to the standalone financial statements)
- iii. (a) The Company has made investments in twenty one companies and fourteen mutual fund schemes, granted unsecured loans to twenty six companies and to two another parties, and stood guarantee to a company. The aggregate amount during the year, and balance outstanding at the balance sheet date with respect to such loans and guarantees to subsidiaries and to parties other than subsidiaries are as per the table given below:

	(₹ in Crore)	
	Guarantees	Loans
Aggregate amount granted/ provided during the year		
- Subsidiaries	1,336.00	4,520.65
- Others	-	0.03
Balance outstanding as a balance sheet date in respect of the above case		
- Subsidiaries	1,336.00	1,917.46
- Others	-	0.03

(Also, Refer Note 55 (b) to the standalone financial statements)

- (b) In respect of the aforesaid investments, guarantees and loans, the terms and conditions under which such loans were granted, investments were made and guarantees provided are not prejudicial to the Company's interest. (Also, Refer Note 55 (b) to the standalone financial statements)
- (c) In respect of the aforesaid loans aggregating to ₹2,381.88 Crore the schedule of repayment of principal and payment of interest has been stipulated, and the parties are repaying the principal amounts, as stipulated, and are also regular in payment of interest as applicable. In respect of the aforesaid loans aggregating to ₹800.98 Crore, no schedule for repayment of principal has been stipulated by the Company. Therefore, in the absence of stipulation of repayment terms we are unable to comment on the regularity of repayment of principal.
- (d) In respect of the loans, there is no amount which is overdue for more than ninety days.
- (e) There were no loans which have fallen due during the year and were renewed/extended. Further, no fresh loans were granted to same parties to settle the existing overdue loans.

Annexure B to Independent Auditors' Report (Contd.)

Referred to in paragraph 13 of the Independent Auditors' Report of even date to the members of Torrent Power Limited on the standalone financial statements as of and for the year ended March 31, 2024

- (f) Following loans were granted during the year, including to promoters/related parties under Section 2(76), which are repayable on demand or where no schedule for repayment of principal and payment of interest has been stipulated by the Company.

	(₹ in Crore)		
	All Parties	Promoters	Related Parties
Aggregate of loans			
Repayable on demand	2,654.79	-	2,654.79
Agreement does not specify any terms or period of repayment	184.78	-	184.78
Total	2,839.57	-	2,839.57
Percentage of loans to the total loans	62.81%	-	62.81%

(Also, Refer Note 55 (b) to the standalone financial statements)

- iv. The Company is engaged in providing infrastructural facilities as specified in Schedule VI to the Act and accordingly, the provisions of Section 186, except sub section (1), of the Act are not applicable to the Company. In our opinion, and according to the information and explanations given to us, the Company has complied with the provisions of Sections 185 and 186(1) of the Act in respect of the loans and investments made and guarantees and security provided by it.
- v. The Company has not accepted any deposits or amounts which are deemed to be deposits referred in Sections 73, 74, 75 and 76 of the Act and the Rules framed there under.
- vi. Pursuant to the rules made by the Central Government of India, the Company is required to maintain cost records as specified under Section 148(1) of the Act in respect of its certain products. We have broadly reviewed the same and are of the opinion that, prima facie, the prescribed accounts and records have been made and maintained. We have not, however, made a detailed examination of the records with a view to determine whether they are accurate or complete.
- vii. (a) In our opinion, the Company is regular in depositing the undisputed statutory dues, including goods and services tax, provident fund, employees' state insurance, income tax, sales tax, service tax, duty of customs, duty of excise, value added tax, cess, and other material statutory dues, as applicable, with the appropriate authorities. (Also, Refer Note 44(a) to the standalone financial statements regarding management's assessment on certain matters relating to provident fund.)
- (b) The particulars of statutory dues referred to in sub-clause (a) as at March 31, 2024 which have not been deposited on account of a dispute, are as follows:

Name of Statute	Nature of dues	Amount involved (₹ in Crore)	Amount unpaid (₹ in Crore)	Period to which the amount relates (Financial Year)	Forum where the dispute is pending
Customs Act, 1962	Custom duty	37.00	18.50	2012-13	Central Excise and Service Tax Appellate Tribunal
Central Excise Act, 1944	Excise duty	0.18	0.18	1989-90	Central Excise and Service Tax Appellate Tribunal
Kerala General, Sales Tax Act, 1963	Sales Tax on Works Contracts	0.20	0.20	2001-02	Sales Tax Appellate Tribunal
Andhra Pradesh General Sales Tax, Act, 1957	Sales Tax on Works Contracts	0.29	0.29	1993-94 & 1994-95	High court for the State of Telangana

Annexure B to Independent Auditors' Report (Contd.)

Referred to in paragraph 13 of the Independent Auditors' Report of even date to the members of Torrent Power Limited on the standalone financial statements as of and for the year ended March 31, 2024

Name of Statute	Nature of dues	Amount involved (₹ in Crore)	Amount unpaid (₹ in Crore)	Period to which the amount relates (Financial Year)	Forum where the dispute is pending
Tamil Nadu General Sales Tax Act, 1959	Sales Tax on Works Contracts	0.47	0.47	1989-90 & 1990-91	Asst. Commissioner of Commercial Tax
Gujarat Value Added Tax Act, 2004	Value Added Tax	6.99	2.41	2007-08 to 2010-11	Gujarat Value Added Tax Tribunal
Gujarat Stamp Act, 1958	Stamp Duty	35.10	35.10	2009-10	High Court of Gujarat
Maharashtra Stamp Act, 1958	Stamp Duty	1.01	0.76	2006 and 2016	High Court Bombay
Gujarat Stamp Act, 1958	Stamp Duty	0.26	0.26	2006-07	Deputy Collector, Stamp Duty Valuation Department, Surat
Finance Act, 1994	Service tax	0.49	0.49	2014-15 and 2016-17	Central Excise and Service Tax Appellate Tribunal
Central Goods and Services Tax Act, 2017	Goods and Services Tax	11.59	0.32	Jul 2017 to Dec 2019	Jt. Commissioner (CGST)
Employees' Provident Fund & Miscellaneous Provisions Act, 1952	Provident Fund	0.36	0.23	Oct 2011 to Aug 2015	EPF Appellate Tribunal, Ahmedabad
The Gujarat Provincial Municipal Corporation Act, 1949	Property Tax	32.65	32.65	2009-10 to 2023-24	Municipal Corporations

The above table does not include matters which have been decided in favour of the Company although the department have preferred appeal at higher level.

- viii. There are no transactions previously unrecorded in the books of account that have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961.
- ix.
 - (a) The Company has not defaulted in repayment of loans or other borrowings or in the payment of interest to any lender during the year.
 - (b) On the basis of our audit procedures, we report that the Company has not been declared Wilful Defaulter by any bank or financial institution or government or any government authority.
 - (c) In our opinion, the term loans and debt instruments have been applied for the purposes for which they were obtained. (Also, Refer Note 25 to the standalone financial statements)
 - (d) According to the information and explanations given to us, and the procedures performed by us, and on an overall examination of the standalone financial statements of the Company, we report that no funds raised on short-term basis have been utilised for long-term purposes by the Company.

Annexure B to Independent Auditors' Report (Contd.)

Referred to in paragraph 13 of the Independent Auditors' Report of even date to the members of Torrent Power Limited on the standalone financial statements as of and for the year ended March 31, 2024

- (e) On an overall examination of the standalone financial statements of the Company, we report that the Company has taken funds from the following entities and persons on account of or to meet the obligations of its subsidiary as per details below:

Nature of fund taken	Name of lender	Amount involved (₹ in Crore)	Name of the subsidiary	Relation	Nature of transaction for which fund utilized	Remarks, if any
8.40% Non-convertible debentures Series 12A, 12B, 12C and 12D	Non Convertible Debenture Holders	474.00	Torrent Solargen Limited	Wholly owned subsidiary	Towards repayment of loan in connection with the cost incurred for its Power Project.	NA
8.32% Non-convertible debentures Series 13B	Non Convertible Debenture Holders	94.00	Torrent Solargen Limited	Wholly owned subsidiary		

- (f) According to the information and explanations given to us and procedures performed by us, we report that the Company has not raised loans during the year on the pledge of securities held in its subsidiaries.
- x. (a) The Company has not raised any money by way of initial public offer or further public offer (including debt instruments) during the year. Accordingly, the reporting under clause 3(x)(a) of the Order is not applicable to the Company.
- (b) The Company has not made any preferential allotment or private placement of shares or fully or partially or optionally convertible debentures during the year. Accordingly, the reporting under clause 3(x)(b) of the Order is not applicable to the Company.
- xi. (a) During the course of our examination of the books and records of the Company, carried out in accordance with the generally accepted auditing practices in India, we have neither come across any instance of material fraud by the Company or on the Company, noticed or reported during the year, nor have we been informed of any such case by the Management.
- (b) During the course of our examination of the books and records of the Company, carried out in accordance with the generally accepted auditing practices in India, a report under Section 143(12) of the Act, in Form ADT-4, as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 was not required to be filed with the Central Government. Accordingly, the reporting under clause 3(xi)(b) of the Order is not applicable to the Company.
- (c) During the course of our examination of the books and records of the Company carried out in accordance with the generally accepted auditing practices in India, and as represented to us by the management, no whistle-blower complaints have been received during the year by the Company. Accordingly, the reporting under clause 3(xi)(c) of the Order is not applicable to the Company.
- xii. As the Company is not a Nidhi Company and the Nidhi Rules, 2014 are not applicable to it, the reporting under clause 3(xii) of the Order is not applicable to the Company.
- xiii. The Company has entered into transactions with related parties in compliance with the provisions of Sections 177 and 188 of the Act. The details of related party transactions have been disclosed in the standalone financial statements as required under Indian Accounting Standard 24 "Related Party Disclosures" specified under Section 133 of the Act.
- xiv. (a) In our opinion, the Company has an internal audit system commensurate with the size and nature of its business.
- (b) The reports of the Internal Auditor for the period under audit have been considered by us.

Annexure B to Independent Auditors' Report (Contd.)

Referred to in paragraph 13 of the Independent Auditors' Report of even date to the members of Torrent Power Limited on the standalone financial statements as of and for the year ended March 31, 2024

- xv. In our opinion, the Company has not entered into any non-cash transactions with its directors or persons connected with him. Accordingly, the reporting on compliance with the provisions of Section 192 of the Act under clause 3(xv) of the Order is not applicable to the Company.
- xvi. (a) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, the reporting under clause 3(xvi)(a) of the Order is not applicable to the Company.
- (b) The Company has not conducted non-banking financial / housing finance activities during the year. Accordingly, the reporting under clause 3(xvi)(b) of the Order is not applicable to the Company.
- (c) The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Accordingly, the reporting under clause 3(xvi)(c) of the Order is not applicable to the Company.
- (d) Based on the information and explanations provided by the management of the Company, the Group (as defined in the Core Investment Companies (Reserve Bank) Directions, 2016) has one CICs as part of the Group. We have not, however, separately evaluated whether the information provided by the management is accurate and complete.
- xvii. The Company has not incurred any cash losses in the financial year or in the immediately preceding financial year.
- xviii. There has been no resignation of the statutory auditors during the year and accordingly the reporting under clause 3(xviii) of the Order is not applicable.
- xix. On the basis of the standalone financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information accompanying the standalone financial statements, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that the Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date will get discharged by the Company as and when they fall due.
- xx. (a) In respect of other than ongoing projects, as at balance sheet date, the Company does not have any amount remaining unspent under Section 135(5) of the Act. Accordingly, reporting under clause 3(xx)(a) of the Order is not applicable.
- (b) The Company has transferred the amount of Corporate Social Responsibility remaining unspent under sub-section (5) of Section 135 of the Act pursuant to ongoing projects to a special account in compliance with the provision of sub-section (6) of Section 135 of the Act. (Also, Refer Note 50 to the standalone financial statements).
- xxi. The reporting under clause 3(xxi) of the Order is not applicable in respect of audit of Standalone Financial Statements. Accordingly, no comment in respect of the said clause has been included in this report.

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number: 012754N / N500016

Priyanshu Gundana
Partner

Membership Number: 109553
UDIN: 24109553BKGQWA3668

Place: Ahmedabad
Date: May 22, 2024

Standalone Balance Sheet

as at March 31, 2024

	Notes	As at March 31, 2024	(₹ in Crore) As at March 31, 2023
Assets			
Non-current assets			
Property, plant and equipment	4	15,967.03	14,578.77
Right-of-use assets	5	168.66	165.72
Capital work-in-progress	6	815.94	1,608.99
Investment property	7	0.37	9.76
Intangible assets	8	7.09	11.65
Financial assets			
Investments in subsidiaries	9	1,896.23	1,795.29
Other investments	10	17.02	15.94
Loans	11	3,018.80	1,507.56
Other financial assets	12	19.42	21.02
Non-current tax assets (net)	13	7.99	8.09
Other non-current assets	14	239.62	281.20
Sub total - Non-current assets		22,158.17	20,003.99
Current assets			
Inventories	15	645.56	645.71
Financial assets			
Investments	16	829.04	682.31
Trade receivables	17	1,565.93	1,516.04
Cash and cash equivalents	18	263.66	138.08
Bank balances other than cash and cash equivalents	19	47.27	143.50
Loans	20	268.19	105.16
Other financial assets	21	3,272.61	2,632.43
Other current assets	22	140.98	120.28
Sub total - Current assets		7,033.24	5,983.51
Total - Assets		29,191.41	25,987.50
Equity and liabilities			
Equity			
Equity share capital	23	480.62	480.62
Other equity	24	11,557.88	10,539.05
Sub total - Equity		12,038.50	11,019.67
Liabilities			
Non-current liabilities			
Financial liabilities			
Borrowings	25	8,285.07	7,044.53
Lease liabilities	47	34.50	35.30
Trade payables	26	-	-
Total outstanding dues of micro and small enterprises		-	-
Total outstanding dues other than micro and small enterprises		345.71	210.61
Other financial liabilities	27	9.99	9.54
Deferred tax liabilities (net)	42	885.07	643.46
Other non-current liabilities	28	1,438.40	1,369.89
Sub total - Non-current liabilities		10,998.74	9,313.33
Current liabilities			
Financial liabilities			
Borrowings	29	1,418.45	1,345.09
Lease liabilities	47	6.38	5.33
Trade payables	30	-	-
Total outstanding dues of micro and small enterprises		52.17	60.67
Total outstanding dues other than micro and small enterprises		1,038.26	1,020.67
Other financial liabilities	31	2,639.97	2,172.47
Other current liabilities	32	688.25	646.60
Provisions	33	186.89	242.90
Current tax liabilities (net)	34	123.80	160.77
Sub total - Current liabilities		6,154.17	5,654.50
Total - Equity and liabilities		29,191.41	25,987.50

See accompanying notes forming part of the standalone financial statements

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse Chartered Accountants LLP**

Firm Registration Number : 012754N / N500016

Samir Mehta

Chairperson

DIN:00061903

Priyanshu Gundana

Partner

Membership No.: 109553

Saurabh Mashruwala

Chief Financial Officer

Rahul Shah

Company Secretary

Ahmedabad, May 22, 2024

Ahmedabad, May 22, 2024

Standalone Statement of Profit and Loss

for the year ended March 31, 2024

	Notes	Year ended March 31, 2024	Year ended March 31, 2023
(₹ in Crore)			
Income			
Revenue from operations	35	19,956.96	18,836.22
Other income	36	489.60	434.64
Total income		20,446.56	19,270.86
Expenses			
Electrical energy purchased		7,922.27	8,660.97
Fuel cost		5,647.95	2,508.23
Purchase of stock-in-trade		690.53	1,879.26
Employee benefits expense	37	544.02	513.85
Finance costs	38	781.43	668.34
Depreciation and amortisation expense	39	1,123.25	1,058.88
Other expenses	40	1,290.84	1,050.04
Total expenses		18,000.29	16,339.57
Profit before tax		2,446.27	2,931.29
Tax expense			
Current tax	42	403.51	634.45
Deferred tax	42	244.73	193.12
Total tax expense		648.24	827.57
Profit for the year		1,798.03	2,103.72
Other comprehensive income			
Items that will not be reclassified to profit or loss			
Remeasurement of the defined benefit plans	48	(15.69)	11.21
Tax relating to remeasurement of the defined benefit plans	42	(5.48)	3.92
Other comprehensive income for the year, net of tax		(10.21)	7.29
Total comprehensive income for the year		1,787.82	2,111.01
Basic and diluted earnings per share of face value of ₹10 each (in ₹)	52	37.41	43.77

See accompanying notes forming part of the standalone financial statements

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N / N500016

Samir Mehta
Chairperson
DIN:00061903

Priyanshu Gundana
Partner
Membership No.: 109553

Saurabh Mashruwala
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 22, 2024

Ahmedabad, May 22, 2024

Standalone Statement of Cash Flows

for the year ended March 31, 2024

		(₹ in Crore)	
	Notes	Year ended March 31, 2024	Year ended March 31, 2023
Cash flow from operating activities			
Profit before tax		2,446.27	2,931.29
Adjustments for :			
Depreciation and amortisation expense	39	1,123.25	1,058.88
Amortisation of deferred revenue	35	(106.09)	(99.69)
Provision of earlier years written back	35	(0.92)	(0.60)
Loss on sale / discarding of property, plant and equipment and capital work-in-progress	40	25.93	29.90
Gain on disposal of property, plant and equipment / investment property	36	(39.49)	(44.83)
Bad debts written off (net of recovery)	40	8.70	3.89
Reversal of provision for onerous contracts	40	(99.96)	(10.82)
Allowance for doubtful advances (net)	40	(6.06)	-
Allowance for doubtful debts (net)	40	2.18	(21.04)
Finance costs	38	781.43	668.34
Interest income from financial assets measured at amortised cost	36	(232.92)	(163.51)
Dividend income from non-current investments carried at cost	36	(33.74)	(30.98)
Rent income from investment property	36	(1.16)	(1.16)
Impairment for non-current investments	40	0.35	0.80
Gain on sale of current investments in mutual funds	36	(49.18)	(53.28)
Gain on sale of non-current investments	36	(0.05)	-
Net (gain) / loss arising on current investments in mutual funds measured at fair value through profit or loss	36	(1.15)	(3.84)
Net gain arising on financial assets / liabilities measured at amortised cost	36	(44.74)	(23.74)
Financial guarantee commission (amortised)	36	(10.88)	(6.52)
Net unrealised loss / (gain) on foreign currency transactions	36	1.44	10.71
Operating profit before working capital changes		3,763.21	4,243.80
Movement in working capital:			
Adjustments for decrease / (increase) in operating assets:			
Inventories		179.15	(207.75)
Trade receivables		(54.71)	(135.26)
Other financial assets		(647.64)	(624.53)
Other assets		16.29	11.63
Adjustments for increase / (decrease) in operating liabilities:			
Trade payables		187.38	39.63
Other financial liabilities		342.84	221.79
Provisions		28.26	(4.62)
Other liabilities		36.94	38.76
Cash generated from operations		3,851.72	3,583.45
Taxes paid (net)		(438.03)	(465.86)
Net cash flow generated from operating activities		3,413.69	3,117.59
Cash flow from investing activities			
Payments for property, plant and equipment, intangible assets & investment property		(1,753.70)	(1,908.51)
Proceeds from sale of property, plant and equipment, intangible assets & investment property		56.38	65.73
Non-current Investment in subsidiaries		(90.18)	(175.13)
Advance against equity investment		-	(3.00)
Proceeds from redemption of debentures		24.43	99.09
Purchase of non-current investments		(4.03)	(1.94)
Proceeds from sale of non-current investments		1.98	-
Loans to related parties		(4,520.65)	(5,170.14)
Repayment of loans from related parties		2,910.57	4,955.46
Investments in bank deposits (original maturity more than three months)		(33.23)	(778.59)
Redemption in bank deposits (original maturity more than three months)		131.49	680.65
Redemption in inter corporate deposits		-	266.84

Standalone Statement of Cash Flows (Contd.)

for the year ended March 31, 2024

	(₹ in Crore)	
	Year ended March 31, 2024	Year ended March 31, 2023
Interest received	174.71	145.65
(Purchase of) / proceeds from current investments (net)	(119.73)	(345.64)
Dividend received from non-current investments	33.74	30.98
Rent income from investment property	1.16	1.16
Net cash used in investing activities	(3,187.06)	(2,137.39)
Cash flow from financing activities		
Proceeds from long-term borrowings	2,605.00	2,300.00
Proceeds from short-term borrowings	1,365.00	400.00
Repayment of long-term borrowings	(1,017.26)	(902.30)
Prepayment of long-term borrowings	(566.42)	(168.23)
Repayment of short-term borrowings	(1,074.98)	(1,102.74)
Repayment of Accelerated Power Development and Reform Programme (APDRP) loan	(3.82)	(3.82)
Receipt of contribution from consumers	179.31	216.93
Dividend paid	(768.99)	(1,057.36)
Principal elements of lease payments	(20.03)	(7.78)
Finance costs paid	(798.86)	(678.61)
Net cash used in financing activities	(101.05)	(1,003.91)
Net (decrease) / increase in cash and cash equivalents	125.58	(23.71)
Cash and cash equivalents as at beginning of the year	138.08	161.79
Cash and cash equivalents as at end of the year	263.66	138.08
Footnotes:		
1. Cash and cash equivalents as at end of the year:		
Balances with banks	181.56	137.18
Balance in current accounts	80.00	-
Balance in fixed deposit accounts (original maturity for less than three months)	1.40	0.60
Cheques on hand	0.70	0.30
Cash on hand	263.66	138.08
2. Non-cash investing activities:		
Acquisition of Right-of-use assets	8.79	4.17
Increase in investment in equity instruments due to fair valuation of corporate guarantees	11.11	6.74
	19.90	10.91
3 Cash flow from operating activities includes ₹ 29.45 Crore (Previous year ₹ 32.62 Crore) being expense towards corporate social responsibility initiatives.		
4 The statement of cash flow has been prepared under the 'Indirect Method' set out in Indian Accounting Standards (Ind AS) - 7 "Statement of Cash Flows".		

See accompanying notes forming part of the standalone financial statements

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N / N500016

Samir Mehta
Chairperson
DIN:00061903

Priyanshu Gundana
Partner
Membership No.: 109553

Saurabh Mashruwala
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 22, 2024

Ahmedabad, May 22, 2024

Standalone Statement of Changes in Equity

for the year ended March 31, 2024

A. Equity Share Capital [Refer note 23]

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Balance at the beginning of the year	480.62	480.62
Changes in equity share capital during the year	-	-
Balance at the end of the year	480.62	480.62

B. Other Equity [Refer note 24]

	Reserves and surplus						Total
	Securities premium	Debenture redemption reserve	Contingency reserve	Special reserve	General reserve	Retained earnings	
Balance as at April 01, 2023	0.03	21.58	17.29	78.07	3,670.61	6,751.47	10,539.05
Profit for the year	-	-	-	-	-	1,798.03	1,798.03
Other comprehensive income for the year, net of tax	-	-	-	-	-	(10.21)	(10.21)
Total comprehensive income for the year	-	-	-	-	-	1,787.82	1,787.82
Transfer to / (from) debenture redemption reserve	-	(17.07)	-	-	17.07	-	-
Transfer to contingency reserve	-	-	1.93	-	-	(1.93)	-
Transaction with owners in their capacity as owners:							
Dividend (including interim dividend) paid	-	-	-	-	-	(768.99)	(768.99)
Balance as at March 31, 2024	0.03	4.51	19.22	78.07	3,687.68	7,768.37	11,557.88
Balance as at April 01, 2022	0.03	108.30	15.37	78.07	3,583.89	5,699.74	9,485.40
Profit for the year	-	-	-	-	-	2,103.72	2,103.72
Other comprehensive income for the year, net of tax	-	-	-	-	-	7.29	7.29
Total comprehensive income for the year	-	-	-	-	-	2,111.01	2,111.01
Transfer to / (from) debenture redemption reserve	-	(86.72)	-	-	86.72	-	-
Transfer to contingency reserve	-	-	1.92	-	-	(1.92)	-
Transaction with owners in their capacity as owners:							
Dividend (including interim dividend) paid	-	-	-	-	-	(1,057.36)	(1,057.36)
Balance as at March 31, 2023	0.03	21.58	17.29	78.07	3,670.61	6,751.47	10,539.05

Footnote:

Retained earning includes (₹ 32.65) Crore (March 31, 2023 ₹ 22.44) Crore) related to re-measurement of defined benefit plans.

See accompanying notes forming part of the standalone financial statements

In terms of our report attached

For and on behalf of the Board of Directors

For Price Waterhouse Chartered Accountants LLP
Firm Registration Number : 012754N / N500016Samir Mehta
Chairperson
DIN:00061903Priyanshu Gundana
Partner
Membership No.: 109553Saurabh Mashruwala
Chief Financial OfficerRahul Shah
Company Secretary

Ahmedabad, May 22, 2024

Ahmedabad, May 22, 2024

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 1a: General information

Torrent Power Limited ("the Company") is a public company domiciled in India and is incorporated under the provisions of the Companies Act, applicable in India. Its equity shares are listed on BSE Ltd. and National Stock Exchange Ltd. in India. The registered office of the Company is located at "Samanvay", 600, Tapovan, Ambawadi, Ahmedabad – 380 015.

The Company is engaged in the business of generation, renewables, transmission and distribution of Electricity.

Note 1b: New standards or interpretations adopted by the Company

The Ministry of Corporate Affairs vide notification dated March 31, 2023 notified the Companies (Indian Accounting Standards) Amendment Rules, 2023, which amended certain accounting standards (see below), and are effective April 01, 2023:

- i) Ind AS 1 – Disclosure of accounting policies
- ii) Ind AS 8 – Definition of Accounting estimates
- iii) Ind AS 12 – Deferred tax related to assets and liabilities arising from a single transaction

The other amendments to Ind AS notified by these rules are primarily in the nature of clarifications. These amendments did not have any impact on the amounts recognised in prior periods and are not expected to significantly affect the current or future periods.

Note 2a: Material accounting policies

2.1 Basis of preparation:

Compliance with Ind AS

The financial statements are in compliance, in all material aspects, with Indian Accounting Standards (Ind AS) notified under Section 133 of the Companies Act, 2013 (the Act) read with the [Companies (Indian Accounting Standards) Rules, 2015] and other relevant provisions of the Act and rules made thereunder.

Historical cost convention

The financial statements have been prepared on the historical cost basis except for following which have been measured at fair value;

- Defined benefit plan assets
- Certain financial assets and liabilities (including derivative instruments) is measured at fair value

All assets and liabilities have been classified as current or non-current as set out in the Schedule III (Division II) to the Companies Act, 2013.

2.2 Business combinations and Goodwill:

Business combination - acquisition

Acquisitions of businesses are accounted for using the acquisition method. In determining whether a particular set of activities and assets is a business, the Company assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce outputs. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the acquisition-date fair values of the assets transferred, liabilities incurred to the former owners of the acquiree and the equity interests issued by the Company in exchange for control of the acquiree.

Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are, with limited exceptions, measured initially at their fair values at the acquisition date.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 2a : Material accounting policies (Contd.)

Acquisition-related costs are expensed as incurred.

The excess of the

- consideration transferred; and
- acquisition-date fair value of any previous equity interest in the acquired entity

over the fair value of the net identifiable assets acquired is recorded as goodwill. If those amounts are less than the fair value of the net identifiable assets of the business acquired, the difference is recognised in other comprehensive income and accumulated in equity as capital reserve provided there is clear evidence of the underlying reasons for classifying the business combination as a bargain purchase. In other cases, the bargain purchase gain is recognised directly in equity as capital reserve.

Business combination – common control transaction

Business combinations involving entities that are controlled by the Company are accounted for using the pooling of interests method as follows:

- The assets and liabilities of the combining entities are reflected at their carrying amounts.
- No adjustments are made to reflect fair values, or recognise any new assets or liabilities. Adjustments are only made to harmonise accounting policies.
- The financial information in the financial statements in respect of prior periods is restated as if the business combination had occurred from the beginning of the preceding period in the financial statements, irrespective of the actual date of the combination. However, where the business combination had occurred after that date, the prior period information is restated only from that date.
- The balance of the retained earnings appearing in the financial statements of the transferor is aggregated with the corresponding balance appearing in the financial statements of the transferee or is adjusted against general reserve.
- The identity of the reserves is preserved and the reserves of the transferor become the reserves of the transferee.
- The difference, if any, between the amounts recorded as share capital issued plus any additional consideration in the form of cash or other assets and the amount of share capital of the transferor is transferred to capital reserve and is presented separately from other capital reserves.

Business combination-related costs are generally recognised in statement of profit and loss as incurred.

Acquisition of an asset or a group of assets

In case of acquisition of an asset or a group of assets that does not constitute a business, the Company identifies and recognises individual identifiable assets acquired (including those assets that meet the definition of, and recognition criteria for, intangible assets under Ind AS 38, Intangible Assets) and liabilities assumed. The Purchase Consideration shall be allocated to the individual identifiable assets and liabilities on the basis of their relative fair values at the date of purchase. Such a transaction or event does not give rise to goodwill or gain on bargain purchase.

Goodwill

Goodwill on acquisitions of subsidiaries is included in intangible assets. Goodwill is not amortised but is tested for impairment annually, or more frequently if events or changes in circumstances indicate that it might be impaired, and is carried at cost less accumulated impairment losses. Gains and losses on the disposal of a business include the carrying amount of goodwill relating to such business.

Goodwill is allocated to cash-generating units for the purpose of impairment testing. The allocation is made to those cash-generating units that are expected to benefit from the business combination in which the goodwill arose.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 2a : Material accounting policies (Contd.)

2.3 Investments in subsidiaries, joint ventures and associates:

Investments in associates, joint ventures and subsidiaries are measured at cost less provision for impairment, if any.

2.4 Property, plant and equipment:

Freehold land is carried at historical cost. All other items of property, plant and equipment held for use in the production or supply of goods or services, or for administrative purposes, are stated in the balance sheet at cost less accumulated depreciation and accumulated impairment losses except that on adoption of Ind AS, property, plant and equipment had been measured at deemed cost, using the net carrying value as per previous GAAP as at April 01, 2015.

Capital work in progress in the course of construction for production, supply or administrative purposes is carried at cost, less any recognised impairment loss. Cost includes purchase price, taxes and duties, labour cost and other directly attributable costs incurred upto the date the asset is ready for its intended use. Such property, plant and equipment are classified to the appropriate categories when completed and ready for intended use. Directly attributable costs are capitalized until the asset is ready to use in accordance with the Company's accounting policy of capitalization.

Subsequent cost are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. Subsequent costs relating to day to day servicing of the item are not recognised in the carrying amount of an item of property, plant and equipment; rather, these costs are recognised in profit or loss as incurred.

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in profit or loss.

Depreciation methods, estimated useful lives and residual value

Depreciation commences when the assets are ready for their intended use. Depreciation for the year is provided on additions / deductions of the assets during the period from / up to the month in which the asset is added / deducted. Depreciation on property, plant and equipment which are governed as per the provisions of Part B of Schedule II of the Companies Act, 2013 is provided on straight line basis using the depreciation rates, the methodology and residual value as notified by the respective regulatory bodies in accordance with the Electricity Act, 2003. For other property, plant and equipment in non-regulated business, depreciation is provided on a straight line basis over the estimated useful lives.

The estimated useful life, residual values and depreciation method are reviewed at the end of each reporting period in respect of property, plant and equipment of non-regulated business. The effect of any such change in estimate in this regard is accounted for on a prospective basis.

The range of depreciation rates of property, plant and equipment are as follows:

Class of assets	Rate of depreciation		
	Regulated business \$	Franchisee business @	Other business
Buildings	1.26% to 6.73%	3.34%	3.34%
Railway siding	1.80% to 5.28%	-	-
Leasehold improvement	-	16.86% to 23.08%	-
Plant and machinery	0.92% to 19.00%	5.28%	3.60%
Electrical fittings and apparatus	0.64% to 19.00%	6.33%	6.33%
Furniture and fixtures	0.91% to 15.00%	6.33%	6.33%
Vehicles	9.50% to 18.00%	9.50%	9.50%
Office equipment	0.91% to 31.67%	5.28% to 15.00%	6.33% to 15.00%

@ governed by the applicable regulations of Uttar Pradesh Electricity Regulatory Commission (UPERC) / Maharashtra Electricity Regulatory Commission (MERC) for this purpose.

\$ For assets acquired on or after April 01, 2009 in case of Regulated generation and distribution business, remaining depreciable value as on 31st March of the year closing after a period of 12 years from date on which assets are ready for their intended use, shall be spread over the balance useful life of the assets as defined in GERC / CERC Multi Year Tariff (MYT) regulations.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 2a : Material accounting policies (Contd.)

2.5 Impairment of assets:

Property, plant and equipment and intangible assets are reviewed for impairment losses whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognized for the amount by which the carrying amount of the assets exceeds its recoverable amount, which is the higher of an asset's fair value less costs of disposal and value in use. Value in use is the present value of the future cash flows expected to be derived from an asset or cash-generating unit. An impairment loss is recognised immediately in profit or loss.

For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows which are largely independent of the cash inflows from other assets or groups of assets (cash-generating units). Non-financial assets other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

2.6 Borrowing costs:

Borrowing costs that are directly attributable to the acquisition and construction of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use, such as new projects and / or specific assets created in the existing business, are capitalized up to the date of completion and ready for their intended use.

Income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

Other borrowing costs are charged to the statement of profit and loss in the period of their accrual.

2.7 Cash and cash equivalents:

For the purpose of presentation in the statement of cash flows, cash and cash equivalents include cash on hand, cheques / drafts on hand, current account balances with banks and other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. Bank overdrafts are shown within borrowings in current liabilities in the balance sheet.

2.8 Inventories:

Raw materials, fuel, stores and spares, packing materials, loose tools, work in progress, traded and finished goods are stated at the lower of cost and net realisable value. Cost of inventories includes purchase price and all other costs incurred in bringing the inventories to their present location and condition. Costs are assigned to individual items of inventory on the weighted average basis except for inventory of Regasified Liquefied Natural Gas (RLNG) which is valued using specific identification method considering its procurement for beneficiary usage or others. Costs of purchased inventory are determined after deducting rebates and discounts.

Net realisable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

2.9 Revenue recognition:

Revenue towards satisfaction of a performance obligation is measured and recognized at transaction price, when the control of the goods or services has been transferred to consumers net of discounts and other similar allowances.

- (i) Revenue from power supply is accounted for in accordance with the rates, terms and conditions laid down under the relevant Tariff Regulations / Tariff Orders notified by the Electricity Regulators / agreements entered with the customers / power exchange rates, as applicable. Revenue recognised includes amounts billed to consumers on the basis of recording of consumption of energy by installed meters based on the applicable tariff and adjustments in respect of unbilled amounts towards revenue gaps / unapproved Fuel and Power Purchase Price Adjustment (FPPPA) which are recognised considering applicable tariff regulations / tariff orders, past trends of approval,

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 2a : Material accounting policies (Contd.)

management's probability estimate and when no significant uncertainty exists in such determination. Revenue from power supply exclude taxes and duties.

These adjustments / accruals are carried forward as 'Unbilled revenue' under "Other current financial assets" in Note 21, which would be adjusted through future billing based on tariff determination by the regulator in accordance with the electricity regulations.

- (ii) Trading of RLNG are recognised, net of returns and rebates, on transfer of control of ownership to the buyer. Sales exclude Goods and Services Tax.
- (iii) Gross proceeds from sale of Certified Emission Reduction Certificates (CERs) are recognized when all the control of CERs have been passed to buyer, usually on delivery of the CERs.
- (iv) Income from Generation Based Incentive is accounted on accrual basis considering eligibility of project for availing incentive.
- (v) Contributions by consumers towards items of property, plant and equipment, which require an obligation to provide electricity connectivity to the consumers, are recognised as a credit to deferred revenue. Such revenue is recognised over the useful life of the property, plant and equipment.

2.10 Foreign currency translation:

Functional and presentation currency

The financial statements are prepared in Indian rupee (₹) which is functional as well as presentation currency of the Company.

Transactions and balances

In preparing the financial statements of the Company, transactions in currencies other than the entity's functional currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions.

At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date.

Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Foreign exchange differences arising on foreign currency borrowings are presented in the Statement of profit and loss, within finance costs. All other foreign exchange differences arising on settlement of monetary items or on reporting the Company's monetary items at rates different from those at which they were initially recorded during the financial year are recognized as income or expense in the financial year in which they arise.

2.11 Employee benefits:

Defined contribution plans

Contributions to retirement benefit plans in the form of provident fund, employee state insurance scheme, pension scheme and superannuation schemes as per regulations are charged as an expense on an accrual basis when employees have rendered the service. The Company has no further payment obligations once the contributions have been paid.

Defined benefits plans

The liability or asset recognised in the balance sheet in respect of the retirement benefit plan i.e. gratuity plan is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated by an actuary using projected unit credit method.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 2a : Material accounting policies (Contd.)

The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows by reference to market yields at the end of the reporting period on government bonds that have terms approximating to the terms of the related obligations.

The net interest cost is calculated by applying the discount rate to the net balance of the defined benefit obligation and the fair value of the plan assets. This cost is included in the employee benefit expense in the statement of profit and loss.

Remeasurements, comprising actuarial gains and losses and the effect of the changes to the asset ceiling (if applicable), is reflected immediately in the balance sheet with a charge or credit recognised in other comprehensive income in the period in which they occur and consequently recognised in retained earnings and is not reclassified to profit or loss.

The retirement benefit recognised in the balance sheet represents the actual deficit or surplus in the Company's defined benefit plans. Any surplus resulting from this calculation is limited to the present value of any economic benefits available in the form of reductions in future contributions to the plans.

Other long-term employee benefit obligations

The liabilities for earned leave and sick leave are not expected to be settled wholly within 12 months after the end of the period in which the employees render the related service. They are therefore measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. The benefits are discounted using the market yields at the end of the reporting period that have terms approximating to the terms of the related obligation. Remeasurements as a result of experience adjustments and changes in actuarial assumptions are recognised in profit or loss.

The said obligations are presented as current liabilities in the balance sheet if the entity does not have an unconditional right to defer settlement for at least twelve months after the reporting period, regardless of when the actual settlement is expected to occur.

2.12 Taxation:

Income tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on estimated taxable income for the year in accordance with the provisions of the Income Tax Act, 1961. Taxable profit differs from 'profit before tax' as reported in the statement of profit and loss because of items of income or expenses that are taxable or deductible in other years and items that are never taxable or deductible. Management periodically evaluates positions taken in the tax returns with respect to situations for which applicable tax regulations are subject to interpretation and considers whether it is probable that a taxation authority will accept an uncertain tax treatment. The Company measures its tax balances either based on the most likely amount or the expected value, depending on which method provides a better prediction of the resolution of the uncertainty.

Advance taxes and provisions for current income taxes are offset with each other when there is a legally enforceable right to offset and balances arise with the same tax authority.

Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences.

Deferred tax assets are generally recognised for all deductible temporary differences, unused tax losses and unused tax credits to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 2a : Material accounting policies (Contd.)

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority.

Deferred tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity.

2.13 Earnings per share:

Basic earnings per share is computed by dividing the profit / (loss) by the weighted average number of equity shares outstanding during the year.

Diluted earnings per share is computed by adjusting the figures used in the determination of basic EPS to take into account:

- After tax effect of interest and other financing costs associated with dilutive potential equity shares.
- The weighted average number of additional equity shares that would have been outstanding assuming the conversion of all dilutive potential equity shares.

2.14 Provisions, contingent liabilities and contingent assets:

Provisions

A provision is recognized when the Company has a present obligation as a result of past events and it is probable that an outflow of resources will be required to settle the obligation in respect of which a reliable estimate can be made.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows (when the effect of the time value of money is material).

Contingent liability

A possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the enterprise are disclosed as contingent liability and not provided for. Such liability is not disclosed if the possibility of outflow of resources is remote.

Contingent assets

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity.

Contingent assets are not recognised but disclosed only when an inflow of economic benefits is probable.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 2a : Material accounting policies (Contd.)

2.15 Financial instruments:

Financial assets

i) Classification of financial assets (including debt instruments)

The Company classifies its financial assets in the following measurement categories:

- those to be measured subsequently at fair value (either through other comprehensive income, or through profit or loss), and
- those measured at amortised cost.

The classification depends on the entity's business model for managing the financial assets and the contractual cash flow characteristics of the financial assets.

ii) Initial measurement

Financial assets (excluding trade receivables) are initially measured at fair value. Transaction costs that are directly attributable to the acquisition (other than financial assets at fair value through profit or loss) are added to the fair value of the financial assets, as appropriate, on initial recognition. Transaction costs that are directly attributable to the acquisition or issue of financial assets at fair value through profit or loss are recognised immediately in profit or loss. Trade receivables which do not contain a significant financing component are measured at transaction price.

iii) Subsequent measurement

There are three measurement categories into which the debt instruments can be classified:

• Amortised cost

Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Interest income from these financial assets is included in finance income using the effective interest rate method. Any gain or loss arising on derecognition is recognised directly in profit or loss and presented in other gains/(losses). Impairment losses are presented as separate line item in the statement of profit and loss.

• Fair value through other comprehensive income (FVOCI)

Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at fair value through other comprehensive income (FVOCI). Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest revenue and foreign exchange gains and losses which are recognised in profit and loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in other gains / (losses). Interest income from these financial assets is included in other income using the effective interest rate method. Foreign exchange gains and losses are presented in other gains and losses and impairment expenses in other expenses. The Company currently does not have any debt instruments which are measured at FVOCI.

• Fair value through profit or loss (FVTPL)

Assets that do not meet the criteria for amortised cost or FVOCI are measured at fair value through profit or loss. A gain or loss on a debt investment that is subsequently measured at fair value through profit or loss is recognised in profit or loss and presented net in the statement of profit and loss within other gains / (losses) in the period in which it arises. Net gains / (losses) from these financial assets is included in other income.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 2a : Material accounting policies (Contd.)

iv) Impairment of financial assets

The Company assesses on a forward looking basis the expected credit losses associated with its financial assets carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

For trade receivables or any contractual right to receive cash or another financial asset that result from transactions that are within the scope of Ind AS 115, the Company follows 'simplified approach' for recognition of impairment loss and always measures the loss allowance at an amount equal to lifetime expected credit losses to measure the expected credit losses, trade receivables have been grouped based on days past due. The Company has segmented the customers based on shared risk attributes, i.e. Government Consumers / Non Government consumers, Status of Consumers i.e. Live consumers / Disconnected consumers and Security deposits provided by the Consumer.

v) Derecognition of financial assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised (i.e. removed from the Company's balance sheet) when:

- The rights to receive cash flows from the asset have expired, or
- The Company has transferred its rights to receive cash flows from the asset

When the entity has transferred an asset, the Company evaluates whether it has transferred substantially all risks and rewards of ownership of the financial asset. In such cases, the financial asset is derecognised. Where the entity has not transferred substantially all risks and rewards of ownership of the financial asset, the financial asset is not derecognised.

Where the entity has neither transferred a financial asset nor retains substantially all risks and rewards of ownership of financial asset, the financial asset is derecognised if the Company has not retained control over the financial asset. Where the Company retains control of the financial asset, the asset is continued to be recognised to the extent of continuing involvement in the financial asset.

vi) Income recognition

Dividend is accounted when the right to receive payment is established.

Interest income on financial assets at amortised cost is calculated using the effective interest method is recognised in the statement of profit and loss as part of other income.

Interest on overdue receivables of energy bills and claims including insurance claims, coal cost variation and other claims etc. are accounted when there is a certainty of recovery.

vii) Derivative

Derivatives are initially recognised at fair value on the date a derivative contract is entered into and are subsequently re-measured to their fair value at the end of each reporting period.

Financial liabilities

i) Classification

All the Company's financial liabilities are measured at amortized cost.

ii) Initial measurement

Financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the issue of financial liabilities are deducted from the fair value of the financial liabilities, as appropriate, on initial recognition.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 2a : Material accounting policies (Contd.)

iii) Subsequent measurement

Financial liabilities are subsequently measured at amortised cost using the Effective Interest Rate Method.

The Effective Interest Rate Method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including transaction costs and other premiums or discounts) through the expected life of the financial liability.

iv) Derecognition of financial liabilities

The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or waived off or have expired. An exchange between the Company and the lender of debt instruments with substantially different terms is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit or loss.

v) Financial guarantee contracts

Financial guarantee contracts issued by the Company are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the terms of a debt instrument. Financial guarantee contracts are recognised initially as a liability at fair value. Subsequently, the liability is measured at the higher of the amount of loss allowance determined as per impairment requirements of Ind AS 109 and the amount recognised less cumulative amortisation.

2.16 Contributed equity:

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Transaction costs of an equity transaction shall be accounted for in other equity.

2.17 Leases:

Company as a lessee:

Leases are recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Company. Contracts may contain both lease and non-lease components.

Lease liabilities:

Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liabilities include the net present value of the lease payments.

The lease payments include fixed payments (including in substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Company and payments of penalties for terminating the lease, if the lease term reflects the Company exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expenses in the period in which the event or condition that triggers the payment occurs. Lease payments to be made under reasonably certain extension options are also included in the measurement of the liability.

The lease payments are discounted using the lessee's incremental borrowing rate. Lease payments are allocated between principal and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 2a : Material accounting policies (Contd.)

Right-of-use assets:

Right-of-use assets are measured at cost comprising the amount of the initial measurement of lease liability and lease payments made before the commencement date.

Right-of-use assets are depreciated over the lease term on a straight-line basis. Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, and lease payments made at or before the commencement date less any lease incentives received.

Right-of-use assets are depreciated over the asset's lease term on a straight-line basis.

Short term leases and leases of low value assets:

Payments associated with short-term leases of equipment and all leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less. Low-value assets comprise small items of office equipment including IT equipment.

2.18 Repurchase Arrangements

A repurchase agreement is a contract in which an Company sells an asset and also promises or has the option (either in the same contract or in another contract) to repurchase the asset. The repurchased asset may be the asset that was originally sold to the customer, an asset that is substantially the same as that asset, or another asset of which the asset that was originally sold is a component.

2.19 Amount presented and rounding off:

All amounts in the financial statements and notes have been presented in ₹ Crore (except for share data) rounded to two decimals as per the requirement of Schedule III of the Companies Act, 2013, unless otherwise stated. Figures below ₹ 50,000 are denoted by ‘*’.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 2b: Other accounting policies

2.20 Government grants:

Grants from the government are recognised at their fair value where there is a reasonable assurance that the grant will be received and the Company will comply with all the attached conditions.

Government grants relating to income are recognised in profit or loss on a systematic basis over the periods in which the Company recognises as expenses the related costs for which the grants are intended to compensate. Government grants relating to purchase of property, plant and equipment whose primary condition is that the Company should purchase, construct or otherwise acquire property, plant and equipment are recognised as deferred revenue in the balance sheet and transferred to profit or loss on a systematic and rational basis over the useful lives of the related assets.

2.21 Investment properties:

Property that is held for long-term rental yields or for capital appreciation or both, and that is not occupied by the Company, is classified as investment property. Investment property is measured initially at its cost, including related transaction costs and where applicable borrowing costs. Subsequent expenditure is capitalised to the asset's carrying amount only when it is probable that future economic benefits associated with the expenditure will flow to the Company and the cost of the item can be measured reliably.

An investment property is derecognised upon disposal or when the investment property is permanently withdrawn from its current use and no future economic benefits are expected from the disposal. Any gain or loss arising on derecognition of the property (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the period in which the property is derecognised.

2.22 Intangible assets – acquired:

Computer software is carried at cost less accumulated amortisation and accumulated impairment losses, if any. Amortisation is recognised on a straight-line basis over its estimated useful life of 3 years. The estimated useful life and amortisation method are reviewed at the end of each reporting period and the effect of any changes in such estimate is accounted for on a prospective basis.

Expenditure incurred on acquisition of intangible assets which are not ready to use at the reporting date is disclosed under "Intangible assets under development".

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from its use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in profit or loss when the asset is derecognised.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 3: Critical accounting judgements and key sources of estimation uncertainty

In the course of applying the policies outlined in all notes under note 2 above, the management of the Company is required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

Such estimates and associated assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future period, if the revision affects current and future periods.

3.1 Revenue recognition:

The Company has recognised revenue (including the adjustment in respect of unapproved FPPPA claims and other true up adjustment claims) as per the applicable tariff regulations / tariff orders, management's probability estimate and the past trends of approval. The company has not recognized those true up adjustment claims which are disputed and for which the company is in appeal with regulatory authorities. These are recognised on receipt of final orders of respective regulatory authorities. [Refer note 35 & 43].

3.2 Property, plant and equipment:

(i) Service concession arrangements

The Company has assessed applicability of Appendix D of Ind AS 115 "Service Concession Arrangements" with respect to its Property, plant and equipment. In assessing the applicability, the Company has exercised judgment in relation to the provisions of the Electricity Act, 2003, conditions provided under transmission and distribution license and / or agreements. Further, the Company has ability to pledged the assets pursuant to which it has control and ability to direct the use of assets. Based on such assessment, it has concluded that Appendix D of Ind AS 115 is not applicable.

(ii) Impairment of property, plant and equipment

Determining whether property, plant and equipment are impaired requires an estimation of the value in use of the relevant cash generating units. The value in use calculation is based on a Discounted Cash Flow model over the estimated useful life of the property, plant and equipment. Further, the cash flow projections are based on estimates and assumptions relating to expected demand, future price of fuel, expected tariff rates for electricity, discount rate, exchange rate and electricity market scenario, based on past trends and the current and likely future state of the industry etc. which are considered reasonable by the Management. Any reasonable possible change in the underlying assumptions would not lead to a material change to the amount of impairment. [Refer note 41(1)].

3.3 Impairment of investments in subsidiaries

At the end of each reporting period, the Company reviews the carrying amounts of its investments in subsidiaries when there is an indication for impairment. If the recoverable amount is less than its carrying amount, the impairment loss is accounted for. [Refer note 41(2)]

Impairment of loans

The Company applies the Ind AS 109 simplified approach to measure expected credit losses which uses a lifetime expected loss allowance for loans granted by the Company to its subsidiaries.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 3: Critical accounting judgements and key sources of estimation uncertainty (Contd.)

3.4 Taxes:

Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies, including estimates of temporary differences reversing on account of available benefits from the Income Tax Act, 1961.

Deferred tax assets are recognised for unused tax credits to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Management judgement is required to determine the amount of deferred tax assets for unused tax credits that can be recognised, based upon the likely timing and the level of future taxable profits [Refer note 42(d)]

3.5 Contingencies:

Contingent liabilities

In the normal course of business, contingent liabilities may arise from litigation and other claims against the Company. Potential liabilities that are possible but not probable of crystallising or are very difficult to quantify reliably are treated as contingent liabilities. Such liabilities are disclosed in the notes but are not recognised. Potential liabilities that are remote are neither recognized nor disclosed as contingent liability. The management judgement is involved in classification under 'remote', 'possible' or 'probable' which is carried out based on expert advice, past judgements, experiences etc. [Refer note 44(a)]

3.6 Employee benefit plans:

Defined benefit plans and other long-term employee benefits

The present value of obligations under defined benefit plan and other long term employment benefits is determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual development in the future. These include the determination of the discount rate, future salary escalations, attrition rate and mortality rates. Due to the complexities involved in the valuation and its long term nature, these obligations are highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Information about the various estimates and assumptions made in determining present value of defined benefit obligation are disclosed in note 48.2.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 4 : Property, Plant and Equipment

As at March 31, 2024

Particulars	Gross carrying amount				Accumulated depreciation and impairment loss			Net carrying amount	
	As at April 01, 2023	Additions during the year	Deductions during the year	Adjustments during the year	As at March 31, 2024	As at April 01, 2023	For the year	As at March 31, 2024	As at March 31, 2024
Freehold land	487.80	167.33	-	20.12	675.25	-	-	-	675.25
Buildings	2,036.40	273.71	4.67	7.44	2,312.88	424.88	75.43	499.35	1,813.53
Leasehold improvement	4.57	0.02	-	-	4.59	1.35	0.73	2.08	2.51
Railway siding	1.86	-	-	-	1.86	0.40	0.05	0.45	1.41
Plant and machinery	22,581.15	1,927.28	59.12	57.13	24,506.44	10,347.49	996.42	11,310.05	13,196.39
Electrical fittings and apparatus	66.94	16.68	0.31	0.12	83.43	23.97	4.00	27.82	55.61
Furniture and fixtures	76.74	13.69	2.23	0.56	88.76	24.64	5.16	28.42	60.34
Vehicles	33.98	6.84	1.46	-	39.36	13.21	3.46	16.00	23.36
Office equipment	210.09	33.91	7.91	-	236.09	84.82	17.89	97.46	138.63
Total	25,499.53	2,439.46	75.70	85.37	27,948.66	10,920.76	1,103.14	11,981.63	15,967.03

As at March 31, 2023

Particulars	Gross carrying amount				Accumulated depreciation and impairment loss			Net carrying amount	
	As at April 01, 2022	Additions during the year	Deductions during the year	Adjustments during the year	As at March 31, 2023	As at April 01, 2022	For the year	As at March 31, 2023	As at March 31, 2023
Freehold land	404.87	75.69	-	7.24	487.80	-	-	-	487.80
Buildings	1,776.06	246.43	1.12	15.03	2,036.40	356.73	65.54	424.88	1,611.52
Leasehold improvement	4.05	0.52	-	-	4.57	0.67	0.68	1.35	3.22
Railway siding	1.86	-	-	-	1.86	0.35	0.05	0.40	1.46
Plant and machinery	21,490.01	1,142.38	56.24	5.00	22,581.15	9,435.01	945.31	10,347.49	12,233.66
Electrical fittings and apparatus	54.52	12.52	0.15	0.05	66.94	20.82	3.24	23.97	42.97
Furniture and fixtures	63.69	13.21	0.16	-	76.74	20.60	4.15	24.64	52.10
Vehicles	30.01	6.06	2.09	-	33.98	11.32	3.11	13.21	20.77
Office equipment	188.45	25.82	4.47	0.29	210.09	71.56	16.44	84.82	125.27
Total	24,013.52	1,522.63	64.23	27.61	25,499.53	9,917.06	1,038.52	10,920.76	14,578.77

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 4 : Property, Plant and Equipment (Contd.)

Footnotes:

- 1 The above property, plant and equipment have been mortgaged and hypothecated to secure borrowings of the Company [Refer note 25].
- 2 Capital commitment:
Refer note 44(c) for disclosure of contractual commitments for the acquisition of property, plant and equipment.
- 3 Adjustments during the year include capitalisation of borrowing costs of ₹ 85.37 Crore (Previous year - ₹ 27.61 Crore), which are directly attributable to purchase / construction of qualifying assets in accordance with Ind AS - 23 "Borrowing Costs".
- 4 The weighted average rate for capitalisation of borrowing cost relating to general borrowing is 8.49% p.a. (Previous year 7.62% p.a. to 7.67% p.a.).
- 5 Additions to plant and machinery includes capitalisation of directly attributable costs incurred by the Company under various headings.
- 6 Refer note 41(1) for impairment loss in respect of DGEN power plant.
- 7 The closing balance of accumulated depreciation and impairment consist impairment loss of ₹ 2,314.07 Crore (March 31, 2023 - ₹ 2,314.07 Crore).
- 8 The Company has not revalued its property, plant and equipment during the current or previous year.
- 9 Refer note 61 for title deeds of immovable property not held in the name of the Company.
- 10 Pro-rata cost of assets owned jointly with Torrent Pharmaceuticals Limited, a fellow subsidiary are as under:

Particulars	Proportion of holding	(₹ in Crore)	
		As at March 31, 2024	As at March 31, 2023
Freehold land	50%	23.58	23.58
Freehold land	70%	83.16	83.16
Building	70%	3.04	3.04

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 5 : Right-of-use Assets

As at March 31, 2024

Particulars	Gross carrying amount				Accumulated depreciation			Net carrying amount	
	As at April 01, 2023	Additions during the year	Deductions during the year	Adjustments during the year	As at March 31, 2024	As at April 01, 2023	For the year	Deductions during the year	Adjustments during the year
Land	169.81	15.16	7.03	0.32	178.26	27.21	8.99	3.12	0.32
Buildings	36.30	5.47	-	-	41.77	13.36	4.74	-	-
Plant and machinery	0.38	-	-	-	0.38	0.20	0.05	-	-
Office equipment	0.14	-	0.14	-	-	0.14	-	0.14	-
Total	206.63	20.63	7.17	0.32	220.41	40.91	13.78	3.26	0.32

As at March 31, 2023

Particulars	Gross carrying amount				Accumulated depreciation			Net carrying amount	
	As at April 01, 2022	Additions during the year	Deductions during the year	Adjustments during the year	As at March 31, 2023	As at April 01, 2022	For the year	Deductions during the year	Adjustments during the year
Land	173.28	1.18	-	(4.65)	169.81	20.74	7.01	-	(0.54)
Buildings	36.04	2.99	2.73	-	36.30	10.36	4.18	1.18	-
Plant and machinery	0.38	-	-	-	0.38	0.15	0.05	-	-
Office equipment	0.14	-	-	-	0.14	0.12	0.02	-	-
Total	209.84	4.17	2.73	(4.65)	206.63	31.37	11.26	1.18	(0.54)

Footnotes:

- The above right-of-use assets have been mortgaged and hypothecated to secure borrowings of the Company [Refer note 25].
- Adjustments during the previous year include change in nature of land from Right-of-use assets to Investment property of ₹ 4.11 Crore (net).
- Refer note 47 for disclosure relating to right-of-use asset.
- Refer note 61 for title deeds of right-of-use assets not held in the name of the Company.
- The Company has not revalued its right-of-use assets during the current or previous year.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 6 : Capital Work-in-Progress

As at March 31, 2024

(₹ in Crore)					
Particulars	As at April 01, 2023	Additions during the year	Capitalised during the year	Adjustments during the year	As at March 31, 2024
Capital work-in-progress	1,608.99	1,615.78	2,408.83	-	815.94
Total	1,608.99	1,615.78	2,408.83	-	815.94

As at March 31, 2023

(₹ in Crore)					
Particulars	As at April 01, 2022	Additions during the year	Capitalised during the year	Adjustments during the year	As at March 31, 2023
Capital work-in-progress	1,186.07	1,867.40	1,432.91	(11.57)	1,608.99
Total	1,186.07	1,867.40	1,432.91	(11.57)	1,608.99

Footnotes:

- 1 The above capital work-in-progress have been mortgaged and hypothecated to secure borrowings of the Company [Refer note 25].
- 2 Capital work-in-progress include borrowing costs of ₹ 17.79 Crore (March 31, 2023 - ₹ 47.62 Crore), which are directly attributable to purchase / construction of qualifying assets in accordance with Ind AS - 23 "Borrowing Costs".
- 3 Adjustment during the year includes ₹ Nil (previous year - ₹ 11.57 Crore (including ₹ 1.49 Crore related to borrowing cost)) write off.
- 4 Capital work-in-progress mainly comprises Plant and machinery, Buildings and Freehold land.
- 5 Additions to capital work-in-progress includes capitalisation of directly attributable costs incurred by the Company under various headings.
- 6 Refer note 60 for ageing schedule of the capital work-in-progress.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note - 7 : Investment Property

As at March 31, 2024

Particulars	Gross carrying amount				Accumulated depreciation				Net carrying amount	
	As at April 01, 2023	Additions during the year	Deductions during the year	Adjustments during the year	As at March 31, 2024	As at April 01, 2023	For the year	Deductions during the year	As at March 31, 2024	As at March 31, 2024
Freehold land	9.76	-	9.39	-	0.37	-	-	-	-	0.37
Total	9.76	-	9.39	-	0.37	-	-	-	-	0.37

As at March 31, 2023

Particulars	Gross carrying amount				Accumulated depreciation				Net carrying amount	
	As at April 01, 2022	Additions during the year	Deductions during the year	Adjustments during the year	As at March 31, 2023	As at April 01, 2022	For the year	Deductions during the year	As at March 31, 2023	As at March 31, 2023
Freehold land	13.27	2.17	9.79	4.11	9.76	-	-	-	-	9.76
Total	13.27	2.17	9.79	4.11	9.76	-	-	-	-	9.76

Footnotes:

- The above investment property have been mortgaged and hypothecated to secure borrowings of the Company [Refer note 25].
- Adjustments during the year is due to change in nature of leasehold land from Right-of-use assets of ₹ Nil (Previous year : ₹ 4.11 Crore) to Investment property
- Details of the Company's investment property and information about the fair value hierarchy are as follows:

Particulars	As at March 31, 2024	As at March 31, 2023
Fair value of investment property (₹ in Crore)	118.84	159.10
Fair value hierarchy	Level 2 [Refer note 56]	Level 2 [Refer note 56]

The fair value of the Company's investment property has been arrived based on a valuation report by external independent valuer, who is a registered valuer as defined under rule 2 of Companies (Registered valuers and valuation) Rules 2017. Valuation is based on government rates, market research, market trend and comparable values as considered appropriate.

- The Company has no restrictions on the realisability or the remittance of income and proceeds of disposal of its investment properties. There are no contractual obligations to purchase, construct or develop such investment properties or for repairs, maintenance and enhancements thereof.
- The Company has not revalued its investment property during the current or previous year.
- The title deeds of investment property are held in the name of the Company as at March 31, 2024 and March 31, 2023.
- The Company had leased the part of freehold land with effect from January 15, 2021 as disclosed above to Torrent Electricals Private Limited (formerly known as TCL Cables Private Limited) for the lease term of 10 years.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note - 7 : Investment Property (Contd.)

8 Amount recognised in statement of profit and loss for investment property :

(₹ in Crore)

Particulars	Year ended March 31, 2024	Year ended March 31, 2023
Rental income derived from investment property [Refer note 36]	1.16	1.16
Direct operating expenses arising from investment property that generated rental income	-	-
Direct operating expenses arising from investment property that did not generate rental income	-	-

9 Minimum undiscounted lease payments receivable (excluding tax) on leases of investment property are as follows:

(₹ in Crore)

Particulars	As at March 31, 2024	As at March 31, 2023
Within 1 Year	1.28	1.16
After one year but not more than five years	5.38	5.25
More than 5 years	2.64	4.05
	9.30	10.46

Note 8 : Intangible Assets

As at March 31, 2024

(₹ in Crore)

Particulars	Gross carrying amount				Accumulated depreciation			Net carrying amount	
	As at April 01, 2023	Additions during the year	Deductions during the year	As at March 31, 2024	As at April 01, 2023	For the year	Deductions during the year	As at March 31, 2024	As at March 31, 2024
Computer software	67.83	1.77	2.62	66.98	56.18	6.33	2.62	59.89	7.09
Total	67.83	1.77	2.62	66.98	56.18	6.33	2.62	59.89	7.09

As at March 31, 2023

(₹ in Crore)

Particulars	Gross carrying amount				Accumulated depreciation			Net carrying amount	
	As at April 01, 2022	Additions during the year	Deductions during the year	As at March 31, 2023	As at April 01, 2022	For the year	Deductions during the year	As at March 31, 2023	As at March 31, 2023
Computer software	66.18	1.99	0.34	67.83	47.19	9.30	0.31	56.18	11.65
Total	66.18	1.99	0.34	67.83	47.19	9.30	0.31	56.18	11.65

Footnotes:

- The above computer software has been mortgaged and hypothecated to secure borrowings of the Company [Refer note 25].
- The Company has not revalued its intangible assets during the current or previous year.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 9 : Investments in Subsidiaries

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023	Face value (In ₹)	As at March 31, 2024	As at March 31, 2023
No. of shares					
Investment in equity instruments (unquoted) (at cost)					
Torrent Power Grid Limited [Nil (March 31, 2023 - 2,70,00,000) equity shares pledged as security in respect of the term loan availed by Torrent Power Grid Limited]	6,66,00,000	6,66,00,000	10	66.60	66.60
Torrent Pipavav Generation Limited [Refer note 41(2)]	4,75,00,000	4,75,00,000	10	47.50	47.50
Less: Impairment in value of investment				(18.70)	(18.35)
Torrent Solargen Limited	8,00,50,000	8,00,50,000	10	88.86	88.86
Jodhpur Wind Farms Private Limited	11,10,00,000	11,10,00,000	10	117.68	117.68
Latur Renewable Private Limited	11,00,00,000	11,00,00,000	10	116.68	116.68
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	8,40,00,000	4,20,00,000	10	84.00	42.00
Torrent Solar Power Private Limited	50,000	50,000	10	0.05	0.05
Torrent Saurya Urja 2 Private Limited [Refer footnote 1]	50,000	50,000	10	11.16	0.05
Torrent Saurya Urja 3 Private Limited	7,96,780	50,000	10	0.80	0.05
Torrent Saurya Urja 4 Private Limited	50,000	50,000	10	0.05	0.05
Torrent Saurya Urja 5 Private Limited	1,18,44,144	50,000	10	11.84	0.05
Visual Percept Solar Projects Private Limited	1,74,50,000	1,74,50,000	10	162.62	162.62
Surya Vidyut Limited [Refer footnote 2] [Nil (March 31, 2023 - 1,41,70,740) equity shares pledged as security in respect of the term loan availed by Surya Vidyut Limited.]	25,19,05,800	25,19,05,800	10	311.47	311.47
Torrent Saurya Urja 6 Private Limited [Refer footnote 7] (Formerly known as LREHL Renewables India SPV 1 Private Limited)	2,34,30,901	2,34,30,901	10	98.79	98.79
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited [Refer footnote 3]	51,000	51,000	10	586.06	586.06
SunShakti Solar Power Projects Private Limited [Refer footnote 4 & 8]	61,250	61,250	10	142.62	142.62
Torrent Urja 7 Private Limited [Refer footnote 5] (Formerly known as Wind Two Renergy Private Limited)	6,50,00,000	3,25,10,000	10	65.00	32.51
Torrent Green Energy Private Limited	50,000	-	10	0.05	-
Torrent Urja 8 Private Limited	10,000	-	10	0.01	-
Torrent Urja 9 Private Limited	10,000	-	10	0.01	-
Torrent Urja 10 Private Limited	29,51,749	-	10	2.95	-
Torrent Urja 11 Private Limited	10,000	-	10	0.01	-
Torrent Urja 12 Private Limited	10,000	-	10	0.01	-

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 9 : Investments in Subsidiaries (Contd.)

	(₹ in Crore)			
	As at March 31, 2024	As at March 31, 2023	Face value (In ₹)	
No. of shares	As at March 31, 2024	As at March 31, 2023		
Torrent Urja 13 Private Limited	10,000	-	10	0.01
Torrent Urja 14 Private Limited	10,000	-	10	0.01
Torrent Urja 15 Private Limited	10,000	-	10	0.01
Torrent Urja 16 Private Limited	10,000	-	10	0.01
Torrent Urja 17 Private Limited	10,000	-	10	0.01
Torrent Green Hydrogen Private Limited	10,000	-	10	0.01
Torrent PSH 1 Private Limited	10,000	-	10	0.01
Torrent PSH 2 Private Limited	10,000	-	10	0.01
Torrent PSH 3 Private Limited	10,000	-	10	0.01
Torrent PSH 4 Private Limited	10,000	-	10	0.01
Solapur Transmission Limited [Refer footnote 6]	10,000	-	10	0.01
	1,896.23	1,795.29		
Aggregate amount of quoted investments	-	-		
Aggregate amount of unquoted investments	1,896.23	1,795.29		
	1,896.23	1,795.29		
Aggregate amount of impairment in value of investments	18.70	18.35		
Aggregate amount of market value of quoted investments	-	-		

Footnotes:

- During the current year, Company has given corporate guarantees in favour of lender of subsidiary company and has recognised fair value of corporate guarantee as equity investment in Torrent Saurya Urja 2 Private Limited.
- During the previous year, Company has given corporate guarantees in favour of lender of subsidiary company and has recognised fair value of corporate guarantee as equity investment in Surya Vidyut Limited.
- On March 15, 2022, the Company had entered into a Share Purchase Agreement (SPA) and Shareholders Agreement (SHA) with 'The Hon'ble Administrator of the Union Territory of Dadra and Nagar Haveli and Daman and Diu' (the 'Holding Entity') and 'Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited' (the 'DNHDDPDCL') for purchase of 51% shares of the DNHDDPDCL from the Holding Entity for a consideration of ₹ 555.00 Crore plus consideration adjustment of ₹ 31.06 Crore as per terms of SPA, on account of notified balance sheet of the DNHDDPDCL as at April 01, 2022 i.e. total consideration of ₹ 586.06 Crore.

Basis the SPA and SHA read with The Dadra and Nagar Haveli and Daman and Diu Electricity (Reorganisation and Reforms) Transfer Scheme, 2022 (the "transfer scheme"), the effective date of transfer has been notified by the UT Administrator, Union Territory of Dadra and Nagar Haveli and Daman and Diu as April 01, 2022 ('Acquisition date') for the purpose of implementing the transfer scheme.

DNHDDPDCL is the licensee to carry out the function of distribution and retail supply of electricity in the Dadra and Nagar Haveli District of the Union Territory of Dadra and Nagar Haveli and Daman and Diu for a period of 25 years effective from the acquisition date."

The Company has taken formal takeover of power distribution operations in the Union Territory of Dadra & Nagar Haveli and Daman & Diu from April 1, 2022.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 9 : Investments in Subsidiaries (Contd.)

Accordingly, the amount of purchase consideration paid for acquiring the shares of the distribution company has been shown as “Advance against equity investment” under Other financial assets as at March 31, 2022 in the standalone financial statements, which has been transferred to Investments in subsidiaries as on Acquisition date.

Consideration adjustment of ₹ 31.06 Crore, included under “Other current financial liabilities”, as at March 31, 2023 has been paid on April 29, 2023.

- 4 On April 23, 2022, the Company had entered into a Securities Purchase Agreement (SPA) with SkyPower Southeast Asia III Investments Limited, SkyPower Southeast Asia Holdings 2 Limited (the Sellers) for the acquisition of 100% of the share capital and all securities of Sunshakti Solar Power Projects Private Limited (SSPPPL), which operates 50 MW solar power plant, situated in the state of Telangana. On completion of the conditions precedent to SPA, SSPPPL had become wholly owned subsidiary of the Company w.e.f. June 13, 2022.
- 5 On July 30, 2022, the Company had acquired 100% of paid-up capital of Torrent Urja 7 Private Limited (TU7) (Formerly known as Wind Two Renergy Private Limited (WTRPL)) from Inox Green Energy Services Limited (formerly known as Inox Wind Infrastructure Services Limited). TU7 operates 50 MW Wind power plant, situated in the state of Gujarat. On acquisition of shares, TU7 had become wholly owned subsidiary of the Company w.e.f. July 30, 2022 which was Associate of the Company till July 29, 2022.
- 6 On March 20, 2024, the Company had entered into a Share Purchase Agreement (SPA) with PFC Consulting Limited (the Seller) through competitive bidding process for the acquisition of 100% of the share capital of Solapur Transmission Limited (STL), which will develop & operate transmission line and substation in Solapur, situated in the state of Maharashtra. Pursuant to the SPA, STL has become wholly owned subsidiary of the Company w.e.f. March 20, 2024.
- 7 The Company has exercised option for conversion of compulsorily convertible debentures (CCD) into Equity shares as per the terms of CCD subscription agreement in March 2023. Total 97,05,328 equity shares of Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited) have been allotted to the Company, based on fair value of equity shares valued by independent valuer.
- 8 The Company has exercised option for conversion of compulsorily convertible debentures (CCD) into Equity shares as per the terms of CCD subscription agreement in March 2023. Total 15,756 equity shares of SunShakti Solar Power Projects Private Limited have been allotted to the Company; based on fair value of equity shares valued by independent valuer at the time of issue of CCD.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 10 : Non-Current Other Investments

(₹ in Crore)					
	As at March 31, 2024	As at March 31, 2023	Face value (In ₹)	As at March 31, 2024	As at March 31, 2023
No. of shares					
Investment in equity instruments (unquoted) (at fair value through profit or loss)					
AEC Cements & Constructions Limited [As at March 31, 2024 & March 31, 2023 Gross investment - ₹ 0.61 Cr, Impairment in value of investment - ₹ 0.61 Cr]	9,61,500	9,61,500	10	-	-
Tidong Hydro Power Limited [As at March 31, 2024 & March 31, 2023 Gross investment - ₹ 0.02 Cr, Impairment in value of investment - ₹ 0.02 Cr]	24,500	24,500	10	-	-
UNM Foundation @	50,000	50,000	10	0.05	0.05
				0.05	0.05
Contingency reserve investments - statutory (quoted) (at amortised cost) \$				16.97	15.89
				16.97	15.89
				17.02	15.94
Aggregate amount of quoted investments				16.97	15.89
Aggregate amount of unquoted investments				0.05	0.05
				17.02	15.94
Aggregate amount of impairment in value of investments				0.63	0.63
Aggregate amount of market value of quoted investments				17.01	15.70

@ The Company has, jointly with Torrent Pharmaceuticals Limited, promoted section 8 company, i.e. UNM Foundation, under the Companies Act, 2013 for the purpose of carrying out charitable activities.

\$ Investment in Government of India bonds have been made in terms of Gujarat Electricity Regulatory Commission (GERC) Multi-Year Tariff (MYT) Regulations, which can be utilised only for the purposes mentioned therein. [Refer note 24 - Contingency reserve]

Note 11 : Non-Current Loans

Unsecured (considered good)

(₹ in Crore)		
	As at March 31, 2024	As at March 31, 2023
Loans to related parties (including interest accrued) [Refer note 55(d)]	3,018.80	1,507.56
	3,018.80	1,507.56

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 12 : Other Non-Current Financial Assets

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Security deposits	18.51	16.99
Advance against equity investment [Refer footnote 1]	-	3.00
Bank fixed deposits	0.85	0.94
Other advances	0.06	0.09
	19.42	21.02

Footnote:

- 1 On February 08, 2023, the Company has entered into a Binding term sheet with Powerica Limited and Vestas Wind Technology India Private Limited (the Sellers) for the acquisition of 100% share capital of Airpower Windfarms Private Limited AWPL), which holds leasehold land situated in the state of Gujarat for the purpose of development of wind power project.

Accordingly, advance amount of ₹ 3.00 Crore given to the sellers as per binding term sheet is shown as “Advance against equity investment” as at March 31, 2023 in standalone financial statement.

On September 01, 2023, the Company through its wholly owned subsidiary, Torrent Green Energy Private Limited (TGEPL) has signed a Share Purchase Agreement (SPA) with the Sellers for the acquisition of 100% share capital of AWPL. The advance amount of ₹ 3.00 Crore has been recovered by Company from TGEPL .

Note 13 : Non-Current Tax Assets

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Advance income tax (net)	7.99	8.09
	7.99	8.09

Note 14 : Other Non-Current Assets

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Capital advances	75.95	80.54
Advances for goods and services	86.16	118.32
Balances with government authorities	65.06	65.13
Prepaid expenses	12.45	17.21
	239.62	281.20

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 15 : Inventories

(valued at lower of cost and net realizable value)

	As at March 31, 2024	As at March 31, 2023
Stores and spares	248.97	302.66
Fuel	214.68	340.10
Loose tools	2.90	2.95
Right to receive inventory [Refer footnote 3]	179.01	-
	645.56	645.71

Footnotes:

- The cost of stores and spares inventories recognised as an expense includes ₹ 4.03 Crore (Previous year - ₹ 3.66 Crore) in respect of write-downs of inventory to net realisable value determined based on evaluation of slow and non-moving inventories.
- The above carrying amount of inventories has been mortgaged and hypothecated to secure borrowings of the Company. [Refer note 25]
- The Company has sold a certain quantity of Liquefied Natural Gas ('LNG') to a third-party during FY 2023-24 and has also agreed to repurchase the same quantity of LNG at a pre-determined price. Accordingly, the Company has recognized a right to re-purchase inventory of LNG of ₹ 179.01 Crore as at March 31, 2024 (₹ Nil for March 31, 2023) and corresponding obligation of ₹ 179.01 Crore as at March 31, 2024 (₹ Nil for March 31, 2023) is included in "Sundry payables" under "Other current financial liabilities".
- The above carrying amount includes goods in transit as under:

	As at March 31, 2024	As at March 31, 2023
Fuel	5.61	9.35
	5.61	9.35

Note 16 : Current Investments

	As at March 31, 2024	As at March 31, 2023
Investment in non-convertible debentures (unquoted) (at amortised cost)		
Torrent Urja 7 Private Limited [^] (Formerly known as Wind Two Renergy Private Limited)		
Zero coupon secured, redeemable with premium, non-convertible debentures of ₹ 1,00,000 each (No. of debentures - March 31, 2024: Nil, March 31, 2023: 1,794)	-	24.35
	-	24.35
Investment in mutual funds (unquoted) (at fair value through profit or loss)	826.09	656.03
Contingency reserve investments - statutory (quoted) (at amortised cost) \$	2.95	1.93
	829.04	682.31
Aggregate amount of quoted investments	2.95	1.93
Aggregate amount of unquoted investments	826.09	680.38
	829.04	682.31
Aggregate amount of market value of quoted investments	2.87	1.98

[^] During the year 1,794 nos. of non-convertible debentures(NCDs) have been redeemed with premium.

\$ Investment in Government of India bonds have been made in terms of Gujarat Electricity Regulatory Commission (GERC) Multi-Year Tariff (MYT) Regulations, which can be utilised only for the purposes mentioned therein. [Refer note 24 - Contingency reserve]

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 17 : Trade Receivables

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Trade receivables		
Secured - Considered good #	748.23	661.16
Unsecured - Considered good	817.70	854.88
- Credit impaired	189.31	187.13
	1,755.24	1,703.17
Less: Allowance for bad and doubtful debts	189.31	187.13
	1,565.93	1,516.04

Company holds security deposits in respect of electricity receivables.

Footnotes:

- 1 Refer note 25 for charge on current assets including trade receivables.
- 2 Refer note 56 for credit risk related disclosures.
- 3 Refer note 62 for ageing schedule of trade receivables.

Note 18 : Cash and Cash Equivalents

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Balances with banks		
Balance in current accounts	181.56	137.18
Balance in fixed deposit accounts (original maturity of less than three months)	80.00	-
	261.56	137.18
Cheques on hand	1.40	0.60
Cash on hand	0.70	0.30
	263.66	138.08

Note 19 : Bank Balances other than Cash and Cash Equivalents

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Unpaid dividend accounts	13.15	11.21
Unpaid fractional coupon accounts	*	*
Balance in fixed deposit accounts # (maturity of more than three months but less than twelve months)	34.12	132.29
	47.27	143.50

include ₹ 33.18 Crore (March 31, 2023 - ₹ 31.49 Crore) on which a lien has been created in favour of lenders.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 20 : Current Loans

Unsecured (considered good)

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Loans to related parties (including interest accrued) [Refer note 55(d)]	268.19	105.16
	268.19	105.16

Note 21 : Other Current Financial Assets

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Security deposits	65.04	41.21
Interest accrued on non-current investments	0.23	5.39
Interest accrued on deposits	2.12	2.93
Unbilled revenue (including revenue gap / surplus) [Refer note 43(a)(2)]	3,187.71	2,572.31
Forward contract receivables	0.05	-
	3,255.15	2,621.84
Other advances / receivables		
Considered good [Refer note 48.2(d)]	17.46	10.59
Considered credit impaired	-	6.06
	17.46	16.65
Less : Allowance for doubtful advances	-	6.06
	17.46	10.59
	3,272.61	2,632.43

Note 22 : Other Current Assets

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Advances for goods and services	94.53	82.39
Balances with government authorities	0.85	0.74
Prepaid expenses	45.60	37.15
	140.98	120.28

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 23 : Equity Share Capital

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Authorised		
4,37,00,00,000 (4,37,00,00,000 as at March 31, 2023) equity shares of ₹10 each	4,370.00	4,370.00
	4,370.00	4,370.00
Issued, subscribed and paid up		
48,06,16,784 (48,06,16,784 as at March 31, 2023) equity shares of ₹10 each	480.62	480.62
	480.62	480.62

Footnotes:

- 1 Reconciliation of the shares outstanding at the beginning and at the end of the reporting year :

	No. of shares As at March 31, 2024	No. of shares As at March 31, 2023
At the beginning of the year	48,06,16,784	48,06,16,784
Issued during the year	-	-
Outstanding at the end of the year	48,06,16,784	48,06,16,784

- 2 25,74,22,311 equity shares (25,74,22,311 equity shares as at March 31, 2023) of ₹ 10 each fully paid up are held by the Parent Company - Torrent Investments Private Limited.

- 3 Terms / Rights attached to equity shares :

The Company has only one class of equity shares having par value of ₹ 10 per share. Each holder of equity shares is entitled to one vote per share. The Company declares and pays dividends in Indian rupees. The dividend, if any, proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting, except in case of interim dividend.

In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

- 4 Details of shareholders holding more than 5% shares in the Company :

Name of the Shareholder	As at March 31, 2024		As at March 31, 2023	
	No. of shares	% holding	No. of shares	% holding
Torrent Investments Private Limited	25,74,22,311	53.56%	25,74,22,311	53.56%
Gujarat State Financial Services Limited	4,68,71,621	9.75%	4,68,71,621	9.75%
Axis Mutual Fund Trustee Limited	3,45,06,287	7.18%	4,16,57,977	8.67%
SBI Mutual Fund Trustee Company Private Limited	2,98,56,078	6.21%	2,52,86,083	5.26%

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 23 : Equity Share Capital (Contd.)

5 Details of shareholding of Promoters in the Company:

Promoter name	As at March 31, 2024			As at March 31, 2023		
	No. of shares	% of total shares	% changes during the year	No. of shares	% of total shares	% changes during the year
Torrent Investments Private Limited	25,74,22,311	53.56%	-	25,74,22,311	53.56%	-
Sudhir Mehta	6,882	0.00%	-	6,882	0.00%	-
Samir Mehta	6,125	0.00%	-	6,125	0.00%	-
Jinal Mehta	8,000	0.00%	-	8,000	0.00%	-

6 Distributions made:

Interim dividend for FY 2023-24 of ₹ 12.00 per equity share [Previous year - ₹ 22.00 per equity share (including ₹ 13.00 per equity share as a special dividend)] aggregating to ₹ 576.74 Crore [Previous year - ₹ 1,057.36 Crore] was paid in the month of March 2024 [Previous year - March 2023].

The Board of Directors at its meeting held on May 22, 2024 has recommended a final dividend of 40% (₹ 4.00 per equity share of par value ₹ 10 each) [Previous year - ₹ 4.00 per equity share]. The proposal is subject to the approval of shareholders at the ensuing Annual General Meeting and if approved, would result in a cash outflow of ₹ 192.25 Crore.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 24 : Other Equity

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Reserves and surplus		
Securities premium	0.03	0.03
Debenture redemption reserve	4.51	21.58
Contingency reserve	19.22	17.29
Special reserve	78.07	78.07
General reserve	3,687.68	3,670.61
Retained earnings	7,768.37	6,751.47
	11,557.88	10,539.05

Refer "Standalone Statement of Changes in Equity" for movement in each reserve.

Footnotes:

1 Securities premium:

Securities premium reflects issuance of the shares by the Company at a premium, whether for cash or otherwise i.e. a sum equal to the aggregate amount of the premium received on shares is transferred to a "securities premium account" as per the provisions of the Companies Act, 2013. The reserve can be utilised in accordance with the provisions of the Act.

2 Debenture redemption reserve:

The Company was required to create a Debenture Redemption Reserve (DRR) out of the profits which are available for payment of dividend for the purpose of redemption of debentures. Pursuant to Companies (Share Capital and Debentures) Amendment Rules, 2019 dated August 16, 2019, the Company is not required to create DRR. Accordingly, the Company has not created DRR during the year and DRR created till previous years will be transferred to general reserve on redemption of debentures.

3 Contingency reserve:

As per the provisions of GERC MYT Regulations read with Tariff orders passed by GERC, the Company being a Distribution Licensee makes an appropriation to the contingency reserve to meet with certain exigencies. Investments in Bonds issued by Government of India have been made against such reserve.

4 Special reserve:

As per MYT Regulations (2007), the Company has created a reserve in FY 2011-12 and FY 2012-13, which represents one third amount of controllable gain shall be retained in a special reserve by the Generating Company or Licensee for the purpose of absorbing the impact of any future losses on account of controllable factors.

5 General reserve:

General reserve is used from time to time to transfer profits from retained earnings for appropriation purposes. The general reserve is created by a transfer from one component of equity to another and is not an item of other comprehensive income.

6 Retained earnings:

The retained earnings reflect the profit of the company earned till date net of appropriations. The amount that can be distributed by the Company as dividends to its equity shareholders is determined based on the balance in this reserve, after considering the requirements of the Companies Act, 2013.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 25 : Non-Current Borrowings

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Non-current borrowings		
Secured loans - at amortised cost		
Non convertible debentures &		
6.50%,6.90%,7.25% Series 7A,7B & 7C	164.53	248.54
6.20%,6.70%,7.10%,7.45% Series 8A,8B,8C & 8D	300.00	450.00
7.45%,8.05% Series 9A & 9B	599.43	599.36
8.30%,8.35%,8.55%,8.65% Series 10A,10B,10C & 10D	200.00	200.00
8.50% Series 11A,11B,11C,11D,11E & 11F	601.36	-
8.40% Series 12A,12B,12C & 12D	750.51	-
8.32% Series 13A,13B,13C & 13D	699.82	-
	3,315.65	1,497.90
Term loans @		
From banks	4,967.89	5,451.29
	4,967.89	5,451.29
	8,283.54	6,949.19
Unsecured loans - at amortised cost		
Non convertible debentures #		
10.25% Series 4A,4B & 4C	-	89.99
	-	89.99
Term loans		
From Government of India under Accelerated Power Development and Reform Programme (APDRP)	1.53	5.35
	1.53	5.35
	1.53	95.34
	8,285.07	7,044.53

@ After considering unamortised expense of ₹ 14.40 Crore as at March 31, 2024 and ₹ 17.78 Crore as at March 31, 2023.

& After considering unamortised expense (net of premium) of (₹ 0.65) Crore as at March 31, 2024 and ₹ 2.10 Crore as at March 31, 2023.

After considering unamortised expense of ₹ Nil as at March 31, 2024 and ₹ 0.01 Crore as at March 31, 2023.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 25 : Non-Current Borrowings (Contd.)

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Current maturities		
Secured loans - at amortised cost		
Non convertible debentures*		
8.95% Series 3A,3B & 3C	-	80.00
7.30% Series 6	-	300.00
6.50%,6.90%,7.25% Series 7A,7B & 7C	84.51	-
6.20%,6.70%,7.10%,7.45% Series 8A,8B,8C & 8D	150.00	150.00
	234.51	530.00
Term loans \$		
From banks	800.11	721.33
	800.11	721.33
Unsecured loans - at amortised cost		
Non convertible debentures ^		
10.25% Series 4A,4B & 4C	89.99	89.94
	89.99	89.94
Term loans		
From Government of India under Accelerated Power Development and Reform Programme (APDRP)	3.82	3.82
	3.82	3.82
	1,128.43	1,345.09
Amount disclosed under the head 'Current borrowings' [Refer note 29]	(1,128.43)	(1,345.09)
	-	-

\$ After considering unamortised expense of ₹ 3.67 Crore as at March 31, 2024 and ₹ 4.35 Crore as at March 31, 2023.

* After considering unamortised expense of ₹ 0.49 Crore as at March 31, 2024 and ₹ Nil as at March 31, 2023.

^ After considering unamortised expense of ₹ 0.01 Crore as at March 31, 2024 and ₹ 0.06 Crore as at March 31, 2023.

Footnotes:

As at March 31, 2024

1 Nature of security

The entire immovable and movable assets including current assets, both present and future, of the Company are mortgaged and hypothecated by way of first pari passu charge in favour of lenders for term loans of ₹ 5,786.07 Crore and non convertible debentures of ₹ 3,550.00 Crore along with lenders of cash credits and non-fund based credit facilities, except some assets which, in terms of respective financing documents (including Loan agreements, Debenture Trust deeds, working capital facility agreements), are carved out of security provided to lenders.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 25 : Non-Current Borrowings (Contd.)

- 2 The future annual repayment obligations (monthly / quarterly / yearly) on principal amount for the above long-term borrowings are as under:-

Financial year	Term loans	(₹ in Crore)
		Non convertible debentures
2024-25	807.60	325.00
2025-26	650.06	580.00
2026-27	693.80	585.00
2027-28	724.73	725.00
2028-29	689.81	425.00
2029-30	789.17	-
2030-31	696.21	-
2031-32	537.80	250.00
2032-33	202.24	550.00
2033-34	-	200.00

- 3 The rate of interest for term loans from banks is 8.55% p.a as at March 31, 2024.
- 4 Undrawn term loans from banks, based on approved facilities, were ₹ 1,428.00 Crore as at March 31, 2024.
- 5 Proceeds from term loans and debt instruments raised during the year have been utilized for the purposes for which it was obtained.

As at March 31, 2023

- 1 Nature of security

The entire immovable and movable assets including current assets, both present and future, of the Company are mortgaged and hypothecated by way of first pari passu charge in favour of lenders for term loans of ₹ 6,194.75 Crore and non convertible debentures of ₹ 2,030.00 Crore along with lenders of cash credits and non-fund based credit facilities, except some assets which, in terms of respective financing documents (including Loan agreements, Debenture Trust deeds), are carved out of security provided to lenders.

- 2 The future annual repayment obligations (monthly / quarterly / yearly) on principal amount for the above long-term borrowings are as under:-

Financial year	Term loans	(₹ in Crore)
		Non convertible debentures
2023-24	729.50	620.00
2024-25	482.77	325.00
2025-26	642.40	230.00
2026-27	770.04	235.00
2027-28	693.18	350.00
2028-29	692.25	50.00
2029-30	779.61	-
2030-31	677.65	-
2031-32	511.43	50.00
2032-33	225.09	350.00

- 3 The rate of interest for term loans from banks are ranges from 8.35% p.a to 8.90% p.a. as at March 31, 2023.
- 4 Undrawn term loans from banks, based on approved facilities, were ₹ 300.00 Crore as at March 31, 2023.
- 5 Proceeds from term loans and debt instruments raised during the year have been utilized for the purposes for which it was obtained.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 26 : Non-Current Trade Payables

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Trade payables for goods and services		
Total outstanding dues of micro and small enterprises	-	-
Total outstanding dues other than micro and small enterprises	345.71	210.61
	345.71	210.61

Footnote:

- 1 Refer note 63(a) for ageing schedule of non-current trade payables.

Note 27 : Other Non-Current Financial Liabilities

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Financial guarantee obligation	9.99	9.54
	9.99	9.54

Note 28 : Other Non-Current Liabilities

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Deferred revenue		
Contribution received from consumers [Refer note 43(b)]	1,368.85	1,300.44
Capital grant from government [Refer note 58(b)]	11.76	11.66
Sundry payables	57.79	57.79
	1,438.40	1,369.89

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 29 : Current Borrowings

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Secured loans		
Working capital from banks	290.00	-
Overdraft from banks	0.02	-
	290.02	-
Current maturities of long-term debt [Refer note 25]	1,128.43	1,345.09
	1,418.45	1,345.09

Footnotes:

- The entire immovable and movable assets including current assets, both present and future, of the Company are mortgaged and hypothecated by way of first pari passu charge in favour of lenders for working capital facilities and by way of second pari passu charge in favour of lenders for hedge facility.
- Undrawn cash credit from banks, based on approved facilities, were ₹ 1,210.00 Crore (March 31, 2023 - ₹ 1,150.00 Crore).
- During the current and previous year, the Company has used the loans for the purpose for which it was obtained.
- The Company has borrowings from banks and financial institutions on the basis of security of current assets and quarterly returns or statements of current assets filed are in agreement with the books of accounts.

Net debt reconciliation :

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Cash and cash equivalents	263.66	138.08
Current investments	829.04	682.31
Current borrowings (excluding current maturities of long-term debt and interest accrued but not due) #	(290.13)	-
Non-current borrowings (including current maturities of long-term debt and interest accrued but not due) #	(9,559.76)	(8,514.23)
Lease liabilities	(40.88)	(40.63)
	(8,798.07)	(7,734.47)

Transactions cost reduced from the borrowing is excluded.

	Other assets		Liabilities from financing activities			Total
	Cash and cash equivalents	Current investments	Current borrowings	Non-current borrowings	Lease liabilities	
Net balance as at April 01, 2023	138.08	682.31	-	(8,514.23)	(40.63)	(7,734.47)
Cash flows (net)	125.58	93.32	(290.02)	(1,017.50)	20.03	(1,068.59)
New lease	-	-	-	-	(20.63)	(20.63)
Transfer from non-current investments	-	2.95	-	-	-	2.95
Deletion relating to lease liability	-	-	-	-	3.91	3.91
Interest expense	-	-	(2.87)	(704.10)	(3.56)	(710.53)
Interest paid	-	-	2.76	676.07	-	678.83
Gain on sale of current investments	-	49.23	-	-	-	49.23
Interest income on current investments	-	0.08	-	-	-	0.08
Fair value adjustment	-	1.15	-	-	-	1.15
Net balance as at March 31, 2024	263.66	829.04	(290.13)	(9,559.76)	(40.88)	(8,798.07)

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 29 : Current Borrowings (Contd.)

	Other assets		Liabilities from financing activities			Total
	Cash and cash equivalents	Current investments	Current borrowings	Non-current borrowings	Lease liabilities	
Net balance as at April 01, 2022	161.79	253.27	(702.74)	(7,257.41)	(42.22)	(7,587.31)
Cash flows (net)	(23.71)	345.64	702.74	(1,225.65)	7.78	(193.20)
New lease	-	-	-	-	(4.17)	(4.17)
Transfer from non-current investments	-	26.28	-	-	-	26.28
Deletion relating to lease liability	-	-	-	-	1.55	1.55
Interest expense	-	-	(13.97)	(623.63)	(3.57)	(641.17)
Interest paid	-	-	13.97	592.46	-	606.43
Gain on sale of current investments	-	53.28	-	-	-	53.28
Fair value adjustment	-	3.84	-	-	-	3.84
Net balance as at March 31, 2023	138.08	682.31	-	(8,514.23)	(40.63)	(7,734.47)

Note 30 : Current Trade Payables

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Trade payables for goods and services		
Total outstanding dues of micro and small enterprises [Refer note 46]	52.17	60.67
Total outstanding dues other than micro and small enterprises	1,038.26	1,020.67
	1,090.43	1,081.34

Footnote:

- 1 Refer note 63(b) for ageing schedule of current trade payables.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 31 : Other Current Financial Liabilities

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Interest accrued but not due on loans and security deposits	128.45	100.31
Investor education and protection fund #		
Unpaid / Unclaimed dividend	13.15	11.21
Unclaimed fractional coupons	*	*
Book overdraft	-	0.07
Security deposits from consumers@	1,751.03	1,512.29
Other deposits	6.28	4.56
Payables for purchase of property, plant and equipment^	235.92	316.20
Financial guarantee obligation	6.39	6.61
Sundry payables (including for employees related payables)\$ [Refer footnote 3 of note 9]	498.75	221.22
	2,639.97	2,172.47

There is no amount due and outstanding to be credited to investor education and protection fund as at March 31, 2024 and as at March 31, 2023.

@ Security deposits from consumers in the Company's business, which is in the nature of utility, are generally not repayable within a period of twelve months based on historical experience.

^ including dues to micro and small enterprises for ₹ 18.66 Crore (March 31, 2023 - ₹ 19.33 Crore) [Refer note 46]

\$ including ₹ 179.01 Crore (March 31, 2023 : Nil) for right to receive inventory [Refer footnote 3 of note 15].

Note 32 : Other Current Liabilities

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Credit balances of consumers [Refer note 43(d)]	96.99	93.54
Service line deposits from consumers [Refer note 43(c)]	235.68	235.75
Deferred revenue		
Contribution received from consumers [Refer note 43(b)]	106.83	100.71
Capital grant from government [Refer note 58(b)]	0.96	2.37
Statutory dues	235.85	213.66
Liability towards corporate social responsibility ^	11.34	-
Sundry payables #	0.60	0.57
	688.25	646.60

including interest dues to micro and small enterprises for ₹ 0.05 Crore (March 31, 2023 - ₹ 0.02 Crore) [Refer note 46]

^ It represents unspent amount of corporate social responsibility. The Company has transferred of ₹ 9.29 Crore and ₹ 2.05 Crore to a special bank account on April 16, 2024 and on April 23, 2024 respectively [Refer note 50].

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 33 : Current Provisions

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Provision for employee benefits		
Provision for gratuity [Refer note 48.2(d)]	24.76	-
Provision for compensated absences \$	123.13	117.96
	147.89	117.96
Other provisions		
Provision for onerous contracts [Refer note 57]	24.98	124.94
Provision for contingencies	14.02	-
	39.00	124.94
	186.89	242.90

\$ Provision for compensated absences is disclosed under current provision as the entity does not have an unconditional right to defer settlement for at least twelve months however these are generally not repayable within a period of twelve months based on historical experience.

Movement in provision:

	(₹ in Crore)	
	Provision for onerous contracts	Provision for contingencies
Balance as at April 01, 2023	124.94	-
Additional provision recognised	-	14.02
Utilisation of provision	(99.96)	-
Closing balance as on March 31, 2024	24.98	14.02
Balance as at April 01, 2022	135.76	-
Reversal of provision	(10.82)	-
Closing balance as on March 31, 2023	124.94	-

Note 34 : Current Tax Liabilities

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Provision for taxation (net of tax paid)	123.80	160.77
	123.80	160.77

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 35 : Revenue from Operations

(₹ in Crore)

	Year ended March 31, 2024	Year ended March 31, 2023
Revenue from contracts with customers [Refer footnotes below]		
Revenue from power supply	18,979.25	15,518.44
Revenue from trading of RLNG	753.16	3,068.65
	19,732.41	18,587.09
Less: Discount for prompt payment of bills	27.40	24.77
	19,705.01	18,562.32
Other operating income		
Amortisation of deferred revenue		
Contribution received from consumers [Refer note 43(b)(2)] #	104.78	97.32
Capital grant from government [Refer note 58(b)]	1.31	2.37
Income from Certified Emission Reduction (CERs)	-	12.34
Income from Generation Based Incentive	25.51	23.73
Insurance claim receipt	2.36	2.17
Incentive income under solar rooftop programme	16.79	55.14
Provisions of earlier years written back	0.92	0.60
Gain on cancellation of contract	20.80	-
Miscellaneous income	79.48	80.23
	251.95	273.90
	19,956.96	18,836.22

Amortisation of deferred revenue are recognised within the scope of Ind AS 115.

Footnotes:

1 Disaggregation of revenue from contracts with customers:

(₹ in Crore)

	Year ended March 31, 2024	Year ended March 31, 2023
Generation	2,105.45	2,828.50
Transmission and Distribution	17,599.56	15,733.82
	19,705.01	18,562.32

2 Timing of revenue recognition (from contract with customers) : Revenue from power supply is recognised over a period of time and others at a point in time.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 36 : Other Income

	(₹ in Crore)	
	Year ended March 31, 2024	Year ended March 31, 2023
Interest income from financial assets measured at amortised cost		
Deposits	2.81	16.59
Consumers	41.35	35.83
Contingency reserve investments	1.37	1.28
Loans to related parties [Refer note 55(b)]	187.38	108.59
Others	0.01	1.22
	232.92	163.51
Dividend income from non-current investments carried at cost	33.74	30.98
Rent income from investment property [Refer note 7]	1.16	1.16
Gain on disposal of property, plant and equipment / investment property	39.49	44.83
Gain on sale of current investments in mutual funds	49.18	53.28
Gain on sale of non-current investments	0.05	-
Net gain arising on financial assets / liabilities measured at amortised cost	44.74	23.74
Net gain / (loss) arising on current investments in mutual funds measured at fair value through profit or loss	1.15	3.84
Financial guarantee commission (amortised)	10.88	6.52
Net gain on foreign currency transactions and translations	-	0.63
Gain on change in fair value of derivatives (net)	0.05	-
Discount on prompt payment of power purchase	29.73	49.36
Miscellaneous income	46.51	56.79
	489.60	434.64

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 37 : Employee Benefits Expense

(₹ in Crore)

	Year ended March 31, 2024	Year ended March 31, 2023
Salaries, wages and bonus	660.45	644.89
Contribution to provident and other funds [Refer note 48.1]	46.32	43.77
Employees welfare expenses	28.92	25.28
Compensated absences	23.97	15.37
Gratuity [Refer note 48.2(e)(3)]	16.89	18.55
	776.55	747.86
Less: Allocated to capital works, repairs and other relevant revenue accounts #	232.53	234.01
	544.02	513.85

includes allocated to capital works of ₹ 133.04 Crore (previous year ₹ 135.82 Crore)

Note 38 : Finance Costs

(₹ in Crore)

	Year ended March 31, 2024	Year ended March 31, 2023
Interest expense for financial liabilities measured at amortised cost		
Term loans #	512.93	437.59
Non convertible debentures ^	197.54	191.07
Working capital loans	2.87	13.97
Security deposits from consumers	106.73	56.91
Lease liabilities	3.56	3.57
Others	0.45	0.32
	824.08	703.43
Other interest expense	2.68	0.66
Other borrowing costs	10.21	10.03
	836.97	714.12
Less: Allocated to capital works	55.54	45.78
	781.43	668.34

includes amortisation of borrowing cost of ₹ 5.89 Crore (previous year ₹ 4.35 Crore)

^ includes amortisation of borrowing cost of ₹ 0.48 Crore (previous year ₹ 0.68 Crore)

Note 39 : Depreciation and Amortisation Expense

(₹ in Crore)

	Year ended March 31, 2024	Year ended March 31, 2023
Depreciation expense on property, plant and equipment	1,103.14	1,038.52
Depreciation expense on right-of-use assets	13.78	11.26
Amortisation expense on intangible assets	6.33	9.30
	1,123.25	1,059.08
Less: Transfer from others	-	0.20
	1,123.25	1,058.88

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 40 : Other Expenses

(₹ in Crore)

	Year ended March 31, 2024	Year ended March 31, 2023
Consumption of stores and spares	278.14	174.80
Rent and hire charges	21.06	22.35
Repairs to		
Buildings	11.74	9.55
Plant and machinery	453.82	422.12
Others	30.58	29.09
	496.14	460.76
Insurance	39.39	42.33
Rates and taxes	27.36	13.51
Vehicle running expenses	46.19	42.57
Electricity expenses	25.41	22.70
Security expenses	63.27	61.41
Water charges	32.25	24.24
Power transmission and scheduling charges	11.18	2.35
Corporate social responsibility expenses [Refer note 50]	40.79	32.62
Loss on sale / discarding of property, plant and equipment and capital work-in-progress	25.93	29.90
Commission to non-executive directors [Refer note 55(b)]	3.27	2.50
Directors sitting fees [Refer note 55(b)]	0.92	0.68
Auditors remuneration [Refer note 49]	2.27	2.03
Legal, professional and consultancy fees	58.99	64.03
Donations [Refer note 51]	63.55	43.03
Net loss on foreign currency transactions	1.44	11.34
Impairment for non-current investments	0.35	0.80
Bad debts written off (net of recovery)	8.70	3.89
Liquidated damages related to onerous contracts [Refer note 57]	99.96	-
Reversal of provision for onerous contracts [Refer note 57]	(99.96)	(10.82)
Allowance for doubtful advances	(6.06)	-
Allowance for doubtful debts (net)	2.18	(21.04)
Miscellaneous expenses	132.11	112.54
	1,374.83	1,138.52
Less: Allocated to capital works, repairs and other relevant revenue accounts ^	83.99	88.48
	1,290.84	1,050.04

^ includes allocated to capital works of ₹ 1.22 Crore (previous year ₹ Nil)

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 41: Impairment Assessment

1 DGEN Power Plant

Net carrying value of Property, plant & equipment ("PPE") and Right-of-use assets ("ROU") as at March 31, 2024 includes ₹ 1,237.82 Crore pertaining to 1,200 MW DGEN Mega Power Project located at Dahej, Gujarat including its Transmission Line ("DGEN"). DGEN started commercial operations with effect from November 2014 and thereafter has operated only intermittently / partially including the current year due to various factors such as unavailability of domestic gas, high prices of imported gas and non-availability of power selling arrangement.

In view of the above and given the current economic environment, during the current year, the Company had carried out an impairment assessment of DGEN as at March 31, 2024 by considering the recoverable amount based on value-in-use of DGEN in accordance with Indian Accounting Standard 36 'Impairment of Assets'. Value-in-use is determined considering a discount rate of 15.50% (March 31, 2023 – 15.00%) and cash flow projections over a period of 16 years (March 31, 2023 - 17 years), being the balance useful life of DGEN in terms of Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024 on the basis that the Company expects to supply power in the future. Based on the assessment, recoverable value of PPE by using value-in-use is ₹ 1,307.00 Crore which is higher than the carrying amount of PPE of ₹ 1,237.82 Crore and accordingly no additional impairment loss is required as at March 31, 2024. The management has conducted sensitivity analysis on impairment test of the value in use of DGEN. The management believes that reasonable possible change in key assumptions would not materially impact the impairment assessment as at March 31, 2024.

During the earlier years, the Company had provided for impairment loss of ₹ 2,300.00 Crore (March 31, 2023 : ₹ 2,300.00 Crore).

Assessment of 'value-in-use' involves several key assumptions including expected demand, future price of fuel, expected tariff rates for electricity, discount rate, exchange rate and electricity market scenario, based on past trends and the current and likely future state of the industry. Management reviews such assumptions periodically to factor updated information based on events or changes in circumstances in order to make fresh assessment of impairment, if any.

2 Investment in Torrent Pipavav Generation Limited

Torrent Pipavav Generation Limited ("TPGL"), a subsidiary of the Company and a joint venture between the Company and Gujarat Power Corporation Limited ("GPCL"), had made payments in nature of compensation for acquisition of private land as per the court orders in Amreli, Gujarat for the purpose of developing a coal-based power plant of 1,000+ MW. Due to non-availability of fuel linkage, Government of Gujarat ("GoG") vide its letter dated December 06, 2017, communicated that the said project may not be developed and accordingly, the joint venture is intended to be dissolved. Further, as per the said letter, the cost of land would be reimbursed after the disposal of land.

As per the Letter dated January 23, 2024 from Revenue Department, Government of Gujarat, the said land is now to be handed over to the Collector, Amreli and had determined the amount to be paid to GPCL towards the cost incurred for acquisition of aforesaid land. The Collector, Amreli issued letter dated March 28, 2024 for payment to be made towards the cost incurred for acquisition of aforesaid land to GPCL. GPCL will reimburse TPGL its share from the total amount received from Collector, Amreli. Considering the above facts, assets and liabilities are reflected at their net realisable values or cost whichever is lower and the financial statement of TPGL for year ended March 31, 2024 have been prepared on a non-going concern basis.

Considering the above facts, Management has concluded that there is no additional impairment required as at March 31, 2024 for carrying amount of equity and loan is of ₹ 93.85 Crore (net of impairment ₹ 18.70 Crore).

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 42: Income Tax Expense

(a) Income tax expense recognised in statement of profit and loss

	(₹ in Crore)	
	Year ended March 31, 2024	Year ended March 31, 2023
Current tax		
Current tax on profits for the year	409.43	629.14
Adjustment for current tax of prior periods	(5.92)	5.31
	403.51	634.45
Deferred tax (other than that disclosed under OCI)		
Decrease / (increase) in deferred tax assets	9.33	18.53
(Decrease) / increase in deferred tax liabilities	235.40	174.59
	244.73	193.12
Income tax expense	648.24	827.57

(b) Reconciliation of income tax expense

	(₹ in Crore)	
	Year ended March 31, 2024	Year ended March 31, 2023
Profit before tax	2,446.27	2,931.29
Expected income tax expense calculated using tax rate at 34.944% (Previous year - 34.944%)	854.82	1,024.31
Adjustment to reconcile expected income tax expense to reported income tax expense:		
Effect of:		
Expenditure not deductible under Income Tax Act	34.47	20.98
Tax incentives / deductions	(241.18)	(216.21)
Other adjustments including relating to accumulated MAT credit	6.05	(6.82)
Total	654.16	822.26
Adjustment for current tax of prior periods	(5.92)	5.31
Total expense as per statement of profit and loss	648.24	827.57

The tax rate used for the reconciliations given above is the actual / enacted corporate tax rate payable by corporate entities in India on taxable profits under the Indian tax law.

(c) Income tax recognised in other comprehensive income

	(₹ in Crore)	
	Year ended March 31, 2024	Year ended March 31, 2023
Deferred tax		
Re-measurement of defined benefit obligation (Items that will not be reclassified to profit or loss)	(15.69)	11.21
Income tax expense / (income) recognised in other comprehensive income	(5.48)	3.92

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 42: Income Tax Expense (Contd.)

(d) Deferred tax balances

(1) The following is the analysis of deferred tax assets / (liabilities) presented in the balance sheet

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Deferred tax assets	1,446.36	1,452.57
Deferred tax liabilities	(2,331.43)	(2,096.03)
	(885.07)	(643.46)

(2) Movement of deferred tax assets / (liabilities)

Deferred tax assets / (liabilities) in relation to the year ended March 31, 2024

(₹ in Crore)

	Opening balance	Recognised in profit or loss	Utilisation	Recognised in OCI	Closing balance
Property, plant and equipment	(2,096.03)	(235.40)	-	-	(2,331.43)
Provision for compensated absences	39.19	1.40	-	-	40.59
Provision for onerous contracts	43.66	(34.93)	-	-	8.73
Allowance for doubtful debts	27.11	(3.50)	-	-	23.61
MAT credit entitlement	1,347.59	62.84	(2.36)	-	1,408.07
Others	(4.98)	(35.14)	-	5.48	(34.64)
	(643.46)	(244.73)	(2.36)	5.48	(885.07)

Deferred tax assets / (liabilities) in relation to the year ended March 31, 2023

(₹ in Crore)

	Opening balance	Recognised in profit or loss	Utilisation	Recognised in OCI	Closing balance
Property, plant and equipment	(1,921.44)	(174.59)	-	-	(2,096.03)
Provision for compensated absences	40.40	(1.21)	-	-	39.19
Provision for onerous contracts	47.44	(3.78)	-	-	43.66
Allowance for doubtful debts	32.65	(5.54)	-	-	27.11
MAT credit entitlement	1,474.20	2.02	(128.63)	-	1,347.59
Others	8.96	(10.02)	-	(3.92)	(4.98)
	(317.79)	(193.12)	(128.63)	(3.92)	(643.46)

(3) Unrecognised deferred tax assets

There is no MAT credit which is unrecognised as at March 31, 2024 and March 31, 2023.

Management has made an assessment of the amount of taxable income that would be available in future to offset the Accumulated MAT credit entitlement available to the Company.

The assessment of taxable income involved several key assumptions including expected demand, future price of fuel, expected tariff rate for electricity, exchange rate and electricity market scenario, which the management considered reasonable based on past trends, applicable tariff regulations / agreements and current and likely future state of the industry.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 43: Revenue from Contracts with Customers

(a) Unbilled revenue

- (1) Revenue from Power Supply also includes unbilled revenue towards FPPPA claims and other true up adjustments which is recognised considering applicable tariff regulations / tariff orders, past trends of approval and management's probability estimate.

The Company has not recognized those true up adjustment claims which are subject of dispute and for which the Company is in appeal with regulatory authorities. These are recognised on receipt of final orders of respective regulatory authorities.

(2) Movement in unbilled revenue

	As at March 31, 2024	As at March 31, 2023
Opening balance	2,570.30	1,903.53
Add: Income accrued during the year as per tariff regulations / orders	5,132.88	3,929.94
Less: Amount billed during the year to the consumers as per tariff orders	(4,515.47)	(3,263.17)
Closing balance	3,187.71	2,570.30
Disclosed under		
Unbilled revenue [Refer note 21]	3,187.71	2,572.31
Sundry payables	-	(2.01)
	3,187.71	2,570.30

(b) Contribution received from consumers

(1) Nature of contribution received from consumers

Contributions received from consumers towards property, plant and equipment has been recognised as deferred revenue over its useful life.

(2) Movement of contribution received from consumers

	As at March 31, 2024	As at March 31, 2023
Opening balance	1,401.15	1,281.54
Add: Contribution received during the year	179.31	216.93
Less: Amortisation of contribution transferred to statement of profit and loss [Refer note 35]	(104.78)	(97.32)
Closing balance	1,475.68	1,401.15
Non-current portion [Refer note 28]	1,368.85	1,300.44
Current portion [Refer note 32]	106.83	100.71
	1,475.68	1,401.15

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 43: Revenue from Contracts with Customers (Contd.)

(c) Service line deposit from consumers

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Opening balance	235.75	207.13
Add: Received during the year (net of refund)	179.24	245.55
Less: Transferred to contribution received from consumers	(179.31)	(216.93)
Closing balance [Refer note 32]	235.68	235.75

Footnote:

1. Service line deposits are collected against the cost of capital work to be carried out for new connection or load extension on application by consumers. On the completion of the work, such contribution is transferred to deferred revenue under the head "other current / non-current liabilities".

(d) Credit balance of consumers

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Opening balance	93.54	99.48
Add / (less) : Adjustment to current billing (net)	3.45	(5.94)
Closing balance [Refer note 32]	96.99	93.54

Note 44: Contingent Liabilities, Contingent Assets and Capital Commitments

(a) Contingent liabilities

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Disputed income tax matters	20.65	23.21
Disputed sales tax matters	0.96	0.96
Disputed service tax matters	0.49	0.49
Disputed custom duty matters	18.50	18.50
Disputed excise duty matters	0.18	0.18
Disputed stamp duty matters	36.37	36.37
Disputed value added tax matters	2.94	2.94
Claims against the Company not acknowledged as debt [Refer footnote 3]	164.90	127.56

The Company has evaluated the impact of Supreme Court ("SC") judgement dated February 28, 2019 in the case of Regional Provident Fund Commissioner (II) West Bengal v/s Vivekananda Vidyamandir and Others, in relation to exclusion of certain allowances from the definition of "basic wages" of the relevant employees for the purposes of determining contribution to Provident Fund ("PF") under the Employees' Provident Fund & Miscellaneous Provisions Act, 1952. There are interpretation issues relating to the said SC judgement. Based on such evaluation, management has concluded that effect of the aforesaid judgement on the Company is not material and accordingly, no provision has been made in the Standalone financial statements.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 44: Contingent Liabilities, Contingent Assets and Capital Commitments (Contd.)

Footnotes :

- Management believes that its position on the aforesaid direct and indirect tax demands and other claims against the company will likely be upheld in the appellate process and accordingly no provision has been made in the standalone financial statements for such demands.
- In respect of the above, the expected outflow will be determined at the time of final resolution of the dispute / matters. No reimbursement is expected.
- Break up of claims against the Company not acknowledged as debt as under:

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Claim of regulatory surcharge including interest in franchise distribution business	94.52	85.89
Demand including interest for Tariff Indexation for excess energy withdrawn in franchise distribution business	26.04	21.83
Compensation payable for short lifting for material	8.46	8.46
Others	35.88	11.38
	164.90	127.56

(b) Contingent assets

(₹ in Crore)		
	As at March 31, 2024	As at March 31, 2023
Claim for coal grade slippage	9.65	6.92
Claim of compensation for short lifting of material	8.46	8.46
	18.11	15.38

(c) Capital and other commitments

		(₹ in Crore)
	As at March 31, 2024	As at March 31, 2023
i)	Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances)	
	Property, plant and equipment	376.27464.35
ii)	Other commitments	
(a)	Equity investment in subsidiaries	205.49-
(b)	Guarantee given to lender of subsidiary company including interest thereon \$	1,336.00705.05
(c)	Guarantees given in favour of the debenture trustee for NCD issued by subsidiary companies including interest thereon \$\$\$\$	610.92616.20
(d)	Guarantee given in favour of trustee for loan taken by subsidiary companies including interest thereon \$\$	480.08480.10
(e)	Guarantee given in favour of lender taken by subsidiary companies \$\$\$	25.0124.64

\$ Utilised as at March 31, 2024 was ₹ 632.95 Crore (March 31, 2023 - ₹ 617.99 Crore).

\$\$ Utilised as at March 31, 2024 was ₹ 343.49 Crore (March 31, 2023 - ₹ 368.47 Crore).

\$\$\$ Utilised as at March 31, 2024 was ₹ 1.26 Crore (March 31, 2023 - ₹ 0.01 Crore).

\$\$\$\$ Utilised as at March 31, 2024 was ₹ 410.92 Crore (March 31, 2023 - ₹ 616.20 Crore).

Footnote :

- The guarantees given to lenders of subsidiaries are unlikely to be called, as subsidiaries are in a position to service the loans and interest, covered by such guarantees.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 45: The Company has given Loans to its Subsidiary Companies as under

(a) Disclosure under Regulation 34(3) read with para A of Schedule V of Securities and Exchange (as amended from time to time): Board of India (SEBI) (Listing Obligations and Disclosure Requirements) Regulations, 2015

(₹ in Crore)

	Maximum amount outstanding during the year		Amount outstanding	
	Year ended March 31, 2024	Year ended March 31, 2023	As at March 31, 2024	As at March 31, 2023
Subsidiary Companies				
Torrent Pipavav Generation Limited	65.05	64.30	65.05	64.30
Torrent Solargen Limited	1,094.31	851.19	1,094.33	348.60
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	332.45	295.87	270.64	288.13
Torrent Solar Power Private Limited	276.77	151.12	276.77	151.12
Torrent Saurya Urja 2 Private Limited	791.50	198.21	768.55	198.21
Surya Vidyut Limited	14.30	20.48	-	14.30
Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited)	134.45	179.27	115.75	128.24
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	395.59	357.16	53.06	-
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	271.77	247.20	233.63	247.12
Torrent Saurya Urja 4 Private Limited	58.82	20.08	58.82	20.08
Torrent Saurya Urja 3 Private Limited	45.13	-	45.13	-
Torrent Saurya Urja 5 Private Limited	34.96	-	32.94	-
Torrent Urja 8 Private Limited	107.98	-	107.98	-
Torrent Urja 9 Private Limited	0.04	-	0.04	-
Torrent Urja 10 Private Limited	12.16	-	12.16	-
Torrent Urja 11 Private Limited	0.02	-	0.02	-
Torrent Urja 12 Private Limited	0.02	-	0.02	-
Torrent Urja 13 Private Limited	0.02	-	0.02	-
Torrent Urja 14 Private Limited	0.02	-	0.02	-
Torrent Urja 15 Private Limited	0.02	-	0.02	-
Torrent Urja 16 Private Limited	0.02	-	0.02	-
Torrent Urja 17 Private Limited	0.02	-	0.02	-
Solapur Transmission Limited	5.99	-	5.99	-
Torrent Green Hydrogen Private Limited	*	-	*	-
Totrent Green Energy Private Limited	22.49	-	22.49	-
Air power Wind Farms Private Limited	28.04	-	28.04	-
Sunshakti Solar Power Projects Private Limited	152.62	274.56	95.48	152.62
			3,286.99	1,612.72

Footnotes:

- The Company has not given any loans or advances in the nature of loan to any firms / companies, in which Directors are interested.
- The above loans were given to the subsidiaries and associate for their normal business activities.
The Company is engaged in the business of providing infrastructural facilities as per Section 186 (11) of the Act. Accordingly, disclosure under Section 186 (4) of the Act, is not applicable to the Company.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 45: The Company has given Loans to its Subsidiary Companies as under (Contd.)

- (b) Details of Loans or Advances in the nature of loans are granted to promoters, Directors, KMPs and the related parties (as defined under Companies Act, 2013), either severally or jointly with any other person, that are:

- (a) repayable on demand; or
- (b) without specifying any terms or period of repayment

(₹ in Crore)

Type of Borrower	As at March 31, 2024		As at March 31, 2023	
	Amount of Loan or advance in nature of loan outstanding	Percentage to total loans and advances in the nature of loans	Amount of Loan or advance in nature of loan outstanding	Percentage to total loans and advances in the nature of loans
Related Parties	823.40	25.05%	1,324.59	82.13%
	823.40		1,324.59	

- (c) Except as detailed below, during the year ended March 31, 2024 and March 31, 2023, the Company has not advanced or loaned or invested funds (either borrowed funds or share premium or kind of funds) to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding (whether recorded in writing or otherwise) that the Intermediary shall:

- a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company (Ultimate Beneficiaries) or
- b) provide any guarantee, security or the like to or on behalf of the ultimate beneficiaries

Year ended March 31, 2024

(₹ in Crore)

Date of loan given to intermediary	Amount of loan given	Name of intermediary	Details of intermediary	Date of funds further invested to Ultimate beneficiary	Amount further invested to Ultimate beneficiary	Name of Ultimate beneficiary	Details of ultimate beneficiary
September 01, 2023	13.00	Torrent Green Energy Private Limited	Subsidiary Company, Indian CIN: U35105GJ2023PTC143527	September 01, 2023	6.39	Powerica Limited	Payment (Net of Taxes) made to Powerica Limited, Indian Company (CIN: U31100MH1984PLC032825) and Vestas Wind Technology Private Limited, Indian Company (U40101TN1996PTC036871), (erstwhile shareholder), for the acquisition of Airpower Wind Farms Private Limited (CIN: U40300GJ2016PTC151389) which became wholly owned Subsidiary of the Company w.e.f, September 01, 2023.
				September 01, 2023	6.39	Vestas Wind Technology Private Limited	
February 27, 2024	5.75	Torrent Green Energy Private Limited	Subsidiary Company, Indian CIN: U35105GJ2023PTC143527	February 28, 2024	2.86	Powerica Limited	
				February 28, 2024	2.86	Vestas Wind Technology Private Limited	

The Company has complied with the relevant provisions of the Companies Act, 2013 and is not violative of the Prevention of Money-laundering Act, 2002.

During the year ended March 31, 2024 and March 31, 2023, the Company has not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall:

- a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or
- b) provide any guarantee, security, or the like on behalf of the ultimate beneficiaries.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 46: Micro, Small and Medium Enterprises Development Act, 2006 (MSMED Act, 2006)

Micro and small enterprises under the Micro, Small and Medium Enterprises Development Act, 2006 (MSMED Act, 2006) have been determined based on the information available with the Company and the required disclosures are given below:

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
(a) Principal amount remaining unpaid [Refer notes 30 and 31]	70.83	80.00
(b) Interest due thereon	-	-
(c) The amount of interest paid along with the amounts of the payment made to the supplier beyond the appointed day during each accounting year		
(i) Principal amounts paid to the suppliers beyond the appointed day during the year	0.49	2.36
(ii) Interest paid under section 16 of the MSMED Act, to the suppliers, beyond the appointed day during the year	0.01	0.01
(d) The amount of interest due and payable for the year (where the principal has been paid but interest under the MSMED Act, 2006 not paid)	0.05	0.02
(e) The amount of interest accrued and remaining unpaid [b+d]	0.05	0.02
(f) The amount of further interest due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise, for the purpose of disallowance as a deductible expenditure under section 23.	-	-

Note 47: Leases

This note provides information for leases where the Company is a lessee.

(i) Amounts recognised in balance sheet

The balance sheet shows the following amounts relating to leases:

Right-of-use assets

(₹ in Crore)			
	Notes	As at March 31, 2024	As at March 31, 2023
Land	5	144.86	142.60
Buildings	5	23.67	22.94
Plant and machinery	5	0.13	0.18
Total		168.66	165.72

Lease liabilities

		(₹ in Crore)
	As at March 31, 2024	As at March 31, 2023
Current	6.38	5.33
Non-current	34.50	35.30
Total	40.88	40.63

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 47: Leases (Contd.)

(ii) Amounts recognised in the statement of profit and loss

The statement of profit or loss shows the following amounts relating to leases:

		(₹ in Crore)	
	Notes	Year ended March 31, 2024	Year ended March 31, 2023
Depreciation charge of right-of-use assets	39	13.78	11.26
Interest expense (included in finance costs)	38	3.56	3.57
Expense relating to short-term leases (included in other expenses)	40	1.49	2.19
Expense relating to leases of low-value assets that are not shown above as short-term leases (included in other expenses)	40	0.60	0.58
Total		19.43	17.60

(iii) Maturities of lease liabilities

As at March 31, 2024:

	(₹ in Crore)	
	Non-current lease liabilities	Current lease liabilities
Less than 1 year	-	8.65
Between 1 year and 5 years	30.94	-
5 years and above	17.03	-
Total	47.97	8.65

As at March 31, 2023:

	(₹ in Crore)	
	Non-current lease liabilities	Current lease liabilities
Less than 1 year	-	6.78
Between 1 year and 5 years	29.70	-
5 years and above	21.05	-
Total	50.75	6.78

(iv) The total cash outflow for leases :

		(₹ in Crore)	
	Notes	As at March 31, 2024	As at March 31, 2023
Principal elements of lease payments (disclosed in Cash flow statement)		20.03	7.78
Expense relating to short-term leases (included in other expenses)	40	1.49	2.19
Expense relating to leases of low-value assets that are not shown above as short-term leases (included in other expenses)	40	0.60	0.58
Total		22.12	10.55

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 47: Leases (Contd.)

(v) Lease asset of Shil, Mumbra and Kalwa (franchise area)

The Company has entered into a Distribution Franchise Agreement ("Agreement") dated February 11, 2019 with Maharashtra State Electricity Distribution Company Limited ("MSEDCL") whereby as per the Agreement the Company would distribute the electricity in the area of Shil, Mumbra and Kalwa in Thane District in Maharashtra ("Franchise area") for 20 years (effective from March 01, 2020).

As per the Agreement, the Company would purchase electricity from MSEDCL at the rate which would be derived through mechanism as mentioned in the Agreement which is linked to the number of units purchased and would distribute electricity to the Consumers at the tariff which has been approved by Maharashtra Electricity Regulation Commission (MERC).

Further as per the Agreement, the Company has right to use existing assets of MSEDCL in the Franchise area provided it shall perform all the obligations and accepts all liabilities of MSEDCL on behalf of distribution licensee in Franchise area and MSEDCL shall not charge any rent for the use of such assets.

Considering the facts of the arrangement, the Company has the right to obtain substantially all of the economic benefits from use of MSEDCL assets of the Franchise area and the right to direct the use of the said assets for 20 years and accordingly it would meet the definition of Lease as per Ind AS 116. Further, for distribution of electricity, the Company would purchase power from MSEDCL for which payment would be made as per the franchise agreement which is linked to the number of units purchased. Accordingly the payments by the Company to MSEDCL is variable in nature and there are no fixed payments in the form of minimum purchase commitments, take or pay or any sort of fixed charges is required to be made.

Considering the entire payment made by the Company for this arrangement is variable in nature and there would be no lease liability required to be recognised with a corresponding right of use assets on initial recognition in accordance with Ind AS 116 and considering non-availability of relevant observable information for lease payments, management estimates and cost benefit analysis, total consideration payable to MSEDCL towards purchase of electricity has been shown as 'Electrical energy purchased' in the Financial Statements.

Note 48: Employee Benefits Plan

48.1 Defined contribution plan

The Company has defined contribution retirement benefit plans for its employees.

The Company's contributions to provident fund, pension scheme and employee state insurance scheme are made to the relevant government authorities as per the prescribed rules and regulations. The Company's superannuation scheme for qualifying employees is administered through its various superannuation trust funds. The Company's contributions to the above defined contribution plans are recognised as employee benefit expenses in the statement of profit and loss for the year in which they are due. The Company has no further obligation in respect of such plans beyond the contributions made.

The Company's contribution to provident, pension, superannuation funds and to employees state insurance scheme aggregating to ₹ 46.32 Crore (Previous year - ₹ 43.77 Crore) has been recognised in the statement of profit and loss under the head employee benefits expense [Refer note 37].

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 48: Employee Benefits Plan (Contd.)

48.2 Defined benefit plans

(a) Gratuity

The Company operates through various gratuity trust, a plan, covering all its employees. The benefit payable is the greater of the amount calculated as per the Payment of Gratuity Act, 1972 or the Company scheme applicable to the employee. The benefit vests upon completion of five years of continuous service and once vested it is payable to employees on retirement or on termination of employment. The gratuity benefits payable to the employees are based on the tenure of employee's service and last drawn salary at the time of leaving. The employees do not contribute towards this plan and the full cost of providing these benefits are met by the Company. In case of death while in service, the gratuity is payable irrespective of vesting.

The Company makes annual contribution to the gratuity schemes administered by the Life Insurance Corporation of India through its various Gratuity Trust Funds. The liability in respect of plan is determined on the basis of an actuarial valuation.

(b) Risk exposure to defined benefit plans

The plans typically expose the Company to actuarial risks such as: asset volatility, interest rate risk, longevity risk and salary risk as described below:

Asset volatility

The present value of the defined benefit plan liability is calculated using a discount rate which is determined by reference to market yields at the end of the reporting period on Indian government securities; if the return on plan asset is below this rate, it will create a plan deficit."

Interest risk

A decrease in the bond interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plan's debt investments."

Longevity risk

The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability."

Salary risk

The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability."

The most recent actuarial valuation of the plan assets and the present value of the defined benefit obligation was carried out at March 31, 2024. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the projected unit credit method.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 48: Employee Benefits Plan (Contd.)

(c) Significant assumptions

The principal assumptions used for the purpose of the actuarial valuation were as follows.

	As at March 31, 2024	As at March 31, 2023
Discount rate (p.a.)	7.27%	7.57%
Salary escalation rate (p.a.)	8.50%	8.50%

(d) The amount included in the balance sheet arising from the Company's obligation in respect of its defined benefit plans is as follows:

Balances of defined benefit plan

	As at March 31, 2024	As at March 31, 2023
Present value of funded defined benefit obligation	288.69	267.75
Fair value of plan assets	263.93	269.39
Net (asset) / liability [Refer note 21 and note 33]	24.76	(1.64)

(₹ in Crore)

(e) Expenses recognised for defined benefit plan and movement of plan assets and liabilities

Following are the amounts recognised in statement of profit and loss, other comprehensive income, movement in defined benefit liability and movement in plan assets:

	As at March 31, 2024	As at March 31, 2023
Funded plan- Gratuity		
1 Movements in the present value of the defined benefit obligation:		
Obligation at the beginning of the year	267.75	275.91
Current service cost	17.01	17.67
Interest cost	20.27	19.78
Actuarial (gains) / losses from changes in demographic assumptions	-	-
Actuarial (gains) / losses arising changes in financial assumptions	8.23	(10.10)
Actuarial (gains) / losses from experience adjustments	6.28	0.38
Liability transferred in	3.37	4.27
Liability transferred out	(3.50)	(8.57)
Benefits paid directly by employer	(4.82)	(4.84)
Benefits paid	(25.90)	(26.75)
Obligation at the end of the year	288.69	267.75

(₹ in Crore)

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 48: Employee Benefits Plan (Contd.)

(₹ in Crore)		
	Funded plan- Gratuity	
	As at March 31, 2024	As at March 31, 2023
2 Movements in the fair value of the plan assets:		
Plan assets at the beginning of the year, at fair value	269.39	263.68
Interest income	20.39	18.90
Return on plan assets (excluding interest income)	(1.18)	1.49
Contributions received	1.23	12.07
Benefits paid	(25.90)	(26.75)
Plan assets at the end of the year, at fair value	263.93	269.39
3 Gratuity cost recognized in the statement of profit and loss		
Current service cost	17.01	17.67
Interest cost, net	(0.12)	0.88
Net gratuity cost recognized in the statement of profit and loss [Refer note 37]	16.89	18.55
4 Gratuity cost recognized in the other comprehensive income (OCI)		
Return on plan assets (excluding interest income)	1.18	(1.49)
Actuarial (gains) / losses	14.51	(9.72)
Net (income) / expense for the period recognized in OCI	15.69	(11.21)

(f) Category wise plan assets

Contributions to fund the obligations under the gratuity plan are made to the Life Insurance Corporation of India.

(g) Sensitivity analysis

Significant actuarial assumptions for the determination of the defined obligation are discount rate and expected salary increase. The sensitivity analysis given below have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

Change in assumptions

(₹ in Crore)		
	As at March 31, 2024	As at March 31, 2023
Increase / (decrease) in defined benefit obligation of gratuity		
50 basis points increase in discount rate	(13.51)	(11.70)
50 basis points decrease in discount rate	14.72	12.74
50 basis points increase in salary escalation rate	14.48	12.56
50 basis points decrease in salary escalation rate	(13.43)	(11.66)

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligation as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligation liability recognised in the balance sheet.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 48: Employee Benefits Plan (Contd.)

- (h) The weighted average duration of the gratuity plan based on average future service is 18 years (Previous year - 18 years).
- (i) Expected contribution to the plan for the next annual reporting period is ₹ 24.76 Crore (Previous year - ₹ Nil).
- (j) **Cash flow projection from the fund**
Projected benefits payable in future years from the date of reporting

(₹ in Crore)		
Funded plan- Gratuity		
	As at March 31, 2024	As at March 31, 2023
1 st following year	30.04	30.05
2 nd following year	16.41	17.54
3 rd following year	19.25	27.57
4 th following year	21.10	18.32
5 th following year	18.83	19.59
sum of years 6 th to 10 th	103.35	98.03
more than 10 years	521.13	469.69

48.3 Other long-term employee benefit obligations

The leave obligation covers the Company's liability for sick and earned leave. Under these compensated absences plans, leave encashment is payable to all eligible employees on separation from the Company due to death, retirement or resignation; at the rate of daily last drawn salary, multiplied by leave days accumulated as at the end of relevant period. Refer notes 33 and 37 for the leave encashment provision / charge in the balance sheet and statement of profit and loss.

Note 49: Auditors Remuneration (including taxes)

(₹ in Crore)		
	Year ended March 31, 2024	Year ended March 31, 2023
As audit fees	1.37	1.36
For other services	0.72	0.55
For reimbursement of expenses	0.18	0.12
	2.27	2.03

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 50: Corporate Social Responsibility (CSR) Expenditure

(₹ in Crore)

	Year ended March 31, 2024	Year ended March 31, 2023
(a) Amount required to be spent by the company during the year	60.89	50.64
(b) Amount spent during the year on		
(i) Construction / acquisition of any asset	4.44	3.31
(ii) On purposes other than (i) above	38.63	29.31
(c) Shortfall / Unspent at the end of the year	11.34	18.62
(d) Total of previous years shortfall / Unspent (Refer Footnote 1 below)	6.48	-
(e) Reason for shortfall / Unspent	Ongoing project	Ongoing project
(f) Nature of CSR activities	1) Pediatric health care activity. 2) Development and maintenance of public parks and Lakes. 3) Education for urban and rural slum children. 4) Equestrian training facilities. 5) Ecological Upgradation of Palitana Hills 6) Plastic Waste Management	1) Pediatric health care activity. 2) Development and maintenance of public parks. 3) Education for urban and rural slum children. 4) Equestrian training facilities.
(g) Contribution to section 8 related companies, included in (b) above, in relation to CSR expenditure		
(i) UNM Foundation	29.45	32.45
	29.45	32.45

Footnote:

1 Unspent amount has been transferred to special bank account u/s 135 (6) of the Companies Act 2013

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 51: Donations to Political Parties

(₹ in Crore)

	Year ended March 31, 2024	Year ended March 31, 2023
Bharatiya Janata Party	25.00	13.11
Nationalist Congress Party	1.50	-
Aam Aadmi Party	-	5.00
Indian National Congress	12.00	5.00
Prudent Electoral Trust	11.50	-
	50.00	23.11

Note 52: Earnings Per Share

(₹ in Crore)

	Year ended March 31, 2024	Year ended March 31, 2023
Basic earnings per share (₹)	37.41	43.77
Diluted earnings per share (₹)	37.41	43.77

Basic and diluted earnings per share

The earnings and weighted average number of equity shares used in the calculation of basic earnings per share are as follows:

	Year ended March 31, 2024	Year ended March 31, 2023
Profit for the year (₹ in Crore)	1,798.03	2,103.72
Weighted average number of equity shares	48,06,16,784	48,06,16,784
Nominal value of shares (₹)	10	10

The Company does not have any dilutive potential ordinary shares and therefore diluted earnings per share is the same as basic earnings per share.

Note 53: Operating Segments

During the current year, in line with the reassessment for reporting financial information to the entity's chief operating decision maker (CODM), the CODM evaluates the Company's performance and applies the resources to whole of the Company's business viz. "Generation, Renewables, Transmission and Distribution of Power". In accordance with Ind AS - 108 "Operating Segments", the Company has disclosed the segment information in the Consolidated financial statements and therefore no separate disclosure of segment information is given in the standalone financial statement.

Note 54: Certified Emission Reduction (CERs)

	As at March 31, 2024	As at March 31, 2023
No. of CERs inventory	49,97,674	49,97,674
No. of CERs under certification	-	-

Inventories of CERs are valued at cost or market price whichever is lower.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures

(a) Names of related parties and description of relationship:

1	Entities having joint control over Parent Company	Mehta Family Trust 1, Mehta Family Trust 2, Mehta Family Trust 3, Mehta Family Trust 4
2	Parent Company	Torrent Investments Private Limited
3	Subsidiaries and step down subsidiaries	Torrent Power Grid Limited, Torrent Pipavav Generation Limited, Torrent Solargen Limited, Jodhpur Wind Farms Private Limited, Latur Renewable Private Limited, Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited), Torrent Solar Power Private Limited, Torrent Saurya Urja 2 Private Limited, Torrent Saurya Urja 3 Private Limited, Torrent Saurya Urja 4 Private Limited, Torrent Saurya Urja 5 Private Limited, Visual Percept Solar Projects Private Limited, Surya Vidyut Limited, Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited, Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited), Sun Shakti Solar Power Projects Private Limited (w.e.f. June 13, 2022), Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited) (w.e.f. July 30, 2022), Torrent Urja 8 Private Limited (w.e.f. April 28, 2023), Torrent Urja 9 Private Limited (w.e.f. April 26, 2023), Torrent Urja 10 Private Limited (w.e.f. April 21, 2023), Torrent Urja 11 Private Limited (w.e.f. April 20, 2023), Torrent Urja 12 Private Limited (w.e.f. April 18, 2023), Torrent Urja 13 Private Limited (w.e.f. April 26, 2023), Torrent Urja 14 Private Limited (w.e.f. May 11, 2023), Torrent Urja 15 Private Limited (w.e.f. May 11, 2023), Torrent Urja 16 Private Limited (w.e.f. May 11, 2023), Torrent Urja 17 Private Limited (w.e.f. May 11, 2023), Torrent Green Energy Private Limited (w.e.f. August 02, 2023), Torrent Green Hydrogen Private Limited (w.e.f. December 29, 2023), Torrent PSH 1 Private Limited (w.e.f. January 03, 2024), Torrent PSH 2 Private Limited (w.e.f. January 03, 2024), Torrent PSH 3 Private Limited (w.e.f. December 29, 2023), Torrent PSH 4 Private Limited (w.e.f. December 30, 2023), Airpower Windfarms Private Limited (w.e.f. September 01, 2023) and Solapur Transmission Limited (w.e.f. March 20, 2024).
4	Associates	Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited) (upto July 29, 2022)
5	Employee benefits plans*	TPL (Ahmedabad) Gratuity Trust, TPL (Ahmedabad) Superannuation Fund, TPL (Surat) Gratuity Trust, TPL (Surat) Superannuation Fund, TPL (SUGEN) Gratuity Trust, TPL (SUGEN) Superannuation Fund, TPL (DGEN) Gratuity Trust and TPL (DGEN) Superannuation Fund.
6	Key management personnel	Samir Mehta, Chairperson Jinal Mehta, Managing Director Varun Mehta (w.e.f. August 8, 2022), Wholetime Director Sudhir Mehta (Up to March 31, 2024), Chairman Emeritus Pankaj Patel (Upto March 31, 2024), Independent Director Samir Barua (Upto September 30, 2022), Independent Director Keki Mistry (Upto March 31, 2024), Independent Director Usha Sangwan, Independent Director Radhika Haribhakti, Independent Director Mamta Verma, Independent Director Ketan Dalal (w.e.f. May 11, 2022), Independent Director Apurva Diwanji (w.e.f. February 08, 2024), Independent Director
7	Close member of key management personnel*	Varun Mehta (upto August 07, 2022)
8	Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence*	UNM Foundation, Torrent Pharmaceuticals Limited, Torrent Power Services Private Limited, Torrent Gas Pune Limited [^] , Torrent Gas Limited (Formerly known as Torrent Gas Private Limited), Torrent Gas Chennai Private Limited, Torrent Gas Jaipur Private Limited, Torrent Gas Moradabad Limited [^] , Torrent Fincorp Private Limited, Torrent Sports Ventures Private Limited, Torrent Diagnostics Private Limited, Torrent Hospitals Private Limited and School of Ultimate Leadership Foundation (w.e.f. October 15, 2022) .

*where transactions have taken place during the year and / or previous year or where balances are outstanding at the year end

[^]Torrent Gas Pune Limited and Torrent Gas Moradabad Limited has been merged with Torrent Gas Limited (Formerly known as Torrent Gas Private Limited) w.e.f. April 01, 2023 (appointed date). Hence transactions with Torrent Gas Pune Limited and Torrent Gas Moradabad Limited for year ended March 31, 2024 has been disclosed under Torrent Gas Limited.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(b) Related party transactions

	Subsidiaries and step down subsidiary		Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023
Nature of transactions												
Sale of Inventory	0.02	3.40	-	-	-	-	-	-	-	-	0.02	3.40
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	-	3.40	-	-	-	-	-	-	-	-	-	3.40
Torrent Saurya Urja 2 Private Limited	0.02	-	-	-	-	-	-	-	-	-	0.02	-
Dividend income	33.74	30.98	-	-	-	-	-	-	-	-	33.74	30.98
Torrent Power Grid Limited	5.99	12.66	-	-	-	-	-	-	-	-	5.99	12.66
Visual Percept Solar Power Projects Private Limited	27.75	18.32	-	-	-	-	-	-	-	-	27.75	18.32
Interest income	187.38	105.14	-	3.45	-	-	-	-	-	-	187.38	108.59
Surya Vidyut Limited	0.17	0.65	-	-	-	-	-	-	-	-	0.17	0.65
Torrent Solargen Limited	50.20	28.70	-	-	-	-	-	-	-	-	50.20	28.70
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	24.28	19.94	-	-	-	-	-	-	-	-	24.28	19.94
Torrent Solar Power Private Limited	16.89	7.58	-	-	-	-	-	-	-	-	16.89	7.58
Torrent Saurya Urja 2 Private Limited	35.24	5.85	-	-	-	-	-	-	-	-	35.24	5.85
Torrent Saurya Urja 3 Private Limited	1.64	-	-	-	-	-	-	-	-	-	1.64	-
Torrent Saurya Urja 4 Private Limited	3.55	0.12	-	-	-	-	-	-	-	-	3.55	0.12
Torrent Saurya Urja 5 Private Limited	2.04	-	-	-	-	-	-	-	-	-	2.04	-
Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited)	10.63	10.65	-	-	-	-	-	-	-	-	10.63	10.65
Sunshakti Solar Power Projects Private Limited	9.72	15.44	-	-	-	-	-	-	-	-	9.72	15.44
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	8.65	8.28	-	-	-	-	-	-	-	-	8.65	8.28

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(b) Related party transactions

	Subsidiaries and step down subsidiary		Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	22.18	7.93	-	3.45	-	-	-	-	-	-	22.18	11.38
Torrent Green Energy Private Limited	0.82	-	-	-	-	-	-	-	-	-	0.82	-
Torrent Urja 8 Private Limited	0.80	-	-	-	-	-	-	-	-	-	0.80	-
Torrent Urja 9 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Urja 10 Private Limited	0.18	-	-	-	-	-	-	-	-	-	0.18	-
Torrent Urja 11 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Urja 12 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Urja 13 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Urja 14 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Urja 15 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Urja 16 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Urja 17 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Solapur Transmission Limited	0.03	-	-	-	-	-	-	-	-	-	0.03	-
Airpower Windfarms Private Limited	0.36	-	-	-	-	-	-	-	-	-	0.36	-
Amortised premium on Non Convertible debentures	0.09	4.66	-	2.62	-	-	-	-	-	-	0.09	7.28
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	0.09	4.66	-	2.62	-	-	-	-	-	-	0.09	7.28
Dividend paid	-	-	-	-	-	-	-	-	-	-	-	-
Torrent Investments Private Limited	-	-	-	-	-	-	-	-	-	-	-	-
Services provided (rent income including tax)	1.37	1.37	-	-	-	-	-	-	1.51	1.35	2.88	2.72
Torrent Power Grid Limited	*	*	-	-	-	-	-	-	-	-	*	*
Torrent Pipavav Generation Limited	*	*	-	-	-	-	-	-	-	-	*	*

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(b) Related party transactions

	Subsidiaries and step down subsidiary		Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023
Torrent Solargen Limited	*	*	-	-	-	-	-	-	-	-	*	*
Latur Renewable Private Limited	*	*	-	-	-	-	-	-	-	-	*	*
Jodhpur Wind Farms Private Limited	*	*	-	-	-	-	-	-	-	-	*	*
Visual Percept Solar Power Projects Private Limited	*	*	-	-	-	-	-	-	-	-	*	*
Torrent Solar Power Private Limited	*	*	-	-	-	-	-	-	-	-	*	*
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	1.37	1.37	-	-	-	-	-	-	-	-	1.37	1.37
Torrent Saurya Urja 2 Private Limited	*	*	-	-	-	-	-	-	-	-	*	*
Torrent Saurya Urja 3 Private Limited	*	*	-	-	-	-	-	-	-	-	*	*
Torrent Saurya Urja 4 Private Limited	*	*	-	-	-	-	-	-	-	-	*	*
Torrent Saurya Urja 5 Private Limited	*	*	-	-	-	-	-	-	-	-	*	*
Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited)	*	*	-	-	-	-	-	-	-	-	*	*
UNM Foundation	-	-	-	-	-	-	-	-	*	*	*	*
Torrent Investments Private Limited	-	-	-	-	-	-	-	-	*	*	*	*
Torrent Power Services Private Limited	-	-	-	-	-	-	-	-	*	*	*	*
Torrent Gas Limited (Formerly known as Torrent Gas Private Limited)	-	-	-	-	-	-	-	-	1.29	0.47	1.29	0.47
Torrent Fincorp Private Limited	-	-	-	-	-	-	-	-	*	*	*	*
Torrent Sports Ventures Private Limited	-	-	-	-	-	-	-	-	*	*	*	*
Torrent Gas Chennai Private Limited	-	-	-	-	-	-	-	-	0.11	0.22	0.11	0.22
Torrent Gas Jaipur Private Limited	-	-	-	-	-	-	-	-	0.11	0.22	0.11	0.22
Torrent Gas Pune Limited (Merged with Torrent Gas Limited)	-	-	-	-	-	-	-	-	-	0.22	-	0.22

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(b) Related party transactions

	Subsidiaries and step down subsidiary		Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023
Torrent Gas Moradabad Limited (Merged with Torrent Gas Limited)	-	-	-	-	-	-	-	-	-	0.22	-	0.22
Torrent Hospitals Private Limited	-	-	-	-	-	-	-	-	-	-	-	-
School of Ultimate Leadership Foundation	-	-	-	-	-	-	-	-	-	-	-	-
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	*	*	-	-	-	-	-	-	-	-	-	-
Torrent Diagnostics Private Limited	-	-	-	-	-	-	-	-	-	-	-	-
Sunshakti Solar Power Projects Private Limited	*	-	-	-	-	-	-	-	-	-	-	-
Torrent Green Energy Private Limited	*	-	-	-	-	-	-	-	-	-	-	-
Torrent Urja 8 Private Limited	*	-	-	-	-	-	-	-	-	-	-	-
Torrent Urja 9 Private Limited	*	-	-	-	-	-	-	-	-	-	-	-
Torrent Urja 10 Private Limited	*	-	-	-	-	-	-	-	-	-	-	-
Torrent Urja 11 Private Limited	*	-	-	-	-	-	-	-	-	-	-	-
Torrent Urja 12 Private Limited	*	-	-	-	-	-	-	-	-	-	-	-
Torrent Urja 13 Private Limited	*	-	-	-	-	-	-	-	-	-	-	-
Torrent Urja 14 Private Limited	*	-	-	-	-	-	-	-	-	-	-	-
Torrent Urja 15 Private Limited	*	-	-	-	-	-	-	-	-	-	-	-
Torrent Urja 16 Private Limited	*	-	-	-	-	-	-	-	-	-	-	-
Torrent Urja 17 Private Limited	*	-	-	-	-	-	-	-	-	-	-	-
Torrent PSH 1 Private Limited	*	-	-	-	-	-	-	-	-	-	-	-
Torrent PSH 2 Private Limited	*	-	-	-	-	-	-	-	-	-	-	-
Torrent PSH 3 Private Limited	*	-	-	-	-	-	-	-	-	-	-	-
Torrent PSH 4 Private Limited	*	-	-	-	-	-	-	-	-	-	-	-
Torrent Green Hydrogen Private Limited	*	-	-	-	-	-	-	-	-	-	-	-

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(b) Related party transactions

	Subsidiaries and step down subsidiary		Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023
Services received / remuneration paid	0.85	0.54	-	-	-	-	-	-	-	1.16	0.85	1.70
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	0.85	0.54	-	-	-	-	-	-	-	-	0.85	0.54
Varun Mehta	-	-	-	-	-	-	-	-	-	1.16	-	1.16
Purchase of cables	151.59	199.17	-	-	-	-	-	-	-	-	151.59	199.17
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	151.59	199.17	-	-	-	-	-	-	-	-	151.59	199.17
Purchase of materials	-	-	-	-	-	-	-	-	-	-	296.32	-
Torrent Gas Limited (Formerly known as Torrent Gas Private Limited)	-	-	-	-	-	-	-	-	-	-	296.32	-
Assignment of gas contract	-	-	-	-	-	-	-	-	-	-	19.47	-
Torrent Gas Limited (Formerly known as Torrent Gas Private Limited)	-	-	-	-	-	-	-	-	-	-	19.47	-
Shared expenditure charged to	0.49	1.91	-	0.11	-	-	-	-	-	-	0.49	2.02
Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited)	0.05	0.12	-	-	-	-	-	-	-	-	0.05	0.12
Torrent Pipavav Generation Limited	0.12	0.46	-	-	-	-	-	-	-	-	0.12	0.46
Visual Percept Solar Power Projects Private Limited	0.04	0.10	-	-	-	-	-	-	-	-	0.04	0.10
Torrent Solargen Limited	0.05	0.39	-	-	-	-	-	-	-	-	0.05	0.39
Torrent Power Grid Limited	-	0.10	-	-	-	-	-	-	-	-	-	0.10
Latur Renewable Private Limited	0.05	0.15	-	-	-	-	-	-	-	-	0.05	0.15
Jodhpur Wind Farms Private Limited	0.07	0.31	-	-	-	-	-	-	-	-	0.07	0.31

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(b) Related party transactions

	Subsidiaries and step down subsidiary		Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	0.07	0.20	-	0.11	-	-	-	-	-	-	0.07	0.31
Surya Vidyut Limited	0.04	0.08	-	-	-	-	-	-	-	-	0.04	0.08
Expenses incurred on behalf of Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	4.89	1.64	-	-	-	-	-	2.30	0.13	-	7.19	1.77
Torrent Solargen Limited	1.04	0.11	-	-	-	-	-	-	-	-	0.33	1.07
Jodhpur Wind Farms Private Limited	1.08	*	-	-	-	-	-	-	-	-	1.04	0.11
Latur Renewable Private Limited	0.63	*	-	-	-	-	-	-	-	-	1.08	*
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	0.11	0.06	-	-	-	-	-	-	-	-	0.63	*
Torrent Solar Power Private Limited	0.17	0.24	-	-	-	-	-	-	-	-	0.11	0.06
Torrent Saurya Urja 2 Private Limited	0.98	0.16	-	-	-	-	-	-	-	-	0.17	0.24
Torrent Saurya Urja 3 Private Limited	*	-	-	-	-	-	-	-	-	-	0.98	0.16
Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited)	-	*	-	-	-	-	-	-	-	-	*	-
Surya Vidyut Limited	0.41	-	-	-	-	-	-	-	-	-	0.41	-
Sunshakti Solar Power Projects Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Urja 9 Private Limited	0.02	-	-	-	-	-	-	-	-	-	0.02	-
Airpower Windfarms Private Limited	0.12	-	-	-	-	-	-	-	-	-	0.12	-

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(b) Related party transactions

	Subsidiaries and step down subsidiary		Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023
UNM Foundation	-	-	-	-	-	-	-	-	2.13	-	2.13	-
Torrent Gas Limited (Formerly known as Torrent Gas Private Limited)	-	-	-	-	-	-	-	-	0.13	0.05	0.13	0.05
Torrent Gas Pune Limited (Merged with Torrent Gas Limited)	-	-	-	-	-	-	-	-	-	0.02	-	0.02
Torrent Gas Chennai Private Limited	-	-	-	-	-	-	-	-	0.02	0.02	0.02	0.02
Torrent Gas Jaipur Private Limited	-	-	-	-	-	-	-	-	0.02	0.02	0.02	0.02
Torrent Gas Moradabad Limited (Merged with Torrent Gas Limited)	-	-	-	-	-	-	-	-	-	0.02	-	0.02
Amount recovered for payment made on behalf of subsidiary for acquisition of company	3.00	-	-	-	-	-	-	-	-	-	3.00	-
Torrent Green Energy Private Limited	3.00	-	-	-	-	-	-	-	-	-	3.00	-
Impairment in value of investment	0.35	0.80	-	-	-	-	-	-	-	-	0.35	0.80
Torrent Pipavav Generation Limited	0.35	0.80	-	-	-	-	-	-	-	-	0.35	0.80
Transfer of gratuity/leave liability to / (from)	0.19	5.61	-	-	-	-	-	-	0.03	0.18	0.22	5.79
UNM Foundation	-	-	-	-	-	-	-	-	0.03	-	0.03	-
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	0.04	0.06	-	-	-	-	-	-	-	-	0.04	0.06
Torrent Power Grid Limited	-	(0.21)	-	-	-	-	-	-	-	-	-	(0.21)
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	0.15	5.76	-	-	-	-	-	-	-	-	0.15	5.76
Torrent Gas Jaipur Private Limited	-	-	-	-	-	-	-	(0.04)	-	0.22	-	(0.04)
Torrent Gas Limited (Formerly known as Torrent Gas Private Limited)	-	-	-	-	-	-	-	-	-	-	-	0.22

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(b) Related party transactions

	Subsidiaries and step down subsidiary		Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023
Managerial remuneration@	-	-	-	-	-	-	36.72	36.09	-	-	36.72	36.09
Samir Mehta	-	-	-	-	-	-	13.00	15.00	-	-	13.00	15.00
Varun Mehta	-	-	-	-	-	-	4.66	3.00	-	-	4.66	3.00
Jinal Mehta	-	-	-	-	-	-	19.06	18.09	-	-	19.06	18.09
Commission to non-executive directors@@	-	-	-	-	-	-	2.89	2.19	-	-	2.89	2.19
Samir Barua	-	-	-	-	-	-	-	0.23	-	-	-	0.23
Keki Mistry	-	-	-	-	-	-	0.50	0.27	-	-	0.50	0.27
Pankaj Patel	-	-	-	-	-	-	0.41	0.31	-	-	0.41	0.31
Usha Sangwan	-	-	-	-	-	-	0.58	0.48	-	-	0.58	0.48
Radhika Haribhakti	-	-	-	-	-	-	0.64	0.48	-	-	0.64	0.48
Ketan Dalal	-	-	-	-	-	-	0.62	0.35	-	-	0.62	0.35
Mamta Verma#	-	-	-	-	-	-	0.14	0.07	-	-	0.14	0.07
Sitting fees to non-executive directors@@	-	-	-	-	-	-	0.78	0.58	-	-	0.78	0.58
Samir Barua	-	-	-	-	-	-	-	0.06	-	-	-	0.06
Keki Mistry	-	-	-	-	-	-	0.11	0.06	-	-	0.11	0.06
Pankaj Patel	-	-	-	-	-	-	0.10	0.07	-	-	0.10	0.07
Usha Sangwan	-	-	-	-	-	-	0.16	0.14	-	-	0.16	0.14
Radhika Haribhakti	-	-	-	-	-	-	0.20	0.14	-	-	0.20	0.14
Mamta Verma#	-	-	-	-	-	-	0.02	0.01	-	-	0.02	0.01
Ketal Dalal	-	-	-	-	-	-	0.19	0.10	-	-	0.19	0.10
Donation	-	-	-	-	-	-	-	-	5.85	9.55	5.85	9.55
UNM Foundation	-	-	-	-	-	-	-	-	5.85	9.55	5.85	9.55

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(b) Related party transactions

	Subsidiaries and step down subsidiary		Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023
Contribution towards CSR	-	-	-	-	-	-	-	-	29.45	32.45	29.45	32.45
UNM Foundation	-	-	-	-	-	-	-	-	29.45	32.45	29.45	32.45
Contribution to employee benefit plans (net)	-	-	-	-	11.84	22.21	-	-	-	-	11.84	22.21
TPL (Ahmedabad) Gratuity Trust	-	-	-	-	0.01	10.12	-	-	-	-	0.01	10.12
TPL (Ahmedabad) Superannuation Fund	-	-	-	-	8.11	7.91	-	-	-	-	8.11	7.91
TPL (Surat) Gratuity Trust	-	-	-	-	-	1.53	-	-	-	-	-	1.53
TPL (Surat) Superannuation Fund	-	-	-	-	1.61	1.45	-	-	-	-	1.61	1.45
TPL (SUGEN) Gratuity Trust	-	-	-	-	1.21	0.40	-	-	-	-	1.21	0.40
TPL (SUGEN) Superannuation Fund	-	-	-	-	0.58	0.52	-	-	-	-	0.58	0.52
TPL (DGEN) Gratuity Trust	-	-	-	-	0.05	0.03	-	-	-	-	0.05	0.03
TPL (DGEN) Superannuation Fund	-	-	-	-	0.27	0.25	-	-	-	-	0.27	0.25
Equity Contribution	90.17	-	-	-	-	-	-	-	-	-	90.17	-
Torrent Saurya Urja 3 Private Limited	0.75	-	-	-	-	-	-	-	-	-	0.75	-
Torrent Saurya Urja 5 Private Limited	11.79	-	-	-	-	-	-	-	-	-	11.79	-
Torrent Green Energy Private Limited	0.05	-	-	-	-	-	-	-	-	-	0.05	-
Torrent Green Hydrogen Private Limited	0.01	-	-	-	-	-	-	-	-	-	0.01	-
Torrent Urja 8 Private Limited	0.01	-	-	-	-	-	-	-	-	-	0.01	-
Torrent Urja 9 Private Limited	0.01	-	-	-	-	-	-	-	-	-	0.01	-
Torrent Urja 10 Private Limited	2.95	-	-	-	-	-	-	-	-	-	2.95	-
Torrent Urja 11 Private Limited	0.01	-	-	-	-	-	-	-	-	-	0.01	-
Torrent Urja 12 Private Limited	0.01	-	-	-	-	-	-	-	-	-	0.01	-
Torrent Urja 13 Private Limited	0.01	-	-	-	-	-	-	-	-	-	0.01	-
Torrent Urja 14 Private Limited	0.01	-	-	-	-	-	-	-	-	-	0.01	-

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(b) Related party transactions

	Subsidiaries and step down subsidiary		Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023
Torrent Urja 15 Private Limited	0.01	-	-	-	-	-	-	-	-	-	0.01	-
Torrent Urja 16 Private Limited	0.01	-	-	-	-	-	-	-	-	-	0.01	-
Torrent Urja 17 Private Limited	0.01	-	-	-	-	-	-	-	-	-	0.01	-
Torrent PSH 1 Private Limited	0.01	-	-	-	-	-	-	-	-	-	0.01	-
Torrent PSH 2 Private Limited	0.01	-	-	-	-	-	-	-	-	-	0.01	-
Torrent PSH 3 Private Limited	0.01	-	-	-	-	-	-	-	-	-	0.01	-
Torrent PSH 4 Private Limited	0.01	-	-	-	-	-	-	-	-	-	0.01	-
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	42.00	-	-	-	-	-	-	-	-	-	42.00	-
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	32.49	-	-	-	-	-	-	-	-	-	32.49	-
Conversion of Compulsory-convertible Debenture into Equity share capital	-	88.53	-	-	-	-	-	-	-	-	-	88.53
Sunshakti Solar Power Projects Private Limited	-	36.69	-	-	-	-	-	-	-	-	-	36.69
Torrent Saurya Urja 6 Private Limited	-	51.84	-	-	-	-	-	-	-	-	-	51.84
Fractional shares payment	-	*	-	-	-	-	-	-	-	-	-	*
Sunshakti Solar Power Projects Private Limited	-	*	-	-	-	-	-	-	-	-	-	*
Redemption of non-convertible debentures	17.94	72.76	-	-	-	-	-	-	-	-	17.94	72.76
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	17.94	72.76	-	-	-	-	-	-	-	-	17.94	72.76

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(b) Related party transactions

	Subsidiaries and step down subsidiary		Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023
Premium on NCD	-	4.66	-	2.62	-	-	-	-	-	-	-	7.28
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	-	4.66	-	2.62	-	-	-	-	-	-	-	7.28
Securities Given	-	17.52	-	-	-	-	-	-	-	-	-	17.52
Surya Vidyut Limited	-	17.52	-	-	-	-	-	-	-	-	-	17.52
Loans given	4,520.65	5,166.64	-	3.50	-	-	-	-	-	-	4,520.65	5,170.14
Torrent Pipavav Generation Limited [^]	0.75	0.96	-	-	-	-	-	-	-	-	0.75	0.96
Torrent Solargen Limited	770.03	89.06	-	-	-	-	-	-	-	-	770.03	89.06
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	127.00	168.00	-	-	-	-	-	-	-	-	127.00	168.00
Torrent Solar Power Private Limited	110.45	83.01	-	-	-	-	-	-	-	-	110.45	83.01
Torrent Saurya Urja 2 Private Limited	555.89	163.32	-	-	-	-	-	-	-	-	555.89	163.32
Torrent Saurya Urja 3 Private Limited	44.01	-	-	-	-	-	-	-	-	-	44.01	-
Torrent Saurya Urja 4 Private Limited	35.56	19.97	-	-	-	-	-	-	-	-	35.56	19.97
Torrent Saurya Urja 5 Private Limited	40.82	-	-	-	-	-	-	-	-	-	40.82	-
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	2,610.17	4,008.50	-	-	-	-	-	-	-	-	2,610.17	4,008.50
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	28.85	115.00	-	3.50	-	-	-	-	-	-	28.85	118.50
Surya Vidyut Limited	15.00	60.00	-	-	-	-	-	-	-	-	15.00	60.00
Sunshakti Solar Power Projects Private Limited	0.50	279.02	-	-	-	-	-	-	-	-	0.50	279.02
Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited)	2.35	179.80	-	-	-	-	-	-	-	-	2.35	179.80

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(b) Related party transactions

	Subsidiaries and step down subsidiary		Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023
Torrent Green Energy Private Limited	21.75	-	-	-	-	-	-	-	-	-	21.75	-
Torrent Urja 8 Private Limited	107.26	-	-	-	-	-	-	-	-	-	107.26	-
Torrent Urja 9 Private Limited	0.04	-	-	-	-	-	-	-	-	-	0.04	-
Torrent Urja 10 Private Limited	16.40	-	-	-	-	-	-	-	-	-	16.40	-
Torrent Urja 11 Private Limited	0.02	-	-	-	-	-	-	-	-	-	0.02	-
Torrent Urja 12 Private Limited	0.02	-	-	-	-	-	-	-	-	-	0.02	-
Torrent Urja 13 Private Limited	0.02	-	-	-	-	-	-	-	-	-	0.02	-
Torrent Urja 14 Private Limited	0.02	-	-	-	-	-	-	-	-	-	0.02	-
Torrent Urja 15 Private Limited	0.02	-	-	-	-	-	-	-	-	-	0.02	-
Torrent Urja 16 Private Limited	0.02	-	-	-	-	-	-	-	-	-	0.02	-
Torrent Urja 17 Private Limited	0.02	-	-	-	-	-	-	-	-	-	0.02	-
Solarpur Transmission Limited	5.96	-	-	-	-	-	-	-	-	-	5.96	-
Airpower Windfarms Private Limited	27.72	-	-	-	-	-	-	-	-	-	27.72	-
Receipt on repayment of loans	2,910.57	4,944.21	-	11.25	-	-	-	-	-	-	2,910.57	4,955.46
Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited)	14.90	53.75	-	-	-	-	-	-	-	-	14.90	53.75
Torrent Saurya Urja 2 Private Limited	17.27	2.55	-	-	-	-	-	-	-	-	17.27	2.55
Torrent Saurya Urja 3 Private Limited	0.35	-	-	-	-	-	-	-	-	-	0.35	-
Torrent Saurya Urja 5 Private Limited	8.50	-	-	-	-	-	-	-	-	-	8.50	-
Torrent Solargen Limited	28.11	592.65	-	-	-	-	-	-	-	-	28.11	592.65
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	145.00	112.00	-	-	-	-	-	-	-	-	145.00	112.00
Surya Vidhyut Limited	29.30	45.70	-	-	-	-	-	-	-	-	29.30	45.70

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(b) Related party transactions

	Subsidiaries and step down subsidiary		Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	2,559.17	4,008.50	-	-	-	-	-	-	-	-	2,559.17	4,008.50
Sunshakti Solar Power Projects Private Limited	59.50	126.41	-	-	-	-	-	-	-	-	59.50	126.41
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	44.07	2.65	-	11.25	-	-	-	-	-	-	44.07	13.90
Torrent Urja 10 Private Limited	4.40	-	-	-	-	-	-	-	-	-	4.40	-
Deposits given for nomination of directors	-	0.01	-	-	-	-	-	-	-	-	-	0.01
Torrent Power Grid Limited	-	0.01	-	-	-	-	-	-	-	-	-	0.01
Deposits received back on appointment of directors	-	0.01	-	-	-	-	-	-	-	-	-	0.01
Torrent Power Grid Limited	-	0.01	-	-	-	-	-	-	-	-	-	0.01
Deposits received	*	*	-	-	-	-	-	-	-	-	*	*
Visual Percept Solar Power Projects Private Limited	-	*	-	-	-	-	-	-	-	-	-	*
Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited)	*	-	-	-	-	-	-	-	-	-	*	-
Sunshakti Solar Power Projects Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Urja 8 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Urja 9 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Urja 10 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Urja 11 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Urja 12 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Urja 13 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.) (b) Related party transactions

	Subsidiaries and step down subsidiary		Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023
Torrent Urja 14 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Urja 15 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Urja 16 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Urja 17 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	*	*	-	-	-	-	-	-	-	-	*	*
Torrent Green Energy Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent PSH 1 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent PSH 2 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent PSH 3 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent PSH 4 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Utilisation of non-fund based limit of the Company by	305.65	198.98	-	-	-	-	-	-	-	-	305.65	198.98
Torrent Solargen Limited	3.47	1.62	-	-	-	-	-	-	-	-	3.47	1.62
Latur Renewable Private Limited	0.24	-	-	-	-	-	-	-	-	-	0.24	-
Jodhpur Wind Farms Private Limited	0.24	-	-	-	-	-	-	-	-	-	0.24	-
Torrent Saurya Urja 2 Private Limited	60.30	58.25	-	-	-	-	-	-	-	-	60.30	58.25
Torrent Saurya Urja 3 Private Limited	0.48	-	-	-	-	-	-	-	-	-	0.48	-
Torrent Solar Power Private Limited	42.68	0.50	-	-	-	-	-	-	-	-	42.68	0.50
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	14.50	48.57	-	-	-	-	-	-	-	-	14.50	48.57
Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited)	-	0.37	-	-	-	-	-	-	-	-	-	0.37

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(b) Related party transactions

	Subsidiaries and step down subsidiary		Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023	Year ended March 31, 2024	Year ended March 31, 2023
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	0.98	-	-	-	-	-	-	-	-	-	0.98	-
Torrent Urja 8 Private Limited \$	113.62	-	-	-	-	-	-	-	-	-	113.62	-
Torrent Urja 9 Private Limited	7.50	-	-	-	-	-	-	-	-	-	7.50	-
Sunshakti Solar Power Projects Private Limited	0.17	-	-	-	-	-	-	-	-	-	0.17	-
Surya Vidyut Limited	2.10	-	-	-	-	-	-	-	-	-	2.10	-
Airpower Windfarms Private Limited \$	59.37	-	-	-	-	-	-	-	-	-	59.37	-
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	-	89.67	-	-	-	-	-	-	-	-	-	89.67
Guarantees given to lenders of subsidiaries	1,336.00	503.91	-	-	-	-	-	-	-	-	1,336.00	503.91
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)\$	-	23.91	-	-	-	-	-	-	-	-	-	23.91
Torrent Saurya Urja 2 Private Limited	1,336.00	-	-	-	-	-	-	-	-	-	1,336.00	-
Surya Vidyut Limited	-	480.00	-	-	-	-	-	-	-	-	-	480.00

@ excluding provision for gratuity and leave encashment, insurance premium for group personal accident and group mediclaim.

Sitting fees and Commission of Mamta Verma (nominee of the Government of Gujarat) is paid / payable to the Government of Gujarat.

@@ excluding Goods and Services Tax.

^ Interest free loan has been provided.

\$ Utilisation of non-fund based limit includes USD 0.45 Crore (March 31, 2023 - Nil). It has been converted based on RBI reference rate as at transaction date i.e. ₹ 83.39 (March 31, 2023 - Nil)

\$ \$ Utilisation of non-fund based limit for USD 1.36 Crore (March 31, 2023 - Nil). It has been converted based on RBI reference rate as at transaction date i.e. ₹ 83.39 (March 31, 2023 - Nil)

\$ \$ \$ Guarantee given for Nil (March 31, 2023 - USD 0.30 Crore). It has been converted based on SBI reference rate as at transaction date i.e. Nil (March 31, 2023 - ₹ 79.69)

The Company is a public utility, being engaged in distribution of electricity. Transactions entered with the above mentioned related party does not include sale of electricity since the tariff charged to the customers are determined by an independent rate-setting authority.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)
(c) Key management personnel compensation

	(₹ in Crore)	
	Year ended March 31, 2024	Year ended March 31, 2023
Short-term employee benefits	36.72	36.09
	36.72	36.09

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(d) Related party balances

	Subsidiaries and step down subsidiary		Associates		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023
Balances at the end of the year										
Current liabilities	40.79	31.71	-	-	19.61	22.97	22.22	0.40	82.62	55.08
Visual Percept Solar Projects Private Limited	*	*	-	-	-	-	-	-	*	*
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	40.64	30.99	-	-	-	-	-	-	40.64	31.08
Torrent Solar Power Private Limited	*	*	-	-	-	-	-	-	*	*
Torrent Saurya Urja 2 Private Limited	*	*	-	-	-	-	-	-	*	*
Torrent Saurya Urja 3 Private Limited	*	*	-	-	-	-	-	-	*	*
Torrent Saurya Urja 4 Private Limited	*	*	-	-	-	-	-	-	*	*
Torrent Saurya Urja 5 Private Limited	*	*	-	-	-	-	-	-	*	*
Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited)	*	-	-	-	-	-	-	-	*	-
Torrent Urja 7 Private Limited (formerly known as Wind Two Renegy Private Limited)	*	*	-	-	-	-	-	-	*	*
Sunshakti Solar Power Projects Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent Green Energy Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent Urja 8 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent Urja 9 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent Urja 10 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent Urja 11 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent Urja 12 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent Urja 13 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent Urja 14 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent Urja 15 Private Limited	*	-	-	-	-	-	-	-	*	-

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(d) Related party balances

	(₹ in Crore)									
	Subsidiaries and step down subsidiary		Associates		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023
Torrent Urja 16 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent Urja 17 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent PSH 1 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent PSH 2 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent PSH 3 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent PSH 4 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent Gas Limited (Formerly known as Torrent Gas Private Limited)	-	-	-	-	-	-	22.22	0.38	22.22	0.38
Torrent Gas Jaipur Private Limited	-	-	-	-	-	-	-	0.02	-	0.02
Torrent Sports Ventures Private Limited	-	-	-	-	-	-	-	*	-	*
Torrent Hospitals Private Limited	-	-	-	-	-	-	-	*	-	*
School of Ultimate Leadership Foundation	-	-	-	-	-	-	-	*	-	*
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	0.15	0.63	-	-	-	-	-	-	0.15	0.63
Torrent Diagnostics Private Limited	-	-	-	-	-	-	-	*	-	*
Samir Mehta	-	-	-	-	13.00	15.00	-	-	13.00	15.00
Varun Mehta	-	-	-	-	-	1.00	-	-	-	1.00
Jinal Mehta	-	-	-	-	4.00	5.00	-	-	4.00	5.00
Samir Barua	-	-	-	-	-	0.21	-	-	-	0.21
Keki Mistry	-	-	-	-	0.45	0.24	-	-	0.45	0.24
Pankaj Patel	-	-	-	-	0.37	0.28	-	-	0.37	0.28
Ketan Dalal	-	-	-	-	0.56	0.31	-	-	0.56	0.31
Usha Sangwan	-	-	-	-	0.52	0.43	-	-	0.52	0.43
Radhika Haribhakti	-	-	-	-	0.57	0.43	-	-	0.57	0.43
Mamta Verma#	-	-	-	-	0.14	0.07	-	-	0.14	0.07
Investment in equity	1,914.93	1,813.64	-	-	-	-	0.05	0.05	1,914.98	1,813.69
Torrent Power Grid Limited	66.60	66.60	-	-	-	-	-	-	66.60	66.60

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(d) Related party balances

	(₹ in Crore)									
	Subsidiaries and step down subsidiary		Associates		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023
Torrent Pipavav Generation Limited	47.50	47.50	-	-	-	-	-	-	47.50	47.50
Torrent Solargen Limited	88.86	88.86	-	-	-	-	-	-	88.86	88.86
Latur Renewable Private Limited	116.68	116.68	-	-	-	-	-	-	116.68	116.68
Jodhpur Wind Farms Private Limited	117.68	117.68	-	-	-	-	-	-	117.68	117.68
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	84.00	42.00	-	-	-	-	-	-	84.00	42.00
Torrent Solar Power Private Limited	0.05	0.05	-	-	-	-	-	-	0.05	0.05
Torrent Saurya Urja 2 Private Limited	11.16	0.05	-	-	-	-	-	-	11.16	0.05
Torrent Saurya Urja 3 Private Limited	0.80	0.05	-	-	-	-	-	-	0.80	0.05
Torrent Saurya Urja 4 Private Limited	0.05	0.05	-	-	-	-	-	-	0.05	0.05
Torrent Saurya Urja 5 Private Limited	11.84	0.05	-	-	-	-	-	-	11.84	0.05
Visual Percept Solar Projects Private Limited	162.62	162.62	-	-	-	-	-	-	162.62	162.62
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	586.06	586.06	-	-	-	-	-	-	586.06	586.06
Surya Vidyut Limited	311.47	311.47	-	-	-	-	-	-	311.47	311.47
Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited)	98.79	98.79	-	-	-	-	-	-	98.79	98.79
Sunshakti Solar Power Projects Private Limited	142.62	142.62	-	-	-	-	-	-	142.62	142.62
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	65.00	32.51	-	-	-	-	-	-	65.00	32.51
Torrent Urja 8 Private Limited	0.01	-	-	-	-	-	-	-	0.01	-
Torrent Urja 9 Private Limited	0.01	-	-	-	-	-	-	-	0.01	-
Torrent Urja 10 Private Limited	2.95	-	-	-	-	-	-	-	2.95	-
Torrent Urja 11 Private Limited	0.01	-	-	-	-	-	-	-	0.01	-
Torrent Urja 12 Private Limited	0.01	-	-	-	-	-	-	-	0.01	-
Torrent Urja 13 Private Limited	0.01	-	-	-	-	-	-	-	0.01	-
Torrent Urja 14 Private Limited	0.01	-	-	-	-	-	-	-	0.01	-

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(d) Related party balances

	Subsidiaries and step down subsidiary		Associates		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023
Torrent Urja 15 Private Limited	0.01	-	-	-	-	-	-	-	0.01	-
Torrent Urja 16 Private Limited	0.01	-	-	-	-	-	-	-	0.01	-
Torrent Urja 17 Private Limited	0.01	-	-	-	-	-	-	-	0.01	-
Torrent Green Energy Private Limited	0.05	-	-	-	-	-	-	-	0.05	-
Torrent PSH 1 Private Limited	0.01	-	-	-	-	-	-	-	0.01	-
Torrent PSH 2 Private Limited	0.01	-	-	-	-	-	-	-	0.01	-
Torrent PSH 3 Private Limited	0.01	-	-	-	-	-	-	-	0.01	-
Torrent PSH 4 Private Limited	0.01	-	-	-	-	-	-	-	0.01	-
Torrent Green Hydrogen Private Limited	0.01	-	-	-	-	-	-	-	0.01	-
Solapur Transmission Limited	0.01	-	-	-	-	-	-	-	0.01	-
UNM Foundation	-	-	-	-	-	-	0.05	0.05	0.05	0.05
Impairment in value of investment	18.70	18.35	-	-	-	-	-	-	18.70	18.35
Torrent Pipavav Generation Limited	18.70	18.35	-	-	-	-	-	-	18.70	18.35
Investment in non-convertible debentures (including amortised premium)	-	24.35	-	-	-	-	-	-	-	24.35
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	-	24.35	-	-	-	-	-	-	-	24.35
Loans (including interest) (non-current)	3,018.80	1,507.56	-	-	-	-	-	-	3,018.80	1,507.56
Torrent Solargen Limited	1,074.00	332.06	-	-	-	-	-	-	1,074.00	332.06
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	265.45	283.45	-	-	-	-	-	-	265.45	283.45
Torrent Solar Power Private Limited	254.06	151.12	-	-	-	-	-	-	254.06	151.12
Torrent Saurya Urja 2 Private Limited	731.06	198.21	-	-	-	-	-	-	731.06	198.21
Torrent Saurya Urja 3 Private Limited	43.66	-	-	-	-	-	-	-	43.66	-
Torrent Saurya Urja 4 Private Limited	55.52	20.08	-	-	-	-	-	-	55.52	20.08
Torrent Saurya Urja 5 Private Limited	32.31	-	-	-	-	-	-	-	32.31	-
Sunshakti Solar Power Projects Private Limited	61.62	152.62	-	-	-	-	-	-	61.62	152.62

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(d) Related party balances

	(₹ in Crore)									
	Subsidiaries and step down subsidiary		Associates		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023
Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited)	97.50	126.05	-	-	-	-	-	-	97.50	126.05
Torrent Urja 8 Private Limited	107.26	-	-	-	-	-	-	-	107.26	-
Torrent Urja 9 Private Limited	0.04	-	-	-	-	-	-	-	0.04	-
Torrent Urja 10 Private Limited	12.00	-	-	-	-	-	-	-	12.00	-
Torrent Urja 11 Private Limited	0.02	-	-	-	-	-	-	-	0.02	-
Torrent Urja 12 Private Limited	0.02	-	-	-	-	-	-	-	0.02	-
Torrent Urja 13 Private Limited	0.02	-	-	-	-	-	-	-	0.02	-
Torrent Urja 14 Private Limited	0.02	-	-	-	-	-	-	-	0.02	-
Torrent Urja 15 Private Limited	0.02	-	-	-	-	-	-	-	0.02	-
Torrent Urja 16 Private Limited	0.02	-	-	-	-	-	-	-	0.02	-
Torrent Urja 17 Private Limited	0.02	-	-	-	-	-	-	-	0.02	-
Airpower Windfarm Private Limited	27.72	-	-	-	-	-	-	-	27.72	-
Solapur Transmission Limited	5.96	-	-	-	-	-	-	-	5.96	-
Torrent Green Energy Private Limited	21.75	-	-	-	-	-	-	-	21.75	-
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	228.75	243.97	-	-	-	-	-	-	228.75	243.97
Loans (including interest) (current)	268.19	105.16	-	-	-	-	-	-	268.19	105.16
Torrent Pipavav Generation Limited ^	65.05	64.30	-	-	-	-	-	-	65.06	64.30
Torrent Solargen Limited	20.33	16.55	-	-	-	-	-	-	20.32	16.55
Torrent Solar Power Private Limited	22.71	-	-	-	-	-	-	-	22.71	-
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	5.19	4.67	-	-	-	-	-	-	5.19	4.67
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	4.88	3.15	-	-	-	-	-	-	4.88	3.15
Surya Vidyut Limited	-	14.30	-	-	-	-	-	-	-	14.30
Torrent Saurya Urja 4 Private Limited	3.30	-	-	-	-	-	-	-	3.30	-

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(d) Related party balances

	Subsidiaries and step down subsidiary		Associates		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023
Torrent Saurya Urja 5 Private Limited	0.63	-	-	-	-	-	-	-	0.63	-
Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited)	18.25	2.19	-	-	-	-	-	-	18.25	2.19
Torrent Green Energy Private Limited	0.74	-	-	-	-	-	-	-	0.74	-
Torrent Saurya Urja 2 Private Limited	37.49	-	-	-	-	-	-	-	37.49	-
Torrent Saurya Urja 3 Private Limited	1.47	-	-	-	-	-	-	-	1.47	-
Torrent Urja 8 Private Limited	0.72	-	-	-	-	-	-	-	0.72	-
Torrent Urja 9 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent Urja 10 Private Limited	0.16	-	-	-	-	-	-	-	0.16	-
Torrent Urja 11 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent Urja 12 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent Urja 13 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent Urja 14 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent Urja 15 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent Urja 16 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent Urja 17 Private Limited	*	-	-	-	-	-	-	-	*	-
Airpower Windfarms Private Limited	0.32	-	-	-	-	-	-	-	0.32	-
Solapur Transmission Limited	0.03	-	-	-	-	-	-	-	0.03	-
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	53.06	-	-	-	-	-	-	-	53.06	-
Sunshakti Solar Power Projects Private Limited	33.86	-	-	-	-	-	-	-	33.86	-
Trade and other receivables	1.51	1.29	-	-	-	-	2.87	-	4.38	1.29
Torrent Pipavav Generation Limited	-	0.04	-	-	-	-	-	-	-	0.04
Torrent Solargen Limited	*	0.37	-	-	-	-	-	-	*	0.37
Torrent Power Grid Limited	-	0.21	-	-	-	-	-	-	-	0.21
Visual Percept Solar Projects Private Limited	-	0.04	-	-	-	-	-	-	-	0.04

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(d) Related party balances

	(₹ in Crore)									
	Subsidiaries and step down subsidiary		Associates		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	*	0.01	-	-	-	-	-	-	*	0.01
Torrent Solar Power Private Limited	0.40	0.24	-	-	-	-	-	-	0.40	0.24
Torrent Saurya Urja 2 Private Limited	1.10	0.12	-	-	-	-	-	-	1.10	0.12
Torrent Saurya Urja 3 Private Limited	*	-	-	-	-	-	-	-	*	-
Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited)	-	0.05	-	-	-	-	-	-	-	0.05
Surya Vidyut Limited	-	0.03	-	-	-	-	-	-	-	0.03
Latur Renewable Private Limited	*	0.04	-	-	-	-	-	-	*	0.04
Jodhpur Wind Farms Private Limited	*	0.07	-	-	-	-	-	-	*	0.07
Airpower Windfarms Private Limited	0.01	-	-	-	-	-	-	-	0.01	-
UNM Foundation	-	-	-	-	-	-	2.12	-	2.12	-
Torrent Gas Limited (Formerly known as Torrent Gas Private Limited)	-	-	-	-	-	-	0.73	-	0.73	-
Torrent Gas Jaipur Private Limited	-	-	-	-	-	-	0.01	-	0.01	-
Torrent Gas Chennai Private Limited	-	-	-	-	-	-	0.01	-	0.01	-
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	-	0.07	-	-	-	-	-	-	-	0.07

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(d) Related party balances

	(₹ in Crore)									
	Subsidiaries and step down subsidiary		Associates		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	*	-	-	-	-	-	-	-	*	-
Torrent Green hydrogen Private Limited	*	-	-	-	-	-	-	-	*	-
Utilisation of non-fund based limit of the Company by	756.80	604.42	-	-	-	-	-	-	756.80	604.42
Torrent Solargen Limited	24.88	24.90	-	-	-	-	-	-	24.88	24.90
Jodhpur Wind Farms Private Limited	0.50	0.26	-	-	-	-	-	-	0.50	0.26
Latur Renewable Private Limited	0.50	0.26	-	-	-	-	-	-	0.50	0.26
Torrent Solar Power Private Limited	43.18	9.94	-	-	-	-	-	-	43.18	9.94
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	27.50	67.20	-	-	-	-	-	-	27.50	67.20
Torrent Saurya Urja 3 Private Limited	0.48	-	-	-	-	-	-	-	0.48	-
Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited)	-	0.37	-	-	-	-	-	-	-	0.37
Torrent Urja 8 Private Limited @	38.73	-	-	-	-	-	-	-	38.73	-
Torrent Urja 9 Private Limited	7.50	-	-	-	-	-	-	-	7.50	-
Airpower Windfarms Private Limited @	59.38	-	-	-	-	-	-	-	59.38	-
Sunshakti Solar Power Projects Private Limited	0.17	-	-	-	-	-	-	-	0.17	-
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	453.90	461.71	-	-	-	-	-	-	453.90	461.71
Torrent Saurya Urja 2 Private Limited	100.08	39.78	-	-	-	-	-	-	100.08	39.78
Securities Given	-	17.52	-	-	-	-	-	-	-	17.52
Surya Vidyut Limited	-	17.52	-	-	-	-	-	-	-	17.52
Guarantees given in favour of the debenture trustee for NCD including interest thereon	410.92	616.20	-	-	-	-	-	-	410.92	616.20
Jodhpur Wind Farms Private Limited	205.57	308.32	-	-	-	-	-	-	205.57	308.32
Latur Renewable Private Limited	205.35	307.88	-	-	-	-	-	-	205.35	307.88

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 55: Related Party Disclosures (Contd.)

(d) Related party balances

	Subsidiaries and step down subsidiary	Associates	Key management personnel	Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence	Total
	As at March 31, 2024	As at March 31, 2024	As at March 31, 2024	As at March 31, 2024	As at March 31, 2024
	As at March 31, 2023	As at March 31, 2023	As at March 31, 2023	As at March 31, 2023	As at March 31, 2023
Guarantees given to lenders of subsidiaries (including interest, in any)	1,841.09	1,209.79	-	-	1,209.79
Torrent Solargen Limited [^]	-	705.05	-	-	705.05
Torrent Saurya Urja 2 Private Limited \$	1,336.00	-	-	-	1,336.00
Surya Vidyut Limited \$\$	480.08	480.10	-	-	480.10
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited) \$\$\$	25.01	24.64	-	-	24.64

Sitting fees and Commission of Mamta Verma (nominee of the Government of Gujarat) is payable to the Government of Gujarat.

The Company is a public utility, being engaged in distribution of electricity. Transactions entered with the above mentioned related party does not include sale of electricity since the tariff charged to the customers are determined by an independent rate-setting authority.

[^] Interest free loan has been provided.

@@ Utilisation of non-fund based limit includes USD 0.45 Crore (March 31, 2023 - Nil). It has been converted based on RBI reference rate as at year end i.e. ₹ 83.37 (March 31, 2023 - Nil)

@ Utilisation of non-fund based limit for USD 0.46 Crore (March 31, 2023 - Nil). It has been converted based on RBI reference rate as at year end i.e. ₹ 83.37 (March 31, 2023 - Nil)

^^ Utilised as at March 31, 2024 Nil (March 31, 2023 - ₹ 617.99 Crore).

\$ Utilised as at March 31, 2024 was ₹ 632.95 Crore (March 31, 2023 - Nil).

\$\$ Utilised as at March 31, 2024 was ₹ 343.49 Crore (March 31, 2023 - ₹ 368.47 Crore).

\$\$\$ Guarantee given for USD 0.30 Crore (March 31, 2023 - USD 0.30 Crore). It has been converted based on RBI reference rate as at year end i.e. ₹ 83.37 (SBI Reference rate i.e. March 31, 2023 ₹ 82.14)

(e) Terms and conditions of outstanding balances

The transactions with related parties are made in the normal course of business on terms equivalent to those that prevail in arm's length transactions.

Outstanding balances at the year-end are unsecured.

Footnote:

- Loans granted to related parties carries interest rate of 8.50% p.a. (Previous year 7.65% p.a.).
- Defined benefits plans for employees deputed in subsidiaries will be borne by the Company.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 56: Financial Instruments and Risk Management

(a) Capital management

The Company manages its capital structure in a manner to ensure that it will be able to continue as a going concern while optimising the return to stakeholders through the appropriate debt and equity balance.

The Company's capital structure is represented by equity (comprising equity shares, retained earnings and other reserves as detailed in notes 23,24) and debt (borrowings as detailed in note 25).

The Company's management reviews the capital structure of the Company on an annual basis. As part of this review, the management considers the cost of capital and the risks associated with each class of capital. The Company's plan is to ensure that the gearing ratio (debt equity ratio) is well within the limit of 2:1. No changes were made in the objectives, policies or process for managing its capital during the year ended March 31, 2024 and March 31, 2023. The Company reviews its Dividend policy from time to time.

Gearing ratio

The gearing ratio at end of the reporting period is as follows.

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Debt	10,820.04	10,016.58
Total equity	12,916.48	11,651.48
Debt to equity ratio	0.84	0.86

Footnotes :

- 1 Debt is defined as all long term debt outstanding [including unamortised expense (net of premium)] + contingent liability pertaining to corporate / financial guarantee given (to the extent utilised) + short term debt outstanding in lieu of long term debt.
- 2 Total equity is defined as equity share capital + all reserve (excluding revaluation reserve) + deferred tax liabilities – deferred tax assets – intangible assets – Intangible assets under development

Loan Covenants

The company has complied with financial covenants specified as per the terms of borrowing facilities.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 56: Financial Instruments and Risk Management (Contd.)

(b) Categories of financial instruments

(₹ in Crore)

	As at March 31, 2024		As at March 31, 2023	
	Carrying value	Fair value	Carrying value	Fair value
Financial assets				
Measured at amortised cost				
Cash and cash equivalents	263.66	263.66	138.08	138.08
Bank balance other than cash and cash equivalents	47.27	47.27	143.50	143.50
Investment in bonds and debentures#	19.92	19.92	42.17	42.17
Trade receivables	1,565.93	1,565.93	1,516.04	1,516.04
Loans	3,286.99	3,286.99	1,612.72	1,612.72
Other financial assets	3,292.03	3,292.03	2,653.45	2,653.45
	8,475.80	8,475.80	6,105.96	6,105.96
Measured at fair value through profit and loss (FVTPL)				
Investment in mutual funds	826.09	826.09	656.03	656.03
Investment in equity instruments	0.05	0.05	0.05	0.05
	826.14	826.14	656.08	656.08
Financial liabilities				
Measured at amortised cost				
Borrowings	9,703.52	9,731.73	8,389.62	8,369.85
Trade payables	1,436.14	1,436.14	1,291.95	1,291.95
Other financial liabilities	2,649.96	2,649.96	2,182.01	2,182.01
	13,789.62	13,817.83	11,863.58	11,843.81

Other than equity investments in subsidiaries accounted at cost in accordance with Ind As 27 - 'Separate Financial Statements'.

Footnotes:

- The carrying amounts of trade receivables, trade payables, capital creditors, cash and cash equivalents, other financial assets and other financial liabilities are considered to be the same as their fair values, due to their short-term nature.
- Non current loan carries the interest rates that are variable in nature and hence carrying value is considered as same as fair value.

(c) Fair value measurement

The fair value hierarchy is based on inputs to valuation techniques that are used to measure fair value that are either observable or unobservable and consists of the following three levels:"

- Level 1 : Inputs are Quoted (unadjusted) market prices in active markets for identical assets or liabilities. This includes investments in mutual funds that have quoted price.
- Level 2 : Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable. This includes unquoted floating and fixed rate borrowing and Investment property
- Level 3 : Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable. This includes unquoted equity shares, loans, security deposits, investments in Debentures, floating rate borrowings.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 56: Financial Instruments and Risk Management (Contd.)

The following table summarises financial assets and liabilities measured at fair value on a recurring basis and financial assets and liabilities that are not measured at fair value on a recurring basis (but fair value disclosures are required) :

(1) Financial assets at fair value through profit and loss (FVTPL)

(₹ in Crore)

	Fair value		Fair value hierarchy	Valuation technique(s) and key input(s)
	As at March 31, 2024	As at March 31, 2023		
Investment in mutual fund units	826.09	656.03	Level 1	Quoted bid prices in an active market

(2) Financial liabilities at amortised cost

(₹ in Crore)

	Fair value		Fair value hierarchy	Valuation technique(s) and key input(s)
	As at March 31, 2024	As at March 31, 2023		
Fixed rate borrowings (Non-convertible debentures)	3,668.21	2,190.23	Level 2	Inputs other than quoted prices that are observable based on yields provided by 'The Fixed Income Money Market and Derivatives Association of India' (FIMMDA)

(d) Financial risk management objectives

The Company's principal financial liabilities, comprise borrowings, employee payables, security deposits from consumers, trade and other payables. The main purpose of these financial liabilities is to finance the Company's operations and projects capital expenditure. The Company's principal financial assets include loans, advances, trade and other receivables and cash and cash equivalents that derive directly from its operations.

The Company's activities expose it to a variety of financial risks viz foreign currency risk, commodity price risk, interest rate risk, credit risk, liquidity risk etc. The Company's primary focus is to foresee the unpredictability of financial markets and seek to minimize potential adverse effects on its financial performance. The Company's senior management oversees the management of these risks. It advises on financial risks and the appropriate financial risk governance framework for the Company.

Foreign currency risk

The Company is exposed to foreign currency risks arising from various currency exposures, primarily with respect to the USD and EURO. Foreign currency risks arise from future commercial transactions and recognized assets and liabilities, when they are denominated in a currency other than Indian Rupee.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 56: Financial Instruments and Risk Management (Contd.)

The Company's exposure with regards to foreign currency risk which are not hedged are given below.

Unhedged foreign currency exposures:

(₹ in Crore)

Nature of transactions	Currency	As at March 31, 2024	As at March 31, 2023
Financial liabilities			
Trade payable	EURO	289.74	175.32
Capital payable	EURO	0.06	0.06

Foreign currency sensitivity analysis

The following tables demonstrate the sensitivity to a reasonably possible change in EURO exchange rates, with all other variables held constant.

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Impact on Profit before Tax - Rupee depreciate by ₹ 1 against EURO	(3.22)	(1.96)
Impact on Profit before Tax - Rupee appreciate by ₹ 1 against EURO	3.22	1.96

Commodity price risk

The commodity exposure is mainly on account of fuel, a substantial part of which is a pass through cost and hence the commodity price exposure is not likely to have a material financial impact on the Company.

The Company has exposure to USD / INR exchange rate arising principally on account of import of LNG and import of coal. The extant tariff regulations do not permit the cost of hedging such exposure as a cost to be passed through to the off-takers / beneficiaries. As a result, the Company does not follow a policy of hedging such exposures and actual rupee costs of import of fuel are substantially passed on to the off-takers / consumers, because of which such commodity price exposure is not likely to have a material financial impact on the Company.

Derivatives

The Company uses derivative financial instruments such as forwards to hedge its risks associated with price risk movements. Risks associated with fluctuation in the price of the raw materials (natural gas) are minimized by undertaking appropriate derivative instruments. The fair values of all such derivative financial instruments are recognized as assets or liabilities at the balance sheet date.

(a) The Asset position of various outstanding derivative financial instruments is given below:

(₹ in Crore)

	Nature of risk being hedged	As at March 31, 2024		As at March 31, 2023	
		Asset	Net fair value	Asset	Net fair value
Current Hedges	Price Risk				
Forward commodity contracts	Component	0.05	0.05	-	-
Total		0.05	0.05	-	-

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 56: Financial Instruments and Risk Management (Contd.)

- (b) Outstanding position and fair value of various commodity derivative financial instruments
- (i) Outstanding position and fair value of various commodity derivative financial instruments as at March 31, 2024

(₹ in Crore)

		Currency	Weighted Average Strike rate	Quantity	Unit	Notional Value (USD in millions)	Fair value Gain/(loss) (₹ in Crore)
Non Designated hedges							
ICE Brent Crude Oil	Buy	USD	77.80	1,000.00	Barrel	0.01	0.05
Total							0.05

- (ii) Outstanding position and fair value of various commodity derivative financial instruments as at March 31, 2023

(₹ in Crore)

	Currency	Weighted Average Strike rate	Quantity	Unit	Notional Value (USD in millions)	Fair value Gain/(loss) (₹ in Crore)
Non Designated hedges						
ICE Brent Crude Oil	Buy	USD	-	-	-	-
Total						

Interest rate risk

Most of the Company's borrowings are on a floating rate of interest. The Company has exposure to interest rate risk, arising principally on changes in Marginal Cost of Funds based Lending Rate (MCLR). The Company uses a mix of interest rate sensitive financial instruments to manage the liquidity and fund requirements for its day to day operations like non-convertible debentures and short term credit lines besides internal accruals.

The following table provides a break-up of the Company's fixed and floating rate borrowings:

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Fixed rate borrowings^	3,935.37	2,219.17
Floating rate borrowings^	5,786.07	6,194.75
	9,721.44	8,413.92

^ Transactions cost reduced from the borrowing is excluded.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 56: Financial Instruments and Risk Management (Contd.)

Interest rate risk sensitivity:

The below mentioned sensitivity analysis is based on the exposure to interest rates for floating rate borrowings. For this it is assumed that the amount of the floating rate liability outstanding at the end of the reporting period was outstanding for the whole year. If interest rates had been 50 basis points higher or lower, other variables being held constant, following is the impact on profit before tax .

	(₹ in Crore)	
	Year ended March 31, 2024	Year ended March 31, 2023
Impact on profit before tax - increase in 50 basis points	(28.93)	(30.97)
Impact on profit before tax - decrease in 50 basis points	28.93	30.97

Credit risk

Trade receivables:

(1) Exposures to credit risk

The Company is exposed to the counterparty credit risk arising from the possibility that counterparties might fail to comply with contractual obligations. This exposure may arise with regard to unsettled amounts.

(2) Credit risk management

Credit risk is managed and limited in accordance with the type of transaction and the creditworthiness of the counterparty. The Company has established criteria for admission, approval systems, authorisation levels, exposure measurement methodologies, etc. The concentration of credit risk is limited due to the fact that the customer base is large. None of the customers accounted for more than 10% of the receivables and revenue for the year ended March 31, 2024 and March 31, 2023. The Company is dependent on the domestic market for its business and revenues.

The Company's credit policies and practices with respect to distribution areas are designed to limit credit exposure by collecting security deposits prior to providing utility services or after utility service has commenced according to applicable regulatory requirements. In respect to generation business, Company generally has letter of credits / bank guarantees to limit its credit exposure.

(3) Other credit enhancements

The Company collects the security deposits in the form of Cash or Bank guarantee, considering the relevant electricity regulations under the relevant geographical area to cover its credit risks associated with its trade receivables.

(4) Age of receivables and expected credit loss

The Company has used a practical expedient by computing the expected credit loss allowance for trade receivables. The expected credit loss allowance is based on ageing of the days the receivables are due. Trade receivable balances mainly comprise of outstanding from consumers wherein the credit period provided to such consumers is less than 30 days. Based on the historical trend the same is collected well within the credit period.

The Company segments the receivables for the purpose of determining historical loss rate based on shared risk characteristics i.e. Government Consumers / Non Government consumers, Status of Consumers i.e. Live consumers / Disconnected consumers and Security deposits provided by the Consumer. Considering the nature of the business, the historical loss rate is not significant.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 56: Financial Instruments and Risk Management (Contd.)

The ageing of receivables and allowance for doubtful debt at the end of the reporting period is as follows.

As at March 31, 2024

(₹ in Crore)

	Gross trade receivables	Allowance for doubtful debt
Less than or equal to 6 months	1,502.59	29.22
More than 6 months but less than or equal to 1 year	46.87	18.43
More than one year	205.78	141.66
	1,755.24	189.31

As at March 31, 2023

(₹ in Crore)

	Gross trade receivables	Allowance for doubtful debt
Less than or equal to 6 months	1,423.36	30.65
More than 6 months but less than or equal to 1 year	52.18	20.33
More than one year	227.63	136.15
	1,703.17	187.13

(5) Movement in the expected credit loss allowance

(₹ in Crore)

	Year ended March 31, 2024	Year ended March 31, 2023
Opening balance	187.13	208.17
Movement in expected credit loss allowance on trade receivable, net [Refer note 40]	2.18	(21.04)
Closing balance [Refer note 17]	189.31	187.13

The concentration of credit risk is very limited due to the fact that the large customers are mainly government entities and remaining customer base is large and widely dispersed and secured with security deposit.

Other financial assets/instruments:

The Company is having balances in cash and cash equivalents, term deposits with banks, Loans to related parties, investments in government securities and investment in mutual funds. The Company is having balances in cash and cash equivalents, term deposits with scheduled banks with high credit rating and hence perceive low credit risk of default. With respect to investments, the Company limits its exposure to credit risk by investing in liquid securities with counterparties depending on their Composite Performance Rankings (CPR) published by CRISIL. The Company's investment policy lays down guidelines with respect to exposure per counterparty, rating, processes in terms of control and continuous monitoring. The Company therefore considers credit risks on such investments to be negligible. The credit loss from Loans receivable from related parties and financial guarantees is considered immaterial. The recoverable amount of unbilled revenue (including revenue gap/surplus) perceives low credit risk of default considering applicable tariff regulations / tariff orders, management's probability estimate and the past trends of approval.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 56: Financial Instruments and Risk Management (Contd.)

Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities that are required to be settled by delivering the cash or another financial asset. The Company manages liquidity risk by maintaining adequate reserves, banking facilities and unused borrowing facilities, by continuously monitoring projected / actual cash flows.

Maturities of financial liabilities:

The Company's remaining contractual maturity for its financial liabilities with agreed repayment periods is given below. The tables have been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the Company can be required to pay. The tables include both interest and principal cash flows. The contractual maturity is based on the earliest date on which the Company may be required to pay.

As at March 31, 2024

(₹ in Crore)

	Less than 1 year	Between 1 year and 5 years	5 years and above	Total
Financial liabilities				
Non current financial liabilities				
Borrowings (including interest on borrowings)^	-	7,070.71	3,799.20	10,869.91
Trade payables	-	307.56	147.38	454.94
Lease liabilities	-	30.94	17.03	47.97
Other financial liabilities	-	7.63	2.36	9.99
	-	7,416.84	3,965.97	11,382.81
Current financial liabilities				
Borrowings (including interest on borrowings)^	2,162.17	-	-	2,162.17
Trade payables	1,090.43	-	-	1,090.43
Lease liabilities	8.65	-	-	8.65
Other financial liabilities	2,639.97	-	-	2,639.97
	5,901.22	-	-	5,901.22
Total financial liabilities	5,901.22	7,416.84	3,965.97	17,284.03

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 56: Financial Instruments and Risk Management (Contd.)

As at March 31, 2023

(₹ in Crore)

	Less than 1 year	Between 1 year and 5 years	5 years and above	Total
Financial liabilities				
Non current financial liabilities				
Borrowings (including interest on borrowings)^	-	5,523.76	4,019.38	9,543.14
Trade payables	-	187.79	87.40	275.19
Lease liabilities	-	29.70	21.05	50.75
Other financial liabilities	-	-	-	-
	-	5,741.25	4,127.83	9,869.08
Current financial liabilities				
Borrowings (including interest on borrowings)^	1,976.55	-	-	1,976.55
Trade payables	1,081.34	-	-	1,081.34
Lease liabilities	6.78	-	-	6.78
Other financial liabilities	2,172.47	-	-	2,172.47
	5,237.14	-	-	5,237.14
Total financial liabilities	5,237.14	5,741.25	4,127.83	15,106.22

^ Transactions cost reduced from the borrowing is excluded.

The amount included in Note 44 (c) (ii) (b) to (e) for financial guarantee contracts are the maximum amounts the Company could be forced to settle under respective arrangements for the full guaranteed amount if that amount is claimed by the counterparty to the guarantee. Based on expectations at the end of the reporting period, the Company considers that it is more likely than not that such amount will not be payable under the arrangement.

Note 57: Provision for Onerous Contracts

The Company has a outstanding provision of ₹ 24.98 Crore as at March 31, 2024 (March 31, 2023 - ₹ 124.94 Crore) in respect of certain onerous contracts towards potential damages and other project related costs, arising from expected delays or failure to set up certain wind power generation capacities, awarded to the Company in a prior period under a competitive bidding process. The expected outflow of the outstanding provision will be determined at the time of resolution of the matter.

During the current year, the Company has received final order dated March 28, 2024 from Central Electricity Regulatory Commission rejecting the Company's plea for termination of Power Purchase Agreement executed between the Company and Solar Energy Corporation of India (SECI) on account of a Force Majeure event and held to encash the Performance Bank Guarantees (BGs) submitted to SECI amounting to ₹ 99.96 Crore. Subsequent to the year-end SECI has encashed the aforesaid BG's on April 02, 2024, accordingly, ₹ 99.96 Crore provision has been utilised (Previous year provision of ₹ 10.82 Crore has been reversed due to writting off of pre-operative expenses).

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 58: Government Grant

(a) Nature of government grant

Ministry of Power, Government of India (GoI), had introduced the Accelerated Power Development & Reforms Programme (APDRP) to achieve reduction in Aggregate Technical & Commercial losses, to strengthen the Transmission & Distribution network and to ensure reliable and quality power supply with adequate consumer satisfaction. The projects approved for financing under the programme are eligible for a grant and soft loan each equivalent to 25% of the project cost from the GoI. The Balance 50% was required to be funded by the Company. There are no unfulfilled conditions or other contingencies attached to these grants.

(b) Movement of government grant

(₹ in Crore)		
	As at March 31, 2024	As at March 31, 2023
Opening balance	14.03	16.40
Add: Grants during the year	-	-
Less: Amortisation of grant transferred to statement of profit and loss [Refer note 35]	(1.31)	(2.37)
Closing balance	12.72	14.03
Non-current portion [Refer note 28]	11.76	11.66
Current portion [Refer note 32]	0.96	2.37
	12.72	14.03

Note 59: Scheme of Arrangement

The Board of Directors of the Company at its meeting dated August 10, 2023, had approved the Scheme of Arrangement ("Scheme") for transfer and vesting of "the Renewable Power Undertaking" (comprises of 316.60 MW of solar and wind power) of the Company to Torrent Green Energy Private Limited, a wholly owned subsidiary (incorporated w.e.f. August 02, 2023) of the Company, on a going concern basis by way of slump sale with effect from the appointed date i.e. April 01, 2024 at book value, under sections 230 to 232 and other applicable provisions of the Companies Act, 2013. The Scheme has been filed with National Stock Exchange of India & BSE Limited on August 28, 2023. The Company has got approval of National Stock Exchange of India & BSE Limited vide Observation Letters dated March 04, 2024. The Company has filed the Application with National Company Law Tribunal ("NCLT"), Ahmedabad Bench on March 29, 2024 for its approval. The NCLT vide its order dated May 15, 2024 has directed to convene separate Meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of only Renewable Power Undertakings of the Company on Thursday, July 18, 2024 for obtaining their approval to the proposed Scheme. The scheme is subject to requisite regulatory and other approvals, pending which no adjustments are required to be made in the financial statements for the quarter and year ended March 31, 2024.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 60: Ageing Schedule for Capital Work-in-Progress (CWIP)

As at March 31, 2024

(₹ in Crore)

Particulars	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	529.98	201.08	53.30	30.28	814.64
Projects temporarily suspended	-	1.19	0.06	0.05	1.30
	529.98	202.27	53.36	30.33	815.94

As at March 31, 2023

(₹ in Crore)

Particulars	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	982.02	305.25	245.11	76.47	1,608.85
Projects temporarily suspended	-	0.09	*	0.05	0.14
	982.02	305.34	245.11	76.52	1,608.99

For capital-work-in progress, whose completion is overdue compared to its original plan:

As at March 31, 2024

(₹ in Crore)

Particulars	To be completed in				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Distribution Project	14.03	-	-	-	14.03
	14.03	-	-	-	14.03

As at March 31, 2023

(₹ in Crore)

Particulars	To be completed in				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Distribution Project	185.60	-	-	-	185.60
Total	185.60	-	-	-	185.60

There are no capital -work-in-progress, whose cost has exceeded compared to its original plan for the year ended March 31, 2024 and March 31, 2023

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 61: Title Deeds of Immovable Property Not Held in the Name of the Company

As at March 31, 2024

(₹ in Crore)

Relevant line item in the Balance sheet	Description of item of property	Gross carrying value	Title deeds held in the name of	Title deed holder is a promoter, director or relative of promoter/ director or employee of promoter/ director	Period held - range	Reason for not being held in the name of the company
Property, plant and equipment	Freehold Land	3.39	SEC Limited	No	19 years	Amalgamated due to various court orders. Appeal filed against rate valuation.
Property, plant and equipment	Freehold Land	2.00	AEC Limited	No	19 years	
Property, plant and equipment	Freehold Land	1.30	SEC Limited	No	19 years	
Property, plant and equipment	Freehold Land	0.06	AEC Limited	No	19 years	
Property, plant and equipment	Freehold Land	0.14	Torrent Power AEC Limited	No	19 years	
Property, plant and equipment	Freehold Land	0.03	Torrent Power SEC Limited	No	17 years	
Right-of-use assets	Leasehold Land	4.10	AEC Limited	No	19 years	
Right-of-use assets	Leasehold Land	0.34	Torrent Power AEC Limited	No	19 years	
Right-of-use assets	Leasehold Land	5.94	SEC Limited	No	19 years	
Right-of-use assets	Leasehold Land	1.47	Torrent Power SEC Limited	No	19 years	Lease deed is pending to be executed.
Right-of-use assets	Leasehold Land	11.81	Dholera Industrial City Development Limited	No	5.5 years	

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 61: Title Deeds of Immovable Property Not Held in the Name of the Company (Contd.)

As at March 31, 2023

(₹ in Crore)

Relevant line item in the Balance sheet	Description of item of property	Gross carrying value	Title deeds held in the name of	Title deed holder is a promoter, director or relative of promoter/ director or employee of promoter/ director	Period held - range	Reason for not being held in the name of the company
Property, plant and equipment	Freehold Land	3.39	SEC Limited	No	18 years	Amalgamated due to various court orders. Appeal filed against rate valuation. Applications filed and under process of name change.
Property, plant and equipment	Freehold Land	2.00	AEC Limited	No	18 years	
Property, plant and equipment	Freehold Land	1.30	SEC Limited	No	18 years	
Property, plant and equipment	Freehold Land	0.06	AEC Limited	No	18 years	
Property, plant and equipment	Freehold Land	0.14	Torrent Power AEC Limited	No	18 years	
Property, plant and equipment	Freehold Land	0.03	Torrent Power SEC Limited	No	16 years	
Property, plant and equipment	Buildings	0.05	SEC Limited	No	18 years	
Right-of-use assets	Leasehold Land	4.10	AEC Limited	No	18 years	
Right-of-use assets	Leasehold Land	0.34	Torrent Power AEC Limited	No	18 years	
Right-of-use assets	Leasehold Land	5.94	SEC Limited	No	18 years	
Right-of-use assets	Leasehold Land	1.47	Torrent Power SEC Limited	No	18 years	

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 62: Ageing Schedule for Trade Receivables

Current trade receivables:

As at March 31, 2024

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Not due*	Less than 6 months	6 months -1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade receivables							
- Considered good	1,362.87	110.18	28.44	22.24	20.01	21.30	1,565.04
- which have significant increase in credit risk	-	-	-	-	-	-	-
- Credit impaired	0.48	25.91	16.79	15.03	11.29	62.88	132.38
Disputed Trade receivables							
- Considered good	0.32	-	-	-	-	0.57	0.89
- which have significant increase in credit risk	-	-	-	-	-	-	-
- Credit impaired	1.55	1.28	1.64	5.66	8.52	38.28	56.93
	1,365.22	137.37	46.87	42.93	39.82	123.03	1,755.24

As at March 31, 2023

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Not due*	Less than 6 months	6 months -1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade receivables							
- Considered good	1,093.57	298.66	31.85	41.59	21.40	27.24	1,514.31
- which have significant increase in credit risk	-	-	-	-	-	-	-
- Credit impaired	0.55	26.89	18.05	17.96	22.27	34.23	119.95
Disputed Trade receivables							
- Considered good	0.48	-	-	-	-	1.25	1.73
- which have significant increase in credit risk	-	-	-	-	-	-	-
- Credit impaired	1.34	1.87	2.28	7.44	6.29	47.96	67.18
	1,095.94	327.42	52.18	66.99	49.96	110.68	1,703.17

* Includes ₹ 844.16 Crores (March 31, 2023 : ₹ 745.63 Crore) billed subsequent to year end.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 63: Ageing Schedule for Trade Payables

(a) Non-current trade payables:

As at March 31, 2024

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Unbilled	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	345.71	-	-	-	-	-	345.71
Disputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	-	-	-	-	-	-	-
	345.71	-	-	-	-	-	345.71

As at March 31, 2023

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Unbilled	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	210.61	-	-	-	-	-	210.61
Disputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	-	-	-	-	-	-	-
	210.61	-	-	-	-	-	210.61

(b) Current trade payables:

As at March 31, 2024

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Unbilled	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues							
- Micro and small enterprises	1.17	50.36	0.64	-	-	-	52.17
- Others	501.39	267.76	145.39	37.64	1.45	9.38	963.01
Disputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	-	-	-	-	-	75.25	75.25
	502.56	318.12	146.03	37.64	1.45	84.63	1,090.43

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 63: Ageing Schedule for Trade Payables (Contd.)

As at March 31, 2023

							(₹ in Crore)
Particulars	Outstanding for following periods from due date of payment						Total
	Unbilled	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues							
- Micro and small enterprises	0.74	59.43	0.50	-	-	-	60.67
- Others	486.56	365.77	80.70	2.14	0.40	9.07	944.64
Disputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	-	-	-	-	1.32	74.71	76.03
	487.30	425.20	81.20	2.14	1.72	83.78	1,081.34

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 64: Relationship with Struck Off Companies

(₹ in Crore)

Name of struck off Company	Nature of transactions with struck-off Company	Balance outstanding as on March 31, 2024	Balance outstanding as on March 31, 2023	Relationship with the Struck off company
Unickon Fincap Private Limited	Investor	*	*	Shareholder
Vaishak Shares Limited	Investor	*	*	Shareholder
Dreams Broking Private Limited	Investor	*	*	Shareholder
Pandit Trading & Securities Limited	Investor	*	*	Shareholder
Jetees Securities (P) Limited	Investor	-	*	Shareholder
Solanki Solar Energy Pvt. Limited	Payables	*	*	Vendor
Krish N Kelly Facility Services	Payables	*	*	Vendor
Scanstar Inspection Technology Private Limited	Payables	0.01	0.01	Vendor
Royal Wireless Services Private Limited	Receivables	0.02	0.02	Customer
JBF Industries Limited	Receivables	*	*	Customer
Gujrat SICO Textiles Private Limited	Receivables	*	*	Customer
Nilay Diamonds Private Limited	Receivables	*	*	Customer
Radheshyam Bansal Eng (India) Limited	Receivables	*	*	Customer
Raj International Limited	Receivables	0.01	*	Customer
Maimoon Estate Private Limited	Receivables	*	*	Customer
G P Estate Private Limited	Receivables	*	*	Customer
Chitrakut Flats Private Limited	Receivables	*	*	Customer
Jitu Builders Private Limited	Receivables	0.01	0.01	Customer
Nihi Construction Private Limited	Receivables	*	*	Customer
Galaxy Organisers Private Limited	Receivables	*	*	Customer
Ankush Construction Private Limited	Receivables	*	*	Customer
Emech Properties Private Limited	Receivables	0.02	0.01	Customer
Vishesh Estates Private Limited	Receivables	*	*	Customer
Gurjari Infra Project Private Limited	Receivables	*	*	Customer
Bha Exim Private Limited	Receivables	*	*	Customer
Triveni Logistic Services Private Limited	Receivables	*	*	Customer
Akshar Info Services Private Limited	Receivables	*	*	Customer
Fascel limited	Receivables	*	*	Customer
Surat MRI Private Limited	Receivables	*	*	Customer
Kadiwala Prints Private Limited	Receivables	*	0.01	Customer

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 65: Financial Ratios

(₹ in Crore)

Ratio	Numerator	Denominator	As at March 31, 2024	As at March 31, 2023	Variance (%)	Remarks for variation more / (Less) than 25%
(a) Current Ratio (in times)	Current assets	Current liabilities – Security deposits from consumers – Service line deposits from consumers – Deferred revenue	1.73	1.57	10.12%	Not Applicable
(b) Debt-Equity Ratio (in times)	All long term debt outstanding (including unamortised expense) + contingent liability pertaining to corporate / financial guarantee given (to the extent utilised) + short term debt outstanding in lieu of long term debt	Equity share capital + Preference share capital + all reserves (excluding revaluation reserve) + deferred tax liabilities – deferred tax assets – Intangible assets – Intangible assets under development	0.84	0.86	(2.56%)	Not Applicable
(c) Debt Service Coverage Ratio (in times)	Profit after tax + Deferred tax + Depreciation and amortisation + Interest on debt	Principal repayment of debt (excluding voluntary prepayments if any) + Interest on debt + Lease payment	1.84	2.33	(21.19%)	Not Applicable
(d) Return on Equity (ROE) (in %)	Profit for the year	Average Shareholder's Equity i.e. (Share Capital + Reserves and surplus + Deferred Tax liability (net) - Deferred Tax assets (net))	14.63%	19.17%	(23.71%)	Not Applicable
(e) Inventory turnover Ratio (in times)	Revenue from operations	Average inventories	30.91	34.76	(11.08%)	Not Applicable
(f) Trade Receivables turnover Ratio (in times)	Revenue from operations	Average trade receivables	12.95	13.08	(1.00%)	Not Applicable
(g) Trade Payables turnover Ratio (in times)	Fuel Cost + Electrical energy purchased + Cost of materials consumed + Purchase of stock-in-trade + Changes in inventories of finished goods and work-in-progress + Consumption of stores and spares	Average trade payables	10.66	10.37	2.77%	Not Applicable

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 65: Financial Ratios (Contd.)

(₹ in Crore)

Ratio	Numerator	Denominator	As at March 31, 2024	As at March 31, 2023	Variance (%)	Remarks for variation more / (Less) than 25%
(h) Net capital turnover Ratio (in times)	Revenue from operations	(Current assets- (Current Liabilities- Security deposits from consumers - Service line deposits from consumers- Deferred revenue))	6.71	8.64	(22.32%)	Not Applicable
(i) Net profit Ratio (in %)	Profit after tax	Revenue from operations	9.01%	11.17%	(19.33%)	Not Applicable
(j) Return on Capital employed (ROCE) (in %)	Profit before exceptional items and tax + Finance costs	Share Capital + Reserves and surplus + Deferred Tax liability (net) - Deferred Tax assets (net) + All long term debt outstanding (including unamortised expense) + contingent liability pertaining to corporate / financial guarantee given	14.21%	18.09%	(21.45%)	Not Applicable
(k) Return on investment (in %)	Profit before exceptional items and tax + Finance costs	Average Total Assets	11.70%	14.52%	(19.41%)	Not Applicable

Note 66: Social Security Code

The Indian Parliament has approved the Code on Social Security, 2020 ("Code") which may likely impact the obligations of the Company for contribution to employees' provident fund and gratuity. The effective date from which the Code is applicable and the rules to be framed under the Code are yet to be notified. In view of this, impact if any, of the change will be assessed and accounted in the period in which the Code and the rules thereunder are notified.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 67: Registration of Charges

Other than those mentioned below, there are no charges or satisfactions which are yet to be registered with the Registrar of Companies beyond the statutory period for year ended March 31, 2024 and March 31, 2023.

During the year ended March 31, 2023

The Company has filed Form No. CHG-1 dated November 11, 2022 for modification of Charge with the Registrar of Companies, as detailed below, which was required to be filed on August 17, 2022 i.e. delay of 86 days. The reason for delay was technical error in filing the form on account of upgradation of MCA21 V2 filing portal to MCA21 V3 portal.

Note 68: Audit Trail in Accounting Software

The Company has been using SAP ERP as a books of accounts. While SAP audit logging has been enabled from the beginning of the year and captures all the changes made in the audit log as per SAP note no 3042258 version 7 dated March 06, 2024. However, changes made using certain privileged access does not capture “old value” and “new value” of changes made. After thorough testing and validation of tolerable impact on performance of SAP system, the audit trail at Database level was configured on March 27, 2024. As a part of privileged access management, Company has implemented ARCON make PAM (Privileged Access Management System) suite. This PAM system provides access based on need/approval and does the video recording of all activities carried out by privileged user. However due to standard database functionality of HANA DB, while changes made are logged in the database, it does not capture “old value” and “new value” of changes made. This is SAP related issue and management is working towards resolving the same with the vendor.

Notes

forming part of the standalone financial statements for the year ended March 31, 2024

Note 69: Additional Regulatory Information Required by Schedule III

- (a) The Company is in compliance with number of layers of companies in accordance with clause 87 of Section 2 of the Act read with the Companies (Restriction on number of Layers) Rules, 2017 during the year ended March 31, 2024 and March 31, 2023.
- (b) The Company has not invested or traded in Crypto Currency or Virtual Currency during the year ended March 31, 2024 and March 31, 2023.
- (c) No proceedings have been initiated on or are pending against the Company for holding benami property under the Prohibition of Benami Property Transactions Act, 1988 (as amended in 2016) (formerly the Benami Transactions (Prohibition) Act, 1988 (45 of 1988)) and Rules made thereunder during the year ended March 31, 2024 and March 31, 2023.
- (d) The Company has not been declared Wilful Defaulter by any bank or financial institution or government or any government authority during the year ended March 31, 2024 and March 31, 2023.
- (e) During the year ended March 31, 2024 and March 31, 2023, the Company has not surrendered or disclosed as income any transactions not recorded in the books of accounts in the course of tax assessments under the Income Tax Act, 1961 (such as, search or survey or any other relevant provisions of the Income Tax Act, 1961).

Note 70: Approval of Financial Statements

The financial statements were approved for issue by the board of directors on May 22, 2024.

Signature to Note 1 to 70

In terms of our report attached

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N / N500016

Priyanshu Gundana
Partner
Membership No.: 109553

Ahmedabad, May 22, 2024

For and on behalf of the Board of Directors

Samir Mehta
Chairperson
DIN:00061903

Saurabh Mashruwala
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 22, 2024

Independent Auditor's Report

To the Members of Torrent Power Limited

Report on the Audit of the Consolidated Financial Statements

Opinion

1. We have audited the accompanying consolidated financial statements of Torrent Power Limited (hereinafter referred to as the "Holding Company") and its subsidiaries (Holding Company and its subsidiaries together referred to as "the Group"), (Refer Note 41(a)(1) to the attached consolidated financial statements), which comprise the consolidated Balance Sheet as at March 31, 2024, and the consolidated Statement of Profit and Loss (including Other Comprehensive Income), the consolidated Statement of Changes in Equity and the consolidated Statement of Cash Flows for the year then ended, and notes to the consolidated financial statements, material accounting policy information and other explanatory information (hereinafter referred to as "the consolidated financial statements").
2. In our opinion and to the best of our information and according to the explanations given to us, the aforesaid consolidated financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the consolidated state of affairs of the Group, as at March 31, 2024, and consolidated total comprehensive income (comprising of profit and other comprehensive income), consolidated changes in equity and its consolidated cash flows for the year then ended.

Basis for Opinion

3. We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in the "Auditor's Responsibilities for the Audit of the Consolidated Financial Statements" section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in India in terms of the Code of Ethics issued by the Institute of Chartered Accountants of India and the relevant provisions of the Act, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

4. Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Independent Auditor's Report (Contd.)

Sr.No.Key audit matter	How our audit addressed the key audit matter
1 Impairment assessment for Power Plant located at Dahej (Refer to note 43(1) to the consolidated financial statements): The carrying amount of Property, Plant and Equipment ("PPE") and Right-of-use assets ("ROU") includes an amount of ₹1,237.82 Crore as at March 31, 2024, pertaining to 1,200 MW DGEN Mega Power Project including Transmission Line located at Dahej, India ("DGEN"). DGEN started its commercial operations from November 2014 ("COD") and thereafter has operated only intermittently, including during current financial year. As a result of the above, and given the current economic environment, management has carried out an impairment assessment of DGEN in accordance with Ind AS 36 'Impairment of Assets' and with the help of an external valuer, has measured the recoverable amount based on 'value in use' which requires estimating the discounted cash flow projections over the estimated remaining useful life of the DGEN. Such assessment involved several key assumptions including expected demand of electricity, future prices of fuel, foreign exchange rate, expected tariff rates of electricity and discount rate, which are considered by management based on past trends and current and likely future state of the industry. Based on such assessment, the value in use arrived at by the management is higher than the carrying amount of PPE and ROU pertaining to DGEN and accordingly, no additional impairment is considered necessary as at March 31, 2024. We considered this to be a key audit matter as the carrying value of DGEN at March 31, 2024 is significant to the Holding Company's balance sheet and there is significant judgement and estimation involved in the discounted cash flow (DCF) model used by the management to assess the value in use of DGEN.	Our procedures in relation to management's impairment assessment of DGEN included the following: - Assessed and tested the design and operating effectiveness of the Holding Company's controls over impairment assessment. - Perused the report issued by the external valuer engaged by the management and conducted enquiries with them to understand the assumptions considered by them. - Evaluated independence, competence, capability and objectivity of the external valuer. - Evaluated the reasonableness of cash flow projections used by the Holding Company and the key assumptions underlying the same. - With the involvement of auditor's experts, assessed the reasonableness of the assumptions considered in the discounted cash flow projections for determining value in use. - Enquired with senior management personnel, the justification for the key assumptions underlying the cashflow projections and performed sensitivity analysis on the same, within a reasonably foreseeable range. - Checked the arithmetic accuracy of the computations included in the discounted cash flow projections. - Assessed the adequacy of disclosure in the consolidated financial statements. Based on the above procedures performed, we considered management's assessment of impairment of DGEN to be reasonable.
2 Assessment of recoverability of Deferred tax assets on unutilised tax credits (Refer to note 44 (d)(2) to the consolidated financial statements) The Holding Company has recognised deferred tax assets on the unutilised tax credits amounting to ₹1,408.07 Crore as at March 31, 2024, representing Minimum Alternate Tax (MAT) paid on the accounting profit in the current year and in earlier years in which the Holding Company did not have normal taxable profit due to availment of tax holiday. The deferred tax asset has been recognised on the basis of Holding Company's assessment of availability of future taxable profits to offset the accumulated deferred tax assets on the unutilised tax credits. The future taxable profit projections involve several key assumptions including expected demand of electricity, future prices of fuel and expected tariff rates of electricity, covering the period over which MAT Credit can be claimed as per the Income-tax Act, 1961. In preparing the profit projections, management has considered past trends, applicable tariff regulations/ agreements and current and likely future state of the industry. We considered this a key audit matter as the amount of deferred tax assets on unutilised tax credits is material to the consolidated financial statements and significant management judgement is required in assessing the recoverability of accumulated deferred tax assets on unutilised tax credits based on significant assumptions underlying the forecast of future taxable profits. Further, recoverability of deferred tax assets depends on the achievement of Holding Company's future business plans.	Our audit procedures in relation to management's assessment of recoverability of Deferred tax assets on unutilised tax credits included the following: - Assessed and tested the design and operating effectiveness of the Holding Company's controls over recognition and assessment of recoverability of deferred tax assets on unutilised tax credits. - Assessed the Holding Company's accounting policy in respect of recognising of deferred tax assets on unutilised tax credits. - Enquired with senior management personnel, the justification for the key assumptions underlying the projections and assessed the reasonableness of the assumptions underlying profit projections made by management, by verifying the past trends, available tariff orders and relevant economic and industry indicators. Further, performed sensitivity analysis over the assumptions used in determining the projected taxable profits, within a reasonable range. - Evaluated whether the tax credit entitlements are legally available to the Holding Company for the forecast recoupment period, considering the provisions of Income-tax Act, 1961. - Checked the arithmetic accuracy of the underlying calculations of the profit projections. - Assessed the adequacy of disclosures made in the consolidated financial statements with regard to deferred taxes. Based on the above procedures performed by us, we considered the management's assessment of recoverability of deferred tax assets in respect of accumulated deferred tax assets on unutilised tax credits to be reasonable.

Independent Auditor's Report (Contd.)

Other Information

5. The Holding Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Board Report, Management Discussion and Analysis, Business Responsibility and Sustainability Report, Report on Corporate Governance but does not include the consolidated financial statements and our auditor's report thereon.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

6. The Holding Company's Board of Directors is responsible for the preparation and presentation of these consolidated financial statements in term of the requirements of the Act that give a true and fair view of the consolidated financial position, consolidated financial performance and consolidated cash flows, and changes in equity of the Group and in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act. The respective Board of Directors of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Group and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated financial statements by the Directors of the Holding Company, as aforesaid.
7. In preparing the consolidated financial statements, the respective Board of Directors of the companies included in the Group are responsible for assessing the ability of the Group to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.
8. The respective Board of Directors of the companies included in the Group are responsible for overseeing the financial reporting process of the Group.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

9. Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

Independent Auditor's Report (Contd.)

10. As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:
 - Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
 - Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Holding company has adequate internal financial controls with reference to consolidated financial statements in place and the operating effectiveness of such controls.
 - Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
 - Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
 - Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
 - Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit of the financial statements of such entities included in the consolidated financial statements of which we are the independent auditors.
11. We communicate with those charged with governance of the Holding Company and such other entities included in the consolidated financial statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
12. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.
13. From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

14. As required by paragraph 3(xxi) of the Companies (Auditor's Report) Order, 2020 ("CARO 2020"), issued by the Central Government of India in terms of sub-section (11) of Section 143 of the Act, we report that there are no qualifications or adverse remarks included by the respective auditors in their CARO 2020 reports issued in respect of the standalone financial statements of the companies which are included in these Consolidated Financial Statements.

Independent Auditor's Report (Contd.)

15. As required by Section 143(3) of the Act, we report, to the extent applicable, that:

- (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid consolidated financial statements.
- (b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidated financial statements have been kept by the Group so far as it appears from our examination of those books, except for the matters stated in paragraph 15(h)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 (as amended) ("the Rules"). Further, in relation to four subsidiaries in the absence of sufficient appropriate audit evidence, we are unable to verify whether the backup of books of account and other books and papers maintained in electronic mode has been maintained on a daily basis on servers physically located in India during the year ended March 31, 2024.
- (c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss (including other comprehensive income), the Consolidated Statement of Changes in Equity and the Consolidated Statement of Cash Flows dealt with by this Report are in agreement with the relevant books of account and records maintained for the purpose of preparation of the consolidated financial statements.
- (d) In our opinion, the aforesaid consolidated financial statements comply with the Accounting Standards specified under Section 133 of the Act.
- (e) On the basis of the written representations received from the directors of the Holding Company as on March 31, 2024 taken on record by the Board of Directors of the Holding Company and the reports of the statutory auditors of its subsidiary companies, none of the directors of the Group companies is disqualified as on March 31, 2024 from being appointed as a director in terms of Section 164(2) of the Act.
- (f) With respect to the maintenance of accounts and other matters connected therewith, reference is made to our remarks in paragraph 15(b) above on reporting under Section 143(3)(b) and paragraph 15(h)(vi) below on reporting under Rule 11(g) of the Rules.
- (g) With respect to the adequacy of internal financial controls with reference to consolidated financial statements of the Group and the operating effectiveness of such controls, refer to our separate report in "Annexure A".
- (h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
 - i. The consolidated financial statements disclose the impact, if any, of pending litigations on the consolidated financial position of the Group – Refer Note 46 to the consolidated financial statements.
 - ii. The Group has made provision as at March 31, 2024, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts - Refer Note 31. The Group was not required to recognise a provision as at March 31, 2024 under the derivative contracts.
 - iii. There has been no delay in transferring amounts required to be transferred to the Investor Education and Protection Fund by the Holding Company and its subsidiary companies during the year.
 - iv. (a) The respective Managements of the Group whose financial statements have been audited under the Act have represented to us that, to the best of their knowledge and belief, as disclosed in Note 65(f) to the financial statements, no funds (which are material either individually or in the aggregate) have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company or any of such subsidiaries to or in any other persons or entities, including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company or any of such subsidiaries ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

Independent Auditor's Report (Contd.)

- (b) The respective Managements of the Group whose financial statements have been audited under the Act have represented to us that, to the best of their knowledge and belief, as disclosed in the Note 65(f) to the financial statements, no funds (which are material either individually or in the aggregate) have been received by the Company or any of such subsidiaries from any persons or entities, including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company or any of such subsidiaries shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- (c) Based on the audit procedures, that has been considered reasonable and appropriate in the circumstances, performed by us and whose financial statements have been audited under the Act, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e) contain any material misstatement.
- v. The dividend declared and paid during the year by the Holding Company, its subsidiary companies is in compliance with Section 123 of the Act.
- vi. Based on our examination, which included test checks, the Holding Company and thirty one subsidiaries have used an accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility and that has been operating throughout the year for all relevant transactions recorded in the software at application level and has been operating from March 27, 2024 at database level, except that the audit log does not capture changes, if any made using certain privileged access. Further, four subsidiaries have used an accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility and that has operated throughout the period for all relevant transactions recorded in the software.

Further, during the course of our audit except the aforesaid instances, we did not notice any instance of audit trail feature being tampered with (Refer Note 64 to the consolidated financial statement).

- 16. The Group have paid/ provided for managerial remuneration in accordance with the requisite approvals mandated by the provisions of Section 197 read with Schedule V to the Act.

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number: 012754N / N500016

Priyanshu Gundana
Partner

Membership Number: 109553
UDIN: 24109553BKGQVM7643

Place: Ahmedabad
Date: May 22, 2024

Annexure A to Independent Auditor's Report

Referred to in paragraph 15(g) of the Independent Auditor's Report of even date to the members of Torrent Power Limited on the consolidated financial statements for the year ended March 31, 2024

Report on the Internal Financial Controls with reference to Consolidated Financial Statements under clause (i) of sub-section 3 of Section 143 of the Act

1. In conjunction with our audit of the consolidated financial statements of the Company as of and for the year ended March 31, 2024, we have audited the internal financial controls with reference to financial statements of Torrent Power Limited (hereinafter referred to as "the Holding Company") and its subsidiary companies as of that date.

Management's Responsibility for Internal Financial Controls

2. The respective Board of Directors of the Holding Company, its subsidiary companies, to whom reporting under clause (i) of sub section 3 of Section 143 of the Act in respect of the adequacy of the internal financial controls with reference to financial statements is applicable, are responsible for establishing and maintaining internal financial controls based on internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting ("the Guidance Note") issued by the Institute of Chartered Accountants of India ("ICAI"). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

3. Our responsibility is to express an opinion on the Holding Company's internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Guidance Note issued by the ICAI and the Standards on Auditing deemed to be prescribed under Section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of internal financial controls and both issued by the ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements was established and maintained and if such controls operated effectively in all material respects.
4. Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.
5. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Holding Company's internal financial controls system with reference to consolidated financial statements.

Meaning of Internal Financial Controls with reference to financial statements

6. A company's internal financial control with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control with reference to financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Annexure A to Independent Auditor's Report (Contd.)

Referred to in paragraph 15(g) of the Independent Auditor's Report of even date to the members of Torrent Power Limited on the consolidated financial statements for the year ended March 31, 2024

Inherent Limitations of Internal Financial Controls with reference to financial statements

7. Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial control with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

8. In our opinion, the Holding Company and its subsidiary companies, have, in all material respects, an adequate internal financial controls system with reference to financial statements and such internal financial controls with reference to financial statements were operating effectively as at March 31, 2024, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note issued by the ICAI.

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number: 012754N / N500016

Priyanshu Gundana
Partner

Membership Number: 109553
UDIN: 24109553BKGQVM7643

Place: Ahmedabad
Date: May 22, 2024

Consolidated Balance Sheet

as at March 31, 2024

	Notes	As at March 31, 2024	(₹ in Crore) As at March 31, 2023
Assets			
Non-current assets			
Property, plant and equipment	4	20,653.68	18,115.94
Right-of-use assets	5	259.07	216.46
Capital work-in-progress	6	2,472.36	2,624.69
Investment property	7	-	9.39
Goodwill	8	171.07	171.07
Other intangible assets	9	718.46	756.33
Financial assets			
Investments	10	17.02	15.94
Other financial assets	11	94.68	135.38
Deferred tax assets (net)	44	66.38	38.65
Non-current tax assets (net)	12	12.64	12.50
Other non-current assets	13	420.76	361.04
Sub total - Non-current assets		24,886.12	22,457.39
Current assets			
Inventories	14	800.45	820.28
Financial assets			
Investments	15	937.37	787.75
Trade receivables	16	2,190.86	2,246.33
Cash and cash equivalents	17	350.83	188.23
Bank balances other than cash and cash equivalents above	18	67.91	155.29
Other financial assets	19	3,989.23	3,111.40
Other current assets	20	169.71	143.51
Sub total - Current assets		8,506.36	7,452.79
Total - Assets		33,392.48	29,910.18
Equity and liabilities			
Equity			
Equity share capital	21	480.62	480.62
Other equity	22	11,581.09	10,529.38
Sub total - Equity attributable to equity holders of the Company		12,061.71	11,010.00
Non-controlling interests		535.79	476.65
Sub total - Equity		12,597.50	11,486.65
Liabilities			
Non-current liabilities			
Financial liabilities			
Borrowings	23	9,916.40	8,902.32
Lease liabilities	47	39.50	39.32
Trade payables	24	-	-
Total outstanding dues of micro and small enterprises		-	-
Total outstanding dues other than micro and small enterprises		345.71	210.61
Other financial liabilities	25	0.95	-
Deferred tax liabilities (net)	44	1,233.65	968.79
Other non-current liabilities	26	1,445.68	1,372.46
Sub total - Non-current liabilities		12,981.89	11,493.50
Current liabilities			
Financial liabilities			
Borrowings	27	1,668.63	1,593.75
Lease liabilities	47	7.27	6.02
Trade payables	28	-	-
Total outstanding dues of micro and small enterprises		64.12	68.99
Total outstanding dues other than micro and small enterprises		1,747.80	1,453.68
Other financial liabilities	29	3,264.67	2,687.72
Other current liabilities	30	735.06	677.24
Provisions	31	201.74	264.06
Current tax liabilities (net)	32	123.80	178.57
Sub total - Current liabilities		7,813.09	6,930.03
Total - Equity and liabilities		33,392.48	29,910.18

See accompanying notes forming part of the consolidated financial statements

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N / N500016

Samir Mehta
Chairperson
DIN:00061903

Priyanshu Gundana
Partner
Membership No.: 109553

Saurabh Mashruwala
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 22, 2024

Ahmedabad, May 22, 2024

Consolidated Statement of Profit and Loss

for the year ended March 31, 2024

(₹ in Crore)

	Notes	Year ended March 31, 2024	Year ended March 31, 2023
Income			
Revenue from operations	33	27,183.21	25,694.12
Other income	34	344.32	381.85
Total income		27,527.53	26,075.97
Expenses			
Electrical energy purchased		13,743.27	14,440.53
Fuel cost		5,647.95	2,508.23
Cost of materials consumed	35	406.50	334.81
Purchase of stock-in-trade		690.53	1,879.26
Changes in inventories of finished goods and work-in-progress	36	20.45	(29.19)
Employee benefits expense	37	611.19	578.25
Finance costs	38	943.40	818.20
Depreciation and amortisation expense	39	1,377.50	1,280.96
Other expenses	40	1,504.14	1,223.56
Total expenses		24,944.93	23,034.61
Profit before tax		2,582.60	3,041.36
Tax expense			
Current tax	44	445.07	672.82
Deferred tax	44	241.53	203.87
Total tax expense		686.60	876.69
Profit for the year		1,896.00	2,164.67
Other comprehensive income			
Items that will not be reclassified to profit or loss			
Remeasurement of the defined benefit plans	48	(20.81)	9.54
Tax relating to remeasurement of the defined benefit plans	44	(6.76)	3.50
Other comprehensive income for the year, net of tax		(14.05)	6.04
Total comprehensive income for the year		1,881.95	2,170.71
Profit for the year attributable to:			
Owners of the Company		1,833.23	2,117.43
Non-controlling interests		62.77	47.24
		1,896.00	2,164.67
Other comprehensive income for the year attributable to:			
Owners of the Company		(12.53)	6.75
Non-controlling interests		(1.52)	(0.71)
		(14.05)	6.04
Total comprehensive income for the year attributable to:			
Owners of the Company		1,820.70	2,124.18
Non-controlling interests		61.25	46.53
		1,881.95	2,170.71
Basic and diluted earnings per share of ₹ 10 each (in ₹)	51	38.14	44.06

See accompanying notes forming part of the consolidated financial statements

In terms of our report attached

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N / N500016

Priyanshu Gundana
Partner
Membership No.: 109553

Ahmedabad, May 22, 2024

For and on behalf of the Board of Directors

Samir Mehta
Chairperson
DIN:00061903

Saurabh Mashruwala
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 22, 2024

Consolidated Statement of Cash Flows

for the year ended March 31, 2024

		(₹ in Crore)	
	Notes	Year ended March 31, 2024	Year ended March 31, 2023
Cash flow from operating activities			
Profit before tax		2,582.60	3,041.36
Adjustments for :			
Depreciation and amortisation expense	39	1,377.50	1,280.96
Amortisation of deferred revenue	33	(106.18)	(100.10)
Provision of earlier years written back	33	(1.09)	(0.80)
Loss on sale / discarding of property, plant and equipment and capital work-in-progress	40	37.19	29.91
Gain on disposal of property, plant and equipment / investment property	34	(40.01)	(44.84)
Bad debts written off (net of recovery)	40	12.41	4.02
Reversal of provision for onerous contracts	40	(109.40)	(10.82)
Provision for onerous contracts	40	-	9.44
Allowance for doubtful advances (net)	40	(6.06)	-
Allowance for doubtful debts (net)	40	(10.11)	(13.21)
Finance costs	38	943.40	818.20
Interest income from financial assets measured at amortised cost	34	(56.80)	(68.84)
Gain on sale of current investments in mutual funds	34	(57.94)	(55.64)
Gain on sale of non-current investments	34	(0.05)	-
Net (gain) / loss arising on current investments in mutual funds measured at fair value through profit or loss	34	(1.93)	(7.23)
Net gain arising on financial assets / liabilities measured at amortised cost	34	(50.02)	(23.67)
Net unrealised loss / (gain) on foreign currency transactions	34	3.98	10.76
Operating profit before working capital changes		4,517.49	4,869.50
Movement in working capital:			
Adjustments for decrease / (increase) in operating assets:			
Inventories		198.84	(265.58)
Trade receivables		59.23	(148.96)
Other financial assets		(775.59)	(929.80)
Other assets		13.79	(22.13)
Adjustments for increase / (decrease) in operating liabilities:			
Trade payables		470.34	125.37
Other financial liabilities		188.29	260.20
Provisions		26.27	0.43
Other liabilities		57.32	56.84
Cash generated from operations		4,755.98	3,945.87
Taxes paid (net)		(497.63)	(490.09)
Net cash flow generated from operating activities		4,258.35	3,455.78
Cash flow from investing activities			
Payments for property, plant and equipment, intangible assets & investment property		(3,656.48)	(3,089.07)
Proceeds from sale of property, plant and equipment, intangible assets & investment property		57.42	65.74
Acquisition of subsidiaries net of cash and cash equivalents [Refer note 42]		(18.74)	28.05
Advance against equity investment		-	(3.00)
Purchase of non-current investments		(4.03)	(1.94)
Proceeds from sale of non-current investments		1.98	-
Loans to related parties		-	(3.50)
Repayment of loans from related parties		-	11.25
Investments in bank deposits (original maturity more than three months)		(1,118.90)	(806.04)
Redemption in bank deposits (original maturity more than three months)		1,225.43	690.61

Consolidated Statement of Cash Flows (Contd.)

for the year ended March 31, 2024

	(₹ in Crore)	
	Year ended March 31, 2024	Year ended March 31, 2023
(Investments) / redemption in inter corporate deposits	-	266.84
Interest received	57.62	74.35
(Purchase of) / proceeds from current investments (net)	(88.73)	(449.25)
Net cash used in investing activities	(3,544.43)	(3,215.96)
Cash flow from financing activities		
Proceeds from long-term borrowings	3,300.13	3,812.34
Proceeds from short-term borrowings	1,365.00	400.00
Repayment of long-term borrowings	(1,263.68)	(1,359.28)
Prepayment of long-term borrowings	(1,241.54)	(341.86)
Repayment of short-term borrowings	(1,074.98)	(1,113.74)
Repayment of Accelerated Power Development and Reform Programme (APDRP) loan	(3.82)	(3.82)
Receipt of contribution from consumers	179.35	217.04
Dividend paid	(771.10)	(1,061.81)
Principal elements of lease payments	(44.02)	(22.34)
Finance costs paid	(996.66)	(867.53)
Net cash used in financing activities	(551.32)	(341.00)
Net (decrease) / increase in cash and cash equivalents	162.60	(101.18)
Cash and cash equivalents as at beginning of the year	188.23	289.41
Cash and cash equivalents as at end of the year	350.83	188.23
Footnotes:		
1 Cash and cash equivalents as at end of the year:		
Balances with banks		
Balance in current accounts	268.41	187.33
Balance in fixed deposit accounts (original maturity for less than three months)	80.32	-
Cheques on hand	1.40	0.60
Cash on hand	0.70	0.30
	350.83	188.23
2 Non-cash investing and financing activities:		
Acquisition of Right-of-use assets	9.57	7.45
Refinancing of existing loan	-	374.62
	9.57	382.07
3 Cash flow from operating activities includes ₹ 32.95 Crore (Previous year ₹ 34.43 Crore) being expense towards corporate social responsibility initiatives.		
4 The consolidated statement of cash flow has been prepared under the 'Indirect Method' set out in Indian Accounting Standards (Ind AS) - 7 "Statement of Cash Flows".		

See accompanying notes forming part of the consolidated financial statements

In terms of our report attached

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N / N500016

Priyanshu Gundana
Partner
Membership No.: 109553

Ahmedabad, May 22, 2024

For and on behalf of the Board of Directors

Samir Mehta
Chairperson
DIN:00061903

Saurabh Mashruwala
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 22, 2024

Consolidated Statement of Changes in Equity

for the year ended March 31, 2024

A. Equity Share Capital [Refer note 21]

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Balance at the beginning of the year	480.62	480.62
Changes in equity share capital during the year	-	-
Balance at the end of the year	480.62	480.62

Consolidated Statement of Changes in Equity (Contd.)

for the year ended March 31, 2024

B. Other Equity [Refer note 22]

	Reserves and surplus						Other equity attributable to equity holders of the Company	Non-controlling interests	Total
	Securities premium	Debt redemption reserve	Contingency reserve	Special reserve	General reserve	Retained earnings			
Balance as at April 01, 2023	0.03	61.21	17.29	78.07	3,670.61	6,702.17	10,529.38	476.65	11,006.03
Profit for the year	-	-	-	-	-	1,833.23	1,833.23	62.77	1,896.00
Other comprehensive income for the year, net of tax	-	-	-	-	-	(12.53)	(12.53)	(1.52)	(14.05)
Total comprehensive income for the year	-	-	-	-	-	1,820.70	1,820.70	61.25	1,881.95
Transfer to debt redemption reserve	-	(16.70)	-	-	17.07	(0.37)	-	-	-
Transfer to contingency reserve	-	-	1.93	-	-	(1.93)	-	-	-
Transaction with owners in their capacity as owners:									
Dividend (including interim dividend) paid	-	-	-	-	-	(768.99)	(768.99)	(2.11)	(771.10)
Balance as at March 31, 2024	0.03	44.51	19.22	78.07	3,687.68	7,751.58	11,581.09	535.79	12,116.88
Balance as at April 01, 2022	0.03	139.60	15.37	78.07	3,583.89	5,645.60	9,462.56	35.93	9,498.49
Profit for the year	-	-	-	-	-	2,117.43	2,117.43	47.24	2,164.67
Other comprehensive income for the year, net of tax	-	-	-	-	-	6.75	6.75	(0.71)	6.04
Total comprehensive income for the year	-	-	-	-	-	2,124.18	2,124.18	46.53	2,170.71
Transfer to debt redemption reserve	-	(78.39)	-	-	86.72	(8.33)	-	-	-
Transfer to contingency reserve	-	-	1.92	-	-	(1.92)	-	-	-
Transaction with owners in their capacity as owners:									
Dividend (including interim dividend) paid	-	-	-	-	-	(1,057.36)	(1,057.36)	(4.45)	(1,061.81)
Non-controlling interests on acquisition of subsidiary	-	-	-	-	-	-	-	398.64	398.64
Balance as at March 31, 2023	0.03	61.21	17.29	78.07	3,670.61	6,702.17	10,529.38	476.65	11,006.03

Footnote:

1. Retained earning includes (₹ 37.20) Crore [March 31, 2023 : (₹ 23.15) Crore] related to re-measurement of defined benefit plans.

See accompanying notes forming part of the consolidated financial statements

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse Chartered Accountants LLP**
 Firm Registration Number : 012754N / N500016

Samir Mehta
 Chairperson
 DIN:00061903

Priyanshu Gundana
 Partner
 Membership No.: 109553

Saurabh Mashruwala
 Chief Financial Officer

Rahul Shah
 Company Secretary

Ahmedabad, May 22, 2024

Ahmedabad, May 22, 2024

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 1a: General information

These financial statements comprise financial statements of Torrent Power Limited ("the Company") and its subsidiaries (hereinafter referred to as "the Group") and associate (upto July 29, 2022) for the year ended March 31, 2024.

The Company is a public company domiciled in India and is incorporated under the provisions of the Companies Act, applicable in India. Its equity shares are listed on BSE Ltd. and National Stock Exchange Ltd. in India. The registered office of the Company is located at "Samanvay", 600, Tapovan, Ambawadi, Ahmedabad – 380 015.

The Group is engaged in the business of generation, renewables, transmission and distribution of Electricity and of manufacture and sale of Cable. Information on the Group's structure is provided in note 41.

Note 1b: New standards or interpretations adopted by the Group

The Ministry of Corporate Affairs vide notification dated March 31, 2023 notified the Companies (Indian Accounting Standards) Amendment Rules, 2023, which amended certain accounting standards (see below), and are effective April 01, 2023:

- i) Ind AS 1 – Disclosure of accounting policies
- ii) Ind AS 8 – Definition of Accounting estimates
- iii) Ind AS 12 – Deferred tax related to assets and liabilities arising from a single transaction

The other amendments to Ind AS notified by these rules are primarily in the nature of clarifications. These amendments did not have any impact on the amounts recognised in prior periods and are not expected to significantly affect the current or future periods.

Note 2a: Material accounting policies

2.1 Basis of preparation:

Compliance with Ind AS

The financial statements are in compliance, in all material aspects, with Indian Accounting Standards (Ind AS) notified under Section 133 of the Companies Act, 2013 (the Act) read with the [Companies (Indian Accounting Standards) Rules, 2015] and other relevant provisions of the Act and rules made thereunder.

Historical cost convention

The financial statements have been prepared on historical cost basis except for following which have been measured at fair value;

- Defined benefit plan assets
- Certain financial assets and liabilities (including derivative instruments) is measured at fair value

All assets and liabilities have been classified as current or non-current as set out in the Schedule III (Division II) to the Companies Act, 2013.

2.2 Principles of consolidation:

Subsidiaries

The consolidated financial statements comprise the financial statements of Torrent Power Limited and its subsidiaries. Subsidiaries are all entities over which the Company has control. The Company controls an entity when the Company is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the relevant activities of the entity. Consolidation of an entity begins when the Company obtains control over the entity and ceases when the Company loses control of the entity. Specifically, income and

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 2a: Material accounting policies (Contd.)

expenses of an entity acquired or disposed of during the year are included in the consolidated statement of profit and loss from the date the Company gains control or until the date when the Company ceases to control the entity, respectively.

The Group combines the financial statements of the Parent and its subsidiaries line by line adding together like items of assets, liabilities, equity, income and expenses. Intercompany transactions, balances and unrealised gains on transactions between group companies are eliminated. Ind AS 12 "Income Taxes" applies to temporary differences that arise from the elimination of profits and losses resulting from intragroup transactions.

Consolidated financial statements are prepared using uniform accounting policies for like transactions and other events in similar circumstances. If a member of the Group uses accounting policies other than those adopted in the consolidated financial statements for like transactions and events in similar circumstances, appropriate adjustments are made to that Group member's financial statements in preparing the consolidated financial statements to ensure conformity with the Group's accounting policies. The financial statements of all entities used for the purpose of consolidation are drawn up to same reporting date as that of the Parent company, i.e., year ended on March 31.

Non-controlling interests in the results and equity of subsidiaries are shown separately in the consolidated balance sheet, consolidated statement of profit and loss and consolidated statement of changes in equity respectively.

Associates and joint ventures

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

A joint venture is a joint arrangement whereby the parties, that have joint control of the arrangement, have rights to the net assets of the joint arrangement. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control.

The results and assets and liabilities of associates or joint ventures are incorporated in the consolidated financial statements using the equity method of accounting, except when the investment, or a portion thereof, is classified as held for sale, in which case it is accounted for in accordance with Ind AS 105 "Non-current Assets Held for Sale and Discontinued Operations". Under the equity method, an investment in an associate or a joint venture is initially recognised in the consolidated balance sheet at cost and adjusted thereafter to recognise the Group's share of the profit or loss and other comprehensive income of the associate or joint venture. When the Group's share of losses of an associate or a joint venture exceeds the Group's interest in that associate or joint venture, the Group discontinues recognising its share of further losses. Additional losses are recognized to the extent that the Group has incurred legal or constructive obligation or made payment on behalf of the associate or joint venture.

2.3 Business combinations and Goodwill:

Business combination - acquisition

Acquisitions of businesses are accounted for using the acquisition method. In determining whether a particular set of activities and assets is a business, the Group assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce outputs. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the acquisition-date fair values of the assets transferred, liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group in exchange for control of the acquiree.

Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are, with limited exceptions, measured initially at their fair values at the acquisition date.

Acquisition-related costs are expensed as incurred.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 2a: Material accounting policies (Contd.)

The excess of the

- consideration transferred;
- amount of any non-controlling interest in the acquired entity, and
- acquisition-date fair value of any previous equity interest in the acquired entity

over the fair value of the net identifiable assets acquired is recorded as goodwill. If those amounts are less than the fair value of the net identifiable assets of the business acquired, the difference is recognised in other comprehensive income and accumulated in equity as capital reserve provided there is clear evidence of the underlying reasons for classifying the business combination as a bargain purchase. In other cases, the bargain purchase gain is recognised directly in equity as capital reserve.

Business combination – common control transaction

Business combinations involving entities that are controlled by the Group are accounted for using the pooling of interest method as follows:

- The assets and liabilities of the combining entities are reflected at their carrying amounts.
- No adjustments are made to reflect fair values, or recognise any new assets or liabilities. Adjustments are only made to harmonise accounting policies.
- The financial information in the financial statements in respect of prior periods is restated as if the business combination had occurred from the beginning of the preceding period in the financial statements, irrespective of the actual date of the combination. However, where the business combination had occurred after that date, the prior period information is restated only from that date.
- The balance of the retained earnings appearing in the financial statements of the transferor is aggregated with the corresponding balance appearing in the financial statements of the transferee or is adjusted against general reserve.
- The identity of the reserves is preserved and the reserves of the transferor become the reserves of the transferee.
- The difference, if any, between the amounts recorded as share capital issued plus any additional consideration in the form of cash or other assets and the amount of share capital of the transferor is transferred to capital reserve and is presented separately from other capital reserves.

Business combination-related costs are generally recognised in consolidated statement of profit and loss as incurred.

Goodwill

Goodwill on acquisitions of subsidiaries is included in intangible assets. Goodwill is not amortised but is tested for impairment annually, or more frequently if events or changes in circumstances indicate that it might be impaired, and is carried at cost less accumulated impairment losses. Gains and losses on the disposal of a business include the carrying amount of goodwill relating to such business.

Goodwill is allocated to cash-generating units for the purpose of impairment testing. The allocation is made to those cash-generating units or groups of cash-generating units that are expected to benefit from the business combination in which the goodwill arose.

Acquisition of an asset or a group of assets

In case of acquisition of an asset or a group of assets that does not constitute a business, the Group identifies and recognises individual identifiable assets acquired (including those assets that meet the definition of, and recognition criteria for, intangible assets under Ind AS 38, Intangible Assets) and liabilities assumed. The Purchase Consideration shall be allocated to the individual identifiable assets and liabilities on the basis of their relative fair values at the date of purchase. Such a transaction or event does not give rise to goodwill or gain on bargain purchase.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 2a: Material accounting policies (Contd.)

2.4 Property, plant and equipment:

Freehold land is carried at historical cost. All other items of property, plant and equipment held for use in the production or supply of goods or services, or for administrative purposes, are stated in the consolidated balance sheet at cost less accumulated depreciation and accumulated impairment losses except that on adoption of Ind AS, property, plant and equipment had been measured at deemed cost, using the net carrying value as per previous GAAP as at April 01, 2015.

Capital work in progress in the course of construction for production, supply or administrative purposes is carried at cost, less any recognised impairment loss. Cost includes purchase price, taxes and duties, labour cost and other directly attributable costs incurred upto the date the asset is ready for its intended use. Such property, plant and equipment are classified to the appropriate categories when completed and ready for intended use. Directly attributable costs are capitalized until the asset is ready to use in accordance with the Group's accounting policy of capitalization.

Subsequent cost are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the group and the cost of the item can be measured reliably. Subsequent costs relating to day to day servicing of the item are not recognised in the carrying amount of an item of property, plant and equipment; rather, these costs are recognised in profit or loss as incurred.

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in profit or loss.

Depreciation methods, estimated useful lives and residual value

Depreciation commences when the assets are ready for their intended use. Depreciation for the year is provided on additions / deductions of the assets during the period from / up to the month in which the asset is added / deducted. Depreciation on property, plant and equipment which are governed as per the provisions of Part B of Schedule II of the Companies Act, 2013 is provided on straight line basis using the depreciation rates, the methodology and residual value as notified by the respective regulatory bodies in accordance with the Electricity Act, 2003. For other property, plant and equipment in non-regulated business, depreciation is provided on a straight line basis over the estimated useful lives.

The estimated useful life, residual values and depreciation method are reviewed at the end of each reporting period in respect of property, plant and equipment of non-regulated business. The effect of any such change in estimate in this regard is accounted for on a prospective basis.

The range of depreciation rates of property, plant and equipment are as follows:

Class of assets	Rate of depreciation		
	Regulated business \$	Franchisee business @	Other business
Buildings	1.26% to 6.73%	3.34%	1.58% to 31.67%
Railway siding	1.80% to 5.28%	-	-
Leasehold improvement	-	6.86% to 23.08%	-
Plant and machinery	0.92% to 19.00%	5.28%	3.60% to 12.66%
Electrical fittings and apparatus	0.64% to 19.00%	6.33%	6.33% to 9.50%
Furniture and fixtures	0.91% to 15.00%	6.33%	6.33% to 9.91%
Vehicles	9.50% to 18.00%	9.50%	9.50% to 11.88%
Office equipment	0.91% to 31.67%	5.28% to 15.00%	6.33% to 19.00%

@ governed by the applicable regulations of Uttar Pradesh Electricity Regulatory Commission (UPERC) / Maharashtra Electricity Regulatory Commission (MERC) for this purpose.

\$ For assets acquired on or after April 01, 2009 in case of Regulated generation and distribution business, remaining depreciable value as on 31st March of the year closing after a period of 12 years from date on which assets are ready for their intended use, shall be spread over the balance useful life of the assets as defined in GERC / CERC Multi Year Tariff (MYT) regulations.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 2a: Material accounting policies (Contd.)

2.5 Intangible assets:

Intangible assets are carried at cost less accumulated amortisation and accumulated impairment losses, if any. Amortisation is recognised on a straight-line basis over its estimated useful life. The range of estimated useful lives of the intangible assets are as follows:

- Computer software – 3 years
- Customer Contracts – 15 to 22 years
- Distribution License – 25 years

The estimated useful lives and amortisation method are reviewed at the end of each reporting period and the effect of any changes in such estimate is accounted for on a prospective basis.

Expenditure incurred on acquisition of intangible assets which are not ready to use at the reporting date is disclosed under “Intangible assets under development”.

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from its use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in profit or loss when the asset is derecognised.

2.6 Impairment of assets:

Property, plant and equipment and intangible assets are reviewed for impairment losses whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognized for the amount by which the carrying amount of the assets exceeds its recoverable amount, which is the higher of an asset's fair value less costs of disposal and value in use. Value in use is the present value of the future cash flows expected to be derived from an asset or cash-generating unit. An impairment loss is recognised immediately in profit or loss.

For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows which are largely independent of the cash inflows from other assets or groups of assets (cash-generating units). Non-financial assets other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

2.7 Borrowing costs:

Borrowing costs that are directly attributable to the acquisition and construction of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use, such as new projects and / or specific assets created in the existing business, are capitalized up to the date of completion and ready for their intended use.

Income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

Other borrowing costs are charged to the consolidated statement of profit and loss in the period of their accrual.

2.8 Cash and cash equivalents:

For the purpose of presentation in the statement of cash flows, cash and cash equivalents includes cash on hand, cheques / drafts on hand, current account balances with banks and other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. Bank overdrafts are shown within borrowings in current liabilities in the consolidated balance sheet.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 2a: Material accounting policies (Contd.)

2.9 Inventories:

Raw materials, fuel, stores and spares, packing materials, loose tools, work in progress, traded and finished goods are stated at the lower of cost and net realisable value. Cost of inventories includes purchase price and all other costs incurred in bringing the inventories to their present location and condition. Costs are assigned to individual items of inventory on the weighted average basis except for inventory of Regasified Liquefied Natural Gas (RLNG) which is valued using specific identification method considering its procurement for beneficiary usage or others. Costs of purchased inventory are determined after deducting rebates and discounts.

Net realisable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

2.10 Revenue recognition:

Revenue towards satisfaction of a performance obligation is measured and recognized at transaction price recognized, when the control of the goods or services has been transferred to consumers, net of discounts and other similar allowances.

- (i) Revenue from power supply and transmission charges is accounted for in accordance with the rates, terms and conditions laid down under the relevant Tariff Regulations / Tariff Orders notified by the Electricity Regulators / agreements entered with the customers / power exchange rates, as applicable. Revenue recognised includes amounts billed to consumers on the basis of recording of consumption of energy by installed meters based on the applicable tariff and adjustments in respect of unbilled amounts towards revenue gaps / unapproved Fuel and Power Purchase Price Adjustment (FPPPA) which are recognised considering applicable tariff regulations/ tariff orders, past trends of approval, management's probability estimate and, when no significant uncertainty exists in such determination. Revenue from power supply exclude taxes and duties.

These adjustments / accruals are carried forward as 'Unbilled revenue' under "Other current financial assets" in Note 19, which would be adjusted through future billing based on tariff determination by the regulator in accordance with the electricity regulations.

- (ii) Sales of cables and trading of RLNG are recognised, net of returns and rebates, on transfer of control of ownership to the buyer. Sales exclude Goods and Services Tax.
- (iii) Gross proceeds from sale of Certified Emission Reduction Certificates (CERs) are recognized when all the control of CERs have been passed to buyer, usually on delivery of the CERs.
- (iv) Income from Generation Based Incentive is accounted on accrual basis considering eligibility of project for availing incentive.
- (v) Contributions by consumers towards items of property, plant and equipment, which require an obligation to provide electricity connectivity to the consumers, are recognised as a credit to deferred revenue. Similarly contribution by third party towards construction of overhead transmission lines are recognized as a credit to deferred revenue. Such revenue is recognised over the useful life of the property, plant and equipment.

2.11 Foreign currency translation:

Functional and presentation currency

The consolidated financial statements are prepared in Indian rupee (₹) which is functional as well as presentation currency of the Group.

Transactions and balances

In preparing the financial statements of each individual Group entity transactions in currencies other than the entity's functional currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 2a: Material accounting policies (Contd.)

At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date.

Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Foreign exchange differences arising on foreign currency borrowings are presented in the consolidated statement of profit and loss, within finance costs. All other foreign exchange differences arising on settlement of monetary items or on reporting the Group's monetary items at rates different from those at which they were initially recorded during the financial year are recognized as income or expense in the financial year in which they arise.

2.12 Employee benefits:

Defined contribution plans

Contributions retirement benefit plans in the form of provident fund, employee state insurance scheme, pension scheme and superannuation schemes as per regulations are charged as an expense on an accrual basis when employees have rendered the service. The Group has no further payment obligations once the contributions have been paid.

Defined benefits plans

The liability or asset recognised in the consolidated balance sheet in respect of the retirement benefit plan i.e. gratuity plan is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated by an actuary using projected unit credit method.

The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows by reference to market yields at the end of the reporting period on government bonds that have terms approximating to the terms of the related obligations.

The net interest cost is calculated by applying the discount rate to the net balance of the defined benefit obligation and the fair value of the plan assets. This cost is included in the employee benefit expense in the consolidated statement of profit and loss.

Remeasurements, comprising actuarial gains and losses and the effect of the changes to the asset ceiling (if applicable), is reflected immediately in the consolidated balance sheet with a charge or credit recognised in other comprehensive income in the period in which they occur and consequently recognised in retained earnings and is not reclassified to profit or loss.

The retirement benefit recognised in the consolidated balance sheet represents the actual deficit or surplus in the Group's defined benefit plans. Any surplus resulting from this calculation is limited to the present value of any economic benefits available in the form of reductions in future contributions to the plans.

Other long-term employee benefit obligations

The liabilities for earned leave and sick leave are not expected to be settled wholly within 12 months after the end of the period in which the employees render the related service. They are therefore measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. The benefits are discounted using the market yields at the end of the reporting period that have terms approximating to the terms of the related obligation. Remeasurements as a result of experience adjustments and changes in actuarial assumptions are recognised in profit or loss.

The said obligations are presented as current liabilities in the consolidated balance sheet if the entity does not have an unconditional right to defer settlement for at least twelve months after the reporting period, regardless of when the actual settlement is expected to occur.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 2a: Material accounting policies (Contd.)

2.13 Taxation:

Income tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on estimated taxable income for the year in accordance with the provisions of the Income Tax Act, 1961. Taxable profit differs from 'profit before tax' as reported in the consolidated statement of profit and loss because of items of income or expenses that are taxable or deductible in other years and items that are never taxable or deductible. Management periodically evaluates positions taken in the tax returns with respect to situations for which applicable tax regulations are subject to interpretation and considers whether it is probable that a taxation authority will accept an uncertain tax treatment. The Group measures its tax balances either based on the most likely amount or the expected value, depending on which method provides a better prediction of the resolution of the uncertainty.

Advance taxes and provisions for current income taxes are offset with each other when there is a legally enforceable right to offset and balances arise with the same tax authority.

Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the consolidated financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences.

Deferred tax assets are generally recognised for all deductible temporary differences, unused tax losses and unused tax credits to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority.

Deferred tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity.

2.14 Earnings per share:

Basic earnings per share is computed by dividing the profit / (loss) attributable to owners of the Company by the weighted average number of equity shares outstanding during the year.

Diluted earnings per share is computed by adjusting the figures used in the determination of basic EPS to take into account:

- After tax effect of interest and other financing costs associated with dilutive potential equity shares.
- The weighted average number of additional equity shares that would have been outstanding assuming the conversion of all dilutive potential equity shares.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 2a: Material accounting policies (Contd.)

2.15 Provisions, contingent liabilities and contingent assets:

Provisions

A provision is recognized when the Group has a present obligation as a result of past events and it is probable that an outflow of resources will be required to settle the obligation in respect of which a reliable estimate can be made.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows (when the effect of the time value of money is material).

Contingent liability

A possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the enterprise are disclosed as contingent liability and not provided for. Such liability is not disclosed if the possibility of outflow of resources is remote.

Contingent assets

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity.

Contingent assets are not recognised but disclosed only when an inflow of economic benefits is probable.

2.16 Financial instruments:

Financial assets

i) Classification of financial assets (including debt instruments)

The Group classifies its financial assets in the following measurement categories:

- those to be measured subsequently at fair value (either through other comprehensive income, or through profit or loss), and
- those measured at amortised cost.

The classification depends on the entity's business model for managing the financial assets and the contractual cash flow characteristics of the financial assets.

ii) Initial measurement

Financial assets (excluding trade receivables) are initially measured at fair value. Transaction costs that are directly attributable to the acquisition (other than financial assets at fair value through profit or loss) are added to the fair value of the financial assets, as appropriate, on initial recognition. Transaction costs that are directly attributable to the acquisition or issue of financial assets at fair value through profit or loss are recognised immediately in profit or loss. Trade receivables which do not contain a significant financing component are measured at transaction price.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 2a: Material accounting policies (Contd.)

iii) Subsequent measurement

There are three measurement categories into which the debt instruments can be classified:

- **Amortised cost**

Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Interest income from these financial assets is included in finance income using the effective interest rate method. Any gain or loss arising on derecognition is recognised directly in profit or loss and presented in other gains/(losses). Impairment losses are presented as separate line item in the statement of profit and loss.

- **Fair value through other comprehensive income (FVOCI)**

Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at fair value through other comprehensive income (FVOCI). Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest revenue and foreign exchange gains and losses which are recognised in profit and loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in other gains / (losses). Interest income from these financial assets is included in other income using the effective interest rate method. Foreign exchange gains and losses are presented in other gains and losses and impairment expenses in other expenses. The Group currently does not have any debt instruments which are measured at FVOCI.

- **Fair value through profit or loss (FVTPL)**

Assets that do not meet the criteria for amortised cost or FVOCI are measured at fair value through profit or loss. A gain or loss on a debt investment that is subsequently measured at fair value through profit or loss is recognised in profit or loss and presented net in the consolidated statement of profit and loss within other gains / (losses) in the period in which it arises. Net gains / (losses) from these financial assets is included in other income.

iv) Impairment of financial assets

The Group assesses on a forward looking basis the expected credit losses associated with its financial assets carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

For trade receivables or any contractual right to receive cash or another financial asset that result from transactions that are within the scope of Ind AS 115 only, the Group follows 'simplified approach' for recognition of impairment loss and always measures the loss allowance at an amount equal to lifetime expected credit losses to measure the expected credit losses, trade receivables have been grouped based on days past due. The policy of the Group is to provide for credit loss takes into consideration of factors such as type of Consumers i.e. Government Consumers / Non Government consumers, Status of Consumers i.e. Live consumers / Disconnected consumers and Security deposits provided by the Consumer, Status of Consumers i.e. Live consumers / Disconnected consumers and Security deposits provided by the Consumer.

v) Derecognition of financial assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised (i.e., removed from the Group's consolidated balance sheet) when:

- The rights to receive cash flows from the asset have expired, or
- The Group has transferred its rights to receive cash flows from the asset

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 2a: Material accounting policies (Contd.)

When the entity has transferred an asset, the Group evaluates whether it has transferred substantially all risks and rewards of ownership of the financial asset. In such cases, the financial asset is derecognised. Where the entity has not transferred substantially all risks and rewards of ownership of the financial asset, the financial asset is not derecognised.

Where the entity has neither transferred a financial asset nor retains substantially all risks and rewards of ownership of financial asset, the financial asset is derecognised if the Group has not retained control over the financial asset. Where the Group retains control of the financial asset, the asset is continued to be recognised to the extent of continuing involvement in the financial asset.

vi) Income recognition

Dividend is accounted when the right to receive payment is established.

Interest income on financial assets at amortised cost is calculated using the effective interest method is recognised in the statement of profit and loss as part of other income.

Interest on overdue receivables of energy bills and claims including insurance claims, coal cost variation and other claims etc. are accounted when there is a certainty of recovery.

vii) Derivative

Derivatives are initially recognised at fair value on the date a derivative contract is entered into and are subsequently re-measured to their fair value at the end of each reporting period.

Financial liabilities

i) Classification

All the Group's financial liabilities are measured at amortized cost.

ii) Initial measurement

Financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the issue of financial liabilities are deducted from the fair value of the financial liabilities, as appropriate, on initial recognition.

iii) Subsequent measurement

Financial liabilities are subsequently measured at amortised cost using the Effective Interest Rate Method.

The Effective Interest Rate Method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including transaction costs and other premiums or discounts) through the expected life of the financial liability.

iv) Derecognition of financial liabilities

The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled or waived off or have expired. An exchange between the Group and the lender of debt instruments with substantially different terms is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit or loss.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 2a: Material accounting policies (Contd.)

2.17 Contributed equity:

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Transaction costs of an equity transaction shall be accounted for in other equity.

2.18 Redemption liability:

Liability for put option issued to non-controlling shareholders in subsidiaries, to be settled in cash by the Company, which do not grant present access to ownership interest to the Group is recognised at present value of the redemption amount and is reclassified from equity. At the end of each reporting period, the non-controlling interests subject to put option is derecognised and the difference arising between the amount received from the customer towards share capital, and the present value of redemption liability on initial recognition, would be recognised as a contract liability for electricity to be supplied in future. The liability shall be subsequently measured at amortised cost as per the principles of Ind AS 109.

2.19 Leases:

The Group as a lessee:

Leases are recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Group. Contracts may contain both lease and non-lease components.

Lease liabilities:

Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liabilities include the net present value of the lease payments.

The lease payments include fixed payments (including in substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expenses in the period in which the event or condition that triggers the payment occurs. Lease payments to be made under reasonably certain extension options are also included in the measurement of the liability.

The lease payments are discounted using the lessee's incremental borrowing rate. Lease payments are allocated between principal and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

Right-of-use assets:

Right-of-use assets are measured at cost comprising the amount of the initial measurement of lease liability and lease payments made before the commencement date.

Right-of-use assets are depreciated over the lease term on a straight-line basis. Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, and lease payments made at or before the commencement date less any lease incentives received.

Right-of-use assets are depreciated over the asset's lease term on a straight-line basis.

Short term leases and leases of low value assets:

Payments associated with short-term leases of equipment and all leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less. Low-value assets comprise small items of office equipment including IT equipment.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 2a: Material accounting policies (Contd.)

2.20 Repurchase Arrangements:

A repurchase agreement is a contract in which an Company sells an asset and also promises or has the option (either in the same contract or in another contract) to repurchase the asset. The repurchased asset may be the asset that was originally sold to the customer, an asset that is substantially the same as that asset, or another asset of which the asset that was originally sold is a component.

2.21 Amount presented and rounding off:

All amounts in the financial statements and notes have been presented in ₹ Crore (except for share data) rounded to two decimals as per the requirement of Schedule III of the Companies Act, 2013, unless otherwise stated. Figures below ₹ 50,000 are denoted by ‘*’.

Note 2b: Other accounting policies

2.22 Government grants:

Grants from the government are recognised at their fair value where there is a reasonable assurance that the grant will be received and the Group will comply with all the attached conditions.

Government grants relating to income are recognised in profit or loss on a systematic basis over the periods in which the Group recognises as expenses the related costs for which the grants are intended to compensate. Government grants relating to purchase of property, plant and equipment whose primary condition is that the Group should purchase, construct or otherwise acquire property, plant and equipment are recognised as deferred revenue in the consolidated balance sheet and transferred to profit or loss on a systematic and rational basis over the useful lives of the related assets.

2.23 Investment properties:

Property that is held for long-term rental yields or for capital appreciation or both, and that is not occupied by the Group, is classified as investment property. Investment property is measured initially at its cost, including related transaction costs and where applicable borrowing costs. Subsequent expenditure is capitalised to the asset's carrying amount only when it is probable that future economic benefits associated with the expenditure will flow to the group and the cost of the item can be measured reliably.

An investment property is derecognised upon disposal or when the investment property is permanently withdrawn from its current use and no future economic benefits are expected from the disposal. Any gain or loss arising on derecognition of the property (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the period in which the property is derecognised.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 3: Critical accounting judgements and key sources of estimation uncertainty

In the course of applying the policies outlined in all notes under note 2 above, the management of the Company is required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

Such estimates and associated assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future period, if the revision affects current and future periods.

3.1 Revenue recognition:

The Group has recognised revenue (including the adjustment in respect of unapproved FPPPA claims and other true up adjustment claims) as per the applicable tariff regulations / tariff orders, management's probability estimate and the past trends of approval. The Group has not recognized those truing up adjustment claims which are disputed and for which the group is in appeal with regulatory authorities. These are recognised on receipt of final orders of respective regulatory authorities. [Refer note 33 & 45]

3.2 Property, plant and equipment:

(i) Service concession arrangements

The Group has assessed applicability of Appendix D of Ind AS 115 "Service Concession Arrangements" with respect to its Property, plant and equipment. In assessing the applicability, the Group has exercised judgment in relation to the provisions of the Electricity Act, 2003, conditions provided under transmission and distribution license and / or agreements. Further, the Group has ability to pledge the assets pursuant to which it has control and ability to direct the use of assets. Based on such assessment, it has concluded that Appendix D of Ind AS 115 is not applicable.

(ii) Impairment of property, plant and equipment

Determining whether property, plant and equipment are impaired requires an estimation of the value in use of the relevant cash generating units. The value in use calculation is based on a Discounted Cash Flow model over the estimated useful life of the property, plant and equipment. Further, the cash flow projections are based on estimates and assumptions relating to expected demand, future price of fuel, expected tariff rates for electricity, discount rate, exchange rate and electricity market scenario, based on past trends and the current and likely future state of the industry etc. which are considered reasonable by the Management. Any reasonable possible change in the underlying assumptions would not lead to a material change to the amount of impairment. [Refer note 43(1)]

(iii) Fair value measurement of assets acquired

Significant management judgement is involved in determining whether assets acquired in a particular transaction constitute a 'business' in accordance with the principles laid down in Ind AS 103 – Business Combinations. Identification of the assets acquired and liabilities assumed; and measurement of their fair values using appropriate valuation methods to be adopted involves, key assumptions like the discount rate and expected demand. [Refer note 42]

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 3: Critical accounting judgements and key sources of estimation uncertainty (Contd.)

3.3 Taxes:

Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies, including estimates of temporary differences reversing on account of available benefits from the Income Tax Act, 1961.

Deferred tax assets are recognised for unused tax credits to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Management judgement is required to determine the amount of deferred tax assets for unused tax credits that can be recognised, based upon the likely timing and the level of future taxable profits. [Refer note 44(d)].

3.4 Contingencies:

Contingent liabilities

In the normal course of business, contingent liabilities may arise from litigation and other claims against the Group. Potential liabilities that are possible but not probable of crystallising or are very difficult to quantify reliably are treated as contingent liabilities. Such liabilities are disclosed in the notes but are not recognised. Potential liabilities that are remote are neither recognized nor disclosed as contingent liability. The management judgement is involved in classification under 'remote', 'possible' or 'probable' which is carried out based on expert advice, past judgements, experiences etc. [Refer note 46(a)]

3.5 Employee benefit plans:

Defined benefit plans and other long-term employee benefits

The present value of obligations under defined benefit plan and other long term employment benefits is determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual development in the future. These include the determination of the discount rate, future salary escalations, attrition rate and mortality rates. Due to the complexities involved in the valuation and its long term nature, these obligations are highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Information about the various estimates and assumptions made in determining present value of defined benefit obligation are disclosed in note 48.2 and 48.3.

3.6 Ind AS 116 - Leases

In determining whether the revenue contract (power purchase agreement) with customers especially when entire contractual capacity of the one project (solar) is committed to one customer, management has exercised judgement in concluding whether contract contains lease. Management takes into consideration of the responsible parties for design of the project and who has right to direct the use of solar power plant.

As per the revenue contract, power producer will design procure, install & commission the solar power plant & all other equipment required to generate solar electricity. Power Purchaser neither operates the plant nor involved in the design of the solar power plant, therefore the Power Purchaser does not have right to direct the use of solar power plant and accordingly arrangement does not contain lease as per Ind AS 116.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 4 : Property, Plant and Equipment

As at March 31, 2024

Particulars	Gross carrying amount				Accumulated depreciation and impairment loss			Net carrying amount	
	As at April 01, 2023	Additions during the year	Deductions during the year	Adjustments during the year	As at March 31, 2024	As at April 01, 2023	For the year	Deductions during the year	As at March 31, 2024
Freehold land	724.20	263.74	*	20.12	1,008.06	-	-	-	1,008.06
Buildings	2,073.27	278.64	4.67	2.28	2,349.52	428.33	77.65	0.96	504.91
Leasehold improvement	4.57	0.02	-	-	4.59	1.35	0.73	-	2.08
Railway siding	1.86	-	-	-	1.86	0.40	0.05	-	0.45
Plant and machinery	26,452.81	3,155.59	71.75	108.30	29,644.95	10,958.22	1,212.63	34.72	12,136.24
Electrical fittings and apparatus	68.41	18.68	0.31	0.12	86.90	24.54	4.11	0.15	28.50
Furniture and fixtures	78.94	13.75	2.23	0.56	91.02	25.07	5.31	1.38	29.00
Vehicles	35.30	8.12	1.47	-	41.95	13.72	3.62	0.67	16.67
Office equipment	214.78	35.89	7.91	-	242.76	86.57	18.76	5.25	100.08
Total	29,654.14	3,774.43	88.34	131.38	33,471.61	11,538.20	1,322.86	43.13	20,653.68

As at March 31, 2023

Particulars	Gross carrying amount				Accumulated depreciation and impairment loss			Net carrying amount	
	As at April 01, 2022	Additions on acquisition of subsidiaries during the year	Adjustments during the year	Deductions during the year	As at March 31, 2023	As at April 01, 2022	For the year	Deductions during the year	As at March 31, 2023
Freehold land	514.18	84.66	131.02	-	(5.66)	724.20	-	-	724.20
Buildings	1,807.77	5.16	246.43	1.12	15.03	2,073.27	357.85	67.87	428.33
Leasehold improvement	4.05	-	0.52	-	-	4.57	0.67	0.68	1.35
Railway siding	1.86	-	-	-	-	1.86	0.35	0.05	0.40
Plant and machinery	24,434.44	858.49	1,211.12	56.24	5.00	26,452.81	9,859.13	1,131.93	10,958.22
Electrical fittings and apparatus	55.52	-	12.99	0.15	0.05	68.41	21.32	3.31	24.54
Furniture and fixtures	64.46	-	14.64	0.16	-	78.94	20.89	4.29	25.07
Vehicles	30.86	0.49	6.06	2.11	-	35.30	11.51	3.44	13.72
Office equipment	190.69	0.04	28.24	4.48	0.29	214.78	72.72	17.03	86.57
Total	27,103.83	948.84	1,651.02	64.26	14.71	29,654.14	10,344.44	1,228.60	11,538.20

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 4 : Property, Plant and Equipment (Contd.)

Footnotes:

- 1 The above property, plant and equipment have been mortgaged and hypothecated to secure borrowings of the Group [Refer note 23].
- 2 Capital commitment:
Refer note 46 (c) for disclosure of contractual commitments for the acquisition of property, plant and equipment.
- 3 Adjustments during the year include capitalisation of borrowing costs of ₹ 131.38 Crore (Previous year - ₹ 27.61 Crore), which are directly attributable to purchase / construction of qualifying assets in accordance with Ind AS - 23 “Borrowing Costs”.
- 4 Adjustments during the previous year include change in nature of freehold land to Investment property of ₹ 12.90 Crore.
- 5 The weighted average rate for capitalisation of borrowing cost relating to general borrowing is in the range of 8.25% to 9.00% p.a. (Previous year 7.62% p.a. to 7.67% p.a.).
- 6 Additions to plant and machinery includes capitalisation of directly attributable costs incurred by the Group under various headings.
- 7 Refer note 43(1) for impairment loss in respect of DGEN power plant.
- 8 The closing balance of accumulated depreciation and impairment consist impairment loss of ₹ 2,314.07 Crore (March 31, 2023 - ₹ 2,314.07 Crore).
- 9 The Group have not revalued its property, plant and equipment during the current or previous year.
- 10 Pro-rata cost of assets owned jointly with Torrent Pharmaceuticals Limited, a fellow subsidiary are as under:

Particulars	Proportion of holding	(₹ in Crore)	
		As at March 31, 2024	As at March 31, 2023
Freehold land	50%	23.58	23.58
Freehold land	70%	83.16	83.16
Building	70%	3.04	3.04

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 5: Right-of-use Assets

As at March 31, 2024

Particulars	Gross carrying amount				Accumulated depreciation				Net carrying amount			
	As at April 01, 2023	Additions on acquisition of subsidiaries during the year	Deductions during the year	Adjustments during the year	As at March 31, 2024	As at April 01, 2023	For the year	Deductions during the year	Adjustments during the year	As at March 31, 2024	As at March 31, 2024	
		[Refer note 42]										
Land	223.09	0.03	37.97	7.06	19.22	273.25	29.96	12.78	3.13	0.32	39.93	233.32
Buildings	36.67	-	5.47	-	-	42.14	13.52	4.87	-	-	18.39	23.75
Plant and machinery	0.38	-	1.95	-	-	2.33	0.20	0.13	-	-	0.33	2.00
Office equipment	0.14	-	-	0.14	-	-	0.14	-	0.14	-	-	-
Total	260.28	0.03	45.39	7.20	19.22	317.72	43.82	17.78	3.27	0.32	58.65	259.07

As at March 31, 2023

Particulars	Gross carrying amount					Accumulated depreciation					Net carrying amount (₹ in Crore)	
	As at April 01, 2022	Additions on acquisition of subsidiaries [Refer note 42]	Additions during the year	Deductions during the year	Adjustments during the year	As at March 31, 2023	As at April 01, 2022	For the year	Deductions during the year	Adjustments during the year	As at March 31, 2023	As at March 31, 2023
Land	210.13	0.48	17.52	0.39	(4.65)	223.09	21.46	9.04	-	(0.54)	29.96	193.13
Buildings	36.04	-	3.67	3.04	-	36.67	10.36	4.34	1.18	-	13.52	23.15
Plant and machinery	0.38	-	-	-	-	0.38	0.15	0.05	-	-	0.20	0.18
Office equipment	0.14	-	-	-	-	0.14	0.12	0.02	-	-	0.14	-
Total	246.69	0.48	21.19	3.43	(4.65)	260.28	32.09	13.45	1.18	(0.54)	43.82	216.46

Footnotes:

- The above right-of-use assets have been mortgaged and hypothecated to secure borrowings of the Group [Refer note 23].
- Adjustments during the previous year include change in nature of land from Right-of-use assets to Investment property of ₹ 4.11 Crore (net).
- Adjustment during the year is due to transfer of capital work-in-progress to right-of-use assets of ₹ 18.90 Crore.
- Refer note 47 for disclosure relating to right-of-use assets.
- The Group have not revalued its right-of-use assets during the current or previous year.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 6 : Capital Work-in-Progress

As at March 31, 2024

(₹ in Crore)						
Particulars	As at April 01, 2023	Additions on acquisition of subsidiaries [Refer note 42]	Additions during the year	Capitalised during the year	Adjustments during the year	As at March 31, 2024
Capital work-in-progress	2,624.69	24.98	3,421.20	3,579.61	(18.90)	2,472.36
Total	2,624.69	24.98	3,421.20	3,579.61	(18.90)	2,472.36

As at March 31, 2023

(₹ in Crore)						
Particulars	As at April 01, 2022	Additions on acquisition of subsidiaries [Refer note 42]	Additions during the year	Capitalised during the year	Adjustments during the year	As at March 31, 2023
Capital work-in-progress	1,297.27	0.07	2,840.23	1,501.31	(11.57)	2,624.69
Total	1,297.27	0.07	2,840.23	1,501.31	(11.57)	2,624.69

Footnotes:

- 1 The above Capital work-in-progress have been mortgaged and hypothecated to secure borrowings of the Group [Refer note 23].
- 2 Capital work-in-progress include borrowing costs of ₹ 34.54 Crore (March 31, 2023 - ₹ 83.00 Crore), which are directly attributable to purchase / construction of qualifying assets in accordance with Ind AS - 23 "Borrowing Costs".
- 3 Adjustment during the year includes ₹ Nil (Previous year - ₹ 11.57 Crore (including ₹ 1.49 Crore related to borrowing cost)) write off.
- 4 Adjustment during the year is due to transfer of capital work-in-progress to right-of-use assets of ₹ 18.90 Crore.
- 5 Capital work-in-progress mainly comprises Plant and machinery, Buildings and Freehold land.
- 6 Additions to Capital work-in-progress includes capitalisation of directly attributable costs incurred by the Group under various headings.
- 7 During the year, Torrent Urja 8 Private Limited has imported Solarcells amounting to ₹ 146.32 Crore (including Custom duty and Cess), out of which Solarcells amounting to ₹ 79.52 Crore (including Custom duty and Cess) have been sold to EPC contractor in connection with its development of Solar power project and Solarcells amounting to ₹ 66.80 Crore are lying at Bonded Warehouse as at March 31, 2024. Corresponding obligation to repurchase Solarcells from EPC contractor of ₹ 79.52 Crore as at March 31, 2024 (₹ Nil for March 31, 2023) is included in "Payables for purchase of property, plant and equipment" under "Other current financial liabilities".
- 8 Refer note 58 for ageing schedule for capital work-in-progress.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note - 7 : Investment Property

As at March 31, 2024

Particulars	Gross carrying amount				Accumulated depreciation				Net carrying amount	
	As at April 01, 2023	Additions during the year	Deductions during the year	Adjustments during the year	As at March 31, 2024	As at April 01, 2023	For the year	Deductions during the year	As at March 31, 2024	As at March 31, 2024
Freehold land	9.39	-	9.39	-	-	-	-	-	-	-
Total	9.39	-	9.39	-	-	-	-	-	-	-

As at March 31, 2023

Particulars	Gross carrying amount				Accumulated depreciation				Net carrying amount	
	As at April 01, 2022	Additions during the year	Deductions during the year	Adjustments during the year	As at March 31, 2023	As at April 01, 2022	For the year	Deductions during the year	As at March 31, 2023	As at March 31, 2023
Freehold land	-	2.17	9.79	17.01	9.39	-	-	-	-	9.39
Total	-	2.17	9.79	17.01	9.39	-	-	-	-	9.39

Footnotes:

- The above investment property have been mortgaged and hypothecated to secure borrowings of the Group [Refer note 23].
- Adjustments during the previous year is due to change in nature of leasehold from Right-of-use assets / freehold land from Property plant and equipment of ₹ 17.01 Crore to Investment property.
- Details of the Group's investment property and information about the fair value hierarchy are as follows:

Particulars	As at March 31, 2024	As at March 31, 2023
Fair value of investment property (₹ in Crore)	-	40.26
Fair value hierarchy	Level 2 [Refer note 55]	Level 2 [Refer note 55]

The fair value of the Group's investment property has been arrived based on a valuation report by external independent valuer, who is a registered valuer as defined under rule 2 of Companies (Registered valuers and valuation) Rules 2017. Valuation is based on government rates, market research, market trend and comparable values as considered appropriate.

- The Group has no restrictions on the realisability or the remittance of income and proceeds of disposal of its investment properties. There are no contractual obligations to purchase, construct or develop such investment properties or for repairs, maintenance and enhancements thereof.
- The Group has not revalued its investment property during the current or previous year.
- The title deeds of investment property are held in the name of the Group as at March 31, 2023.
- Amount recognised in statement of profit and loss for investment property:

Particulars	Year ended March 31, 2024	Year ended March 31, 2023
Rental income derived from investment property	-	-
Direct operating expenses arising from investment property that generated rental income	-	-
Direct operating expenses arising from investment property that did not generate rental income	-	-

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 8 : Goodwill

Particulars	(₹ in Crore)
Balance at the beginning of the year	As at March 31, 2024
Addition on account of acquisition of subsidiary [Refer note 42]	As at March 31, 2023
Balance at the end of the year	171.07

Footnote:

1 Refer note 43 (3) for impairment assessment of goodwill.

Note 9 : Other Intangible Assets

As at March 31, 2024

Particulars	Gross carrying amount	Accumulated depreciation	Net carrying amount
	As at April 01, 2023	As at April 01, 2023	As at April 01, 2023
	Additions on acquisition of subsidiaries [Refer note 42]	Deductions during the year	As at March 31, 2024
Computer software	68.20	2.02	2.62
Customer contract	143.94	-	-
Distribution licence	634.00	-	-
Total	846.14	2.02	2.62

As at March 31, 2023

Particulars	Gross carrying amount	Accumulated depreciation	Net carrying amount
	As at April 01, 2022	As at April 01, 2022	As at April 01, 2022
	Additions on acquisition of subsidiaries [Refer note 42]	Deductions during the year	As at March 31, 2023
Computer software	66.22	2.32	0.34
Customer contract	104.85	39.09	-
Distribution licence	-	634.00	-
Total	171.07	2.32	0.34

Footnotes:

- 1 The above computer software has been mortgaged and hypothecated to secure borrowings of the Group [Refer note 23].
- 2 The Group have not revalued its intangible assets during the current or previous year.
- 3 Remaining amortisation period of "Distribution licence" is 23 years as at March 31, 2024 (March 31, 2023 - 24 years).

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 10 : Non-Current Investments

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023	Face value (In ₹)	As at March 31, 2024	As at March 31, 2023
No. of shares					
Investment in equity instruments (unquoted) (at fair value through profit or loss)					
AEC Cements & Constructions Limited (As at March 31, 2024 & March 31, 2023 Gross investment - ₹ 0.61 Cr, Impairment in value of investment - ₹ 0.61 Cr)	9,61,500	9,61,500	10	-	-
Tidong Hydro Power Limited (As at March 31, 2024 & March 31, 2023 Gross investment - ₹ 0.02 Cr, Impairment in value of investment - ₹ 0.02 Cr)	24,500	24,500	10	-	-
UNM Foundation @	50,000	50,000	10	0.05	0.05
				0.05	0.05
Contingency reserve investments - statutory (quoted) (at amortised cost) \$				16.97	15.89
				16.97	15.89
				17.02	15.94
Aggregate amount of quoted investments				16.97	15.89
Aggregate amount of unquoted investments				0.05	0.05
				17.02	15.94
Aggregate amount of provision for impairment in value of investments				0.63	0.63
Aggregate amount of market value of quoted investments				17.01	15.70

@ The Company has, jointly with Torrent Pharmaceuticals Limited, promoted section 8 company, i.e. UNM Foundation, under the Companies Act, 2013 for the purpose of carrying out charitable activities.

\$ Investment in Government of India bonds have been made in terms of Gujarat Electricity Regulatory Commission (GERC) Multi-Year Tariff (MYT) Regulations, which can be utilised only for the purposes mentioned therein. [Refer note 22 - Contingency reserve]

Note 11 : Other Non-Current Financial Assets

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Security deposits	64.04	58.59
Bank fixed deposits	7.18	24.40
Other advances / receivables [Refer footnote 1]	23.46	52.39
	94.68	135.38

Footnote:

- Ministry of Power vide Gazette Notification dated June 03, 2022, notified The Electricity (Late Payment Surcharge and Related Matters) Rules, 2022 (the "LPS Rules"). The LPS Rules provide a mechanism for settlement of outstanding dues as on June 03, 2022 into interest free Equated Monthly Instalments (EMI) which ranges from 12 to 48. In view of above, substantial modification and considering the principles of Ind AS 109 - Financial Instruments, the Group has derecognised the original trade receivables of ₹ 177.47 Crore as on June 03, 2022.

On derecognition of original trade receivable, the new receivable from customer under Late payment surcharge Scheme (based on modified terms) at its fair value is disclosed under the head Other non-current financial asset ₹ 52.28 Crore as at March 31, 2023 and other current financial asset ₹ 52.06 Crore as at March 31, 2023 [Refer note 19], and the loss due to substantial modification aggregating ₹ 15.10 Crore for FY 2022-23 under the head finance costs [Refer note 38].

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 12 : Non-Current Tax Assets

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Advance income tax (net)	12.64	12.50
	12.64	12.50

Note 13 : Other Non-Current Assets

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Capital advances	253.37	153.66
Advances for goods and services	86.16	118.32
Balances with government authorities	68.62	68.69
Prepaid expenses	12.61	17.37
Advance against equity investment [Refer footnote 1 and note 42]	-	3.00
	420.76	361.04

Footnote:

- On February 08, 2023, the Company has entered into a Binding term sheet with Powerica Limited and Vestas Wind Technology India Private Limited (the Sellers) for the acquisition of 100% share capital of Airpower Windfarms Private Limited (AWPL), which holds leasehold land situated in the state of Gujarat for the purpose of development of wind power project.

Accordingly, advance amount of ₹ 3.00 Crore given to the sellers as per binding term sheet is shown as “Advance against equity investment” as at March 31, 2023 in consolidated financial statement.

On September 01, 2023, the Company through its subsidiary, Torrent Green Energy Private Limited (TGEPL) has signed a Share Purchase Agreement (SPA) with the Sellers for the acquisition of 100% share capital of AWPL. The advance amount of ₹ 3.00 Crore has been recovered by Company from TGEPL.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 14 : Inventories

(valued at lower of cost and net realizable value)

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Stores and spares	307.30	351.49
Fuel	214.84	340.38
Raw materials	37.00	42.53
Work-in-progress	17.48	23.20
Finished goods	37.99	56.43
Packing materials	2.77	2.49
Loose tools	4.06	3.76
Right to receive inventory [Refer footnote 3]	179.01	-
	800.45	820.28

Footnotes:

- 1 The cost of stores and spares inventories recognised as an expense includes ₹ 4.03 Crore (Previous year - ₹ 4.44 Crore) in respect of write-downs of inventory to net realisable value determined based on evaluation of slow and non-moving inventories.
- 2 The above carrying amount of inventories has been mortgaged and hypothecated to secure borrowings of the Group. [Refer note 23]
- 3 The Group has sold a certain quantity of Liquefied Natural Gas ('LNG') to a third-party during FY 2023-24 and has also agreed to repurchase the same quantity of LNG at a pre-determined price. Accordingly, the Group has recognized a right to re-purchase inventory of LNG of ₹ 179.01 Crore as at March 31, 2024 (₹ Nil for March 31, 2023) and corresponding obligation of ₹ 179.01 Crore as at March 31, 2024 (₹ Nil for March 31, 2023) is included in "Sundry payables" under "Other current financial liabilities".
- 4 The above carrying amount includes goods in transit as under:

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Fuel	5.61	9.35
Raw materials	3.59	3.93
Finished goods	17.22	9.46
	26.42	22.74

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 15 : Current Investments

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Investment in mutual funds (unquoted) (at fair value through profit or loss)	934.42	785.82
Contingency reserve investments - statutory (quoted) (at amortised cost) \$	2.95	1.93
	937.37	787.75
Aggregate amount of quoted investments	2.95	1.93
Aggregate amount of unquoted investments	934.42	785.82
	937.37	787.75
Aggregate amount of impairment in value of investments	-	-
Aggregate amount of market value of quoted investments	2.87	1.98

\$ Investment in Government of India bonds have been made in terms of Gujarat Electricity Regulatory Commission (GERC) Multi-Year Tariff (MYT) Regulations, which can be utilised only for the purposes mentioned therein. [Refer note 22 - Contingency reserve]

Note 16 : Trade Receivables

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Trade receivables		
Secured - Considered good #	1,134.88	929.30
Unsecured - Considered good	1,055.98	1,317.03
- Credit impaired	194.39	204.50
	2,385.25	2,450.83
Less: Allowance for bad and doubtful debts	194.39	204.50
	2,190.86	2,246.33

Group holds security deposits in respect of electricity receivables.

Footnotes:

- 1 Refer note 23 for charge on current assets including trade receivables.
- 2 Refer note 55 for credit risk related disclosures.
- 3 Refer note 59 for ageing schedule of trade receivables.

Note 17 : Cash and Cash Equivalents

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Balances with banks		
Balance in current accounts	268.41	187.33
Balance in fixed deposit accounts (original maturity of less than three months)	80.32	-
	348.73	187.33
Cheques on hand	1.40	0.60
Cash on hand	0.70	0.30
	350.83	188.23

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 18 : Bank Balances other than Cash and Cash Equivalents

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Unpaid dividend accounts	13.15	11.21
Unpaid fractional coupon accounts	*	*
Balance in fixed deposit accounts # (maturity of more than three months but less than twelve months)	54.76	144.08
	67.91	155.29

include ₹ 51.50 Crore (March 31, 2023 - ₹ 31.49 Crore) on which a lien has been created in favour of lenders.

Note 19 : Other Current Financial Assets

Unsecured (considered good unless stated otherwise)

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Security deposits	66.01	41.36
Interest accrued on non-current investments	0.23	0.24
Interest accrued on deposits	2.12	2.93
Unbilled revenue (including revenue gap / surplus) [Refer note 45(a)]	3,672.43	2,904.66
Forward contract receivables	1.63	-
	3,742.42	2,949.19
Other advances / receivables [Refer footnote 1 of note 11]		
Considered good ^	246.81	162.21
Considered credit impaired	-	6.06
	246.81	168.27
Less : Allowance for doubtful advances	-	6.06
	246.81	162.21
	3,989.23	3,111.40

^ including ₹ 79.52 Crore (March 31, 2023 : Nil) receivable from EPC contractor [Refer footnote 7 of note 6].

Note 20 : Other Current Assets

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Advances for goods and services	99.52	83.79
Balances with government authorities	1.76	6.03
Prepaid expenses	68.43	53.69
	169.71	143.51

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 21 : Equity Share Capital

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Authorised		
4,37,00,00,000 (4,37,00,00,000 as at March 31, 2023) equity shares of ₹ 10 each	4,370.02	4,370.00
	4,370.02	4,370.00
Issued, subscribed and paid up		
48,06,16,784 (48,06,16,784 as at March 31, 2023) equity shares of ₹ 10 each	480.62	480.62
	480.62	480.62

Footnotes:

- 1 Reconciliation of the shares outstanding at the beginning and at the end of the reporting year :

	No. of shares As at March 31, 2024	No. of shares As at March 31, 2023
At the beginning of the year	48,06,16,784	48,06,16,784
Issued during the year	-	-
Outstanding at the end of the year	48,06,16,784	48,06,16,784

- 2 25,74,22,311 equity shares (25,74,22,311 equity shares as at March 31, 2023) of ₹ 10 each fully paid up are held by the Parent Company - Torrent Investments Private Limited.

- 3 Terms / Rights attached to equity shares :

The Company has only one class of equity shares having par value of ₹ 10 per share. Each holder of equity shares is entitled to one vote per share. The Company declares and pays dividends in Indian rupees. The dividend, if any, proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting, except in case of interim dividend.

In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

- 4 Details of shareholders holding more than 5% shares in the Company :

Name of the Shareholder	As at March 31, 2024		As at March 31, 2023	
	No. of shares	% holding	No. of shares	% holding
Torrent Investments Private Limited	25,74,22,311	53.56%	25,74,22,311	53.56%
Gujarat State Financial Services Limited	4,68,71,621	9.75%	4,68,71,621	9.75%
Axis Mutual Fund Trustee Limited	3,45,06,287	7.18%	4,16,57,977	8.67%
SBI Mutual Fund Trustee Company Private Limited	2,98,56,078	6.21%	2,52,86,083	5.26%

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 21 : Equity Share Capital (Contd.)

5 Details of shareholding of Promoters in the Company :

Promoter name	As at March 31, 2024			As at March 31, 2023		
	No. of shares	% of total shares	% changes during the year	No. of shares	% of total shares	% changes during the year
Torrent Investments Private Limited	25,74,22,311	53.56%	-	25,74,22,311	53.56%	-
Sudhir Mehta	6,882	0.00%	-	6,882	0.00%	-
Samir Mehta	6,125	0.00%	-	6,125	0.00%	-
Jinal Mehta	8,000	0.00%	-	8,000	0.00%	-

6 Distributions made:

Interim dividend for FY 2023-24 of ₹ 12.00 per equity share [Previous year - ₹ 22.00 per equity share (including ₹ 13.00 per equity share as a special dividend)] aggregating to ₹ 576.74 Crore [Previous year - ₹ 1,057.36 Crore] was paid in the month of March 2024 [Previous year - March 2023].

The Board of Directors at its meeting held on May 22, 2024 has recommended a final dividend of 40% (₹ 4.00 per equity share of par value ₹ 10 each) [Previous year - ₹ 4.00 per equity share]. The proposal is subject to the approval of shareholders at the ensuing Annual General Meeting and if approved, would result in a cash outflow of ₹ 192.25 Crore.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 22 : Other Equity

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Reserves and surplus		
Securities premium	0.03	0.03
Debenture redemption reserve	44.51	61.21
Contingency reserve	19.22	17.29
Special reserve	78.07	78.07
General reserve	3,687.68	3,670.61
Retained earnings	7,751.58	6,702.17
	11,581.09	10,529.38

Refer "Consolidated Statement of Changes in Equity" for movement in each reserve.

Footnotes:

1 Securities premium:

Securities premium reflects issuance of the shares by the Company at a premium, whether for cash or otherwise i.e. a sum equal to the aggregate amount of the premium received on shares is transferred to a "securities premium account" as per the provisions of the Companies Act, 2013. The reserve can be utilised in accordance with the provisions of the Act.

2 Debenture redemption reserve:

The Group was required to create a Debenture Redemption Reserve (DRR) out of the profits which are available for payment of dividend for the purpose of redemption of debentures. Pursuant to Companies (Share Capital and Debentures) Amendment Rules, 2019 dated August 16, 2019, the Company is not required to create DRR. Accordingly, the Company has not created DRR during the year and DRR created by the Group till previous years will be transferred to general reserve on redemption of debentures.

3 Contingency reserve:

As per the provisions of GERC MYT Regulations read with Tariff orders passed by GERC, the Company being a Distribution Licensee makes an appropriation to the contingency reserve to meet with certain exigencies. Investments in Bonds issued by Government of India have been made against such reserve.

4 Special reserve:

As per MYT Regulations (2007), the Company has created a reserve in FY 2011-12 and FY 2012-13, which represents one third amount of controllable gain shall be retained in a special reserve by the Generating Company or Licensee for the purpose of absorbing the impact of any future losses on account of controllable factors.

5 General reserve:

General reserve is used from time to time to transfer profits from retained earnings for appropriation purposes. The general reserve is created by a transfer from one component of equity to another and is not an item of other comprehensive income.

6 Retained earnings:

The retained earnings reflect the profit of the Group earned till date net of appropriations. The amount that can be distributed by the Company as dividends to its equity shareholders is determined based on the balance in this reserve, after considering the requirements of the Companies Act, 2013.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 23 : Non-Current Borrowings

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Non-current borrowings		
Secured loans - at amortised cost		
Non convertible debentures &		
6.50%,6.90%,7.25% Series 7A,7B & 7C	164.53	248.54
6.20%,6.70%,7.10%,7.45% Series 8A,8B,8C & 8D	300.00	450.00
7.45%,8.05% Series 9A & 9B	599.43	599.36
8.30%,8.35%,8.55%,8.65% Series 10A,10B,10C & 10D	200.00	200.00
8.50% Series 11A,11B,11C,11D,11E & 11F	601.36	-
8.40% Series 12A,12B,12C & 12D	750.51	-
8.32% Series 13A,13B,13C & 13D	699.82	-
8.20% Series 1 (In respect of Torrent Solargen Limited)	481.00	503.26
	3,796.65	2,001.16
Term loans @		
From banks	5,918.46	5,793.74
	5,918.46	5,793.74
Supplier's credit	-	612.94
	9,715.11	8,407.84
Unsecured loans - at amortised cost		
Non convertible debentures #		
10.25% Series 4A,4B & 4C	-	89.99
7.00% Series 1 (In respect of Jodhpur Wind Farms Private Limited)	99.88	199.57
7.00% Series 1 (In respect of Latur Renewable Private Limited)	99.88	199.57
	199.76	489.13
Term loans		
From Government of India under Accelerated Power Development and Reform Programme (APDRP)	1.53	5.35
	1.53	5.35
	201.29	494.48
	9,916.40	8,902.32

@ After considering unamortised expense of ₹ 15.21 Crore as at March 31, 2024 and ₹ 18.72 Crore as at March 31, 2023.

& After considering unamortised expense (net of premium) of ₹ 0.15 Crore as at March 31, 2024 and ₹ 3.19 Crore as at March 31, 2023.

After considering unamortised expense of ₹ 0.24 Crore as at March 31, 2024 and ₹ 0.87 Crore as at March 31, 2023.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 23 : Non-Current Borrowings (Contd.)

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Current maturities		
Secured loans - at amortised cost		
Non convertible debentures ^		
8.95% Series 3A,3B & 3C	-	80.00
7.30% Series 6	-	300.00
6.50%,6.90%,7.25% Series 7A,7B & 7C	84.51	-
6.20%,6.70%,7.10%,7.45% Series 8A,8B,8C & 8D	150.00	150.00
8.20% Series 1 (In respect of Torrent Solargen Limited)	22.45	21.32
	256.96	551.32
Term loans \$		
From banks	824.96	746.17
	824.96	746.17
Unsecured loans - at amortised cost		
Non convertible debentures *		
10.25% Series 4A,4B & 4C	89.99	89.94
7.00% Series 1 (In respect of Jodhpur Wind Farms Private Limited)	99.69	99.50
7.00% Series 1 (In respect of Latur Renewable Private Limited)	99.69	99.50
	289.37	288.94
Term loans		
From Government of India under Accelerated Power Development and Reform Programme (APDRP)	3.82	3.82
	3.82	3.82
	1,375.11	1,590.25
Amount disclosed under the head 'Current borrowings' [Refer note 27]	(1,375.11)	(1,590.25)
	-	-

\$ After considering unamortised expense of ₹ 3.80 Crore as at March 31, 2024 and ₹ 4.49 Crore as at March 31, 2023.

^ After considering unamortised expense of ₹ 0.58 Crore as at March 31, 2024 and ₹ 0.13 Crore as at March 31, 2023.

* After considering unamortised expense of ₹ 0.63 Crore as at March 31, 2024 and ₹ 1.06 Crore as at March 31, 2023.

Footnotes:

As at March 31, 2024

1 Nature of security

- (i) The entire immovable and movable assets including current assets, both present and future, of the Company are mortgaged and hypothecated by way of first pari passu charge in favour of lenders for term loans of ₹ 5,786.07 Crore and non convertible debentures of ₹ 3,550.00 Crore along with lenders of cash credits and non-fund based credit facilities, except some assets which, in terms of respective financing documents (including Loan agreements, Debenture Trust deeds, working capital facility agreements), are carved out of security provided to lenders.

(ii) Torrent Solargen Limited:

Non-convertible debentures of ₹ 504.35 Crore outstanding as at March 31, 2024, is secured by first pari passu charge on all projects' immovable and movable properties, intangible assets, current assets, receivable and bank accounts.

Project means ~126 MW of wind power project being implemented in Maharashtra by Torrent Solargen Limited, subsidiary of the Company.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 23 : Non-Current Borrowings (Contd.)

(iii) Surya Vidyut Limited:

Term loans ₹ 343.40 Crore are secured by a first pari-passu charge (i) by way of mortgage / hypothecation in respect of the property, plant and equipment including its land (excluding revenue / government land), building, plant & machinery, etc. of subsidiary company, Surya Vidyut Limited (SVL), (ii) by way of hypothecation of movable assets and current assets, rights under the project documents of SVL.

(iv) Torrent Saurya Urja 2 Private Limited (TSU2):

Credit Facility (including Capex LC, Service LC and Term Loan) (issued ₹ 1,336.00 Crore and outstanding term loans of ₹ 632.95 Crore) are secured by (i) Capital goods purchased / RM for capex imported under LC and (ii) a first pari-passu charge by way of hypothecation of movable assets and current assets of the Project, both present and future.

Project means (i) 150 MW(AC) of solar plant at Surel Village (Surendranagar District); and (ii) 150 MW(AC) solar plant at Babra Village (Amreli District) in Gujarat setting up by TSU2, subsidiary of the Company.

(v) Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited (DNHDDPDCL):

Term loans ₹ Nil (sanctioned amount ₹ 350.00 Crore) are secured by way of (i) exclusive first charge on all present and future movable assets of the DNHDDPDCL including the current assets (other than receivables of the DNHDDPDCL), stores, spares and other current assets; (ii) exclusive first charge on all accounts opened / to be opened and maintained by the DNHDDPDCL; (iii) exclusive first charge on all present and future immovable assets of the DNHDDPDCL; and (iv) second charge on the receivables of the DNHDDPDCL.

- 2 The future annual repayment obligations (monthly / quarterly / yearly) on principal amount for the above long-term borrowings are as under:-

Financial year	(₹ in Crore)	
	Term loans	Non convertible debentures
2024-25	832.58	547.54
2025-26	987.12	803.65
2026-27	1,039.63	609.75
2027-28	749.70	751.12
2028-29	714.78	452.50
2029-30	814.14	27.50
2030-31	721.18	30.25
2031-32	562.77	281.90
2032-33	227.22	583.55
2033-34	24.97	233.55
2034-35	24.97	35.20
2035-36	24.97	37.40
2036-37	24.97	39.05
2037-38	18.79	41.25
2038-39	-	38.50
2039-40	-	31.62

- 3 The rate of interest for term loans from banks are ranges from 8.25% p.a. to 8.95% p.a. as at March 31, 2024.
- 4 Undrawn term loans from banks, based on approved facilities, were ₹ 1,643.00 Crore as at March 31, 2024.
- 5 During the year, the Group has used the borrowings from banks and financial institutions for the specific purpose for which it was obtained.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 23 : Non-Current Borrowings (Contd.)

As at March 31, 2023

1 Nature of security

- (i) The entire immovable and movable assets including current assets, both present and future, of the Company are mortgaged and hypothecated by way of first pari passu charge in favour of lenders for term loans of ₹ 6,194.75 Crore and non convertible debentures of ₹ 2,030.00 Crore along with lenders of cash credits and non-fund based credit facilities, except some assets which, in terms of respective financing documents (including Loan agreements, Debenture Trust deeds), are carved out of security provided to lenders.
- (ii) **Torrent Solargen Limited:**
Capex LC facility (LC issued of ₹ 693.27 Crore and LC discounted of ₹ 612.94 Crore as at March 31, 2023) is secured by way of hypothecation of all the project assets, project receivables and project accounts.
Project means ~115 MW of wind power project being implemented in Gujarat by Torrent Solargen Limited, subsidiary of the Company.
Non-convertible debentures of ₹ 525.80 Crore outstanding as at March 31, 2023, is secured by first pari passu charge on all projects' immovable and movable properties, intangible assets, current assets, receivable and bank accounts.
Project means ~126 MW of wind power project being implemented in Maharashtra by Torrent Solargen Limited, subsidiary of the Company.
- (iii) **Surya Vidyut Limited:**
Term loans ₹ 368.37 Crore are secured by a first pari-passu charge (i) by way of mortgage / hypothecation in respect of the property, plant and equipment including its land (excluding revenue / government land), building, plant & machinery, etc. of subsidiary company, Surya Vidyut Limited (SVL), (ii) by way of hypothecation of movable assets and current assets, rights under the project documents of SVL.

2 The future annual repayment obligations (monthly / quarterly / yearly) on principal amount for the above long-term borrowings are as under:-

Financial year	(₹ in Crore)		
	Term loans	Non convertible debentures	Others
2023-24	754.48	841.45	-
2024-25	507.74	547.55	612.94
2025-26	667.37	453.65	-
2026-27	795.01	259.75	-
2027-28	718.15	376.13	-
2028-29	717.22	77.50	-
2029-30	804.58	27.50	-
2030-31	702.62	30.25	-
2031-32	536.40	81.90	-
2032-33	250.05	383.55	-
2033-34	24.97	33.55	-
2034-35	24.97	35.20	-
2035-36	24.97	37.40	-
2036-37	24.97	39.05	-
2037-38	18.79	41.25	-
2038-39	-	38.50	-
2039-40	-	31.62	-

3 The rate of interest for term loans from banks are ranges from 8.35% p.a. to 9.19% p.a. as at March 31, 2023.

4 Undrawn term loans from banks, based on approved facilities, were ₹ 306.73 Crore as at March 31, 2023.

5 During the previous year, the Group has used the borrowings from banks and financial institutions for the specific purpose for which it was obtained.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 24 : Non-Current Trade Payables

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Trade payables for goods and services		
Total outstanding dues of micro and small enterprises	-	-
Total outstanding dues other than micro and small enterprises	345.71	210.61
	345.71	210.61

Footnote:

- 1 Refer note 60(a) for ageing schedule of trade payables.

Note 25 : Other Non-Current Financial Liabilities

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Redemption liability [Refer footnote 1]	0.95	-
	0.95	-

Footnote:

- 1 There are other stakeholders in certain subsidiaries owning in the range of 26% to 33% stake. A redemption liability of ₹ 0.95 Crore (March 31, 2023 - ₹ Nil) has been accounted for non-controlling interest portion.

Note 26 : Other Non-Current Liabilities

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Deferred revenue		
Contribution received from consumers [Refer note 45(b)]	1,371.37	1,303.00
Capital grant from government [Refer note 57(b)]	11.76	11.66
Sundry payables	62.55	57.80
	1,445.68	1,372.46

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 27 : Current Borrowings

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Secured loans		
Working capital loan from banks	290.00	-
Overdraft from banks	0.02	-
	290.02	-
Unsecured loans		
Other loans [Refer footnote 7]	3.50	3.50
	3.50	3.50
Current maturities of long-term debt [Refer note 23]	1,375.11	1,590.25
	1,668.63	1,593.75

Footnotes:

- The entire immovable and movable assets including current assets, both present and future, of the Company are mortgaged and hypothecated by way of first pari passu charge in favour of lenders for working capital facilities and by way of second pari passu charge in favour of lenders for hedge facility.
- Working capital facility of ₹ 50.00 Crore is secured by a first pari-passu charge (i) by way of mortgage / hypothecation in respect of the property, plant and equipment including its land (excluding revenue / government land), building, plant & machinery, etc. of subsidiary company, Surya Vidyut Limited (SVL), (ii) by way of hypothecation of movable assets and current assets, rights under the project documents of SVL.
- Working capital facility of ₹ 50.00 Crore is secured by a first exclusive charge by way of hypothecation in respect of entire movable assets and current assets of subsidiary company, Torrent Electricals Private Limited (formerly known as TCL Cables Private Limited) (TEPL), both present and future of TEPL.
- Non-fund based facility of ₹ 400.00 Crore secured by way of (i) exclusive first charge on all present and future movable assets of the Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited (DNHDDPDCL) (including the current assets (other than receivables of the DNHDDPDCL), stores, spares and other current assets); (ii) exclusive first charge on all Accounts opened / to be opened and maintained by the DNHDDPDCL; and (iii) second charge on the receivables of the DNHDDPDCL.
- Undrawn cash credit from banks, based on approved facilities, were ₹ 1,310.00 Crore (March 31, 2023 - ₹ 1,200.00 Crore).
- During the current and previous year, the Group has used the borrowings from banks and financial institutions for the specific purpose for which it was obtained.
- Loan is interest free and repayable on demand.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 27 : Current Borrowings (Contd.)

Net debt reconciliation :

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Cash and cash equivalents	350.83	188.23
Current investments	937.37	787.75
Current borrowings (excluding current maturities of long-term debt and interest accrued but not due) #	(293.63)	(3.50)
Non-current borrowings (including current maturities of long-term debt and interest accrued but not due) #	(11,451.58)	(10,642.80)
Lease Liabilities	(46.77)	(45.34)
	(10,503.78)	(9,715.66)

Transactions cost reduced from the borrowing is excluded.

	Other assets	Liabilities from financing activities				Total
	Cash and cash equivalents	Current investments	Current borrowings	Non-current borrowings	Lease liabilities	
Net balance as at April 01, 2023	188.23	787.75	(3.50)	(10,642.80)	(45.34)	(9,715.66)
Cash flows (net)	162.60	88.73	(290.02)	(791.09)	44.02	(785.76)
New lease	-	-	-	-	(45.39)	(45.39)
Transfer from non-current investments	-	1.02	-	-	-	1.02
Deletion relating to lease liability	-	-	-	-	3.93	3.93
Interest expense	-	-	(2.87)	(860.84)	(3.99)	(867.70)
Interest paid	-	-	2.76	843.15	-	845.91
Gain on sale of current investments	-	57.94	-	-	-	57.94
Fair value adjustment	-	1.93	-	-	-	1.93
Net balance as at March 31, 2024	350.83	937.37	(293.63)	(11,451.58)	(46.77)	(10,503.78)
Net balance as at April 01, 2022	289.41	273.70	(717.24)	(8,531.52)	(44.21)	(8,729.86)
Cash flows (net)	(101.18)	449.25	713.74	(2,107.38)	22.34	(1,023.23)
New lease	-	-	-	-	(21.19)	(21.19)
Transfer from non-current investments	-	1.93	-	-	-	1.93
Deletion relating to lease liability	-	-	-	-	2.25	2.25
Interest expense	-	-	(13.97)	(769.73)	(3.95)	(787.65)
Interest paid	-	-	13.97	765.83	-	779.80
Gain on sale of current investments	-	55.64	-	-	-	55.64
Fair value adjustment	-	7.23	-	-	-	7.23
On account of acquisition of subsidiaries	-	-	-	-	(0.58)	(0.58)
Net balance as at March 31, 2023	188.23	787.75	(3.50)	(10,642.80)	(45.34)	(9,715.66)

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 28 : Current Trade Payables

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Trade payables for goods and services		
Total outstanding dues of micro and small enterprises #	64.12	68.99
Total outstanding dues other than micro and small enterprises	1,747.80	1,453.68
	1,811.92	1,522.67

Amount due to micro and small enterprises under Micro, Small and Medium Enterprises Development Act, 2006 (MSMED Act, 2006) have been determined based on the information available with the Group.

Footnote:

1 Refer note 60(b) for ageing schedule of trade payables.

Note 29 : Other Current Financial Liabilities

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Interest accrued but not due on loans and security deposits	139.57	121.77
Investor education and protection fund #		
Unpaid / Unclaimed dividend	13.15	11.21
Unclaimed fractional coupons	*	*
Book overdraft	-	0.07
Security deposits from consumers @	1,949.07	1,702.55
Other deposits	7.72	6.86
Payables for purchase of property, plant and equipment ^ \$	643.46	451.62
Sundry payables (including for employees related payables) \$\$	511.70	393.64
	3,264.67	2,687.72

There is no amount due and outstanding to be credited to investor education and protection fund as at March 31, 2024 and as at March 31, 2023.

@ Security deposits from consumers in the Group's business, which is in the nature of utility, are generally not repayable within a period of twelve months based on historical experience.

^ including dues to micro and small enterprises for ₹ 25.02 Crore (March 31, 2023 - ₹ 41.85 Crore)

\$ including ₹ 79.52 Crore (March 31, 2023 : Nil) for right to repurchase solarcells from EPC contractor [Refer footnote 7 of note 6].

\$\$ including ₹ 179.01 Crore (March 31, 2023 : Nil) for right to receive inventory [Refer footnote 3 of note 14].

Note 30 : Other Current Liabilities

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Credit balances of consumers [Refer note 45(d)]	120.66	106.28
Service line deposits from consumers [Refer note 45(c)]	237.00	236.41
Deferred revenue		
Contribution received from consumers [Refer note 45(b)]	106.92	100.80
Capital grant from government [Refer note 57(b)]	0.96	2.37
Statutory dues	254.74	223.93
Liability towards corporate social responsibility ^	12.87	-
Sundry payables #	1.91	7.45
	735.06	677.24

including dues to micro and small enterprises for ₹ 0.31 Crore (March 31, 2023 - ₹ 0.26 Crore)

^ It represents unspent amount of corporate social responsibility. The Group has transferred of ₹ 9.29 Crore, ₹ 2.05 Crore and ₹ 1.53 Crore to a special bank account on April 16, 2024, April 23, 2024 and April 29, 2024 respectively.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 31 : Current Provisions

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Provision for employee benefits		
Provision for gratuity [Refer note 48.2(d)]	30.45	2.54
Provision for compensated absences \$	129.49	124.68
Provision for pension [Refer note 48.3(d)]	2.55	1.95
	162.49	129.17
Other provisions		
Provision for indirect taxes	0.25	0.25
Provision for onerous contracts [Refer note 56]	24.98	134.38
Provision for contingencies	14.02	0.26
	39.25	134.89
	201.74	264.06

\$ Provision for compensated absences is disclosed under current provision as the Group does not have an unconditional right to defer settlement for at least twelve months however these are generally not repayable within a period of twelve months based on historical experience.

Movement in Provision

	(₹ in Crore)		
	Provision for indirect taxes	Provision for onerous contracts	Provision for contingencies
Balance as at April 01, 2023	0.25	134.38	0.26
Additional provision recognised	-	-	14.02
Utilisation of provision	-	(109.40)	(0.26)
Balance as at March 31, 2024	0.25	24.98	14.02
Balance as at April 01, 2022	0.25	135.76	-
Additional provision recognised	-	9.44	-
Addition on account of acquisition of subsidiary	-	-	0.26
Reversal of provision	-	(10.82)	-
Balance as at March 31, 2023	0.25	134.38	0.26

Note 32 : Current Tax Liabilities

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Provision for taxation (net of tax paid)	123.80	178.57
	123.80	178.57

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 33 : Revenue From Operations

	(₹ in Crore)	
	Year ended March 31, 2024	Year ended March 31, 2023
Revenue from contracts with customers [Refer footnotes below]		
Revenue from power supply	25,696.03	22,006.77
Revenue from sale of cable products		
Manufactured goods	481.72	358.67
Revenue from trading of RLNG	753.16	3,068.65
	26,930.91	25,434.09
Less: Discount for prompt payment of bills	36.52	31.25
	26,894.39	25,402.84
Other operating income		
Amortisation of deferred revenue		
Contribution received from consumers [Refer note 45(b)(2)] #	104.87	97.73
Capital grant from government [Refer note 57(b)]	1.31	2.37
Income from Certified Emission Reduction (CERs)	-	12.43
Income from Generation Based Incentive	36.05	33.91
Hire of meters	0.97	2.46
Insurance claim receipt	3.57	2.23
Incentive income under solar rooftop programme	16.79	55.14
Provisions of earlier years written back	1.09	0.80
Gain on cancellation of contracts	20.80	-
Miscellaneous income	103.37	84.21
	288.82	291.28
	27,183.21	25,694.12

Amortisation of deferred revenue are recognised within the scope of Ind AS 115.

Footnotes:

- 1 Disaggregation of revenue from contracts with customers:

	(₹ in Crore)	
	Year ended March 31, 2024	Year ended March 31, 2023
Generation	2,105.45	2,828.50
Transmission and Distribution	24,194.25	22,112.93
Renewables	594.69	461.41
	26,894.39	25,402.84

- 2 Timing of revenue recognition (from contract with customers) : Revenue from power supply is recognised over a period of time and others at a point in time.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 34 : Other Income

	(₹ in Crore)	
	Year ended March 31, 2024	Year ended March 31, 2023
Interest income from financial assets measured at amortised cost		
Deposits	7.04	19.53
Consumers	48.16	43.12
Contingency reserve investments	1.37	1.28
Loans to related parties [Refer note 54(b)]	-	3.45
Others	0.23	1.46
	56.80	68.84
Gain on disposal of property, plant and equipment / investment property	40.01	44.84
Gain on sale of current investments in mutual funds	57.94	55.64
Gain on sale of non-current investments	0.05	-
Net gain arising on financial assets / liabilities measured at amortised cost	50.02	23.67
Net gain / (loss) arising on current investments in mutual funds measured at fair value through profit or loss	1.93	7.23
Net gain on foreign currency transactions and translations	0.21	0.63
Gain on change in fair value of derivatives (net)	1.47	-
Discount on prompt payment of power purchase	84.76	115.60
Miscellaneous income	51.13	65.40
	344.32	381.85

Note 35 : Cost of Materials Consumed

	(₹ in Crore)	
	Year ended March 31, 2024	Year ended March 31, 2023
Cost of materials consumed	544.64	504.17
Less: Allocated to capital works	138.14	169.36
	406.50	334.81

Note 36 : Changes in Inventories of Finished Goods and Work-in-Progress

	(₹ in Crore)	
	Year ended March 31, 2024	Year ended March 31, 2023
Inventory of finished goods		
Opening stock	56.43	26.33
Less: Closing stock	37.99	56.43
	18.44	(30.10)
Inventory of work-in-progress		
Opening stock	23.20	9.96
Less: Closing stock	17.48	23.20
	5.72	(13.24)
Less: Allocated to capital works	3.71	(14.15)
	20.45	(29.19)

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 37 : Employee Benefits Expense

(₹ in Crore)

	Year ended March 31, 2024	Year ended March 31, 2023
Salaries, wages and bonus	731.92	708.70
Contribution to provident and other funds [Refer note 48.1]	52.42	48.88
Employees welfare expenses	34.17	28.94
Compensated absences	25.96	18.32
Gratuity [Refer note 48.2(e)(3)]	18.86	20.17
	863.33	825.01
Less: Allocated to capital works, repairs and other relevant revenue accounts #	252.14	246.76
	611.19	578.25

includes allocated to capital works of ₹ 152.09 Crore (previous year ₹ 148.49 Crore)

Note 38 : Finance Costs

(₹ in Crore)

	Year ended March 31, 2024	Year ended March 31, 2023
Interest expense for financial liabilities measured at amortised cost		
Term loans #	555.50	482.65
Non convertible debentures ^	276.22	269.88
Working capital loans	2.87	13.97
Security deposits from consumers	119.29	64.56
Lease liabilities	3.99	3.95
Others (including for supplier's credit)	38.19	28.22
	996.06	863.23
Other interest expense	4.50	1.16
Other borrowing costs	25.76	15.00
Unwinding of discount [Refer footnote 1 of note 11]	-	15.10
	1,026.32	894.49
Less: Allocated to capital works	82.92	76.29
	943.40	818.20

includes amortisation of borrowing cost of ₹ 6.03 Crore (previous year ₹ 8.75 Crore)

^ includes amortisation of borrowing cost of ₹ 1.60 Crore (previous year ₹ 1.93 Crore)

Note 39 : Depreciation and Amortisation Expense

(₹ in Crore)

	Year ended March 31, 2024	Year ended March 31, 2023
Depreciation expense on property, plant and equipment	1,322.86	1,228.60
Depreciation expense on right-of-use assets	17.78	13.45
Amortisation expense on intangible assets	39.89	42.34
	1,380.53	1,284.39
Less: Transfer from others	-	0.20
Less: Allocated to capital works	3.03	3.23
	1,377.50	1,280.96

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 40 : Other Expenses

	(₹ in Crore)	
	Year ended March 31, 2024	Year ended March 31, 2023
Consumption of stores and spares	295.92	195.80
Rent and hire charges	25.65	23.08
Repairs to		
Buildings	16.80	12.44
Plant and machinery	543.09	499.74
Others	36.17	33.01
	596.06	545.19
Insurance	50.65	50.53
Rates and taxes	28.68	14.71
Vehicle running expenses	49.11	45.05
Electricity expenses	41.12	36.14
Security expenses	65.91	63.69
Water charges	32.25	24.24
Power transmission and scheduling charges	13.95	6.21
Corporate social responsibility expenses	45.82	34.43
Loss on sale / discarding of property, plant and equipment and capital work-in-progress	37.19	29.91
Commission to non-executive directors [Refer note 54(b)]	3.27	2.50
Directors sitting fees	1.05	0.75
Auditors remuneration [Refer note 49]	3.17	2.74
Legal, professional and consultancy fees	97.66	79.68
Donations [Refer note 50]	63.55	43.03
Net loss on foreign currency transactions	4.19	11.40
Bad debts written off (net of recovery)	12.41	4.02
Liquidated damages related to onerous contracts [Refer note 56]	109.40	-
Reversal of provision for onerous contracts [Refer note 56]	(109.40)	(10.82)
Provision for onerous contracts [Refer note 56]	-	9.44
Allowance for doubtful advances	(6.06)	-
Allowance for doubtful debts (net)	(10.11)	(13.21)
Miscellaneous expenses	170.23	143.44
	1,621.67	1,341.95
Less: Allocated to capital works, repairs and other relevant revenue accounts ^	117.53	118.39
	1,504.14	1,223.56

^ includes allocated to capital works of ₹ 23.63 Crore (previous year ₹ 15.33 Crore)

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 41: Composition of the Group

(a) Subsidiaries

(1) Details of the Company's subsidiaries are as follows:

Name of subsidiary	Principal activity	Place of incorporation and operation	Proportion of ownership interest and voting power held by the Company	
			As at March 31, 2024	As at March 31, 2023
Torrent Solargen Limited	Power Generation	India	100%	100%
Torrent Pipavav Generation Limited	Power Generation	India	95%	95%
Torrent Power Grid Limited	Transmission of Power	India	74%	74%
Latur Renewable Private Limited	Power Generation	India	100%	100%
Jodhpur Wind Farms Private Limited	Power Generation	India	100%	100%
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	Manufacturing of Cables	India	100%	100%
Torrent Solar Power Private Limited	Power Generation	India	100%	100%
Torrent Saurya Urja 2 Private Limited	Power Generation	India	100%	100%
Torrent Saurya Urja 3 Private Limited	Power Generation	India	74%	100%
Torrent Saurya Urja 4 Private Limited	Power Generation	India	100%	100%
Torrent Saurya Urja 5 Private Limited	Power Generation	India	74%	100%
Visual Percept Solar Projects Private Limited	Power Generation	India	100%	100%
Surya Vidyut Limited	Power Generation	India	100%	100%
Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited)	Power Generation	India	100%	100%
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited (w.e.f. April 01, 2022)	Power Distribution	India	51%	51%
Torrent Urja 7 Private Limited (w.e.f. July 30, 2022) (formerly known as Wind Two Renergy Private Limited)	Power Generation	India	100%	100%
Sun Shakti Solar Power Projects Private Limited (w.e.f. June 13, 2022)	Power Generation	India	100%	100%
Torrent Urja 8 Private Limited (w.e.f. April 28, 2023)	Power Generation	India	100%	-
Torrent Urja 9 Private Limited (w.e.f. April 26, 2023)	Power Generation	India	100%	-
Torrent Urja 10 Private Limited (w.e.f. April 21, 2023)	Power Generation	India	67%	-
Torrent Urja 11 Private Limited (w.e.f. April 20, 2023)	Power Generation	India	100%	-
Torrent Urja 12 Private Limited (w.e.f. April 18, 2023)	Power Generation	India	100%	-

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 41: Composition of the Group (Contd.)

Name of subsidiary	Principal activity	Place of incorporation and operation	Proportion of ownership interest and voting power held by the Company	
			As at March 31, 2024	As at March 31, 2023
Torrent Urja 13 Private Limited (w.e.f. April 26, 2023)	Power Generation	India	100%	-
Torrent Urja 14 Private Limited (w.e.f. May 11, 2023)	Power Generation	India	100%	-
Torrent Urja 15 Private Limited (w.e.f. May 11, 2023)	Power Generation	India	100%	-
Torrent Urja 16 Private Limited (w.e.f. May 11, 2023)	Power Generation	India	100%	-
Torrent Urja 17 Private Limited (w.e.f. May 11, 2023)	Power Generation	India	100%	-
Torrent Green Energy Private Limited (w.e.f. August 02, 2023)	Power Generation	India	100%	-
Torrent Green Hydrogen Private Limited (w.e.f. December 29, 2023)	Power Generation	India	100%	-
Torrent PSH 1 Private Limited (w.e.f. January 03, 2024)	Power Generation	India	100%	-
Torrent PSH 2 Private Limited (w.e.f. January 03, 2024)	Power Generation	India	100%	-
Torrent PSH 3 Private Limited (w.e.f. December 29, 2023)	Power Generation	India	100%	-
Torrent PSH 4 Private Limited (w.e.f. December 30, 2023)	Power Generation	India	100%	-
Solapur Transmission Limited (w.e.f. March 20, 2024)	Transmission of Power	India	100%	-
Step down Subsidiary Airpower Windfarms Private Limited (w.e.f. September 01, 2023)	Power Generation	India	100%	-

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 41: Composition of the Group (Contd.)

- (2) Disclosure of additional information pertaining to the Parent Company its Subsidiaries and its step down subsidiaries as per Schedule III of Companies Act, 2013 as at and for the year ended March 31, 2024:

Name of the entity in the Group	Consolidated share in net assets i.e. total assets minus total liabilities		Consolidated share in profit or loss		Consolidated share in other comprehensive income		Consolidated share in total comprehensive income	
	As % of consolidated net assets	Amount (₹ in Crore)	As % of consolidated profit	Amount (₹ in Crore)	As % of consolidated other comprehensive income	Amount (₹ in Crore)	As % of consolidated total comprehensive income	Amount (₹ in Crore)
Torrent Power Limited - Parent Company	95.56%	12,038.51	94.83%	1,798.03	72.64%	(10.21)	95.00%	1,787.82
Torrent Solargen Limited	(0.02%)	(2.91)	(0.85%)	(16.07)	-	-	(0.85%)	(16.07)
Torrent Pipavav Generation Limited	0.23%	28.43	(0.04%)	(0.71)	-	-	(0.04%)	(0.71)
Torrent Power Grid Limited	0.85%	107.35	0.66%	12.57	0.14%	(0.02)	0.67%	12.55
Latur Renewable Private Limited	1.19%	149.32	0.89%	16.92	-	-	0.90%	16.92
Jodhpur Wind Farms Private Limited	1.13%	142.08	0.73%	13.86	-	-	0.74%	13.86
Torrent Electricals Private Limited (Formerly known as TCL Cables Private Limited)	0.12%	15.30	(1.48%)	(27.99)	4.91%	(0.69)	(1.52%)	(28.68)
Torrent Solar Power Private Limited	(0.24%)	(30.56)	(0.81%)	(15.40)	-	-	(0.82%)	(15.40)
Torrent Saurya Urja 2 Private Limited	(0.12%)	(15.62)	(0.54%)	(10.24)	-	-	(0.54%)	(10.24)
Torrent Saurya Urja 3 Private Limited	0.00%	(0.53)	(0.06%)	(1.11)	-	-	(0.06%)	(1.11)
Torrent Saurya Urja 4 Private Limited	(0.02%)	(2.14)	(0.11%)	(2.06)	-	-	(0.11%)	(2.06)
Torrent Saurya Urja 5 Private Limited	0.08%	9.79	(0.10%)	(1.86)	-	-	(0.10%)	(1.86)
Visual Percept Solar Projects Private Limited	1.35%	169.64	1.15%	21.86	0.14%	(0.02)	1.16%	21.84
Surya Vidyut Limited	2.73%	343.30	1.38%	26.44	0.07%	(0.01)	1.40%	26.43
Torrent Saurya Urja 6 Private Limited (formerly known as LREHL Renewables India SPV 1 Private Limited)	0.77%	97.56	0.98%	18.67	-	-	0.99%	18.67
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	2.35%	296.41	3.71%	70.36	11.17%	(1.57)	3.66%	68.79
Sun Shakti Solar Power Projects Private Limited	1.17%	146.93	0.99%	18.72	-	-	0.99%	18.72
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	0.33%	41.79	(0.21%)	(4.03)	-	-	(0.21%)	(4.03)
Torrent Urja 13 Private Limited (w.e.f. April 26, 2023)	0.00%	(0.02)	0.00%	(0.03)	-	-	0.00%	(0.03)
Torrent Green Energy Private Limited (w.e.f. August 02, 2023)	(0.01%)	(0.79)	(0.04%)	(0.84)	-	-	(0.04%)	(0.84)
Airpower Windfarms Private Limited (w.e.f. September 01, 2023)	0.17%	21.10	(0.03%)	(0.64)	-	-	(0.03%)	(0.64)

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 41: Composition of the Group (Contd.)

Name of the entity in the Group	Consolidated share in net assets i.e. total assets minus total liabilities		Consolidated share in profit or loss		Consolidated share in other comprehensive income		Consolidated share in total comprehensive income	
	As % of consolidated net assets	Amount (₹ in Crore)	As % of consolidated profit	Amount (₹ in Crore)	As % of consolidated other comprehensive income	Amount (₹ in Crore)	As % of consolidated total comprehensive income	Amount (₹ in Crore)
Torrent Green Hydrogen Private Limited (w.e.f December 29, 2023)	0.00%	-	0.00%	(0.01)	-	-	0.00%	(0.01)
Torrent Urja 8 Private Limited (w.e.f. April 28, 2023)	(0.02%)	(2.14)	(0.03%)	(0.64)	-	-	(0.03%)	(0.64)
Torrent Urja 9 Private Limited (w.e.f. April 26, 2023)	0.00%	(0.04)	0.00%	(0.05)	-	-	0.00%	(0.05)
Torrent Urja 10 Private Limited (w.e.f. April 21, 2023)	0.02%	2.68	(0.01%)	(0.21)	-	-	(0.01%)	(0.21)
Torrent Urja 11 Private Limited (w.e.f. April 20, 2023)	0.00%	(0.02)	0.00%	(0.03)	-	-	0.00%	(0.03)
Torrent Urja 12 Private Limited (w.e.f. April 18, 2023)	0.00%	(0.02)	0.00%	(0.03)	-	-	0.00%	(0.03)
Torrent Urja 14 Private Limited (w.e.f. May 11, 2023)	0.00%	(0.02)	0.00%	(0.03)	-	-	0.00%	(0.03)
Torrent Urja 15 Private Limited (w.e.f. May 11, 2023)	0.00%	(0.02)	0.00%	(0.03)	-	-	0.00%	(0.03)
Torrent Urja 16 Private Limited (w.e.f. May 11, 2023)	0.00%	(0.02)	0.00%	(0.03)	-	-	0.00%	(0.03)
Torrent Urja 17 Private Limited (w.e.f. May 11, 2023)	0.00%	(0.02)	0.00%	(0.03)	-	-	0.00%	(0.03)
Torrent PSH 1 Private Limited (w.e.f January 03, 2024)	0.00%	0.01	0.00%	-	-	-	0.00%	-
Torrent PSH 2 Private Limited (w.e.f January 03, 2024)	0.00%	0.01	0.00%	-	-	-	0.00%	-
Torrent PSH 3 Private Limited (w.e.f December 29, 2023)	0.00%	-	0.00%	(0.01)	-	-	0.00%	(0.01)
Torrent PSH 4 Private Limited (w.e.f. December 30, 2023)	0.00%	-	0.00%	(0.01)	-	-	0.00%	(0.01)
Solapur Transmission Limited (w.e.f. March 20, 2024)	0.00%	-	0.00%	(0.01)	-	-	0.00%	(0.01)
Non-controlling interests	4.25%	535.79	3.31%	62.77	10.92%	(1.53)	3.25%	61.24
Consolidation adjustments	(11.87%)	(1,493.63)	(4.32%)	(82.10)	0.01%	-	(4.40%)	(82.10)
Total	100.00%	12,597.50	100.00%	1,896.00	100.00%	(14.05)	100.00%	1,881.95

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 41: Composition of the Group (Contd.)

(b) Associates

Details of the Company's associates are as follows:

Name of Associate	Principal activity	Place of incorporation and operation	Proportion of ownership interest and voting power held by the Company		Quoted fair value	Carrying amount as at March 31, 2024
			As at March 31, 2024	As at March 31, 2023		
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited) (Upto July 29, 2022)	Power Generation	India	NA	NA	NA	NA

(c) Summarised Financial Information of Material Non Controlling Interests

Financial Information of Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited that have material non-controlling interest is provided below:

Proportion of equity interest held by non-controlling interests:

Name of the subsidiary	Place of incorporation and operation	Proportion of ownership interest by non controlling interest	
		As at March 31, 2024	As at March 31, 2023
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	India	49%	49%

(i) Summarised Balance Sheet:

(₹ in Crore)		
	As at March 31, 2024	As at March 31, 2023
Non-current Assets	606.66	387.11
Current Assets	1,034.64	929.77
Non-current Liabilities	(28.83)	(18.37)
Current Liabilities	(1,031.27)	(852.18)
	581.20	446.33
Accumulated share of Profit:		
Owners of the company	296.41	227.63
Non-controlling interest	284.79	218.70

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 41: Composition of the Group (Contd.)

(ii) Summarised Statement of Profit and Loss:

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Income		
Revenue from operations	6,097.15	5,985.40
Other income	64.89	74.58
Total Income	6,162.04	6,059.98
Expenses		
Electrical energy purchased	(5,821.01)	(5,779.56)
Employee benefits expense	(39.85)	(42.78)
Finance costs	(23.89)	(17.67)
Depreciation and amortisation expense	(18.82)	(14.48)
Other expenses	(74.56)	(64.27)
Total expenses	(5,978.13)	(5,918.76)
Profit before tax	183.91	141.21
Tax expense	(45.94)	(37.21)
Profit for the Period	137.97	104.00
Other Comprehensive Income for the year	(3.10)	(1.49)
Total Comprehensive Income for the year	134.87	102.51
Attributable to:		
Owners of the company	68.79	52.28
Non-controlling interest	66.08	50.24

(iii) Summarised Cash Flow information:

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Operating Activities	208.44	(32.70)
Investing Activities	(222.89)	(68.96)
Financing Activities	29.65	(17.93)
Net (Decrease) / Increase in Cash and Cash Equivalents	15.20	(119.59)

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 42: Business Acquisition / Asset acquisitions

A Acquisitions during the current year (FY 2023-24)

(a) Details of asset acquisitions

(i) Airpower Windfarms Private Limited

On September 01, 2023, the Company through its subsidiary, Torrent Green Energy Private Limited (TGEPL) has signed a Share Purchase Agreement (SPA) with Powerica Limited and Vestas Wind Technology India Private Limited (the Sellers) for the acquisition of 100% share capital of Airpower Windfarms Private Limited (AWPL), which holds leasehold revenue land situated in the state of Gujarat for the purpose of development of wind power project. AWPL has become wholly owned subsidiary of the TGEPL w.e.f. September 01, 2023.

(ii) Solapur Transmission Limited

On March 20, 2024, the Company has signed a Share Purchase Agreement (SPA) with PFC Consulting Limited (the Seller) through competitive bidding process for the acquisition of 100% share capital of Solapur Transmission Limited (STL), which will set up the transmission project on build, own, operate and transfer (BOOT) basis and will provide Transmission Service of power from the RE projects in Solapur SEZ in Maharashtra. Pursuant to the SPA, STL has become wholly owned subsidiary of the Company w.e.f. March 20, 2024.

Based on guidance on definition of business under Ind AS, Management has classified above acquisitions as asset acquisitions. The management has assessed that above acquisitions does not meet the definition of 'business' in accordance with the principles laid down under Ind AS 103 - Business Combinations and hence have been considered to be 'asset acquisition', considering the factor that the purchase consideration pertain to the fair value of leasehold land for development of renewable power assets.

Consideration Transferred

	(₹ in Crore)	
	Airpower Windfarms Private Limited	Solapur Transmission Limited
Consideration paid in cash for purchase of Equity shares	21.52	0.01
	21.52	0.01

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 42: Business Acquisition / Asset acquisitions (Contd.)

Net amount of Assets and Liabilities

	(₹ in Crore)	
	Airpower Windfarms Private Limited	Solapur Transmission Limited
Assets		
Property, plant and equipment (including Capital Work in Progress)	18.69	6.29
Right-of-use assets	0.03	-
Other current assets	2.86	0.01
Total Assets Acquired	21.58	6.30
Liabilities		
Current Borrowings	-	5.61
Trade payables	0.05	-
Other financial liabilities	-	0.12
Other current liabilities	0.01	0.56
Total Liabilities Assumed	0.06	6.29
Net Assets Acquired	21.52	0.01

B Acquisitions during the previous year (FY 2022-23)

(a) Details of business combination

(i) Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited' (the 'DNHDDPDCL')

On March 15, 2022, the Company has entered into a Share Purchase Agreement (SPA) and Shareholders Agreement (SHA) with 'The Hon'ble Administrator of the Union Territory of Dadra and Nagar Haveli and Daman and Diu' (the 'Holding Entity') and 'Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited' (the 'DNHDDPDCL') for purchase of 51% shares of the DNHDDPDCL from the Holding Entity for a consideration of ₹ 555.00 Crore plus consideration adjustment of ₹ 31.06 Crore as per terms of SPA, on account of notified balance sheet of the DNHDDPDCL as at April 01, 2022 i.e. total consideration of ₹ 586.06 crore.

Basis the Share Purchase Agreement read with The Dadra and Nagar Haveli and Daman and Diu Electricity (Reorganisation and Reforms) Transfer Scheme, 2022 (the "transfer scheme"), the effective date of transfer has been notified by the UT Administrator, Union Territory of Dadra and Nagar Haveli and Daman and Diu as April 01, 2022 ('Acquisition date') for the purpose of implementing the transfer scheme.

DNHDDPDCL shall be the licensee to carry out the function of distribution and retail supply of electricity in the Dadra and Nagar Haveli District of the Union Territory of Dadra and Nagar Haveli and Daman and Diu for a period of 25 years effective from the acquisition date.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 42: Business Acquisition / Asset acquisitions (Contd.)

The Group has accounted the said acquisition in accordance with Ind AS 103 'Business Combination'. The details are as follows:

Consideration Transferred and computation of Goodwill

	(₹ in Crore)
Particulars	
Total consideration*	586.06
Consideration Transferred	586.06
Less: Fair Value of identifiable net assets acquired	(813.63)
Add: Non-Controlling Interest (49%)	398.64
Goodwill on acquisition	171.07

* Out of the above ₹ 31.06 crore, included in Note 29 Sundry Payables under "Other current financial liabilities" has been paid subsequent to year end on April 29, 2023. Further there are no contingent considerations.

Goodwill comprises the value of expected higher profitability on account of the acquisition. Non-controlling interest has been initially measured at proportionate share of DNHDDPDCL's Fair Value of identifiable net assets acquired. Further pursuant to the transfer scheme there are no contingent liability transferred as on the acquisition date. Acquisition related costs of ₹ 4.30 Crores have been excluded from the consideration transferred and have been recognised as an expense in Consolidated Statement of Profit and Loss in the Current year and Previous year under the head "Other expenses".

Details of assets acquired and liabilities recognised at the date of acquisition

	(₹ in Crore)
Particulars	
Assets	
Non-current assets	
Property, plant and equipment	397.84
Other intangible assets	634.00
Current assets	
Inventories	17.13
Financial assets	
Trade receivables	409.42
Cash and cash equivalents	140.64
Other financial assets	160.75
Total Assets Acquired	1,759.78
Liabilities	
Non-current liabilities	
Financial liabilities	
Other financial liabilities	181.72
Deferred tax liabilities (net)	263.96
Current liabilities	
Financial liabilities	
Trade payables	336.80
Other financial liabilities	163.67
Total Liabilities Assumed	946.15
Net Assets Acquired at fair value	813.63

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 42: Business Acquisition / Asset acquisitions (Contd.)

Revenue and profit of the DNHDDPDCL since the acquisition date included in the consolidated statement of profit and loss of the Group:

	(₹ in Crore)
Particulars	
Revenue from Operations	5,985.40
Profit for the Period	104.00

(b) Details of asset acquisitions

(i) Sunshakti Solar Power Projects Private Limited

On April 23, 2022, the Company has entered into a Securities Purchase Agreement (SPA) with SkyPower Southeast Asia III Investments Limited, SkyPower Southeast Asia Holdings 2 Limited (the Sellers) for the acquisition of 100% of the share capital of Sunshakti Solar Power Projects Private Limited (SSPPPL), which operates 50 MW solar power plant, situated in the state of Telangana. On completion of the conditions precedent to SPA, SSPPPL has become wholly owned subsidiary of the Company w.e.f. June 13, 2022.

(ii) Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)

On July 30, 2022, the Company has acquired 100% of paid-up capital of Torrent Urja 7 Private Limited ("TU7") (formerly known as Wind Two Renergy Private Limited (WTRPL)) from Inox Green Energy Services Limited (formerly known as Inox Wind Infrastructure Services Limited). TU7 operates 50 MW Wind power plant, situated in the state of Gujarat. On acquisition of shares, TU7 has become wholly owned subsidiary of the Company w.e.f. July 30, 2022 which was Associate of the Company till July 29, 2022.

Based on guidance on definition of business under Ind AS, Management has classified above acquisitions as asset acquisitions. The management has assessed that above acquisitions does not meet the definition of 'business' in accordance with the principles laid down under Ind AS 103 - Business Combinations and hence have been considered to be 'asset acquisition', considering the factors like the purchase consideration pertains to the fair value of the Solar / Wind assets, the only key activity for this acquisition is the maintenance of the Solar / Wind assets and there are no other substantive processes required for the generation of output.

Consideration Transferred

	(₹ in Crore)	
	Sunshakti Solar Power Projects Private Limited	Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)
Consideration paid in cash for purchase of Equity shares	105.93	32.51
Consideration paid in cash for purchase of Compulsory Convertible Debentures	36.69	-
	142.62	32.51

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 42: Business Acquisition / Asset acquisitions (Contd.)

Net amount of Assets and Liabilities

	(₹ in Crore)	
	Sunshakti Solar Power Projects Private Limited	Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)
Assets		
Property, plant and equipment (including CWIP) and Right-of-use assets	279.60	271.95
Intangible Asset including Customer contract	18.87	20.22
Other non-current assets	-	2.31
Other current assets	148.77	2.34
Total Assets Acquired	447.24	296.82
Liabilities		
Non current Borrowings	273.52	-
Other non-current liabilities	22.34	-
Current Borrowings	-	251.76
Other current liabilities	8.76	12.55
Total Liabilities Assumed	304.62	264.31
Net Assets Acquired	142.62	32.51

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 43: Impairment Assessment

(1) DGEN Power Plant

Net carrying value of Property, plant & equipment ("PPE") and Right-of-use assets ("ROU") as at March 31, 2024 includes ₹ 1,237.82 Crore pertaining to 1,200 MW DGEN Mega Power Project located at Dahej, Gujarat including its Transmission Line ("DGEN"). DGEN started commercial operations with effect from November 2014 and thereafter has operated only intermittently / partially including the current year due to various factors such as unavailability of domestic gas, high prices of imported gas and non-availability of power selling arrangement.

In view of the above and given the current economic environment, during the current year, the Company had carried out an impairment assessment of DGEN as at March 31, 2024 by considering the recoverable amount based on value-in-use of DGEN in accordance with Indian Accounting Standard 36 'Impairment of Assets'. Value-in-use is determined considering a discount rate of 15.50% (March 31, 2023 – 15.00%) and cash flow projections over a period of 16 years (March 31, 2023 - 17 years), being the balance useful life of DGEN in terms of Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024 on the basis that the Company expects to supply power in the future. Based on the assessment, recoverable value of PPE by using value-in-use is ₹ 1,307.00 Crore which is higher than the carrying amount of PPE of ₹ 1,237.82 Crore and accordingly no additional impairment loss is required as at March 31, 2024. The management has conducted sensitivity analysis on impairment test of the value in use of DGEN. The management believes that reasonable possible change in key assumptions would not materially impact the impairment assessment as at March 31, 2024.

During the earlier years, the Company has provided for impairment loss of ₹ 2,300.00 Crore (March 31, 2023: ₹ 2,300.00 Crore).

Assessment of 'value-in-use' involves several key assumptions including expected demand, future price of fuel, expected tariff rates for electricity, discount rate, exchange rate and electricity market scenario, based on past trends and the current and likely future state of the industry. Management reviews such assumptions periodically to factor updated information based on events or changes in circumstances in order to make fresh assessment of impairment, if any.

(2) Investment in Torrent Pipavav Generation Limited

Torrent Pipavav Generation Limited ("TPGL"), a subsidiary of the Company and a joint venture between the Company and Gujarat Power Corporation Limited ("GPCL"), had made payments in nature of compensation for acquisition of private land as per the court orders in Amreli, Gujarat for the purpose of developing a coal-based power plant of 1,000+ MW. Due to non-availability of fuel linkage, Government of Gujarat ("GoG") vide its letter dated December 06, 2017, communicated that the said project may not be developed and accordingly, the joint venture is intended to be dissolved. Further, as per the said letter, the cost of land would be reimbursed after the disposal of land.

As per the Letter dated January 23, 2024 from Revenue Department, Government of Gujarat, the said land is now to be handed over to the Collector, Amreli and has determined the amount to be paid to GPCL towards the cost incurred for acquisition of aforesaid land. The Collector, Amreli issued letter dated March 28, 2024 for payment to be made towards the cost incurred for acquisition of aforesaid land to GPCL. GPCL will reimburse TPGL its share from the total amount received from Collector, Amreli. Considering the above facts, assets and liabilities are reflected at their net realisable values or cost whichever is lower and the financial statements of TPGL for year ended March 31, 2024 have been prepared on a non - going concern basis.

(3) Impairment testing of Goodwill

Net carrying value of Goodwill of ₹ 171.07 crore as at March 31, 2024 and March 31, 2023 pertaining to acquisition of 'Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited (DNHDDPDCL)', considered as Cash generating unit ('CGU') for the purpose of impairment assessment of goodwill in accordance with Ind AS 36. The Group tests goodwill for impairment at each reporting date or based on any identified impairment indicator. The Group provides for impairment if the carrying amount of goodwill exceeds its recoverable amount. The recoverable amount is determined based on "value in use" calculations which is calculated as the net present value of forecasted cash flows of CGU to which the goodwill is related.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 43: Impairment Assessment (Contd.)

The key assumptions for impairment assessment of Goodwill are as follows:

- Projected cash flows for five years based on financial budgets / forecasts. The perpetuity value is taken based on the long term growth rate of 3%.
- Discount rate applied to projected cash flow is 10.10%.

The Management believes that any reasonably possible change in the key assumptions on which a recoverable amount is based would not cause the aggregate carrying amount to exceed the aggregate recoverable amount of the CGU. Accordingly Goodwill is not required to be impaired as at March 31, 2024.

Note 44: Income Tax Expense

(a) Income tax expense recognised in statement of profit and loss

	(₹ in Crore)	
	Year ended March 31, 2024	Year ended March 31, 2023
Current tax		
Current tax on profits for the year	452.65	669.53
Adjustment for current tax of prior periods	(7.58)	3.29
	445.07	672.82
Deferred tax (other than that disclosed under OCI)		
Decrease / (increase) in deferred tax assets	(114.63)	5.85
(Decrease) / increase in deferred tax liabilities	356.16	198.02
	241.53	203.87
Income tax expense	686.60	876.69

(b) Reconciliation of income tax expense

	(₹ in Crore)	
	Year ended March 31, 2024	Year ended March 31, 2023
Profit before tax	2,582.60	3,041.36
Expected income tax expense calculated using tax rate at 34.944% (Previous year - 34.944%)	902.46	1,062.77
Adjustment to reconcile expected income tax expense to reported income tax expense:		
Effect of:		
Expenditure not deductible under Income Tax Act	33.97	13.47
Tax incentives / deductions	(256.04)	(237.16)
Unabsorbed depreciation / tax credits and other items	13.79	34.32
Total	694.18	873.40
Adjustment for current tax of prior periods	(7.58)	3.29
Total expense as per statement of profit and loss	686.60	876.69

The tax rate used for the reconciliations given above is the actual / enacted corporate tax rate payable by corporate entities in India on taxable profits under the Indian tax law.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 44: Income Tax Expense (Contd.)

(c) Income tax recognised in other comprehensive income

	(₹ in Crore)	
	Year ended March 31, 2024	Year ended March 31, 2023
Deferred tax		
Re-measurement of defined benefit obligation (Items that will not be reclassified to profit or loss)	(20.81)	9.54
Income tax expense / (income) recognised in other comprehensive income	(6.76)	3.50

(d) Deferred tax balances

(1) The following is the analysis of deferred tax assets / (liabilities) presented in the balance sheet

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Deferred tax assets	1,948.32	1,829.29
Deferred tax liabilities	(3,115.59)	(2,759.43)
	(1,167.27)	(930.14)
Disclosed as deferred tax assets (net)	66.38	38.65
Disclosed as deferred tax liabilities (net)	(1,233.65)	(968.79)
	(1,167.27)	(930.14)

(2) Movement of deferred tax assets / (liabilities)

Deferred tax assets / (liabilities) in relation to the year ended March 31, 2024

	(₹ in Crore)					
	Opening balance	Recognised in profit or loss	Transfer on acquisition	Utilisation	Recognised in OCI	Closing balance
Property, plant and equipment	(2,547.98)	(366.25)	-	-	-	(2,914.23)
Intangible Assets	(211.45)	10.09	-	-	-	(201.36)
Provision for compensated absences	40.45	1.40	-	-	-	41.85
Provision for onerous contracts	45.56	(34.93)	-	-	-	10.63
Allowance for doubtful debts	27.11	(6.43)	-	-	-	20.68
Unabsorbed depreciation / MAT credit entitlement	1,688.23	187.22	-	(2.36)	-	1,873.09
Others	27.94	(32.63)	-	-	6.76	2.07
	(930.14)	(241.53)	-	(2.36)	6.76	(1,167.27)

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 44: Income Tax Expense (Contd.)

Deferred tax assets / (liabilities) in relation to the year ended March 31, 2023

	(₹ in Crore)					
	Opening balance	Recognised in profit or loss	Transfer on acquisition	Utilisation	Recognised in OCI	Closing balance
Property, plant and equipment	(2,198.82)	(198.02)	(151.14)	-	-	(2,547.98)
Intangible Assets		10.09	(221.54)			(211.45)
Provision for compensated absences	41.11	(0.66)	-	-	-	40.45
Provision for onerous contracts	47.44	(1.88)	-	-	-	45.56
Allowance for doubtful debts	32.65	(5.54)	-	-	-	27.11
Unabsorbed depreciation / MAT credit entitlement	1,730.68	4.89	81.29	(128.63)	-	1,688.23
Others	36.85	(12.75)	7.34	-	(3.50)	27.94
	(310.09)	(203.87)	(284.05)	(128.63)	(3.50)	(930.14)

(3) Unrecognised deferred tax assets

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Accumulated MAT credit entitlement	9.36	20.32
	9.36	20.32

Unused tax credit that shall expire as follows:

	(₹ in Crore)	
Financial year	Year ended March 31, 2024	Year ended March 31, 2023
2023-24	-	4.21
2024-25	4.61	4.61
2025-26	4.47	4.47
2026-27	0.28	2.21
2027-28	-	1.92
2028-29	-	1.74
2029-30	-	1.16
	9.36	20.32

Management has made an assessment of the amount of taxable income that would be available in future to offset the Accumulated MAT credit entitlement available to the Company.

The assessment of taxable income involved several key assumptions including expected demand, future price of fuel, expected tariff rate for electricity, exchange rate and electricity market scenario, which the management considered reasonable based on past trends, applicable tariff regulations / agreements and current and likely future state of the industry.

The Group has not recognized any deferred tax liabilities for taxes that would be payable on the Group's share in undistributed earnings of its subsidiaries because the Group controls the distribution. The Group intends to repatriate earnings from subsidiaries only to the extent these can be distributed in a tax-free manner.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 45: Revenue from Contracts with Customers

(a) Unbilled revenue

- (1) Revenue from Power Supply includes unbilled revenue towards FPPPA claims and other true up adjustments which is recognised considering applicable tariff regulations / tariff orders, past trends of approval and management's probability estimate.

The Group has not recognized those true up adjustment claims which are subject of dispute and for which the Group is in appeal with regulatory authorities. These are recognised on receipt of final orders of respective regulatory authorities.

(2) Movement in unbilled revenue

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Opening balance	2,899.96	1,905.06
Add: Balance received pursuant to 'Transfer Scheme'	-	160.75
Add: Income accrued during the year as per tariff regulations / orders	6,008.71	4,916.99
Less: Amount billed during the year to the consumers as per tariff orders	(5,239.68)	(4,082.84)
Closing balance	3,668.99	2,899.96
Disclosed under		
Unbilled revenue [Refer note 19]	3,672.43	2,904.66
Sundry payables [Refer note 26 & note 29]	(3.44)	(4.70)
	3,668.99	2,899.96

(b) Contribution received from consumers

(1) Nature of contribution received from consumers

Contributions received from consumers towards property, plant and equipment has been recognised as deferred revenue over its useful life.

(2) Movement of contribution received from consumers

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Opening balance	1,403.80	1,284.49
Add: Contribution received during the year	179.36	217.04
Less: Amortisation of contribution transferred to statement of profit and loss [Refer note 33]	(104.87)	(97.73)
Closing balance	1,478.29	1,403.80
Non-current portion [Refer note 26]	1,371.37	1,303.00
Current portion [Refer note 30]	106.92	100.80
	1,478.29	1,403.80

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 45: Revenue from Contracts with Customers (Contd.)

(c) Service line deposit from consumers

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Opening balance	236.41	207.13
Add: Received during the year (net of refund)	179.94	246.32
Less: Transferred to contribution received from consumers	(179.35)	(217.04)
Closing balance [Refer note 30]	237.00	236.41

Footnote:

1. Service line deposits are collected against the cost of capital work to be carried out for new connection or load extension on application by consumers. On the completion of the work, such contribution is transferred to deferred revenue under the head "other current / non-current liabilities".

(d) Credit balance of consumers

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Opening balance	106.28	105.17
Add / (less) : Adjustment to current billing (net)	14.38	1.11
Closing balance [Refer note 30]	120.66	106.28

Note 46: Contingent Liabilities, Contingent Assets and Capital Commitments

(a) Contingent liabilities

(₹ in Crore)

	As at March 31, 2024	As at March 31, 2023
Disputed income tax matters	20.65	23.21
Disputed sales tax matters	5.25	5.25
Disputed service tax matters	0.49	0.49
Disputed custom duty matters	18.50	18.50
Disputed excise duty matters	2.88	2.88
Disputed stamp duty matters	36.37	36.37
Disputed value added tax matters	3.36	3.36
Disputed central sales tax matters	4.09	4.09
Disputed goods and service tax matters	4.65	-
Claims against the Group not acknowledged as debt [Refer footnote 3]	165.27	127.93

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 46: Contingent Liabilities, Contingent Assets and Capital Commitments (Contd.)

The Group has evaluated the impact of Supreme Court ("SC") judgement dated February 28, 2019 in the case of Regional Provident Fund Commissioner (II) West Bengal v/s Vivekananda Vidyamandir and Others, in relation to exclusion of certain allowances from the definition of "basic wages" of the relevant employees for the purposes of determining contribution to Provident Fund ("PF") under the Employees' Provident Fund & Miscellaneous Provisions Act, 1952. There are interpretation issues relating to the said SC judgement. Based on such evaluation, management has concluded that effect of the aforesaid judgement on the Group is not material and accordingly, no provision has been made in the Consolidated financial statements.

Footnotes :

- 1 Management believes that its position on the aforesaid direct and indirect tax demands and other claims against the Group will likely be upheld in the appellate process and accordingly no provision has been made in the consolidated financial statements for such demands.
- 2 In respect of the above, the expected outflow will be determined at the time of final resolution of the dispute / matters. No reimbursement is expected.
- 3 Break up of claims against the Group not acknowledged as debt:

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Claim of regulatory surcharge including interest in franchise distribution business	94.52	85.89
Demand including interest for Tariff Indexation for excess energy withdrawn in franchise distribution business	26.04	21.83
Compensation payable for short lifting for material	8.46	8.46
Others	36.25	11.75
	165.27	127.93

(b) Contingent assets

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Claim for coal grade slippage	9.65	6.92
Claim of compensation for short lifting of material	8.46	8.46
	18.11	15.38

(c) Capital and other commitments

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
i) Capital commitments		
Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances)		
Property, plant and equipment	3,431.10	761.39

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 46: Contingent Liabilities, Contingent Assets and Capital Commitments (Contd.)

- (d) For Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited (the 'DNHDDPDCL') a subsidiary of the Company during the current year, Ratnagiri Gas & Power Pvt Ltd (RGPPL) has raised the invoices pertaining to power purchase including late payment surcharge outstanding till March 31, 2024 aggregating to ₹ 243.52 crores, subsequent to the order of Hon'ble Supreme Court in the case of Maharashtra State Electricity Distribution Corporation Limited ('MSEDCL') vs RGPPL. The erstwhile DNH Power Distribution Corporation Limited ('DNH PDCL') had terminated power Purchase Agreement ('PPA') on August 25, 2016 and had not paid invoices raised by RGPPL.

As per Transfer scheme, (i) RGPPL PPA with DNH PDCL was not transferred to the Company and hence it is not liable to make the payment of the invoices. (ii) RGPPL PPA with Electricity Department of Union Territory of Dadra and Nagar Haveli and Daman and Diu ('ED-DD') was transferred to the Company, however the invoices for outstanding amount were prior to transfer of electricity distribution business of ED-DD to the Company, and hence it is not liable to make the payment of the invoices.

DNHDDPDCL has requested erstwhile DNH PDCL and ED-DD to discuss the aforesaid matter with RGPPL. DNHDDPDCL has also sought legal opinion and is confident that it bears no liability, thus no provision has been made in the consolidated financial statements for the year ended March 31, 2024.

Note 47: Leases

This note provides information for leases where the group is a lessee.

(i) Amounts recognised in balance sheet

The balance sheet shows the following amounts relating to leases:

(₹ in Crore)			
	Notes	As at March 31, 2024	As at March 31, 2023
Land	5	233.32	193.13
Buildings	5	23.75	23.15
Plant and machinery	5	2.00	0.18
Total		259.07	216.46

Lease liabilities

(₹ in Crore)		
	As at March 31, 2024	As at March 31, 2023
Current	7.27	6.02
Non-current	39.50	39.32
Total	46.77	45.34

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 47: Leases (Contd.)

(ii) Amounts recognised in the statement of profit and loss

The statement of profit or loss shows the following amounts relating to leases:

		(₹ in Crore)	
	Notes	Year ended March 31, 2024	Year ended March 31, 2023
Depreciation charge of right-of-use assets	39	17.78	13.45
Interest expense (included in finance costs)	38	3.99	3.95
Expense relating to short-term leases (included in other expenses)	40	3.47	2.29
Expense relating to leases of low-value assets that are not shown above as short-term leases (included in other expenses)	40	3.22	1.15
Total		28.46	20.84

(iii) Maturities of lease liabilities

As at March 31, 2024:

	(₹ in Crore)	
	Non-current lease liabilities	Current lease liabilities
Less than 1 year	-	9.63
Between 1 year and 5 years	33.74	-
5 years and above	24.69	-
Total	58.43	9.63

As at March 31, 2023:

	(₹ in Crore)	
	Non-current lease liabilities	Current lease liabilities
Less than 1 year	-	7.60
Between 1 year and 5 years	32.17	-
5 years and above	27.25	-
Total	59.42	7.60

(iv) The total cash outflow for leases :

		(₹ in Crore)	
	Notes	As at March 31, 2024	As at March 31, 2023
Principal elements of lease payments (disclosed in Cash flow statement)		44.02	22.34
Expense relating to leases of low-value assets that are not shown above as short-term leases (included in other expenses)	40	3.47	2.29
Expense relating to variable lease payments not included in lease liabilities	40	3.22	1.15
Total		50.71	25.78

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 47: Leases (Contd.)

(v) Lease asset of Shil, Mumbra and Kalwa (franchise area)

The Company has entered into a Distribution Franchise Agreement ("Agreement") dated February 11, 2019 with Maharashtra State Electricity Distribution Group Limited ("MSEDCL") whereby as per the Agreement, the Company would distribute the electricity in the area of Shil, Mumbra and Kalwa in Thane District in Maharashtra ("Franchise area") for 20 years (effective from March 01, 2020).

As per the Agreement, the Company would purchase electricity from MSEDCL at the rate which would be derived through mechanism as mentioned in the Agreement which is linked to the number of units purchased and would distribute electricity to the Consumers at the tariff which has been approved by Maharashtra Electricity Regulation Commission (MERC).

Further as per the Agreement the Company has right to use existing assets of MSEDCL in the Franchise area provided it shall perform all the obligations and accepts all liabilities of MSEDCL on behalf of distribution licensee in Franchise area and MSEDCL shall not charge any rent for the use of such assets.

Considering the facts of the arrangement, the Company has the right to obtain substantially all of the economic benefits from use of MSEDCL assets of the Franchise area and the right to direct the use of the said assets for 20 years and accordingly it would meet the definition of Lease as per Ind AS 116. Further, for distribution of electricity, the Company would purchase power from MSEDCL for which payment would be made as per the franchise agreement which is linked to the number of units purchased. Accordingly the payments by the Company to MSEDCL is variable in nature and there are no fixed payments in the form of minimum purchase commitments, take or pay or any sort of fixed charges is required to be made.

Considering the entire payment made by the Company for this arrangement is variable in nature and there would be no lease liability required to be recognised with a corresponding right of use assets on initial recognition in accordance with Ind AS 116 and considering non-availability of relevant observable information for lease payments, management estimates and cost benefit analysis, total consideration payable to MSEDCL towards purchase of electricity has been shown as 'Electrical energy purchased' in the Financial Statements.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 48: Employee Benefits Plan

48.1 Defined contribution plan

The Group has defined contribution retirement benefit plans for its employees.

The Group's contributions to provident fund, pension scheme and employee state insurance scheme are made to the relevant government authorities as per the prescribed rules and regulations. The Group's superannuation scheme for qualifying employees is administered through its various superannuation trust funds. The Group's contributions to the above defined contribution plans are recognised as employee benefit expenses in the statement of profit and loss for the year in which they are due. The Group has no further obligation in respect of such plans beyond the contributions made.

The Group's contribution to provident, pension, superannuation funds and to employees state insurance scheme aggregating to ₹ 52.42 Crore (Previous year - ₹ 48.88 Crore) has been recognised in the statement of profit and loss under the head employee benefits expense [Refer note 37].

48.2 Defined benefit plans - Gratuity

(a) Gratuity

The Group operates through various gratuity trust, a plan, covering all its employees. The benefit payable is the greater of the amount calculated as per the Payment of Gratuity Act, 1972 or the Group scheme applicable to the employee. The benefit vests upon completion of five years of continuous service and once vested it is payable to employees on retirement or on termination of employment. The gratuity benefits payable to the employees are based on the tenure of employee's service and last drawn salary at the time of leaving. The employees do not contribute towards this plan and the full cost of providing these benefits are met by the Group. In case of death while in service, the gratuity is payable irrespective of vesting.

The Group makes annual contribution to the gratuity schemes administered by the Life Insurance Corporation of India through its various Gratuity Trust Funds. The liability in respect of plan is determined on the basis of an actuarial valuation.

(b) Risk exposure to defined benefit plans

The plans typically expose the Group to actuarial risks such as: asset volatility, interest rate risk, longevity risk and salary risk as described below :

Asset volatility

The present value of the defined benefit plan liability is calculated using a discount rate which is determined by reference to market yields at the end of the reporting period on Indian government securities; if the return on plan asset is below this rate, it will create a plan deficit.

Interest risk

A decrease in the bond interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plan's debt investments.

Longevity risk

The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 48: Employee Benefits Plan (Contd.)

Salary risk

The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

The most recent actuarial valuation of the plan assets and the present value of the defined benefit obligation was carried out at March 31, 2024. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the projected unit credit method.

(c) Significant assumptions

The principal assumptions used for the purpose of the actuarial valuation were as follows.

	As at March 31, 2024	As at March 31, 2023
Discount rate (p.a.)	7.27%	7.57%
Salary escalation rate (p.a.)	8.50%	8.50%

(d) The amount included in the balance sheet arising from the Group's obligation in respect of its defined benefit plans is as follows:

Balances of defined benefit plan

	As at March 31, 2024	As at March 31, 2023
Present value of funded defined benefit obligation	321.93	297.31
Fair value of plan assets	291.94	296.61
Net (asset) / liability [Refer note 31]*	29.99	0.70

* After netting off ₹ 046. Crore (Previous year ₹ 1.84 Crore) disclosed in other advances / receivables [refer note 19]

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 48: Employee Benefits Plan (Contd.)

(e) Expenses recognised for defined benefit plan and movement of plan assets and liabilities

Following are the amounts recognised in statement of profit and loss, other comprehensive income, movement in defined benefit liability and movement in plan assets:

(₹ in Crore)

	Funded / Unfunded plan - Gratuity	
	As at March 31, 2024	As at March 31, 2023
1. Movements in the present value of the defined benefit obligation:		
Obligation at the beginning of the year	297.31	285.67
Current service cost	18.80	19.18
Interest cost	22.51	21.91
Actuarial (gains) / losses from changes in demographic assumptions	-	0.01
Actuarial (gains) / losses arising changes in financial assumptions	9.19	(9.14)
Actuarial (gains) / losses from experience adjustments	8.20	(1.46)
Liability transferred in of employees / due to acquisition of entities*	3.97	23.69
Liability transferred out of employees	(4.00)	(8.95)
Benefits paid directly by employer	(5.65)	(5.69)
Benefits paid	(28.40)	(27.91)
Obligation at the end of the year **	321.93	297.31
* Includes Nil (March 31, 2023 ₹ 19.21 Crore) related to acquired entities during the year.		
** Includes ₹ 0.34 Crore (March 31, 2023 ₹ 0.27 Crore) of subsidiaries which are unfunded.		
2. Movements in the fair value of the plan assets:		
Plan assets at the beginning of the year, at fair value	296.61	271.65
Interest income	22.45	20.92
Return on plan assets (excluding interest income)	(1.36)	0.65
Contributions received	2.57	12.09
Assets Transferred out / Disinvestments\$	0.07	19.21
Benefits paid	(28.40)	(27.91)
Plan assets at the end of the year, at fair value	291.94	296.61
\$ Includes Nil (March 31, 2023 ₹ 19.21Crore) related to newly acquired entities during the year.		
3. Gratuity cost recognized in the statement of profit and loss		
Current service cost	18.80	19.18
Interest cost, net	0.06	0.99
Net gratuity cost recognized in the statement of profit and loss [Refer note 37]	18.86	20.17
4. Gratuity cost recognized in the other comprehensive income (OCI)		
Return on plan assets (excluding interest income)	1.36	(0.65)
Actuarial (gains) / losses	17.39	(10.59)
Net (income) / expense for the year recognized in OCI	18.75	(11.24)

(f) Category wise plan assets

Contributions to fund the obligations under the gratuity plan are made to the Life Insurance Corporation of India.

(g) Sensitivity analysis

Significant actuarial assumptions for the determination of the defined obligation are discount rate and expected salary increase. The sensitivity analysis below have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 48: Employee Benefits Plan (Contd.)

Change in assumptions

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Increase / (decrease) in defined benefit obligation of gratuity		
50 basis points increase in discount rate	(14.97)	(13.01)
50 basis points decrease in discount rate	16.29	14.15
50 basis points increase in salary escalation rate	15.89	13.81
50 basis points decrease in salary escalation rate	(14.77)	(12.85)

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligation as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligation liability recognised in the balance sheet.

- (h) The weighted average duration of the gratuity plan based on average future service is 18 years (March 31, 2023 - 18 years).
- (i) Expected contribution to the plan for the next annual reporting period is ₹ 30.45 Crore (March 31, 2023 ₹ 2.54 Crore).
- (j) **Cash flow projection from the fund**

Projected benefits payable in future years from the date of reporting

	(₹ in Crore)	
	Funded Plan - Gratuity	
	As at March 31, 2024	As at March 31, 2023
1 st following year	32.01	32.31
2 nd following year	17.67	18.36
3 rd following year	21.22	29.10
4 th following year	24.22	20.35
5 th following year	21.09	23.08
sum of years 6 th to 10 th	119.05	112.59
more than 10 years	570.99	513.96

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 48: Employee Benefits Plan (Contd.)

48.3 Defined benefit plans - Pension

(a) Pension

The Group operates defined benefit pension plan, covering eligible employees transferred-in pursuant to transfer scheme. The plan provides benefits to members in the form of a guaranteed pension payable for life. The benefits provided depends on members' length of service and their last drawn salary in the final years leading up to retirement.

The Group funds the pension liability through trustee-administered funds. The employees do not contribute towards this plan and the full cost of providing these benefits are met by the Group. The Group makes contribution to the pension schemes administered by the Life Insurance Corporation of India through Pension Trust Funds for employees joined on or before December 31, 2003. In case of certain employees transferred, which were hired on or after January 1, 2004 are eligible for the Pension benefit only on account of death or disability while in service. The liability in respect of plan is determined on the basis of an actuarial valuation and it is funded.

(b) Risk exposure to defined benefit plans

The plans typically expose the Group to actuarial risks such as: asset volatility, interest rate risk, longevity risk and salary risk as described below :

Asset volatility

The present value of the defined benefit plan liability is calculated using a discount rate which is determined by reference to market yields at the end of the reporting period on Indian government securities; if the return on plan asset is below this rate, it will create a plan deficit.

Interest risk

A decrease in the bond interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plan's debt investments.

Longevity risk

The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.

Salary risk

The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

The most recent actuarial valuation of the plan assets and the present value of the defined benefit obligation was carried out at March 31, 2024. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the projected unit credit method.

(c) Significant assumptions

The principal assumptions used for the purpose of the actuarial valuation were as follows.

	As at March 31, 2024	As at March 31, 2023
Discount rate (p.a.)	7.24%	7.53%
Salary escalation rate (p.a.)	7.50%	7.50%

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 48: Employee Benefits Plan (Contd.)

- (d) The amount included in the balance sheet arising from the Group's obligation in respect of its defined benefit plans is as follows:

Balances of defined benefit plan

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Present value of funded defined benefit obligation	29.02	27.81
Fair value of plan assets	26.47	25.86
Net (asset) / liability [Refer note 31]	2.55	1.95

- (e) Expenses recognised for defined benefit plan and movement of plan assets and liabilities

Following are the amounts recognised in statement of profit and loss, other comprehensive income, movement in defined benefit liability and movement in plan assets:

	(₹ in Crore)	
	Funded plan- Pension	
	As at March 31, 2024	As at March 31, 2023
1. Movements in the present value of the defined benefit obligation:		
Obligation at the beginning of the year	27.81	-
Balance received pursuant to 'Transfer scheme'	-	24.94
Current service cost	0.35	0.25
Interest cost	2.10	1.87
Actuarial (gains) / losses arising changes in financial assumptions	0.71	1.40
Actuarial (gains) / losses from experience adjustments	0.99	(0.65)
Benefits paid	(2.94)	-
Obligation at the end of the year	29.02	27.81
2. Movements in the fair value of the plan assets:		
Plan assets at the beginning of the year, at fair value	25.86	-
Balance received pursuant to 'Transfer Scheme'	-	24.94
Interest income	1.95	1.87
Return on plan assets (excluding interest income)	(0.36)	(0.95)
Contributions received	1.96	-
Benefits paid	(2.94)	-
Plan assets at the end of the year, at fair value	26.47	25.86
3. Pension cost recognized in the statement of profit and loss		
Current service cost	0.35	0.25
Interest cost, net	0.15	-
Net Pension cost recognized in the statement of profit and loss	0.50	0.25
4. Pension cost recognized in the other comprehensive income (OCI)		
Return on plan assets (excluding interest income)	0.36	0.95
Actuarial (gains) / losses	1.70	0.75
Net (income) / expense for the year recognized in OCI	2.06	1.70

- (f) Category wise plan assets

Contributions to fund the obligations under the Pension plan are made to the Life Insurance Corporation of India.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 48: Employee Benefits Plan (Contd.)

(g) Sensitivity analysis

Significant actuarial assumptions for the determination of the defined obligation are discount rate and expected salary increase. The sensitivity analysis below have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

Change in assumptions

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Increase / (decrease) in defined benefit obligation of Pension		
50 basis points increase in discount rate	(0.86)	(1.23)
50 basis points decrease in discount rate	1.30	1.46
50 basis points increase in salary escalation rate	0.75	1.22
50 basis points decrease in salary escalation rate	(0.73)	(0.81)

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligation as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligation liability recognised in the balance sheet.

- (h) The weighted average duration of the pension plan based on average future service is 30 years (March 31, 2023 30 Years).
- (i) Expected contribution to the plan for the next annual reporting period is ₹ 2.55 Crore (March 31, 2023 ₹ 1.95 Crore).

(j) Cash flow projection from the fund

Projected benefits payable in future years from the date of reporting

	(₹ in Crore)	
	Funded Plan - Pension	
	As at March 31, 2024	As at March 31, 2023
1 st following year	1.39	2.38
2 nd following year	0.68	0.23
3 rd following year	2.88	2.26
4 th following year	3.82	2.78
5 th following year	2.55	3.60
sum of years 6 th to 10 th	14.50	13.65

48.4 Other long-term employee benefit obligations

The leave obligation covers the Group's liability for sick and earned leave. Under these compensated absences plans, leave encashment is payable to all eligible employees on separation from the Group due to death, retirement or resignation; at the rate of daily last drawn salary, multiplied by leave days accumulated as at the end of relevant period. Refer notes 31 and 37, for the leave encashment provision / change in the balance sheet and statement of profit and loss.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 49: Auditors Remuneration (Including Taxes)

(₹ in Crore)

	Year ended March 31, 2024	Year ended March 31, 2023
As audit fees	2.21	2.03
For other services	0.78	0.59
For reimbursement of expenses	0.18	0.12
	3.17	2.74

Note 50: Donations to Political Parties

(₹ in Crore)

	Year ended March 31, 2024	Year ended March 31, 2023
Bharatiya Janata Party	25.00	13.11
Nationalist Congress Party	1.50	-
Aam Aadmi Party	-	5.00
Indian National Congress	12.00	5.00
Prudent Electoral Trust	11.50	-
	50.00	23.11

Note 51: Earnings Per Share

	Year ended March 31, 2024	Year ended March 31, 2023
Basic earnings per share (₹)	38.14	44.06
Diluted earnings per share (₹)	38.14	44.06

Basic and diluted earnings per share

The earnings and weighted average number of equity shares used in the calculation of basic earnings per share are as follows:

	Year ended March 31, 2024	Year ended March 31, 2023
Profit for the year attributable to the owners of the Company (₹ in Crore)	1,833.23	2,117.43
Weighted average number of equity shares	48,06,16,784	48,06,16,784
Nominal value of shares (₹)	10	10

The Company does not have any dilutive potential ordinary shares and therefore diluted earnings per share is the same as basic earnings per share.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 52: Operating Segments

During the current year, in line with the reassessment for reporting financial information to the entity's chief operating decision maker (CODM), the Group has presented its segment information in the consolidated financial statements as per Ind AS 108 – 'Operating Segments'. The CODM evaluates the Group's performance and applies the resources to whole of the Company's business viz. "Generation, Renewables, Transmission and Distribution of Power". In accordance with Ind AS - 108 "Operating Segments", the Group's reportable segments are as follows :-

Generation: Comprises of generation of power from thermal sources (gas and coal) and trading of Regassified Liquified Natural Gas.

Transmission and Distribution: Comprises of transmission and distribution business (licensed and franchisee) and related ancillary services. It also comprises Power Cable business.

Renewables: Comprises of generation of power from renewable energy sources i.e. wind and solar.

Revenue and expenses directly attributable to segments are reported under each reportable segment. All other expenses which are not attributable or allocable to segments have been disclosed as unallocable expenses.

Assets and liabilities that are directly attributable or allocable to segments are disclosed under each reportable segment. All other assets and liabilities are disclosed as unallocable.

	Year ended March 31, 2024	Year ended March 31, 2023
1 Segment revenue		
(a) Generation	7,978.69	6,430.61
(b) Transmission and Distribution	24,391.25	22,337.51
(c) Renewables	1,149.92	990.21
Total segment revenue	33,519.86	29,758.33
Less: Inter segment revenue	(6,336.66)	(4,064.21)
Total revenue from operations	27,183.20	25,694.12
2 Segment results (Profit before tax, depreciation and finance costs)		
(a) Generation	1,147.50	1,653.58
(b) Transmission and Distribution	2,871.57	2,665.29
(c) Renewables	1,001.65	859.70
Total segment results	5,020.72	5,178.57
Add: Unallocated	(117.23)	(38.05)
Less: Finance costs	(943.40)	(818.20)
Less: Depreciation and amortisation expense	(1,377.50)	(1,280.96)
Profit before tax	2,582.59	3,041.36
3 Segment assets		
(a) Generation	4,806.00	4,745.48
(b) Transmission and Distribution	20,169.02	18,076.49
(c) Renewables	8,073.37	6,472.04
(d) Unallocated / Inter segment	344.09	616.17
Total assets	33,392.48	29,910.18
4 Segment liabilities		
(a) Generation	3,275.74	3,251.81
(b) Transmission and Distribution	14,473.64	12,690.98
(c) Renewables	5,527.81	3,966.72
(d) Unallocated / Inter Segment	(2,482.21)	(1,485.98)
Total liabilities	20,794.98	18,423.53

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 52: Operating Segments (Contd.)

	Year ended March 31, 2024	Year ended March 31, 2023
5 Depreciation and Amortisation		
(a) Generation	280.62	279.57
(b) Transmission and Distribution	695.46	638.96
(c) Renewables	395.15	356.60
(d) Unallocated	6.27	5.83
Total Depreciation and Amortisation	1,377.50	1,280.96
6 Addition to Capital Expenditure		
(a) Generation	50.61	21.65
(b) Transmission and Distribution	1,861.02	2,150.28
(c) Renewables	1,814.54	858.94
(d) Unallocated	3.72	3.26
Total Addition to Capital Expenditure	3,729.89	3,034.13

The Group's operations are wholly confined within India and as such there is no reportable geographical information.

Note 53: Certified emission reduction (CERs)

	As at March 31, 2024	As at March 31, 2023
No. of CERs inventory	4,997,674	4,997,674
No. of CERs under certification	-	-

Inventories of CERs are valued at cost or market price whichever is lower.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 54: Related Party Disclosures

(a) Names of related parties and description of relationship:

1	Entities having joint control over Parent Company	Mehta Family Trust 1, Mehta Family Trust 2, Mehta Family Trust 3, Mehta Family Trust 4
2	Parent Company	Torrent Investments Private Limited
3	Associates	Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited) (upto July 29, 2022)
4	Employee benefits plans*	TPL (Ahmedabad) Gratuity Trust, TPL (Ahmedabad) Superannuation Fund, TPL (Surat) Gratuity Trust, TPL (Surat) Superannuation Fund, TPL (SUGEN) Gratuity Trust, TPL (SUGEN) Superannuation Fund, TPL (DGEN) Gratuity Trust, TPL (DGEN) Superannuation Fund, TPG Gratuity Trust, TPG Superannuation Fund, DNHDD PDCL Employees' Group Gratuity Trust, DNHDD PDCL Employees Super annuation Trust, ED-DD & DNHDD PDCL Employees Group Gratuity Trust, ED-DD & DNHDD PDCL Leave Enchashment Trust and ED-DD & DNHDD PDCL Super Annuation Pension Trust.
5	Key management personnel	Samir Mehta, Chairperson Jinal Mehta, Managing Director Varun Mehta (w.e.f. August 08, 2022), Wholetime Director Sudhir Mehta (Up to March 31, 2024), Chairman Emeritus Pankaj Patel (Upto March 31, 2024), Independent Director Samir Barua (Upto September 30, 2022), Independent Director Keki Mistry (Upto March 31, 2024), Independent Director Usha Sangwan, Independent Director Radhika Haribhakti, Independent Director Mamta Verma, Independent Director Ketan Dalal (w.e.f. May 11, 2022), Independent Director Apurva Diwanji (w.e.f. February 08, 2024), Independent Director
6	Close member of key management personnel*	Varun Mehta (upto August 07, 2022)
7	Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence*	UNM Foundation, Torrent Pharmaceuticals Limited, Torrent Power Services Private Limited, Torrent Gas Pune Limited [^] , Torrent Gas Limited (Formerly known as Torrent Gas Private Limited), Torrent Gas Chennai Private Limited, Torrent Gas Moradabad Limited [^] , Torrent Gas Jaipur Private Limited, Torrent Fincorp Private Limited, Torrent Sports Ventures Private Limited, Torrent Hospitals Private Limited, Torrent Diagnostics Private Limited and School of Ultimate Leadership Foundation (w.e.f. October 15, 2022).

* where transactions have taken place during the year and / or previous year or where balances are outstanding at the year end

[^] Torrent Gas Pune Limited and Torrent Gas Moradabad Limited has been merged with Torrent Gas Limited (Formerly known as Torrent Gas Private Limited) w.e.f. April 01, 2023 (appointed date). Hence transactions with Torrent Gas Pune Limited and Torrent Gas Moradabad Limited for year ended March 31, 2024 has been disclosed under Torrent Gas Limited.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 54: Related Party Disclosures (Contd.)

(b) Related party transactions

Nature of transactions	Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		Total	
	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23
Interest income										
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	-	3.45	-	-	-	-	-	-	-	3.45
Amortised premium on Non Convertible debentures										
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	-	2.62	-	-	-	-	-	-	-	2.62
Dividend paid										
Torrent Investments Private Limited	-	-	-	-	-	-	411.88	566.33	411.88	566.33
Services provided (rent income including tax)										
UNM Foundation	-	-	-	-	-	-	411.88	566.33	411.88	566.33
Torrent Investments Private Limited	-	-	-	-	-	-	1.51	1.35	1.51	1.35
Torrent Power Services Private Limited	-	-	-	-	-	-	*	*	*	*
Torrent Gas Limited (Formerly known as Torrent Gas Private Limited)	-	-	-	-	-	-	*	*	*	*
Torrent Fincorp Private Limited	-	-	-	-	-	-	1.29	0.47	1.29	0.47
Torrent Sports Ventures Private Limited	-	-	-	-	-	-	*	*	*	*
Torrent Gas Chennai Private Limited	-	-	-	-	-	-	0.11	0.22	0.11	0.22
Torrent Gas Jaipur Private Limited	-	-	-	-	-	-	0.11	0.22	0.11	0.22
Torrent Gas Pune Limited (Merged with Torrent Gas Limited)	-	-	-	-	-	-	-	0.22	-	0.22
Torrent Gas Moradabad Limited (Merged with Torrent Gas Limited)	-	-	-	-	-	-	-	0.22	-	0.22
Torrent Hospitals Private Limited	-	-	-	-	-	-	*	*	*	*
School of Ultimate Leadership Foundation	-	-	-	-	-	-	*	*	*	*
Torrent Diagnostics Private Limited	-	-	-	-	-	-	*	*	*	*

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 54: Related Party Disclosures (Contd.)

(b) Related party transactions

	Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		(₹ in Crore)	
	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23
Services received / remuneration paid	-	-	-	-	-	-	0.03	1.16	0.03	1.16
Torrent Gas Limited (Formerly known as Torrent Gas Private Limited)	-	-	-	-	-	-	0.03	-	0.03	-
Varun Mehta	-	-	-	-	-	-	-	1.16	-	1.16
Sale of cables	-	-	-	-	0.17	-	-	-	0.17	-
Samir Mehta	-	-	-	-	0.17	-	-	-	0.17	-
Purchase of material	-	-	-	-	-	-	296.32	-	296.32	-
Torrent Gas Limited (Formerly known as Torrent Gas Private Limited)	-	-	-	-	-	-	296.32	-	296.32	-
Assignment of gas contract	-	-	-	-	-	-	19.47	-	19.47	-
Torrent Gas Limited (Formerly known as Torrent Gas Private Limited)	-	-	-	-	-	-	19.47	-	19.47	-
Shared expenditure charged to	-	0.11	-	-	-	-	-	-	-	0.11
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	-	0.11	-	-	-	-	-	-	-	0.11
Expenses incurred on behalf of	-	-	-	-	-	-	2.30	0.13	2.30	0.13
UNM Foundation	-	-	-	-	-	-	2.13	-	2.13	-
Torrent Gas Limited (Formerly known as Torrent Gas Private Limited)	-	-	-	-	-	-	0.13	0.05	0.13	0.05
Torrent Gas Pune Limited (Merged with Torrent Gas Limited)	-	-	-	-	-	-	-	0.02	-	0.02
Torrent Gas Chennai Private Limited	-	-	-	-	-	-	0.02	0.02	0.02	0.02
Torrent Gas Jaipur Private Limited	-	-	-	-	-	-	0.02	0.02	0.02	0.02
Torrent Gas Moradabad Limited (Merged with Torrent Gas Limited)	-	-	-	-	-	-	-	0.02	-	0.02
Transfer of gratuity/leave liability to / (from)	-	-	-	-	-	-	0.03	0.18	0.03	0.18
UNM Foundation	-	-	-	-	-	-	0.03	-	0.03	-
Torrent Gas Jaipur Private Limited	-	-	-	-	-	-	-	(0.04)	-	(0.04)
Torrent Gas Limited (Formerly known as Torrent Gas Private Limited)	-	-	-	-	-	-	-	0.22	-	0.22

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 54: Related Party Disclosures (Contd.)

(b) Related party transactions

	Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		(₹ in Crore)	
	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23
Managerial remuneration@	-	-	-	-	36.72	36.09	-	-	36.72	36.09
Samir Mehta	-	-	-	-	13.00	15.00	-	-	13.00	15.00
Varun Mehta	-	-	-	-	4.66	3.00	-	-	4.66	3.00
Jinal Mehta	-	-	-	-	19.06	18.09	-	-	19.06	18.09
Commission to non-executive directors@@	-	-	-	-	2.89	2.19	-	-	2.89	2.19
Samir Barua	-	-	-	-	-	0.23	-	-	-	0.23
Keki Mistry	-	-	-	-	0.50	0.27	-	-	0.50	0.27
Pankaj Patel	-	-	-	-	0.41	0.31	-	-	0.41	0.31
Usha Sangwan	-	-	-	-	0.58	0.48	-	-	0.58	0.48
Radhika Haribhakti	-	-	-	-	0.64	0.48	-	-	0.64	0.48
Ketal Dalal	-	-	-	-	0.62	0.35	-	-	0.62	0.35
Mamta Verma#	-	-	-	-	0.14	0.07	-	-	0.14	0.07
Sitting fees to non-executive directors@@	-	-	-	-	0.80	0.59	-	-	0.80	0.59
Samir Barua	-	-	-	-	-	0.07	-	-	-	0.07
Keki Mistry	-	-	-	-	0.11	0.06	-	-	0.11	0.06
Pankaj Patel	-	-	-	-	0.10	0.07	-	-	0.10	0.07
Usha Sangwan	-	-	-	-	0.18	0.14	-	-	0.18	0.14
Radhika Haribhakti	-	-	-	-	0.20	0.14	-	-	0.20	0.14
Mamta Verma#	-	-	-	-	0.02	0.01	-	-	0.02	0.01
Ketal Dalal	-	-	-	-	0.19	0.10	-	-	0.19	0.10
Donation	-	-	-	-	-	-	5.85	9.55	5.85	9.55
UNM Foundation	-	-	-	-	-	-	5.85	9.55	5.85	9.55
Contribution towards CSR	-	-	-	-	-	-	32.80	34.33	32.80	34.33
UNM Foundation	-	-	-	-	-	-	32.80	34.33	32.80	34.33
Contribution to employee benefit plans (net)	-	-	17.16	25.32	-	-	-	-	17.16	25.32
TPL (Ahmedabad) Gratuity Trust	-	-	0.01	10.12	-	-	-	-	0.01	10.12
TPL (Ahmedabad) Superannuation Fund	-	-	8.11	7.91	-	-	-	-	8.11	7.91
TPL (Surat) Gratuity Trust	-	-	-	1.53	-	-	-	-	-	1.53

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 54: Related Party Disclosures (Contd.)

(b) Related party transactions

	Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence		(₹ in Crore)	
	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23
TPL (Surat) Superannuation Fund	-	-	1.61	1.45	-	-	-	-	1.61	1.45
TPL (SUGEN) Gratuity Trust	-	-	1.21	0.40	-	-	-	-	1.21	0.40
TPL (SUGEN) Superannuation Fund	-	-	0.58	0.52	-	-	-	-	0.58	0.52
TPL (DGEN) Gratuity Trust	-	-	0.05	0.03	-	-	-	-	0.05	0.03
TPL (DGEN) Superannuation Fund	-	-	0.27	0.25	-	-	-	-	0.27	0.25
TPG Gratuity Trust	-	-	0.01	0.01	-	-	-	-	0.01	0.01
TPG Superannuation Fund	-	-	0.04	0.04	-	-	-	-	0.04	0.04
DNHDD PDCL Employees' Group Gratuity Trust	-	-	0.82	3.06	-	-	-	-	0.82	3.06
DNHDD PDCL Employees' Superannuation Trust	-	-	0.46	-	-	-	-	-	0.46	-
ED-DD and DNHPDCL Superannuation Pension Trust.	-	-	1.96	-	-	-	-	-	1.96	-
ED-DD and DNHPDCL Gratuity Trust.	-	-	0.40	-	-	-	-	-	0.40	-
ED-DD and DNHPDCL Leave Encashment Trust	-	-	1.63	-	-	-	-	-	1.63	-
Redemption of non-convertible debentures	-	26.33	-	-	-	-	-	-	-	26.33
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	-	26.33	-	-	-	-	-	-	-	26.33

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 54: Related Party Disclosures (Contd.)

(b) Related party transactions

	Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence				(₹ in Crore)	
	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23	Year ended 31.03.24	Year ended 31.03.23
Premium on NCD	-	2.62	-	-	-	-	-	-	-	-	-	2.62
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	-	2.62	-	-	-	-	-	-	-	-	-	2.62
Loan Given	-	3.50	-	-	-	-	-	-	-	-	-	3.50
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	-	3.50	-	-	-	-	-	-	-	-	-	3.50
Receipt on repayment of loans	-	11.25	-	-	-	-	-	-	-	-	-	11.25
Torrent Urja 7 Private Limited (formerly known as Wind Two Renergy Private Limited)	-	11.25	-	-	-	-	-	-	-	-	-	11.25

@@ excluding Goods and Services Tax.

@ excluding provision for gratuity and leave encashment, insurance premium for group personal accident and group mediclaim.

Sitting fees and Commission of Mamta Verma (nominee of the Government of Gujarat) is paid / payable to the Government of Gujarat.

The Group is a public utility, being engaged in distribution of electricity. Transactions entered with the above mentioned related party does not include sale of electricity since the tariff charged to the customers are determined by an independent rate-setting authority.

(c) Key management personnel compensation

	(₹ in Crore)	
	Year ended March 31, 2024	Year ended March 31, 2023
Short-term employee benefits	36.72	36.09
	36.72	36.09

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 54: Related Party Disclosures (Contd.)

(d) Related party balances

	Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/Entities where the directors have significant influence				Total	
	As at 31.03.24	As at 31.03.23	As at 31.03.24	As at 31.03.23	As at 31.03.24	As at 31.03.23	As at 31.03.24	As at 31.03.23	As at 31.03.23	As at 31.03.24	As at 31.03.23	As at 31.03.23
Balances at the end of the year												
Current liabilities	-	-	-	-	19.61	22.97	22.24	0.40	-	41.85	23.37	-
Torrent Gas Limited (formerly known as Torrent Gas Private Limited)	-	-	-	-	-	-	22.24	0.38	-	22.24	0.38	-
Torrent Gas Jaipur Private Limited	-	-	-	-	-	-	-	0.02	-	-	0.02	-
Torrent Hospitals Pvt Ltd	-	-	-	-	-	-	-	*	-	-	*	-
School of Ultimate Leadership Foundation	-	-	-	-	-	-	-	*	-	-	*	-
Samir Mehta	-	-	-	-	13.00	15.00	-	-	-	13.00	15.00	-
Varun Mehta	-	-	-	-	-	1.00	-	-	-	-	1.00	-
Jinal Mehta	-	-	-	-	4.00	5.00	-	-	-	4.00	5.00	-
Samir Barua	-	-	-	-	-	0.21	-	-	-	-	0.21	-
Keki Mistry	-	-	-	-	0.45	0.24	-	-	-	0.45	0.24	-
Pankaj Patel	-	-	-	-	0.37	0.28	-	-	-	0.37	0.28	-
Ketal Dalal	-	-	-	-	0.56	0.31	-	-	-	0.56	0.31	-
Usha Sangwan	-	-	-	-	0.52	0.43	-	-	-	0.52	0.43	-
Radhika Haribhakti	-	-	-	-	0.57	0.43	-	-	-	0.57	0.43	-
Mamta Verna#	-	-	-	-	0.14	0.07	-	-	-	0.14	0.07	-
Investment in equity	-	-	-	-	-	-	0.05	0.05	-	0.05	0.05	-
UNM Foundation	-	-	-	-	-	-	0.05	0.05	-	0.05	0.05	-

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 54: Related Party Disclosures (Contd.)

(d) Related party balances

	Associates		Employee benefits plans		Key management personnel		Parent Company / Close member of key management personnel / Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company / Entities where the directors have significant influence		Total	
	As at 31.03.24	As at 31.03.23	As at 31.03.24	As at 31.03.23	As at 31.03.24	As at 31.03.23	As at 31.03.24	As at 31.03.23	As at 31.03.24	As at 31.03.23
Trade and other receivables	-	-	-	-	-	-	2.87	-	2.87	-
UNM Foundation	-	-	-	-	-	-	2.12	-	2.12	-
Torrent Gas Limited (formerly known as Torrent Gas Private Limited)	-	-	-	-	-	-	0.73	-	0.73	-
Torrent Gas Jaipur Private Limited	-	-	-	-	-	-	0.01	-	0.01	-
Torrent Gas Chennai Private Limited	-	-	-	-	-	-	0.01	-	0.01	-

Sitting fees and Commission of Mamta Verma (nominee of the Government of Gujarat) is payable to the Government of Gujarat.

The Group is a public utility, being engaged in distribution of electricity. Transactions entered with the above mentioned related party does not include sale of electricity since the tariff charged to the customers are determined by an independent rate-setting authority.

(e) Terms and conditions of outstanding balances

The transactions with related parties are made in the normal course of business on terms equivalent to those that prevail in arm's length transactions. Outstanding balances at the year-end are unsecured.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 55: Financial Instruments and Risk Management

(a) Capital management

The Group manages its capital structure in a manner to ensure that it will be able to continue as a going concern while optimising the return to stakeholders through the appropriate debt and equity balance.

The Group's capital structure is represented by equity (comprising issued capital, retained earnings and other reserves as detailed in notes 21, 22) and debt (borrowings as detailed in note 23).

The Group's management reviews the capital structure of the Group on an annual basis. As part of this review, the management considers the cost of capital and the risks associated with each class of capital. The Group's plan is to ensure that the gearing ratio (debt equity ratio) is well within the limit of 2:1. No changes were made in the objectives, policies or process for managing its capital during the year ended March 31, 2024 and March 31, 2023. The Group reviews its dividend policy from time to time.

Gearing ratio

The gearing ratio at end of the reporting year is as follows.

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Debt	11,312.12	10,521.03
Total equity	12,875.24	11,489.39
Debt to equity ratio	0.88	0.92

Footnotes :

- 1 Debt is defined as all long term debt outstanding [including unamortised expense (net of premium)] + contingent liability pertaining to corporate / financial guarantee given + short term debt outstanding in lieu of long term debt.
- 2 Total equity is defined as equity share capital + all reserve (excluding revaluation reserve) + deferred tax liabilities – deferred tax assets – intangible assets – Intangible assets under development

Loan Covenants

The Company has complied with financial covenants specified as per the terms of borrowing facilities.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 55: Financial Instruments and Risk Management (Contd.)

(b) Categories of financial instruments

(₹ in Crore)

	As at March 31, 2024		As at March 31, 2023	
	Carrying value	Fair value	Carrying value	Fair value
Financial assets				
Measured at amortised cost				
Cash and cash equivalent	350.83	350.83	188.23	188.23
Bank balance other than cash and cash equivalents	67.91	67.91	155.29	155.29
Investment in bonds and debentures	19.92	19.92	17.82	17.82
Trade receivables	2,190.86	2,190.86	2,246.33	2,246.33
Other financial assets	4,083.60	4,083.60	3,246.78	3,246.78
	6,713.12	6,713.12	5,854.45	5,854.45
Measured at fair value through profit and loss (FVTPL)				
Investment in mutual funds	934.42	934.42	785.82	785.82
Investment in equity instruments	0.05	0.05	0.05	0.05
Other Current Financial Assets - Derivative contracts	0.31	0.31	-	-
	934.78	934.78	785.87	785.87
Financial liabilities				
Measured at amortised cost				
Borrowings	11,585.03	11,607.75	10,496.07	10,459.31
Trade payables	2,157.63	2,157.63	1,733.28	1,733.28
Other financial liabilities	3,265.62	3,265.62	2,687.72	2,687.72
	17,008.28	17,031.00	14,917.07	14,880.31

Footnotes:

- The carrying amounts of trade receivables, trade payables, capital creditors, cash and cash equivalents, other financial assets and other financial liabilities are considered to be the same as their fair values, due to their short-term nature.
- Non current loan carries the interest rates that are variable in nature and hence carrying value is considered as same as fair value.

(c) Fair value measurement

The fair value hierarchy is based on inputs to valuation techniques that are used to measure fair value that are either observable or unobservable and consists of the following three levels:

- Level 1 : Inputs are Quoted (unadjusted) market prices in active markets for identical assets or liabilities. This includes investments in mutual funds that have quoted price.
- Level 2 : Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable. This includes unquoted floating and fixed rate borrowing.
- Level 3 : Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable. This includes unquoted equity shares, loans, security deposits, investments in Debentures, floating rate borrowings.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 55: Financial Instruments and Risk Management (Contd.)

The following table summarises financial assets and liabilities measured at fair value on a recurring basis and financial assets and liabilities that are not measured at fair value on a recurring basis (but fair value disclosures are required) :

(1) Financial assets at fair value through profit and loss (FVTPL)

(₹ in Crore)

	Fair value		Fair value hierarchy	Valuation technique(s) and key input(s)
	As at March 31, 2024	As at March 31, 2023		
Investment in mutual fund units	934.42	785.82	Level 1	Quoted bid prices in an active market

(2) Financial liabilities at amortised cost

(₹ in Crore)

	Fair value		Fair value hierarchy	Valuation technique(s) and key input(s)
	As at March 31, 2024	As at March 31, 2023		
Other Current Financial Assets - Derivative contracts	0.31	-	Level 2	Inputs other than quoted prices that are observable based on mark to mark changes provided by ICICI Bank.
Fixed rate borrowings (Non-convertible debentures)	4,062.72	2,777.44	Level 2	Inputs other than quoted prices that are observable based on yields provided by 'The Fixed Income Money Market and Derivatives Association of India' (FIMMDA)

(d) Financial risk management objectives

The Group's principal financial liabilities, comprise borrowings, employee payables, security deposit from customer, trade and other payables. The main purpose of these financial liabilities is to finance the Group's operations and projects capital expenditure. The Group's principal financial assets include loans, advances, trade and other receivables and cash and cash equivalents that derive directly from its operations.

The Group's activities expose it to a variety of financial risks viz foreign currency risk, commodity price risk, interest rate risk, credit risk, liquidity risk etc. The Group's primary focus is to foresee the unpredictability of financial markets and seek to minimize potential adverse effects on its financial performance. The Group's senior management oversees the management of these risks. It advises on financial risks and the appropriate financial risk governance framework for the Group.

Foreign currency risk

The Group is exposed to foreign currency risks arising from various currency exposures, primarily with respect to the USD and EURO. Foreign currency risks arise from future commercial transactions and recognized assets and liabilities, when they are denominated in a currency other than Indian Rupee.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 55: Financial Instruments and Risk Management (Contd.)

The Group's exposure with regards to foreign exchange risk which are not hedged are given below.

Unhedged foreign currency exposures:

(₹ in Crore)			
Nature of transactions	Currency	As at March 31, 2024	As at March 31, 2023
Financial liabilities			
Trade payable	USD	4.04	3.58
Trade payable	EURO	289.74	175.32
Capital payable	EURO	0.06	0.06

Foreign currency sensitivity analysis

The following tables demonstrate the sensitivity to a reasonably possible change in EURO exchange rates, with all other variables held constant.

(₹ in Crore)		
	As at March 31, 2024	As at March 31, 2023
Impact on Profit before Tax - Rupee depreciate by ₹ 1 against EURO	(3.22)	(1.96)
Impact on Profit before Tax - Rupee appreciate by ₹ 1 against EURO	3.22	1.96

The Group's exposure with regard to foreign currency risk which are hedged at the end of the reporting period is as follows:

Hedged foreign currency exposures:

(₹ in Crore)			
Nature of transactions	Currency	As at March 31, 2024	As at March 31, 2023
Financial liabilities			
Capital payable	USD	76.60	-
Derivative contract			
Foreign exchange forward contract	USD	76.60	-

Commodity price risk

The commodity exposure is mainly on account of fuel, a substantial part of which is a pass through cost and hence the commodity price exposure is not likely to have a material financial impact on the Group.

The Group has exposure to USD / INR exchange rate arising principally on account of import of LNG and import of coal. The extant tariff regulations do not permit the cost of hedging such exposure as a cost to be passed through to the off-takers / beneficiaries. As a result, the Group does not follow a policy of hedging such exposures and actual rupee costs of import of fuel are substantially passed on to the off-takers / consumers, because of which such commodity price exposure is not likely to have a material financial impact on the Group.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 55: Financial Instruments and Risk Management (Contd.)

Derivatives

The Company uses derivative financial instruments such as forwards to hedge its risks associated with foreign exchange fluctuation and price risk movements. Risks associated with fluctuation in the price of the raw materials (natural gas, copper and aluminium) are minimized by undertaking appropriate derivative instruments. The fair values of all such derivative financial instruments are recognized as assets or liabilities at the balance sheet date.

- (a) The Asset position of various outstanding derivative financial instruments is given below:

(₹ in Crore)

Nature of risk being hedged	As at March 31, 2024		As at March 31, 2023	
	Asset	Net fair value	Asset	Net fair value
Current				
Non-designated hedges				
Forward commodity contracts Price Risk Component	1.24	1.24	-	-
Foreign currency contracts Exchange rate movement risk	0.07	0.07	-	-
Total	1.31	1.31	-	-

- (b) Outstanding position and fair value of various commodity derivative financial instruments

(₹ in Crore)

Currency Pair	As at March 31, 2024			As at March 31, 2023		
	Weighted Average Strike rate	Notional value in foreign currency (in millions)	Fair value gain / (loss) (₹ in Crore)	Weighted Average Strike rate	Notional value in foreign currency (in millions)	Fair value gain / (loss) (₹ in Crore)
Non-designated						
Buy USD INR	83.38	0.01	0.07	-	-	-
Total			0.07			-

- (c) Outstanding position and fair value of various commodity derivative financial instruments

- (i) Outstanding position and fair value of various commodity derivative financial instruments as at March 31, 2024

(₹ in Crore)

	Currency	Weighted Average Strike rate	Quantity	Unit	Notional Value (USD in millions)	Fair value Gain/(loss) (₹ in Crore)
Non Designated hedges						
ICE Brent Crude Oil	Buy USD	77.80	1,000.00	Barrel	0.01	0.05
Aluminium	Buy USD	83.55	1,250.00	Tonne	0.10	0.82
Copper	Buy USD	83.51	110.00	Tonne	0.04	0.37
Total						1.24

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 55: Financial Instruments and Risk Management (Contd.)

- (ii) Outstanding position and fair value of various commodity derivative financial instruments as at March 31, 2023

							(₹ in Crore)
	Currency	Weighted Average Strike rate	Quantity	Unit	Notional Value (USD in millions)	Fair value Gain/(loss) (₹ in Crore)	
Non Designated hedges							
ICE Brent Crude Oil	Buy	USD	-	-	-	-	-
Aluminium	Buy	USD	-	-	-	-	-
Copper	Buy	USD	-	-	-	-	-
Total							-

Interest rate risk

Most of the Group's borrowings are on a floating rate of interest. The Group has exposure to interest rate risk, arising principally on changes in Marginal Cost of Funds based Lending Rate (MCLR). The Group uses a mix of interest rate sensitive financial instruments to manage the liquidity and fund requirements for its day to day operations like non-convertible debentures and short term credit lines besides internal accruals.

The following table provides a break-up of the Group's fixed and floating rate borrowings:

			(₹ in Crore)
	As at March 31, 2024	As at March 31, 2023	
Fixed rate borrowings^	4,362.21	3,348.47	
Floating rate borrowings^	7,243.43	7,176.06	
	11,605.64	10,524.53	

^ Transactions cost reduced from the borrowing is excluded.

Interest rate risk sensitivity:

The below mentioned sensitivity analysis is based on the exposure to interest rates for floating rate borrowings. For this it is assumed that the amount of the floating rate liability outstanding at the end of the reporting period was outstanding for the whole year. If interest rates had been 50 basis points higher or lower, other variables being held constant, following is the impact on profit.

			(₹ in Crore)
	Year ended March 31, 2024	Year ended March 31, 2023	
Impact on profit before tax - increase in 50 basis points	(36.22)	(35.88)	
Impact on profit before tax - decrease in 50 basis points	36.22	35.88	

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 55: Financial Instruments and Risk Management (Contd.)

Credit risk

Trade receivables:

(1) Exposures to credit risk

The Group is exposed to the counterparty credit risk arising from the possibility that counterparties might fail to comply with contractual obligations. This exposure may arise with regard to unsettled amounts.

(2) Credit risk management

Credit risk is managed and limited in accordance with the type of transaction and the creditworthiness of the counterparty. The Group has established criteria for admission, approval systems, authorisation levels, exposure measurement methodologies, etc. The concentration of credit risk is limited due to the fact that the customer base is large. None of the customers accounted for more than 10% of the receivables and revenue for the year ended March 31, 2024 and March 31, 2023. The Group is dependent on the domestic market for its business and revenues.

The Group's credit policies and practices with respect to distribution areas are designed to limit credit exposure by collecting security deposits prior to providing utility services or after utility service has commenced according to applicable regulatory requirements. In respect to generation business, Group generally has letter of credits / bank guarantees to limit its credit exposure.

(3) Other credit enhancements

The Group collects the security deposits in the form of Cash or Bank guarantee, considering the relevant electricity regulations under the relevant geographical area to cover its credit risks associated with its trade receivables.

(4) Age of receivables and expected credit loss

The Group has used a practical expedient by computing the expected credit loss allowance for trade receivables. The expected credit loss allowance is based on ageing of the days the receivables are due. Trade receivable balances mainly comprise of outstanding from consumers wherein the credit period provided to such consumers is less than 30 days. Based on the historical trend the same is collected well within the credit period.

The Group segments the receivables for the purpose of determining historical loss rate based on shared risk characteristics i.e. Government Consumers / Non Government consumers, Status of Consumers i.e. Live consumers / Disconnected consumers and Security deposits provided by the Consumer. Considering the nature of the business, the historical loss rate is not significant.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 55: Financial Instruments and Risk Management (Contd.)

The ageing of receivables and allowance for doubtful debt at the end of the reporting period is as follows.

As at March 31, 2024

	(₹ in Crore)	
	Gross trade receivables	Allowance for doubtful debt
Less than or equal to 6 months	2,097.28	30.43
More than 6 months but less than or equal to 1 year	52.67	19.38
More than one year	235.30	144.58
	2,385.25	194.39

As at March 31, 2023

	(₹ in Crore)	
	Gross trade receivables	Allowance for doubtful debt
Less than or equal to 6 months	2,148.01	35.33
More than 6 months but less than or equal to 1 year	58.79	23.20
More than one year	244.03	145.97
	2,450.83	204.50

(5) Movement in the expected credit loss allowance

	(₹ in Crore)	
	Year ended March 31, 2024	Year ended March 31, 2023
Opening balance	204.50	217.71
Movement in expected credit loss allowance on trade receivable calculated, net [Refer note 40]	(10.11)	(13.21)
Closing balance [Refer note 16]	194.39	204.50

The concentration of credit risk is very limited due to the fact that the large customers are mainly government entities and remaining customer base is large and widely dispersed and secured with security deposit.

Other financial assets/instruments:

The Group is having balances in cash and cash equivalents, term deposits with banks, deposits, Loans to related parties, investments in government securities and investment in mutual funds. The Group is having balances in cash and cash equivalents, term deposits with scheduled banks with high credit rating and hence perceive low credit risk of default. With respect to investments, the Group limits its exposure to credit risk by investing in liquid securities with counterparties depending on their Composite Performance Rankings (CPR) published by CRISIL. The Group's investment policy lays down guidelines with respect to exposure per counterparty, rating, processes in terms of control and continuous monitoring. The Group therefore considers credit risks on such investments to be negligible. The credit loss from Loans receivable from related parties and financial guarantees is considered immaterial. The recoverable amount of unbilled revenue (including revenue gap/ surplus) perceives low credit risk of default considering applicable tariff regulations / tariff orders, management's probability estimate and the past trends of approval.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 55: Financial Instruments and Risk Management (Contd.)

Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are required to be settled by delivering the cash or another financial asset. The Group manages liquidity risk by maintaining adequate reserves, banking facilities and unused borrowing facilities, by continuously monitoring projected / actual cash flows.

Maturities of financial liabilities:

The Group's remaining contractual maturity for its financial liabilities with agreed repayment periods is given below. The tables have been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the Group can be required to pay. The tables include both interest and principal cash flows. The contractual maturity is based on the earliest date on which the Group may be required to pay.

As at March 31, 2024

(₹ in Crore)

	Less than 1 year	Between 1 year and 5 years	5 years and above	Total
Financial liabilities				
Non current financial liabilities				
Borrowings (including interest on borrowings)^	-	8,402.87	4,668.85	13,071.72
Trade payables	-	307.56	147.38	454.94
Lease liabilities	-	33.73	24.69	58.42
Other financial liabilities	-	-	0.95	0.95
	-	8,744.16	4,841.87	13,586.03
Current financial liabilities				
Borrowings (including interest on borrowings)^	2,552.70	-	-	2,552.70
Trade payables	1,811.92	-	-	1,811.92
Lease liabilities	9.63	-	-	9.63
Other financial liabilities	3,264.67	-	-	3,264.67
	7,638.92	-	-	7,638.92
Total financial liabilities	7,638.92	8,744.16	4,841.87	21,224.95

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 55: Financial Instruments and Risk Management (Contd.)

As at March 31, 2023

(₹ in Crore)

	Less than 1 year	Between 1 year and 5 years	5 years and above	Total
Financial liabilities				
Non current financial liabilities				
Borrowings (including interest on borrowings)^	-	7,050.68	5,001.06	12,051.74
Trade payables	-	187.79	87.40	275.19
Lease liabilities	-	32.17	27.25	59.42
	-	7,270.64	5,115.71	12,386.35
Current financial liabilities				
Borrowings (including interest on borrowings)^	2,387.60	-	-	2,387.60
Trade payables	1,522.67	-	-	1,522.67
Lease liabilities^	7.60	-	-	7.60
Other financial liabilities	2,687.72	-	-	2,687.72
	6,605.59	-	-	6,605.59
Total financial liabilities	6,605.59	7,270.64	5,115.71	18,991.94

^ Transactions cost reduced from the borrowing is excluded.

Note 56: Provision for Onerous Contracts

The Group has a outstanding provision of ₹ 24.98 Crore as at March 31, 2024 (March 31, 2023 - ₹ 134.38 Crore) in respect of certain onerous contracts towards potential damages and other project related costs, arising from expected delays or failure to set up certain wind power generation capacities, awarded to the Company in a prior period under a competitive bidding process. The expected outflow of the outstanding provision will be determined at the time of resolution of the matter.

During the current year, the Company has received final order dated March 28, 2024 from Central Electricity Regulatory Commission rejecting the Company's plea for termination of Power Purchase Agreement executed between the Company and Solar Energy Corporation of India (SECI) on account of a Force Majeure event and held to encash the Performance Bank Guarantees (BGs) submitted to SECI amounting to ₹ 99.96 Crore. Subsequent to the year-end SECI has encashed the aforesaid BG's on April 02, 2024. Further ₹ 9.44 Crore bank guarantee related to one of the subsidiary has been encashed by GUVNL dated January 10, 2024. Accordingly ₹ 109.40 Crore provision has been utilised (Previous year provision of ₹ 10.82 Crore has been reversed due to writing off of pre-operative expenses).

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 57: Government Grant

(a) Nature of government grant

Ministry of Power, Government of India (GoI), had introduced the Accelerated Power Development & Reforms Programme (APDRP) to achieve reduction in Aggregate Technical & Commercial losses, to strengthen the Transmission & Distribution network and to ensure reliable and quality power supply with adequate consumer satisfaction. The projects approved for financing under the programme are eligible for a grant and soft loan each equivalent to 25% of the project cost from the GoI. The Balance 50% was required to be funded by the Group. There are no unfulfilled conditions or other contingencies attached to these grants.

(b) Movement of government grant

	(₹ in Crore)	
	As at March 31, 2024	As at March 31, 2023
Opening balance	14.03	16.40
Less: Amortisation of grant transferred to statement of profit and loss [Refer note 33]	(1.31)	(2.37)
Closing balance	12.72	14.03
Non-current portion [Refer note 26]	11.76	11.66
Current portion [Refer note 30]	0.96	2.37
	12.72	14.03

Note 58: Ageing Schedule for Capital Work-in-Progress (CWIP)

(i) Ageing table for capital-work-in-progress (CWIP):

As at March 31, 2024

Particulars	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	2,032.16	305.77	102.85	30.28	2,471.06
Projects temporarily suspended	-	1.19	0.06	0.05	1.30
	2,032.16	306.96	102.91	30.33	2,472.36

As at March 31, 2023

Particulars	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	1,883.30	417.56	245.11	78.58	2,624.55
Projects temporarily suspended	-	0.09	-	0.05	0.14
	1,883.30	417.65	245.11	78.63	2,624.69

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 58: Ageing Schedule for Capital Work-in-Progress (CWIP) (Contd.)

(ii) For capital-work-in progress, whose completion is overdue compared to its original plan:

As at March 31, 2024

Particulars	To be completed in				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
300 MW solar power project	1,205.53	-	-	-	1,205.53
Distribution Project	14.03	-	-	-	14.03
	1,219.56	-	-	-	1,219.56

(₹ in Crore)

As at March 31, 2023

Particulars	To be completed in				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
115 MW wind power project	832.64	-	-	-	832.64
Distribution Project	185.60	-	-	-	185.60
	1,018.24	-	-	-	1,018.24

(₹ in Crore)

There are no capital-work-in-progress, whose cost has exceeded compared to its original plan for the year ended March 31, 2024 and March 31, 2023.

Note 59: Ageing Schedule for Trade Receivables

Current trade receivables:

As at March 31, 2024

Particulars	Outstanding for following periods from due date of payment						Total
	Not due*	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade receivables							
- Considered good	1,917.70	148.83	33.29	47.88	20.84	21.43	2,189.97
- Credit impaired	0.51	27.09	17.74	15.61	11.29	65.22	137.46
Disputed Trade receivables							
- Considered good	0.32	-	-	-	-	0.57	0.89
- Credit impaired	1.55	1.28	1.64	5.66	8.52	38.28	56.93
	1,920.08	177.20	52.67	69.15	40.65	125.50	2,385.25

(₹ in Crore)

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 59: Ageing Schedule for Trade Receivables (Contd.)

As at March 31, 2023

							(₹ in Crore)
Particulars	Outstanding for following periods from due date of payment						Total
	Not due*	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade receivables							
- Considered good	1,768.21	343.98	35.59	43.60	21.45	28.17	2,241.00
- Credit impaired	0.55	31.57	20.92	17.96	23.22	43.10	137.32
Disputed Trade receivables							
- Considered good	0.49	-	-	3.59	-	1.25	5.33
- Credit impaired	1.34	1.87	2.28	7.44	6.29	47.96	67.18
	1,770.59	377.42	58.79	72.59	50.96	120.48	2,450.83

* Includes ₹ 1314.56 Crores (March 31, 2023 : ₹ 1,288.06 Crore) billed subsequent to year end.

Note 60: Ageing Schedule for Trade Payables

(a) Non-current trade payables:

As at March 31, 2024

							(₹ in Crore)
Particulars	Outstanding for following periods from due date of payment						Total
	Unbilled	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	345.71	-	-	-	-	-	345.71
Disputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	-	-	-	-	-	-	-
	345.71	-	-	-	-	-	345.71

As at March 31, 2023

							(₹ in Crore)
Particulars	Outstanding for following periods from due date of payment						Total
	Unbilled	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	210.61	-	-	-	-	-	210.61
Disputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	-	-	-	-	-	-	-
	210.61	-	-	-	-	-	210.61

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 60: Ageing Schedule for Trade Payables (Contd.)

(b) Current trade payables:

As at March 31, 2024

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Unbilled	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues							
- Micro and small enterprises	3.76	59.50	0.74	0.10	-	0.02	64.12
- Others	524.28	941.98	157.17	38.26	1.46	9.40	1,672.55
Disputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	-	-	-	-	-	75.25	75.25
	528.04	1,001.48	157.91	38.36	1.46	84.67	1,811.92

As at March 31, 2023

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Unbilled	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues							
- Micro and small enterprises	1.43	67.06	0.50	-	-	-	68.99
- Others	500.48	549.44	316.11	2.14	0.41	9.07	1,377.65
Disputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	-	-	-	-	1.32	74.71	76.03
	501.91	616.50	316.61	2.14	1.73	83.78	1,522.67

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 61: Details of Loans and Advances

During the year ended March 31, 2024 and March 31, 2023 there are no Loans or Advances in the nature of loans are granted to promoters, Directors, KMPs and the related parties (as defined under Companies Act, 2013), either severally or jointly with any other person, that are:

- (a) repayable on demand; or
- (b) without specifying any terms or period of repayment

Note 62: Relationship with Struck off Companies

(₹ in Crore)

Name of struck off Company	Nature of transactions with struck-off Company	Balance outstanding as on March 31, 2024	Balance outstanding as on March 31, 2023	Relationship with the Struck off company
Unickon Fincap Private Limited	Investor	*	*	Shareholder
Vaishak Shares Limited	Investor	*	*	Shareholder
Dreams Broking Private Limited	Investor	*	*	Shareholder
Pandit Trading & Securities Limited	Investor	*	*	Shareholder
Jetees Securities (P) Limited	Investor	*	*	Shareholder
Solanki Solar Energy Pvt. Limited	Payables	*	*	Vendor
Krish N Kelly Facility Services	Payables	*	*	Vendor
Scanstar Inspection Technology Private Limited	Payables	0.01	0.01	Vendor
Royal Wireless Services Private Limited	Receivables	0.02	0.02	Customer
JBF Industries Limited	Receivables	*	*	Customer
Gujrat SICO Textiles Private Limited	Receivables	*	*	Customer
Nilay Diamonds Private Limited	Receivables	*	*	Customer
Radheshyam Bansal Eng (India) Limited	Receivables	*	*	Customer
Raj International Limited	Receivables	0.01	0.00	Customer
Maimoon Estate Private Limited	Receivables	*	*	Customer
G P Estate Private Limited	Receivables	*	*	Customer
Chitrakut Flats Private Limited	Receivables	*	*	Customer
Jitu Builders Private Limited	Receivables	0.01	0.01	Customer
Nihi Construction Private Limited	Receivables	*	*	Customer
Galaxy Organisers Private Limited	Receivables	*	*	Customer
Ankush Construction Private Limited	Receivables	*	*	Customer
Emech Properties Private Limited	Receivables	0.02	0.01	Customer
Vishesh Estates Private Limited	Receivables	*	*	Customer

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 62: Relationship with Struck off Companies (Contd.)

(₹ in Crore)

Name of struck off Company	Nature of transactions with struck-off Company	Balance outstanding as on March 31, 2024	Balance outstanding as on March 31, 2023	Relationship with the Struck off company
Gurjari Infra Project Private Limited	Receivables	*	*	Customer
Bha Exim Private Limited	Receivables	*	*	Customer
Triveni Logistic Services Private Limited	Receivables	*	*	Customer
Akshar Info Services Private Limited	Receivables	*	*	Customer
Fascel limited	Receivables	*	*	Customer
Surat MRI Private Limited	Receivables	*	*	Customer
Kadiwala Prints Private Limited	Receivables	*	0.01	Customer
Kavisha Multiprint Limited	Receivables	*	*	Customer
Daman industrial estate Limited	Receivables	*	*	Customer
Finzo polymers Private Limited	Receivables	*	*	Customer
Kraps chem Private Limited	Receivables	*	*	Customer
Puja fab chem plast Private Limited	Receivables	*	*	Customer
Veeaar fabware Private Limited	Receivables	0.01	0.02	Customer
Swastik organic Private Limited	Receivables	-	-	Customer
Fascel Limited	Receivables	0.02	0.03	Customer
Unique screws Private Limited	Receivables	*	0.01	Customer
Omkareshwar techno plast Private Limited	Receivables	*	0.01	Customer
Hershey polymers Private Limited	Receivables	*	*	Customer
Rudra steel & alloys Private Limited	Receivables	0.01	*	Customer
Florance creation Private Limited	Receivables	0.03	0.01	Customer

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 63: Social Security Code

The Indian Parliament has approved the Code on Social Security, 2020 ("Code") which may likely impact the obligations of the Group for contribution to employees' provident fund and gratuity. The effective date from which the Code is applicable and the rules to be framed under the Code are yet to be notified. In view of this, impact if any, of the change will be assessed and accounted in the period in which the Code and the rules thereunder are notified.

Note 64: Audit Trail in Accounting Software

The Group has been using SAP ERP as a books of accounts (except four subsidiaries which are using Tally Software as books of accounts). While SAP audit logging has been enabled from the beginning of the year and captures all the changes made in the audit log as per SAP note no 3042258 version 7 dated March 06, 2024. However, changes made using certain privileged access does not capture "old value" and "new value" of changes made. After thorough testing and validation of tolerable impact on performance of SAP system, the audit trail at Database level was configured on March 27, 2024. As a part of privileged access management, Group has implemented ARCON make PAM (Privileged Access Management System) suite. This PAM system provides access based on need/approval and does the video recording of all activities carried out by privileged user. However due to standard database functionality of HANA DB, while changes made are logged in the database, it does not capture "old value" and "new value" of changes made. This is SAP related issue and management is working towards resolving the same with the vendor.

Note 65: Additional Regulatory Information Required by Schedule III

- (a) The Group is in compliance with number of layers of companies in accordance with clause 87 of Section 2 of the Act read with the Companies (Restriction on number of Layers) Rules, 2017 during the year ended March 31, 2024 and March 31, 2023.
- (b) The Group has not invested or traded in Crypto Currency or Virtual Currency during the year ended March 31, 2024 and March 31, 2023.
- (c) No proceedings have been initiated on or are pending against the Group for holding benami property under the Prohibition of Benami Property Transactions Act, 1988 (as amended in 2016) (formerly the Benami Transactions (Prohibition) Act, 1988 (45 of 1988)) and Rules made thereunder during the year ended March 31, 2024 and March 31, 2023.
- (d) The Group has not been declared Wilful Defaulter by any bank or financial institution or government or any government authority during the year ended March 31, 2024 and March 31, 2023.
- (e) During the year ended March 31, 2024 and March 31, 2023, the Group has not surrendered or disclosed as income any transactions not recorded in the books of accounts in the course of tax assessments under the Income Tax Act, 1961 (such as, search or survey or any other relevant provisions of the Income Tax Act, 1961).
- (f) During the year ended March 31, 2024 and March 31, 2023, the Group has not advanced or loaned or invested funds (either borrowed funds or share premium or kind of funds) to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding (whether recorded in writing or otherwise) that the Intermediary shall:
 - a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Group (Ultimate Beneficiaries) or
 - b) provide any guarantee, security or the like to or on behalf of the ultimate beneficiaries.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2024

Note 65: Additional Regulatory Information Required by Schedule III (Contd.)

During the year ended March 31, 2024 and March 31, 2023, the Group has not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Group shall:

- a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or
- b) provide any guarantee, security, or the like on behalf of the ultimate beneficiaries.

Note 66: Approval of Financial Statements

The financial statements were approved for issue by the board of directors on May 22, 2024

Signature to Note 1 to 66

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N / N500016

Samir Mehta
Chairperson
DIN:00061903

Priyanshu Gundana
Partner
Membership No.: 109553

Saurabh Mashruwala
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 22, 2024

Ahmedabad, May 22, 2024

FORM AOC - 1

Statement pursuant to first proviso to sub section (3) of section 129 of Companies Act, 2013, read with rule 5 of Companies (Accounts) Rules, 2014 :

(a) Statement containing salient features of the financial statement of subsidiaries

(a) Statement containing salient features of the financial statement of subsidiaries															(₹ in Crore)	
Sr. no.	Name of Subsidiary Company	Date of becoming Subsidiary	Financial year ended on	Share capital	Reserves & Surplus	Total assets	Total liabilities (excluding share capital and reserves and surplus)	Invest-ments	Turnover (Revenue from operations)	Profit / (loss) before taxation	Provision for taxation (including deferred tax)	Profit / (loss) after taxation	Other comprehensive income (net of tax)	Total comprehensive income	Proposed dividend (in ₹ per equity share)	Extent of shareholding (in percentage)
1	Torrent Power Grid Limited	October 19, 2006	March 31, 2024	90.00	55.07	155.97	10.90	34.86	25.54	18.12	1.14	16.98	(0.03)	16.95	1.70	74.00%
2	Torrent Pipavav Generation Limited #	September 25, 2007	March 31, 2024	50.00	(20.04)	95.11	65.15	-	-	(0.75)	-	(0.75)	-	(0.75)	-	95.00%
3	Torrent Solargen Limited	September 09, 2008	March 31, 2024	80.05	(82.96)	1,721.08	1,723.99	27.97	181.22	(25.28)	(9.21)	(16.07)	-	(16.07)	-	100.00%
4	Jodhpur Wind Farms Private Limited	January 29, 2018	March 31, 2024	111.00	31.08	375.58	233.50	11.84	62.62	18.61	4.75	13.86	-	13.86	-	100.00%
5	Latur Renewable Private Limited	January 29, 2018	March 31, 2024	110.00	39.32	385.82	236.50	11.32	67.99	22.73	5.81	16.92	-	16.92	-	100.00%
6	Torrent Electricals Private Limited (Formerly known as TOL Cables Private Limited)	November 05, 2019	March 31, 2024	84.00	(68.70)	344.25	328.95	-	651.26	(37.08)	(9.09)	(27.99)	(0.69)	(28.68)	-	100.00%
7	Torrent Solar Power Private Limited #	July 28, 2020	March 31, 2024	0.05	(30.61)	255.18	285.74	-	-	(18.41)	(3.01)	(15.40)	-	(15.40)	-	100.00%
8	Torrent Saurya Urja 2 Private Limited #	February 05, 2021	March 31, 2024	0.05	(15.67)	1,568.23	1,583.85	-	-	(10.99)	(0.75)	(10.24)	-	(10.24)	-	100.00%
9	Torrent Saurya Urja 3 Private Limited	February 17, 2021	March 31, 2024	1.08	(1.32)	53.14	53.38	-	0.66	(1.35)	(0.24)	(1.11)	-	(1.11)	-	74.00%
10	Torrent Saurya Urja 4 Private Limited	July 20, 2021	March 31, 2024	0.05	(2.19)	58.50	60.64	-	3.97	(2.48)	(0.42)	(2.06)	-	(2.06)	-	100.00%
11	Torrent Saurya Urja 5 Private Limited	July 16, 2021	March 31, 2024	16.01	(2.06)	60.85	46.90	-	-	(2.26)	(0.39)	(1.87)	-	(1.87)	-	74.00%
12	Visual Percept Solar Projects Private Limited	February 15, 2022	March 31, 2024	17.45	152.19	177.90	8.26	9.29	42.21	26.07	4.21	21.86	(0.02)	21.84	2.90	100.00%
13	Surya Vidyut Limited	March 11, 2022	March 31, 2024	251.91	91.41	711.28	367.96	13.05	131.59	35.10	8.65	26.45	(0.01)	26.44	-	100.00%
14	Torrent Saurya Urja 6 Private Limited	March 25, 2022	March 31, 2024	23.43	74.13	220.56	123.00	-	41.80	15.92	(2.75)	18.67	-	18.67	-	100.00%
15	Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	March 15, 2022	March 31, 2024	0.10	581.10	1,641.30	1,060.10	-	6,097.15	183.91	45.94	137.97	(3.10)	134.87	-	51.00%
16	Torrent Saurya Urja 7 Private Limited (formerly known as Wind Two Energy Private Limited)	July 30, 2022	March 31, 2024	65.00	(23.21)	278.55	236.76	-	32.53	(5.40)	(1.37)	(4.03)	-	(4.03)	-	100.00%
17	Sunshakti Solar Power Projects Private Limited	June 13, 2022	March 31, 2024	0.06	146.87	274.23	127.30	-	51.75	25.08	6.36	18.72	-	18.72	-	100.00%
18	Torrent Green Energy Private Limited #	August 02, 2023	March 31, 2024	0.05	(0.84)	21.74	22.53	21.52	-	(0.84)	-	(0.84)	-	(0.84)	-	100.00%
19	Airpower Windfarms Private Limited #	September 01, 2023	March 31, 2024	55.00	(33.90)	88.37	67.27	-	-	(0.97)	(0.29)	(0.68)	-	(0.68)	-	100.00%
20	Torrent Urja 8 Private Limited #	April 28, 2023	March 31, 2024	0.01	(2.15)	224.33	226.47	-	-	(0.84)	(0.20)	(0.64)	-	(0.64)	-	100.00%
21	Torrent Urja 9 Private Limited #	April 26, 2023	March 31, 2024	0.01	(0.05)	0.01	0.05	-	-	(0.05)	-	(0.05)	-	(0.05)	-	100.00%
22	Torrent Urja 10 Private Limited	April 21, 2023	March 31, 2024	4.41	(0.27)	20.83	16.69	-	-	(0.26)	(0.05)	(0.21)	-	(0.21)	-	66.88%
23	Torrent Urja 11 Private Limited #	April 20, 2023	March 31, 2024	0.01	(0.03)	0.01	0.03	-	-	(0.03)	-	(0.03)	-	(0.03)	-	100.00%
24	Torrent Urja 12 Private Limited #	April 18, 2023	March 31, 2024	0.01	(0.03)	0.01	0.03	-	-	(0.03)	-	(0.03)	-	(0.03)	-	100.00%
25	Torrent Urja 13 Private Limited #	April 26, 2023	March 31, 2024	0.01	(0.03)	0.01	0.03	-	-	(0.03)	-	(0.03)	-	(0.03)	-	100.00%
26	Torrent Urja 14 Private Limited #	May 11, 2023	March 31, 2024	0.01	(0.03)	0.01	0.03	-	-	(0.03)	-	(0.03)	-	(0.03)	-	100.00%
27	Torrent Urja 15 Private Limited #	May 11, 2023	March 31, 2024	0.01	(0.03)	0.01	0.03	-	-	(0.03)	-	(0.03)	-	(0.03)	-	100.00%
28	Torrent Urja 16 Private Limited #	May 11, 2023	March 31, 2024	0.01	(0.03)	0.01	0.03	-	-	(0.03)	-	(0.03)	-	(0.03)	-	100.00%

Statement pursuant to first proviso to sub section (3) of section 129 of Companies Act, 2013, read with rule 5 of Companies (Accounts) Rules, 2014 :

(a) Statement containing salient features of the financial statement of subsidiaries

Sr. no.	Name of Subsidiary Company	Date of becoming Subsidiary	Financial year ended on	Share capital & Surplus	Total assets	Total liabilities (excluding share capital and reserves and surplus)	Invest-ments	Turnover (Revenue from operations)	Profit/ (loss) before taxation	Provision for taxation (including deferred tax)	Profit/ (loss) after taxation	Other comprehensive income (net of tax)	Total comprehensive income	Proposed dividend (in ₹ per equity share)	Extent of shareholding (in percentage)
29	Torrent Urja 17 Private Limited #	May 11, 2023	March 31, 2024	0.01	(0.03)	0.03	-	-	-	(0.03)	-	-	(0.03)	-	100.00%
30	Torrent Green Hydrogen Private Limited #	December 29, 2023	March 31, 2024	0.01	(0.01)	0.01	-	-	-	(0.01)	-	-	(0.01)	-	100.00%
31	Torrent PSH 1 Private Limited #	January 03, 2024	March 31, 2024	0.01	*	0.01	*	-	-	*	*	-	*	-	100.00%
32	Torrent PSH 2 Private Limited #	January 03, 2024	March 31, 2024	0.01	*	0.01	*	-	-	*	*	-	*	-	100.00%
33	Torrent PSH 3 Private Limited #	December 29, 2023	March 31, 2024	0.01	(0.01)	0.01	-	-	-	(0.01)	-	-	(0.01)	-	100.00%
34	Torrent PSH 4 Private Limited #	December 30, 2023	March 31, 2024	0.01	(0.01)	0.01	-	-	-	(0.01)	-	-	(0.01)	-	100.00%
35	Solapur Transmission Limited #	March 20, 2024	March 31, 2024	0.01	(0.01)	6.56	-	-	-	(0.01)	-	-	(0.01)	-	100.00%

List of subsidiaries which are yet to commence its operations.

* Figures below ₹ 50,000

(b) Associates and Joint Ventures

Sr. no.	Name of Associates or Joint Venture	Date of acquisition	Latest audited balance sheet date	Shares of associate or Joint venture held by the Company		Description of how there is significant influence	Reason why the Joint venture is not consolidated	Net worth attributable to shareholding as per latest audited balance sheet	Profit/ Loss for the year	
				No. of shares	Amount of investment				Extent of Holding%	Considered in consolidation

Footnote:

- 1 UNM Foundation (UNM) is a company incorporated under Section 8 of the Companies Act, 2013 and this company is prohibited to give any right over its profits to the members. In view of restrictions on Section 8 companies, the parent Company's proportionate share in UNM has not been considered in consolidated financial statement.

For and on behalf of the Board of Directors

Samir Mehta
Chairperson
DIN:00061903

Saurabh Mashruwala
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 22, 2024

5 Years' Highlights - Consolidated

Particulars	UoM	2023-24	2022-23	2021-22	2020-21	2019-20
TECHNICAL DATA						
Generation Capacity #	MW	4,328	4,178	4,120	3,879	3,879
Units Billed by Generating Stations	MUs	11,075	6,239	9,634	11,649	12,168
Units Purchased	MUs	23,586	25,161	9,370	6,611	7,219
Units Sold	MUs	32,650	29,589	18,055	16,608	18,310
No. of Consumers	Mn	4.13	4.03	3.79	3.71	3.65
KEY FINANCIALS						
Revenue From Operations	₹ in Crore	27,183	25,694	14,258	12,173	13,641
EBITDA	₹ in Crore	4,904	5,141	3,826	3,607	3,734
Profit Before Exceptional Items and Tax	₹ in Crore	2,583	3,041	1,864	1,552	1,475
Total Comprehensive Income (after Non-controlling interests)	₹ in Crore	1,896	2,124	456	1,295	1,145
Equity Share Capital	₹ in Crore	481	481	481	481	481
Other Equity (Reserves and Surplus)	₹ in Crore	11,581	10,529	9,463	9,704	8,673
Loan Funds (Gross)	₹ in Crore	11,606	10,525	9,131	7,809	8,901
Tangible and Intangible Assets	₹ in Crore	24,275	21,894	18,395	18,164	18,137
KEY FINANCIAL RATIOS						
EBITDA Margin	%	16.77%	18.52%	25.19%	28.47%	26.07%
Net Profit Margin	%	6.97	8.42	9.73@	10.65	8.65@
Return on Net Worth *	%	14.48	19.07	13.20@	12.68	11.63@
Return on Capital Employed *	%	14.60	18.22	13.13@	12.53	12.48@
Long Term Debt Equity Ratio *		0.88	0.92	0.83	0.73	0.92
Earnings Per Share	₹	38.14	44.06	9.45	26.86	24.43

Including Solar capacity in DC

* Deferred Tax balance is included as a part of Equity

@ Excluding Exceptional Items

Corporate Information

Board of Directors

Samir Mehta, Chairperson
Jinal Mehta, Vice Chairman & Managing Director
(w.e.f. June 01, 2024)
Pankaj Patel (upto March 31, 2024)
Keki Mistry (upto March 31, 2024)
Usha Sangwan
Radhika Haribhakti
Mamta Verma, IAS
Ketan Dalal
Apurva Diwanji (w.e.f. February 09, 2024)
Sunil Mathur (w.e.f. May 23, 2024)
Varun Mehta, Non-Executive Director
(w.e.f. June 01, 2024)
Jigish Mehta, Whole-time Director (w.e.f. June 01, 2024)

Audit Committee

Ketan Dalal, Chairperson
Keki Mistry (upto March 31, 2024)
Usha Sangwan
Radhika Haribhakti
Apurva Diwanji (w.e.f. February 09, 2024)

Stakeholders Relationship Committee

Pankaj Patel, Chairperson (upto March 31, 2024)
Radhika Haribhakti, Chairperson (w.e.f. April 01, 2024)
Samir Mehta (upto February 08, 2024)
Jinal Mehta (upto February 08, 2024)
Ketan Dalal (w.e.f. February 09, 2024)
Apurva Diwanji, (w.e.f. February 09, 2024)

Nomination and Remuneration Committee

Pankaj Patel, Chairperson (upto March 31, 2024)
Apurva Diwanji, Chairperson (w.e.f. April 01, 2024)
Radhika Haribhakti
Ketan Dalal

Corporate Social Responsibility and Sustainability Committee

Usha Sangwan, Chairperson
Radhika Haribhakti
Ketan Dalal

Risk Management Committee

Ketan Dalal, Chairperson
Usha Sangwan
Radhika Haribhakti
Saurabh Mashruwala

Committee of Directors

Samir Mehta, Chairperson
Jinal Mehta

Chief Financial Officer

Saurabh Mashruwala

Company Secretary

Rahul Shah

Statutory Auditors

Price Waterhouse Chartered Accountants LLP,
Chartered Accountants

Registered Office

“Samanvay”,
600 Tapovan, Ambawadi,
Ahmedabad – 380 015, Gujarat, India.
Phone: +91 79 2662 8300
Fax: +91 79 2676 4159

Corporate Identity Number

L31200GJ2004PLC044068

Website

www.torrentpower.com

Investor Services Email Id

cs@torrentpower.com

Registrar and Share Transfer Agent

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Unit: Torrent Power Limited
5th Floor, 506-508, Amarnath Business Centre-1 (ABC-1),
Beside Gala Business Centre,
Nr. St. Xavier's College Corner, Off. C. G. Road,
Ellisbridge, Ahmedabad – 380 006 (Gujarat)
Phone: +91 79 2646 5179 / 86 / 87
Email: ahmedabad@linkintime.co.in
Website: www.linkintime.co.in



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